

Balrampur Chini Mills Ltd. (BALRAMCHIN)

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Call: Aug 2022

11th August, 2022

National Stock Exchange of India Limited

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Scrip Code: BALRAMCHIN Scrip Code: 500038

Dear Sir/ Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015

Sub: Transcript of earnings Conference Call

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),

Regulations, 2015, please find attached transcript of the Q1 FY23 Earnings Conference Call held on 5th August, 2022.

The same is also uploaded on Company's website: www.chini.com

This is for your information and records.

Thanking you,

For Balrampur Chini Mills Limited

Manoj Agarwal

Company Secretary and Compliance Officer

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Balrampur Chini Mills Limited

Q1 FY23 Earnings Conference Call Transcript

August 5, 2022

Moderator: Ladies and gentlemen, good day and welcome to Balrampur Chini Mills Limited 's earnings conference call. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you sir.

Anoop Poojari : Thank You. Good afternoon everyone and thank you for joining us on Balrampur Chini Mills ' Q1 FY23 results conference call. We have with us Mr. Vivek Saraogi, Chairm an and Managing Director of Balrampur Chini Mills , and Mr. Pramod Patwari, Chief Financial Officer of the Company.

We would now like to begin the call with brief opening remarks from the management, following which we will have the forum open for a question -and- answer session.

Before we begin, I would I like to point out that some statements made in today's call may be forward looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I would now like to invite Mr. Saraogi to make his opening r emark.

Vivek Saraogi: Good afternoon everyone and thank you for joining us on our earnings conference call. I hope you and your families are all keeping safe and in good health.

I trust all of you have had the opportunity to go through the results pres entation, providing the details of our operation and the financial performance. So , I will begin the call with an update on the current developments in the sugar industry, followed by our Company 's key highlights for the period under review .

India's net production in the sugar season 2021 – 2022 is expected to be 35.9 million tonnes. This is after considering a diversion to Ethanol of 3.4 million tonnes. As per the early estimates for next year, sugar production is anticipated to be lower at 35.5 million ton nes on account of higher diversion of around 4.5 million tonnes. UP is expected to witness an improvement in production even after diversion , to 10.9 million tonnes in the coming season against 10.2 million tonnes in the previous season . In the other key states , like Maharashtra, Karnataka even after diversion production is expected to remain at 13 million tonnes and 5.8 million tonnes, respectively. So , all I would like to say that these are very early estimates. These are the figures and the estimate done by ISMA , any meaningful estimate on the

country wide level or a more accurate assessment would be available in probably October, November, post the monsoons.

On the ethanol front, a total of 446 crore liters of ethanol was contacted during the year out of which 363 crore liters was from the sugar industry. This has been a phenomenal game changing journey for the industry, moving from 1.5% petrol

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blending or 38 crore liters in 2013 -14 to achieving 10.16% blending equivalent to 446 crore liters as mentioned above. In 2022 – 2023, 12% blending is expected to be achieved accounting for about 545 crore liters of ethanol. The Government has been proactively promoting the production of ethanol through its policies and targets to increase blending rate to 20% by 2025. So, as we extrapolate figures of percentage and blending, so 20% blending could mean about 7 million tons of sugar sacrifice. Given the significant increase in capacity expected over the next few years, we believe the industry should be able to meet this challenge of supplying the above quantity.

With the surplus sugar situation over the last few years, along with ethanol diversion, the industry has also been proactively exporting. In the current season, Government is considered to notify another 1.2 million tonnes, which will enable the country's export to go up to 11.2 million tonnes. This is by far the highest by a mile, 7.0 million tonnes was highest max in previous season. This will help moderate the closing stock to 5.8 million tonnes, which is very comfortable. And if you've seen yesterday, the Government has given a statement in parliament, saying that their objective is to keep sugar inventory at the end of the season at 6 million tonnes. So this tells you of the trajectory and the mindset of the Government, which people were doubting when there was an export restriction, that came up a few months back.

Moving to the Company's performance, Balrampur has reported a muted quarterly performance as lower sugarcane yields and recovery in the previous season impacted the sugar division, which resulted in raising the cost of production of the sugar carried forward on 1st of April. Furthermore, fixed overheads could not be absorbed fully in this quarter due to lower crushing. So if there is a spillage of crushing into this quarter, which we will brief you later on for the next year, the overhead gets absorbed by that crushing. After two consecutive years of erratic weather in our area, we are seeing a very decent, healthy pattern of rainfall, which we hope should be very positive for our coming season. Furthermore, we have done a lot of cane development work at the farmer end, and we are hoping to report an improvement in both cane availability and recovery for the next year.

I am glad to report that we are on track to complete the state-of-the-art distillery facility at the Maizapur unit, which would operate on sugarcane juice and grain. This, combined with our expansion at the Balrampur unit where we are going to do both B-heavy and juice, would take our resulting distillation capacity to 1050 KLPD, which will enable us to supply around 35 crore liters of ethanol with our targeted cane crushing.

All in all we are committed to delivering value to our wide range of stakeholders through our integrated model, which is deleverage as well, and which has enabled us to sustain a solid balance sheet and achieve positive cash flows. We continue to invest prudently and return excess cash to the shareholders from time to time. I would now request Pramod to take the call ahead.

Pramod Patwari: Good afternoon, everyone. I hope all of you had the opportunity to go through our results presentation that has been uploaded on the stock exchanges, as well as the Company's website and shared with you, wherein all the financial and operating performance data have been given. So for the benefit of having a larger portion of time at our disposal for the Q&A session. I will request the moderator to open the forum. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session.

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The first question is on the line of Lokesh Maru from Nippon India Mutual Fund.

Lokesh Maru: I wanted to, first of all, af

ter going through the annual report, wanted to appreciate the effort that the company had put into deliver what we have even after two of our units, which was Balrampur and Tulsipur went under water and challenges faces at Gularia unit command area. So I have one question regarding the same episode, which is what is the spillover impact of the current bad crop on the upcoming sugar season? Like for example, 40% usually is ration, so would it be fair to assume that

recovery may not really recover to the extent that we have seen last year or last sugar season let's say? Also, given our inventory position, as of 30th, June, is it fair to assume that we'll start crushing this time by end of October itself? Like what's our strategy there, how do we plan to come back, recoup the loss that we have had in Q1?

Vivek Saraogi: So Avantika, please answer the question relating to cane and why don't you give a brief overview of the activities and therefore what is expected, over to you?

Avantika Saraogi: Thank you. To give you a brief overview of the current estimate of what we are thinking for the season ahead. Firstly, as said by my father, the weather pattern is completely different this year than it has been in the last two years. The cane seems much better this year than we have seen it in a while. It is giving us the feeling of season 2019-2020, but we don't want to jump the gun on that. Having said that we have also got de-risking methods, we have had a historic level planting this year. We are reporting our cane area of 3.24 lakh hectares for the first time in, since we've been established, and this is an 8% increase from the last year itself. So even if we are to be at the yield of last season, we wouldn't have an 8% increase in cane for sure but having said that, if under this area of cane we are to see 2019 – 2020 season yields, we can be 11 crore quintals plus. So our internal targets are around 10.5 crore quintals, but we can say more after the monsoons are over of course. Secondly, this time since the monsoon pattern has been good, May, June it did not rain at all, as it has been in the last couple of years, our ratoon activities have had a really good start. We're expecting ratoon yield to increase in a healthy manner, apart from this, we also got the opportunity to do intercultural operations in the existing plant crop and also the ratoon crop, which we never got a chance to do in the last couple of years, along with insect, pest and disease control. So this is a period when work can be done. And if it rains in this period, it becomes difficult for us to carry out activities, which we have gotten a chance to do all of it this year. Other than this the cane management team has had a chance to increase tiller, which is a number of millable cane increased in each clump. So, this also impacts yield in a positive manner. Also, I want to report that our 238 variety, we have reduced due to red rot infestation by a good margin. We are down by 20% this year, and we have increased other high yielding sugar varieties like 118 in our area, which is of higher recovery, if not, you know, it's definitely of a higher recovery than 238. So, we are expecting a good season ahead.

Vivek Saraogi: So if I may add, if one is to observe the weather pattern of this year, the weather pattern would remind us of season 2019 – 2020 and the problem we faced was threefold last year. One as Avantika mentioned there was constant rainfall in April, May, and June, and, you know, at regular intervals, which inhibited the agricultural activities, which led to a much lower ratoon yield also, so ratoon will improve because still now we've got all the ratoon activity, which were to be done with suitably enhanced measures, like urea application, etc. So that part has already been completed. So that goodness, or that positivity of tillering has already entered the cane, no

in June, July and August, we've had very scattered rainfall with sunlight. So till now, ideal conditions, and as Avantika briefed you on the disease and varieties, etc., we feel rather confident of giving a good performance and getting back to our old levels at 2019–2020 where it was around 10.5 crore quintals of cane. And as you are aware, we are expanding at Balrampur and we have done de

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bottlenecking other units. There's another question on date of start. Yes, we would like to begin a little early from last year, definitely. And therefore, the crushing, even in the current balance sheet would be reflective of that as well as the next balance sheet, because the spillover would be much greater. So I think we've covered the broad spectrum of how the cane looks like in our area.

Lokesh Maru: Last question on realizations. India should produce about 40 million tonnes. Do you see, as per your expectation, due to diversion, due to bad crop from the yield, which was built in was for optimistic and really higher realizations of Rs. 38-40 per kg playing out for sugar, but after a good crop and earlier estimates of good crop, so how are you effectively looking at realizations for moving forward for this sugar season?

Vivek Saraogi: So basically, the realization looks very positive. See what the Government is doing. Let's understand very clearly, they are saying, keep your inventory at 6 million tonnes. So that's just a way of saying that just have enough stocks when the, you know, all the mills begin for up to December, thereby indirectly it is saying, I am in sync, or I am wanting the price levels to be decent. So, until you want the price to be positive, you don't do this. You don't come up with additional 12 lakh tonnes for

exports, beyond my recognition because people were getting edgy, you'll only stop at 100 lakhs tonnes, why go to 112 lakhs tonnes. So, the idea and the thinking of the Government is very clear. So therefore, our realizations, as we get into August are closer to Rs. 35.8-36.0 per kg. We are hoping that these realizations continue to be firm for the next couple of months, next three, four months definitely. And then, you know, there's a marginal dip owing to seasonal factor. On production next year, this is again, a very personal view, we've given you some estimates, normally when plants come late like Maharashtra, the ratoon yield is never good, because if ratoon is harvested in the month of May end, that yield is not good. But today one is really prompt an estimation, which went oddly last year, because one was not able to predict how much more Maharashtra can do. So, I don't think Rs. 35.5 per kg can be crossed if at all it may come down, but that's a very personal thing. Thirdly, the excess sugar, Brazil, etc., they need to need sugar, Pramod you will take the international scenario.

Pramod Patwari: Yes, global market needs sugar at this point in time. And India is not a supplier at this price level. So, in order to fetch sugar from India, which will be the requirement, global prices has to move up. The day it starts moving up, there will be a little pressure on the domestic market. Domestic market will also start moving.

Vivek Saraogi: And it's already good. So even if you get to next year and let's say one is able to export 7 million tonnes only, you're back to 6 million closing stock. Which is just perfect. So even for example, we in Balrampur, we have converted one of our refineries into being able to sell into London. So, we would also be physically exporting, refined sugar. The realization of it is absolutely wonderful. So, I think we'll come to figure work a little later. Maybe we'll be able to tell you next time. So, we are going to export white sugar from our factory, London 5 variety at very good prices. So, that's just to give evidence that even during season, prices might not come

up a lot. Price trajectory positive, stock trajectory explained, demand trajectory same about 5-7 lakh tonnes higher from last year and continuing that sort of 2.5% - 3% growth of demand.

Moderator: The next question is from the line of Sanjay Maniyal from ICICI Direct.

Sanjay Maniyal: Just one question on the sugar production considering the fact that the gross level we have reached around 40 million tonnes. So if we really need to reduce our dependency on the export in a longer run, is it possible that the 10 million tonnes can be diverted to ethanol, considering the fact that 5 million tonnes probably can be diverted through juice route and the rest through B-heavy route and probably we

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can reduce the 10 million tonnes through ethanol only and probably dependence on the export also comes down.

Vivek Saraogi: Again, it is misnomer to assume, a personal view, but with more than three decades of business experience, if one is expecting 400 lakhs tonnes to be produced infinitum, I don't agree with that prognosis. So, with this negative dipole, if one year rain fails in Maharashtra, you will see crashing down. This is not such a big fear for lifetime, two yes, everybody's expecting ethanol to be diverted. We've given you the trajectory, 10 million tonnes does not seem possible right now, as we go ahead, let's say you do 4.5 million tonnes this year, then you do about 6 million tonnes, then you do about 7 million tonnes. Meanwhile consumption will gradually grow. And at some point, production would correct. And even in global markets, there's been really dry weather in entire Europe, is suffering. Brazil is suffering. The global market today want 6 to 7 million tonnes desperately. If let's say, just India, next year, production collapses and India doesn't export world market work would go up to 25 cents, straight because if they need Indian sugar, there is a deficit in the globe. So having said that your answer 10 million tonnes doesn't look possible right now, but yes, gradually we hope you can go to 7 million tonnes, definitely. If grain underperform sugar can go to 8 million tonnes, we can maybe even cross that.

Sanjay Maniyal: Another thing would be on the grain ethanol front how the margin really will defer from the grain ethanol considering the fact that the recently probably the broken rice and all those grain prices have gone up. So has the margins, although their operations have not started yet, but maybe from the industry perspective, if you can give an answer to that?

Vivek Saraogi: Too early. Anyways. Out of Balrampur 35 crore litre maximum 5 crore litre is grain. So A, I won't be worried B our fuel is ours. They are suffering because of lack of fuel and see our area is a belt of broken rice, maize and everything and our distillery, is such as state of art, we can digest anything. You give it broken rice, give it maize, give it anything, so this is a multi-feed distillery. So we hope with our area, we should be able to deliver good margin, but let's wait it out. We just one

quarter away from giving you a decent idea. A lot of fixed costs will get covered there. So, it's a first experience for us also, so one quarter more.

Moderator: The next question is on the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: First of all I would like to know about the guidance of ethanol volumes for this year and next year I think last time we had spoken about 22 odd crore litre for FY23, so are we sticking to that guidance or there is some download revision to that and for FY24 as well.

Pramod Patwari: Yes, considering the cane, what we are expecting at this point in time, our ethanol volume to be the reason of 24 -25 crore litre for FY23 and around 35 crore litre in FY24.

Shailesh Kanani: So, if we are sticking to the guidance given earlier.

Pramod Patwari: Yes.

Shailesh Kanani:

Okay. So that would entail basically four quarter huge bump up in the ethanol volumes if I'm not wrong.

Vivek Saraogi: Absolutely. You are perfectly right.

Shailesh Kanani: Okay. So just a bookkeeping question. Can you just give a breakup of ethanol stock of 0.54 crore litre mentioned in the PPT between B and C.?

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Pramod Patwari: C is hardly there, 95% of that would be B.

Shailesh Kanani: So, I was asking on the refined sugar front when this facilities do come up and they are operational full season, per se, what quantum and what percentage of that would be to our overall facility. Like if we are producing 1 million ton of sugar, what percentage can that contribute refined of that can be refined sugar?

Pramod Patwari: Refined sugar would be in the region around 45% to 50%.

Vivek Saraogi: Are you asking exportable or domestic?

Shailesh Kanani: No, no exportable white sugar?

Pramod Patwari: Around 10%.

Shailesh Kanani: Okay. And sir, more question on the acreage front it was just mentioned that we have around 327,000 hectares under our area that is 8% jump is it correct?

Vivek Saraogi: Correct. 3.24. lac hectare

Shailesh Kanani: So, 3.24 lac hectare. And the total area in UP would be something in the range 27 lac hectare. Something in that range?

Pramod Patwari: Could be 26 lac hectare. I don't have the exact figure right now, but it is in that range.

Shailesh Kanani: So, our share would be, roughly 12%. And if we are assuming, or we are estimating 10.9 million tons of sugar production, so we should be easily doing 1 million really even I'm considering higher diversion, is that calculation fair enough to assume?

Pramod Patwari: Absolutely. Right. You are bang on target.

Vivek Saraogi: You don't need us. You've done all the calculation rather correctly. Good work.

Shailesh Kanani: One last question on the growth. FY24 onwards, we were talking about expanding on ethanol side. We have also highlighted in our annual report. You can throw more light on that post FY24.

Vivek Saraogi: So actually see everything is still, you know, we are sort of evaluating ideas, anything as and when it comes up will go to the Board and then to our share holders, we would appreciate that in the interim, there's not much update which we can furnish.

Pramod Patwari: While on the subject of the export, our idea this year is to export around 10% of our production. And as of now we have priced around 30% of that.

Shailesh Kanani: And that would be refined, 30% of the total export.

Pramod Patwari: Right. That would be refined. And realization is around Rs.38 per kg ex -factory.

Shailesh Kanani: And the extra cost for the refining is around Rs. 2-2.5 per kg. If I'm not wrong?

Vivek Saraogi: There is not any penny's cost. Except the capex. It's a capex item there is no revenue item there.

Moderator: The next question is when the line of Anupam Goswami from B&K Securities.

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Anupam Goswami: My question is on the export front. So you mentioned about the realization Rs. 38 per kg. So where do you see, are we on the lower trajectory of the price at this level? Or are we at the peak level on this Rs. 38 per kg?

Vivek Saraogi: No, I didn't get your question. I mean, this pricing for the balance would happen based on London prices, which have come off from when we priced our sugar. So it all depends on how London behaves.

Anupam Goswami: So, when we say that we have increased our new varieties also we have adopted and the weather pattern also looking stable where do we see the recovery? Are we going to see a recovery like a 2019-2020 sort of recovery year or because in this quarter, which is periodically a generally a high recovery quarter, we have seen

about 135, 140 basis points of lower recovery.

Vivek Saraogi: I'll explain. So last year the recovery on C-terms was 11.48. So,

we are definitely

for a 30-bps improvement there. Possibly it can go up or down, recovery is far more difficult to predict than availability of cane, but we are hoping that it should be that.

Understand one thing, in a year where cane is deluged with water or infested with diseases both will go down together, quantity and recovery. The moment there is a virtuous cycle, which is hit and the stock is strong. The millable cane is good. You will get both yield and recovery together. It is very difficult that one will be good and one will be bad. You understand this for every factory in India, this is the basic thumb rule law.

Anupam Goswami: And so now that we are also looking to export our refined sugar, do we overall increase our production? What used to be an earlier run rate for a year?

Vivek Saraogi: We have expanded Balrampur, and our crushing per day will improve.

Anupam Goswami: So, basically going forward, we'll look at more than a million tonne of annual production. Right?

Vivek Saraogi: Definitely. We don't want to tell you what we are targeting. I mean, the next year cane, we are hoping it goes to minimum 10% more. That's when our full asset across the board gets utilized wonderfully. Our all are the distillery plants, B-heavy conversions, Balrampur's crushing, Balrampur's juice, Maizapur juice. When you go to 12 crore quintal of cane crush, then it'll be asset utilized to the core. And we are hoping that 10.5-11.0 crore quintal cane crush this year also there'll be wonderful asset utilization.

Anupam Goswami: Okay. So my last question if I can, your FRP was in the FRP was hike recently, do we see a possibility in Ethanol prices high and especially in the cane juice, because that would really give impetus to reduce the sugar stock and go for more diversion.

Do we see that happening?

Vivek Saraogi: This FRP rise, and this is a personal view right now is better for UP, is good for UP, because as you correctly said, both the juice and B-heavy price would go up, which is linked to this FRP. And we are hoping, as Pramod said in the beginning that there would be no SAP rise.

Anupam Goswami: So, about the juice. Do we see Government giving more impetus for the juice?

Vivek Saraogi: Maybe in a year from now maybe, but this year it'll be a little better, but it's too early. The price would come by September beginning.

Pramod Patwari: Mid-September.

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Vivek Saraogi: The inclination of the Government is extremely positive. Their disposition is matching their pocket and their thinking. So it is merging with the clean, clean climate. It is merging with Prime Minister's Atmanirbhar concept. It is helping Miller pay cane price. It is reducing sugar stock, export of agri commodity, so this is rural energy cum export play. So you are helping the rupee dollar for the country, you are improving the climate, you are getting more and more energy, if I may say for security and you are helping the agri sector. So it seems very good.

Pramod Patwari: So there was a question on the total cane area in UP, we have checked and it is around 28.5 lakh hectares.

Moderator: The next question is on the line of Trilok Agarwal from Dymon Asia Capital.

Trilok Agarwal: Just two questions from a within distillery segment, do you think, you know, transfer price is going to sort of go up further next year, that initial comment will be helpful.

And second, just in continuation with the previous participant question on linkage to – sorry hike in ethanol prices linkage to FRP, typically this happens just before the season begins, is that understanding correct?

Pramod Patwari: So as far as the transfer pricing goes, currently, it is at INR 10,300 a tonne for B-heavy molasses. We review before the start of the season, there is a possibility that it may go up also.

Trilok Agarwal: And could you also comment on the ENA price

is now how much is increased over the last you know, three months?

Pramod Patwari: ENA prices remain fixed. We have a contract in place and it is fixed.

Vivek Saraogi: So that is the tax you have to pay the Government for that country liquor business. And every miller in UP has to pay, so it is okay.

Pramod Patwari: What was the second question?

Trilok Agarwal: Second question that the hike in ethanol prices typically happens in the month, September, October, that's the usual affair, right?

Vivek Saraogi: This year, maybe we will get it in September.

Trilok Agarwal: Sure. And so far there is no obvious linkage to, you know prices or in terms of cost

production, but it's just an understanding, right. From the industry as well as – what the pattern has been ?

Pramod Patwari: But if you read the notification in the preamble part, it is very clearly mentioned that what are the factors, which determines the ethanol prices.

Moderator: The next question is on the line of Riya Mehta from Aequitas Investments.

Riya Mehta : My first question would be for export, for basically its reading that we are in a surplus environment for export when it is concerned. So what are your thoughts? Why do you think that prices would shoot up in the export market? So basically in the export market, we are seen globally, there is a surplus of sugar with, you know, Brazil also coming back with its reading, and there is almost balanced amount of production everywhere else. So what makes you believe that the prices of export would increase, the global prices?

Pramod Patwari: See the international prices depends upon many factors, taxes and duties on ethanol, Brazilian currency value, overall availability of sugar in different part of the
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year. So there is a gap in terms of availability of Brazilian sugar for certain period of time. India has to fill up that gap.

Riya Mehta : Could you let me know more about the Brazilian crop.

Pramod Patwari: Our view is that it should be between 32 -33 million tonnes.

Riya Mehta : That is more than what we had expected. Right? Like we were expecting a deficit in Brazil but they did more than estimation.

Pramod Patwari: 1 million tonnes here and there doesn't matter. A year back, Brazil produce around 38.5 million tonnes .

Vivek Saraogi: So just to put what Pramod is saying, I just had my comment, even if we see the European Union, their pricing it's, I mean, their production is terrible. The dryness and the yield should be very bad. So yes, you are right. We don't see, if the world wants Indian sugar, which it does. It's not coming at this price. So, because nobody's going to export at this price. So , as you would've seen last year, the worst parts of, you know, up and down that will continue. However, our trajectory and our views is that it should remain positive. And even the current rupee -dollar equation is helping exports .

Riya Mehta : What kind of deficit do we see in international market?

Vivek Saraogi: It's very tough to predict it, like, you know, apple to apple basis. We are giving a basic feeling and a basic sense.

Riya Mehta : Okay. And a second question would relate to the cost to production. I understand that because this quarter we had lesser crushing, so apportionment of fixed cost would be higher, but going forward on an annual basis, what kind of cost of production are we looking at?

Pramod Patwari: So again, cost of production will be a function of cane availability, recovery, transfer pricing, but whatever assumptions we have, at this point in time, on the basis of prevailing conditions, we expect cost of production to be in the region of around Rs. 33 per kg .

Vivek Saraogi: It should come down Pramod. I mean, that's all we can say today. Can come down definitely over last year.

Riya Mehta : What about the monsoons currently? Like a few days back there was de

ficit of

monsoons in the UP area. So does that affect our crop or recovery to any extent?

Vivek Saraogi: No, rather we are happy with what has happened. East UP always gets more rain. We have got rain and we are getting, you know, sort of two inches, one inch per day types, very you know, evenly spread out with bouts of sunshine. So that's extremely good for photosynthesis and growth.

Riya Mehta : Okay. Fine. Just my last question would be we is 8% higher acreage for Balrampur, right.

Vivek Saraogi: The group.

Riya Mehta : Yes. Right. In acreage terms, 8% and production, could you give any guidance, cane production?

Vivek Saraogi: We just said, our hope is that our internal target not hope, is 10 .5 crore quintals . We were 8.88 crore quintal last year.

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Riya Mehta : This is the production increase we are expecting.

Vivek Saraogi: Yes. Cane production increase recovery is separate.

Riya Mehta : This is basically on account of all the debottlenecking activities we are doing. Right.

Vivek Saraogi: Yes. Because of the cane development efforts, with the ratoon management, the weather conditions overall, which we just whichever Avantika explained in the beginning.

Moderator: The next question is from the line of Nishant Sharma from Edelweiss Wealth Management.

Nishant Sharma: Two questions from my side. First on the distillery segment, sir, while I understand that the industry should be looked at on a yearly basis. But for past some years, we have been witnessing that the margins in the distillery segment have been coming down. And just from the picking from the comment from previous participants on transfer pricing of molasses is expected to increase further, can we expect, what kind of a sustainable margin is expected in the distillery segment on a yearly basis.

Pramod Patwari: So if you see Slide 28 of our presentation, which will reveal the transfer pricing as well as the profitability margin. So if the transfer price of molasses goes up or goes down, it directly impacts the profitability in the distillery division.

Nishant Sharma: So we can have any sustainable margins out there or the trajectory for molasses prices, because earlier there has been a sharp increase in the molasses prices and possibly that could be the precise reason for decline in distillery margins on a yearly basis. So is there a possibility to see any kind of a sustainable margins because that is the key growth driver for profitability going forward.

Pramod Patwari: So, see transfer prices are maintained at this level, which is INR 10,300 per tonne, the kind of margin we are having at this point in time can be predictable. Having said, the reason for varying the transfer pricing is, it depends upon the quantum of sugar, which we sacrifice under B-heavy. If we sacrifice more sugar, there needs to be corresponding credit given to the sugar division, in the form of higher transfer price of molasses. So that is the rationale for annual review or revisit of the transfer price of molasses.

Nishant Sharma: Okay. So then in that case as we progress and as we see more share of revenue coming from ethanol, we have to divert more sugar towards ethanol business. So this current margin of around 30% to 35% would be coming down also on a year-on-year basis.

Pramod Patwari: But how does it matter if we are giving a high value assignment in the distillery segment for the molasses prices, there is a corresponding credit in the sugar division. So at a company level, it will really not matter.

Nishant Sharma: Okay. So the company level EBITDA margin, which is around 14% on a yearly basis, unlikely to see jump towards a 17% or 18% over the next three years, as we see more revenue coming from Ethanol, is that a fair assumption that then what could be the blended level margin? So at a company level, if I have to ask?

Pramod Patwari: So normally we

don't give this kind of forward looking statement. In spite of that, we have given enough food for thought for you by giving the estimated cost of production for sugar, for the FY23, we have given guidance on the cane availability, as well as the recovery also.

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Vivek Saraogi: And the pricing.

Pramod Patwari: Sugar price trajectory as well. Ethanol prices, you can see an upward revision in the month of September as because we have seen the increase in the FRP price.

Vivek Saraogi: It's obvious, isn't it? With the cane availability increasing fixed cost will lower with the recovery increasing cost of production will go lower, with ethanol pricing increasing revenue will go higher. If sugar prices increase or remain firm, revenue is higher, the net result of all this will result in a EBITDA margin. You don't need to split it more it will become very tough.

Pramod Patwari: Okay, sir. Second question on the sugar side, basically I mean, if I may have to ask, why we have seen lower yield sugar cane yield vis-à-vis the similar players which are present in UP, so they got better recovery, a better yield in terms of sugar cane. And we got lower yield. If you can help me out in understanding this because we are in the same state and still the sugar cane yield is a little bit different for us and for them.

Vivek Saraogi: Yes. Okay. Good. Very good question. Balrampur, Tulsipur receive 90 inches of rainfall in two months, which was not present in the other areas. The drainage conditions are different. The amount of rainfall was different and therefore the yields were different, West UP were totally different trajectory in terms of drainage facility, etc. Entire Lakhimpur Kheri zone in Central U.P. was infested by red rot at the highest level, there are other units of other mill also. So that's the reason. There was no lack of effort or understanding of business, which led to this. It was conditions beyond our control.

Nishant Sharma: So, I wanted to understand this geographical difference only that this could be the major reason why?

Vivek Saraogi: It's a fallacy to assume UP is one state. UP's population is more than Europe's population and UP's conditions are like a country's condition. So east UP, Central,

west, they are very different conditions, so never expect UP to be one.

Moderator: The next question is on the line of the Tejas Sonawane from Dolat Capital.

Tejas Sonawane: Firstly, on the annual report, you mentioned that company could explore profitable options within the chemical universe, which could see a bigger sacrifice of sugar, could you throw us some light about what kind of opportunities are we talking about here?

Vivek Saraogi: So basically see one is exploring things. So there are many things which one is exploring. And as I had requested earlier, it is going to be difficult for me or for anyone to say anything until the exploration is complete, it goes to the Board first and then it can only be told to anyone. But we do continue to explore.

Tejas Sonawane: Okay. Secondly sir, with India achieving a 10% blending rate and now moving forward to a 12% target in next sugar season how do you see that timeline in terms of the OEMs rolling out E20 or E15 compatible cars? Because as I believe that right now the cars, current cars which are available in the market are E10 compatible, but as we move along with E15 E20 blending rate how do you see the rollout from the OEMs in terms of the timeline? If you can guide us in that.

Avantika Saraogi : So, there is a very serious exploration also going on about a flex fuel kit, which will enhance the ethanol blending capacity in you know, in existing vehicles. And this study is coming almost to an end. So hopefully, you know, that is for existing vehicles and the new vehicle, I think .

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Vivek Saraogi: So let me tell you, firstly, OMCs don't have an

anything to do with the cars that's the car manufacturers who have to deal with it. OMC will just blend, correct? Secondly, all flex vehicles , all the sort of car manufacturers. There are two types of compatibility. One is material compatibility of the car and the other is the engine compatibility. So all cars, I think all vehicles would get onto material compatibility by April next year. Everybody, I think so there is no problem in accepting 20% from next year onwards only. Meanwhile everybody's already equipped to take up to 15%, 12% to 15%, so there 's going to be no problem. And there's a lot of work going on in hybrid cars, flex fuel cars, like in Brazil, US, Europe, they make all cars are flex fuel cars, which means you can take up to E85. So on that trajectory, one need not be worried at all.

Tejas Sonawane: Okay. So, my understanding was since we are seeing an increased focus on electric vehicles by the OEMs. So , could we believe that the success of the E20 blending would depend on the OEMs coming out with the E20 compatible cars sooner? If there is any delay from the side of OEMs, could it see a lower demand from OMC? Is it that right, fair assumption?

Vivek Saraogi: No, there'll be no problem. You're already going to be 1st April onwards 20% materials compatible engines. If one looks at 2025 , you could actually, if industry is going to supply, maybe 26 percent , you can go up to 25 percent blending. On your question there is zero tension in the mind of that agenda. Negative tension.

Moderator: The next question is in the line of Rajesh Muj umdar from B&K Securities.

Rajesh Mujumdar: So I had a couple of questions. One is that NITI Aayog has given us a 50 -50 kind ratio of ethanol from molasses versus grain and out of the 700 crore liters allotted to molasses you already get 550 or something by the end of this fiscal or this sugar season. So is this ratio something which is going to change, especially given the facts that the pricing on juice can change the recent FR P and what is the tipping point of that pricing by which then we see greater diversion into juice. That was my first question.

Pramod Patwari: So Rajesh, when NITI Aayog came out with their roadmap two years back, thought at that point in time was that India's gross level sugar production would be the reason of around 34 million tonnes. So, on that basis, there was some expectation how the pipelines of distillation capacity comprising of traditional C and B and juice would be built up, right. If we continue to see this kind of sugar, which in our mind is very difficult, that continue to have 40 million tonnes of sugar on a sustainable basis, there is a possibility that we may see further increase in the distillation capacity. But as far as the current distilleries are concerned, which are in the pipeline of being constructed, it is expected that 7 million tonnes of sugar will get diverted by 2025 –2026.

Rajesh Mujumdar : This is based on 50 -50 ratio.

Pramod Patwari: It is more than 50 -50.

Rajesh Mujumdar : So, two third – one third kind.

Pramod Patwari: So, on this basis, out of 20% blending , maybe 11% will come from molasses route and 9% from grain, if at all grain capacity supplies fully.

Vivek Saraogi: Otherwise sugar could add to that.

Rajesh Mujumdar : Right. And what is the tipping point for juice price by which say, distillery like yours, one coming up will not be using grains, but rather be using a mixture of B-heavy and juice, which is the best combination for you?

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Vivek Saraogi: So, to get, B-heavy and to get Juice, you have to get cane, so whoever gets cane, will first do their job with cane. Now, if somebody wants to go in for juice or not, it will depend on how the pricing trajectory is done and how people have capital to allocate to distillations. Things being attractive there, it would move up. That's our assumption

, but just let it play out for a bit.

Rajesh Mujumdar : My second question is on return of capital policy, which we have been perusing over the years in terms of dividend payouts or buybacks, last year we had buybacks in the market. Will we see a similar kind of payouts in the company going forward, post the distillery expansion?

Pramod Patwari: So these are corporate announcement, which can be once....

Vivek Saraogi: Board deliberates when things play out.

Rajesh Mujumdar : As a policy, we roughly return about 4% yield kind of on our stock value in terms of either dividends or buyback over the years. So roughly there would be some kind of policy regarding the payout of capital money is that historically Balrampur has been known for this. So I'm just wondering if there's a similar policy, which would play out in the years to come?

Pramod Patwari: Rajesh our stated policy is already available on the website.

Moderator: The next question is from the line of Nimis Sheth from G T Advisory.

Nimis Sheth: Very disappointing first quarter results. But on the flip side, we are very, actually happy to hear the management's efforts and focus on cane management. And hopefully we will have much more availability and more stable supplier of cane in the current season and in the seasons to come. Two questions, one is on bagasse is extremely profitable right now. Is it because of the lower cane production in UP, or is there a structural change in the demand for bagasse, which is why we are seeing good pricing? And does it mean that in the coming year with the bouncing cane in up bagasse prices will come down? That's the first question. And the second question is actually on the new swing plant that we will be commissioning some, just a few specific questions. One is when is that going to be completed by the vendor and hand it over to Balrampur for commissioning. And the second question, this is a swing plant, so you can only use juice, or you can only use grain, correct. And can juice be stored beyond the season, so that it can be used in the off season? I believe there is a technology to do that.

Vivek Saraogi: Okay. So, Bagasse, there is a change in the pricing trajectory, if at all UP is going to sell, I mean, at least are we to it INR 500 a ton higher than last year. So maybe the plastic ban, maybe it's so many of these grain distilleries coming up demanding paper, upsurge in paper industry. So we are already in process. We like hoping for at least maybe above INR 500 a ton higher realization on the enhanced cane. It's Yes. First question. And one, has a feeling it's going to be a little more structural. Secondly, understand the distillation plant, grain and sugar cane can run together, right? As told earlier, we will be commissioning in October, sometime where we'll be running on grain, or maybe we didn't mention. In October, we should be able to start actually supplying ethanol from the grain route. And when sugar begins in November, we'll be supplying, as we start crushing cane, juice will go to make ethanol.

Nimis Sheth: So does this mean that when you start in October, the plant will be ready in by September, so that you can start in October? Is that fair?

Vivek Saraogi: Is there any other way for plant is not ready to start the plant?

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Nimis Sheth: No, that's what I'm saying. Correct. Okay.

Vivek Saraogi: Once we are supplying juice means everything is ready. If you're making sugar, can a factory not be ready.

Nimis Sheth: No, no. That's what, so that means in the September quarter, when the plant will be commissioned.

Vivek Saraogi: No, it is commissioning happens only when you supply in the balance sheet. Not when you physically make it, you have to physically take goods out.

Nimis Sheth : Okay. the interest and depreciation relating to the commissioning of the plant will hit us in Q3 basically onwards.

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Vivek Saraogi: Yes. That's correct. Yes. So, it'll come in that quarter, October quarter, including the production.

Moderator: Thank you . Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

Vivek Saraogi: Thank you very much. Pramod if you'd like to say anything.

Pramod Patwari: It has been a pleasure doing this call with all of you today. I hope we have been able to answer all your questions and if you have any further questions, we would be happy to be of assistance. We hope to have your valuable support on a continuous basis. As we move ahead. On behalf of the management, I will say thank you for taking the time to join us on this call. Thank you.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

Call: Nov 2022

14th November, 2022

National Stock Exchange of India Limited

Listing Department, Exchange Plaza,

5th Floor, Plot No. C/1, G Block,

Bandra Kurla Complex, Bandra (E)

Mumbai - 400051 BSE Limited

The Corporate Relationship Department

1st Floor, New Trading Wing,

Rotunda Building,

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Mumbai - 400001

Scrip Code: BALRAMCHIN Scrip Code: 500038

Dear Sir/ Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of earnings Conference Call

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),

Regulations, 2015, please find attached transcript of the Q2 & H1 FY23 Earnings Conference

Call held on 10th November, 2022.

The same is also uploaded on Company's website: www.chini.com

This is for your information and records.

Thanking you,

For Balrampur Chini Mills Limited

Manoj Agarwal

Company Secretary and Compliance Officer

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Balrampur Chini Mills Limited

Q2 & H1 FY23 Earnings Conference Call Transcript

November 10, 2022

Moderator: Ladies and gentlemen, good day and welcome to Balrampur Chini Mills Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you and over to you, sir.

Anoop Poojari: Thank you. Good afternoon, everyone, and thank you for joining us on Balrampur Chini Mills Q2 and H1 FY23 Results Conference Call. We have with us today, Mr. Vivek Saraogi, Chairman and Managing Director; Ms. Avantika Saraogi, Business Lead and Mr. Pramod Patwari, Chief Financial Officer of the Company. We will initiate the call with opening remarks from the management, following which we will have the forum open for a question -and-answer session.

Before we begin, I would like to point out that some statements made in today's call may be forward looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I would now like to invite Mr. Saraogi to make his opening remarks.

Vivek Saraogi: Good afternoon everyone and thank you for joining us on Balrampur's Q2 & H1 FY23 earnings conference call. I trust you've all had the opportunity to go through our results presentation providing details of our operational and financial performance. I'll initiate the call with an update on the current developments in the sugar sector, followed by our Company's key highlights for the period under review.

According to ISMA's latest estimates, India is expected to produce ~36.5 million tonnes of sugar for 2022 -23 season after accounting for a diversion of ~4.5 million tonnes. More visibility on this probably would be available after a month where mills will get into full swing and we will get the first evidence of the yield of the ratoon crop.

The increase is likely to be on account of higher acreage of sugarcane in the country . Given our consumption of ~28 million tonnes and inventory of ~6 million tonnes, we remain in a surplus situation. So, it is expected that we would need to export ~8 million tonnes this season to ensure stability in prices, while safeguarding the availability for sugar in the domestic market. Pragmatic export policies are being followed by the Government in the past, which have ensured sugar prices remain remunerative . So, in a welcome move, the Government has already allowed an export of 6 million tonnes and the industry is hopeful that this should get further extended as the season progresses and we have more clarity on the production. So, assuming the production is not ~36.5 million tonnes and it's ~35.5 million tonnes, the Government would probably tweak up the export from 6 million tonnes to 7 million tonnes.

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Moving to the Ethanol sector. As most of you are aware, the Government has increased the procurement price of Ethanol for the Ethanol Supply Year 2022-23. This should provide impetus to the country's plan to achieve 12% blending of ethanol with petrol this year. As the third largest importer of oil and consumer in the world, India is clearly making efforts to double the ethanol blending program to 20% from the current level of ~10% by 2025-26. Maybe it could happen a year earlier.

On the business front, the company reported subdued results during the quarter owing to lower cane availability and lower recovery witnessed during the season 2021-22. This impacted the sugar division's performance in this non-productive quarter. While, we witnessed some unseasonal rain fall in Uttar Pradesh, the impact is expected to be marginal as the crop already had attained a certain level of maturity. So, there will be some delay in starting of mills by five to seven days. However, cane availability for us in the current year is estimated to be 15% to 20% higher than last year, ~10.25 crore quintal to ~10.5 crore quintal, against from 8.88 crore quintal last year. We will get further better clarity on this within a month as I had indicated, both, at the Company level and at the country level. This estimated higher level of cane will enable us to deliver healthier operational and financial performance in the next year to not only make sugar , but also for the byproducts as well.

Coming to our Distillery business, our capex plan for the Distillery segment is on schedule and will significantly augment our capacity to 1050 KLPD by November - 2022, resulting in total ethanol distillation of capacity of ~35 crore liters annually, including 5 crore from grain. This includes our cutting-edge distillery project in Maizapur, which should be one of its kind in the country. This would work on juice, B-heavy , grains as and when whatever feedstock is provided.

To conclude, BCML has always aspired for optimal investments in its operations, as well as creating value for the shareholders. To that effect , we are pleased to share that the Board of Directors has approved the sixth consecutive buyback program of maximum of 40.40 lakh equity shares at a maximum price of INR360 per share.

I would now like to hand the floor over to Pramod to take the call forward from here.

Pramod Patwari: Thank you and good day everyone. We can straightaway move into the Q&A section, as the detailed presentation has already been shared. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session.

The first question is from the line of Lokesh Maru from Nippon India Mutual Fund.

Lokesh Maru: Sir, I have just one question. After Q4, it is quite evident that if we have 15%, 20% higher cane, the next season is going to be quite upbeat. My question is on the next quarter, which is Q3, given that the inventory valuation that we have taken for sugar at 35, inventory at 10.9 lakh quintals compared to 18 before and again our inventory on alcohol side, ethanol side, so how would you portray Q3? As in would the pain from Q1 or the loss from Q2 continue in Q3 and then Q4 is actually going to be really good or just for Q3, how do you see Q3 as such?

Pramod Patwari: Q4 will always be the best quarter in terms of the seasonality. Now, as far as the Q3 goes, we have mentioned in the presentation as well, we've got an export quota of

1.98 lakh tonnes. Out of that 1.4 lakh tonnes have already been contracted for physical export. And we have sold our quota of 56,000 tonnes. Some portion of same will accrue in Q3.

Vivek Saraogi: Yes. And the crushing begins in Q3, though, three, four days late. So that's not a big deal. So, I don't think we have to give a quarter -to-quarter forward -looking statement, but yes, quarter three will not look like this at all.

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Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: Sir, couple of questions. One on the sugar export front what we have contracted. We'll be shipping out in the third quarter or the fourth quarter, how will that pan out and what will be the bifurcation between raw sugar and refined sugar in that?

Pramod Patwari: Shailesh, we cannot get the exact quantity which will be shipped in the third quarter or fourth quarter, but our endeavor would be to ship as quickly as possible.

Vivek Saraogi: But shipment, some part would happen in third quarter.

Pramod Patwari: Yes. Some part will definitely happen in the third quarter also. So out of 1.4 lakh tonnes, 35,000 is the raw sugar and the rest is refined sugar.

Shailesh Kanani: Out of 1.4 lakh tonnes, 35,000 tonnes is raw sugar.

Pramod Patwari: Yes. And 1.05 lakh tonnes is refined sugar.

Vivek Saraogi: Right. So, it is 25% -75%.

Shailesh Kanani: Okay. But this should be shipped by the financial year end, that is March -2023, right?

Pramod Patwari: To a large extent.

Vivek Saraogi: ~ 90% types.

Shailesh Kanani: Okay. Fair enough. Sir, second on the Distillery front, we have seen a decline on volume front as well on ethanol business. So, can you shed some light on that and also is Maizapur plant operational? Are we planning to run for the next couple of months on grain, given the availability of molasses would be less and inventory is also less? So can you just highlight something on the Distillery front?

Vivek Saraogi: So, distillery gets its feedstock from sugarcane. Sugarcane is less. Molasses is less. Distillery volume will be less. Right?

Shailesh Kanani: Right, sir.

Vivek Saraogi: Yes. So, since sugar business will also begin, our dates are just around the corner and obviously, as and when the distillery starts, we will intimate the exchange. So, you will hear about that together. So, sugar season coinciding with commencing of distillery, probably a very little portion of time could be done on grain to just test out the plant and then you switch to sugar in Maizapur. Thereafter, once the season closes, you can go full on in grain. That is the basic program.

Shailesh Kanani: Okay. And just to get some numbers, Maizapur would be running for say 30, 40 days in this quarter, for the quarter three?

Vivek Saraogi: So, I repeat myself, as and when we commission Maizapur, we have to inform the exchange. So, it's unfair of me to sort of preempt that announcement.

Shailesh Kanani: Sure, sir. Couple of more questions. So, have crushing started in any of our plants as of now?

Vivek Saraogi: For one plant we have started today. We are beginning crushing today.

Shailesh Kanani: And anytime timeline for remaining plants?

Vivek Saraogi: So, progressively from let's say, 10, then 15, then 18, like that, plants will begin and probably everything should begin on 1st December.

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Shailesh Kanani: Okay. Fair enough. Sir, last question from my side. Sir, what would be the vision from the management side from growth perspective on the long term, not only from, say two years down the line when, when a new capacity is on stream? And in general, how would you vision Balrampur Chini to be say three years, five years down the line? What is the vision for the company from the management side?

Vivek Saraogi: So, we continue to explore related businesses and be in sort of deep rooted and light in terms of our balance sheet for any good opportunity of acquisition. Having said that, we will not only be waiting for acquisition, we would be looking at other projects, should they make commercial sense, and should the Board be convinced, management and the Board, you will hear about it, but right now it's on the drawing board stage. It's a little ahead. Everything is being evaluated internally.

Shailesh Kanani: Sir, so if can just extend that one. Actually, I was thinking more from de-risking our business model or the way we have kind of a little bit de-risked enhancing our capacity on the Distillery front. Are we thinking something on similar lines? Be it a little long-term, but are we thinking on a similar line from one segment, say sugar segment?

Vivek Saraogi: Currently, with 1,050 KLPD distillation, we will be able to handle 11.5 crore quintal to 12 crore quintal of cane which we hope to get next year itself. In the process, one would keep revisiting and seeing if there is scope for more distilleries, scope for more expansion and therefore, internal de-bottlenecking, if some can be expanded and your cane can go up further and some distillation needs to be added for them. So, today, the distillation business which you are asking for, we already have the distillation capacity in the current year to crush ~11.5 crore quintals against which were expecting ~10.5 crore quintals this year, which is 18% higher than last year's 8.88 crore quintals.

Moderator: The next question is from the line of Nishant Sharma from Edelweiss Wealth.

Nishant Sharma: Sir, two questions from previous participant's just to reconfirm. On the Distillery side, you said, whenever it will start, we'll first start with the grain, post which, as the sugar season starts, so we'll switch to sugar. And once the sugar season gets over, we'll again get back to grain. Am I correct on this, sir?

Vivek Saraogi: Absolutely correct.

Nishant Sharma: Then sir, how we would be switching? I mean, is there a time lag which would be required for switching from grain to sugar or it's absolutely in a day or two, how that transition takes place?

Vivek Saraogi: In a day.

Nishant Sharma: Okay. So, it's nothing major we will be losing because like for Q3, it's already 45 days are over. And so, I'm just trying to understand that we won't be losing out much in terms of the production days?

Vivek Saraogi: Absolutely not. Sugar juice will take predominance over anything else. Having said that, as you understood and your initial remarks in the call were absolutely correct.

Nishant Sharma: Okay. Second in terms of the exports. Again, little bit of clarification here, that out of 1.9 lakh tonnes the quota you have got. This is out of the entire quota or this is just for the time, I mean, we may get more allotment or quota going forward?

Vivek Saraogi: As and when this 6 million tonnes enhances on the country level, when 6 million goes up, we'll get more quota.

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Nishant Sharma: Okay. So, currently, if you can just once again elaborate what is the exact quota that

we have got out of the 60 lakh tonnes?

Pramod Patwari: 1.98 lakh tonnes.

Nishant Sharma: Ok. And of that 1.98 lakh tonnes, we have already contracted 1.4 lakh tonnes which we are planning to complete by March 2023 ?

Vivek Saraogi: Most of it by March.

Nishant Sharma: Okay. So, most of 1.98 lakh tonnes?

Vivek Saraogi: Yes.

Nishant Sharma: Second sir, in terms of the export policy with respect to swapping of quota, so here, this swapping is between mills to mills, or it will happen through Government, and how do you foresee this change from a sector per se, as well as from Company per se?

Vivek Saraogi: I don't understand the relevance of your question. If I may understand a little more what you're trying to ask.

Nishant Sharma: But again , so before asking question, possibly I may require that understanding that if I'm not wrong, in the recent sugar export policy, Government has stated that the mill owners who are unable to do exports or who are not interested in doing exports, so they can submit their quota of export either to Government or they can also swap it with the other company.

Vivek Saraogi: I have understood your question. Do

n't worry. He can sell his quota. So, there's no problem. Nothing will be impacted.

Nishant Sharma: So, I'm asking more from a perspective that I'm pretty sure that we can sell it. Is there an opportunity that we can have more export sales with that swapping or is there any particular pointers that where we would be thinking whether we should take excessive export or we should be more focused on the domestic side? So just wanting to understand that swap. What could be the factors that would be affecting that swapping? Or considering those swapping?

Pramod Patwari: As far as Balrampur Chini is concerned , we will continue to revisit our strategy on this exports and domestic, which is a fungible policy which the Government has put in place. And at relevant point in time, we will take the decision.

Moderator: The next question is from the line of Richard D'souza from SBI Mutual Fund.

Richard D'souza: So, I just wanted to ask, in the introductory remarks, it was mentioned that cane availability could be about 15% to 20% higher in the current sugar year. So, what gives us this confidence, sir?

Vivek Saraogi: Yes. Avantika, will you take that question.

Avantika Saraogi: Yes. Basically, even though this untimely October rain has scared people, as mentioned by the Chairman, it was quite late in the cycle when the crop had already attained certain maturity. If I may give you a bit more technicalities, at the time of the initial growth, that is the main timeframe, when the weather was very, very conducive. So, we were able to attain many more tillers , which increases the quantity right upfront . After this is just a matter of attaining height. So, it has impacted very marginally. We have been reviewing time and time again the yield is higher per acre. Also, our area under cane is 8% higher. So therefore, we are quite confident on the 15% to 20% increase in cane. I think it should not be a problem.

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Richard D'souza: Just to continue on this, madam, last year, we had some issues with the Co0238 seeds and we were planning to replace it with the new variety of seeds or with a different variety of seeds . So, how has the transition fructified?

Avantika Saraogi: So, thank you again for remembering. It's definitely on the up and up. Our planning,

our projections has been implemented, we are down by 15% 20% on Co0238 seeds. Slowly and steadily, it is reducing, plus we have gotten much more aware of the disease and how to control it and not bring it till our mill gate. So, that procedure has been airtight. Almost, I would say through these few months we have been at it. I think the recoveries will also be much better because of the better varietal balance also, plus within Co0238 seeds also, it will be cleaner. And there's lesser incidence of issues in terms of each plot. So, less spread, because we were able to control.

Vivek Saraogi: There is another evidence that there is a testing done before the start of season. That is called the handmill analysis. Even that shows recovery to be better. The trend will be much better than last year.

Richard D'souza: Okay. So, can we assume the recovery rate of what was there a couple of years back?

Vivek Saraogi: Yes, one can definitely hope for that.

Moderator: The next question is from the line of Achal Lohade from JM Financial.

Achal Lohade: Sir, if you could clarify on the lower sales volume for distillery in terms of the target what we had indicated, are we on track to achieve that FY23 distillery sales volume target?

Pramod Patwari: Yes, Achal. We are on track as far as FY23 is concerned.

Achal Lohade: Which is around 25.5 crore liter, if I recall that right, sir?

Pramod Patwari: Total alcohol supply will be around 23 crore liters to 24 crore liters.

Achal Lohade: That is for next year you are saying, right?

Pramod Patwari: FY23.

Vivek Saraogi: This

year cane availability was lower; hence distillery was low. If cane is lower, molasses is lower, distilling capacity will be lower, in the year gone by. In the year to come, Pramod will give you the figures.

Pramod Patwari: And for FY24, it should be around 35 crore liters.

Achal Lohade: If you could help us with the realization for the second quarter in terms of the ENA and also the quantity? And is there any inventory write down in the distillery segments pertaining to ENA?

Pramod Patwari: There is no inventory write down as far as ENA is concerned and if you want separately the figures for ENA, that I will share that at a later time. I don't have the figure as of now in front of me.

Vivek Saraogi: ENA is insignificant, as of now.

Achal Lohade: Okay. Because if I even look at the production number, excluding B-heavy and C-heavy the balance is substantially large number while in the sales volume, it is substantially lower number. If you could help us understand that in the second quarter?

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Vivek Saraogi: Pramod will answer it.

Pramod Patwari: Production during the second quarter of H1 was around 3.87 crore liters. Sales was around 4.11 crore liters.

Achal Lohade: No, sir. What I'm saying is X of B-heavy and C-heavy Ethanol, the production was 3.87 crore litres and the sales was 6.2 lac BL, if I have got the numbers right.

Pramod Patwari: No, 3.87 crore litres is the total production, including ethanol and non-ethanol and 4.11 crore litres was the total sales including ethanol and non-ethanol.

Achal Lohade: Okay. Got it. And if I may ask, what is the impact of this wage revision you have quantified for the total impact, but on a recurring basis what is the cost impact of wage revision?

Pramod Patwari: Maybe INR1 crore, INR1.5 crore annually.

Achal Lohade: So, that's it. Okay. And if you could also clarify on this molasses quota part, as to what is the quantum now and what is the impact of that in the September quarter with respect to that?

Pramod Patwari: So, as far as molasses policy revisit is concerned, normally, we don't sell molasses, but we are converting that into ENA for discharging the country liquor molasses obligation. So as and when the ENA sell out, the impact is already in the accounts.

Vivek Saraogi: And just to clarify, the current year molasses policy, which has come out, the Country Liquor Policy is a lot friendlier than the previous one.

Achal Lohade: Would it be possible to elaborate a bit on that, sir?

Vivek Saraogi: No. We are under reading. It will require more waiting, but it is seeming to be friendlier. That's all one can say now.

Achal Lohade: Got it. And with respect to the cane crushing, you said 10.5 million tonnes for the current season, sugar season 2023. Would it be possible to give some idea in terms of fiscal year, sir? How it will look like?

Vivek Saraogi: Okay. He's calculating. We do season wise for most.

Pramod Patwari: Maybe around 10 crore quintal in FY23.

Achal Lohade: Okay. 10 crore quintal in FY23.

Moderator: The next question is from the line of Nitin Awasthi from InCred Equity.

Nitin Awasthi: I would like to understand sir, what were the expectations of the revised rates of ethanol that you had? And how do you perceive the rates given by the Government as of now, you as the Company and you as the representative of the industry? How do you perceive these rates? Do you think it's fair? Do you think there's a revision required?

Vivek Saraogi: So, let's be clear as to what the thinking going around is. There was a special incentive given from June to November. So, that if you supplied more than your contract, if you supply during that period, you would get something higher in terms of INR1.6 per litre. So that was done to incentivise during those months. One cannot expect that to be a part of the rate.

Hence, the rate, which has been announced by the Government is a function of increase in FRP as a percentage. Two. I would be hopeful and this is just again, a very personal remark, absolutely personnel, as to

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the same incentive might come around during those months in the current year. So, if I'm to see repetition of protocol, if Government does not get its quantity, maybe that incentive comes in the next year. Thirdly, what Pramod has been saying is, even in the interview today, additional capacity now has to come from sacrifice of juice, rather than B-heavy, for which you need new capacity addition. For attracting new capacity and giving the new capacity a decent IRR, you need a price which is higher than this current price of INR 65.5 per litre. Yes, so these are specific remarks to your questions.

Nitin Awasthi: Got it, sir. The second question following relating to the first one is that, given that currently we have capacities in molasses, grain and juice, and you do the math better than anybody else, would you still go for the juice route in the current season or the molasses route is more profitable?

Vivek Saraogi: Juice.

Nitin Awasthi: Even in the current rate, juice is more profitable.

Vivek S araogi: Yes. That investment has already been set up, basis juice in one unit. So, we will go ahead and do juice.

Moderator: The next question is from the line of Anupam Goswami from B&K Securities.

Anupam Goswami: What is your aim on the distillery mix? Where do we see how much cane diversion happening towards A and how much B and what would be the rest of the grain liters in this? Let's say on FY24 basis 35 crore liters we are targeting.

Pramod Patwari: We will answer your question from the sugar season perspective. So, we would be diverting around 6% to 7%.

Vivek Saraogi: Maybe 7% up.

Pramod Patwari: Maybe 8% in juice, and 20% for ENA and the rest will go to B-heavy

Anupam Goswami: Okay. And the rest would be for grains. So, our endeavor mostly still lies on B-heavy more, and because of the higher margin till now, sir?

Vivek Saraogi: It's all a very related business. So, let us run the juice, it is being done for the first time. Let us see the return, we hope to get a good return. Once we establish everything, the juice capacity is limited. So, one will deal with all these mathematics, the moment we have stabilized and run it. So as someone said, we know our numbers well. Trust us with that.

Anupam Goswami: Okay. And sir, do you have on any chance of SAP again being high? Because last year, we had a hefty hike and this year what is the probability?

Vivek Saraogi: No, Hoping for no hike.

Anupam Goswami: Okay. And sir, last question. We are heading towards, let's say our 6 million tonnes next season diversion. So, where do we see 6 million tonnes and how much liters we can produce as an industry out of that? And going beyond, do you see any Government support required for going beyond that?

Vivek Saraogi: Let this season pass at 4.5 million tonnes. You are saying, next year 6 million tonnes. It is too early to comment today.

Moderator: The next question is from the line of Nikhil Gada from Abakkus Asset Management.

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Nikhil Gada: Sir, my first question is regarding the exports bit where you said that it's going to be in the ratio of 25% to 75%. Would it be possible to even share the realization, what we would be garnering over here?

Vivek Saraogi: So, yes, we are still in the process of writing it. Will get back to you. See, we are going to sell refined sugar as a major part of it. 75% refined sugar and 25% is raw which is at a very good realization. We will give you the figure shortly.

Nikhil Gada: Okay sir. Sir, my second question is just when you mentioned that for the distillery breakup, 8% juice, 20% ENA, that means basically C-heavy

y route, right?

Vivek Saraogi: Yes. That is the liability to be discharged as per the policy for country liquor. If you give molasses, you get a poor realization. You give ENA, you get a better realization.

Nikhil Gada: Understood. Got it. Lastly, any comments on the global prices and how do you see them, because in the last month or so we have seen a very sharp spike in sugar prices globally? And how do you see the situation with the expectations of Brazil and Thailand coming back to normalcy in terms of their production?

Vivek Saraogi: So, it is raining in Brazil and Thailand. So probably the crop might not be as good as one thought. And this price right now is very lucrative. It is gone up and it is a golden chance for Indian exports to be priced in. We feel more than 4 million must have

been priced in for exports .

Moderator: The next question is from the line of Dikshit Mittal from LIC Mutual Fund.

Dikshit Mittal: Sir, my question is on expected recovery this season. If you can give some guidance on that?

Vivek Saraogi: So, as we said in the beginning, as Avantika had mentioned, see understand, let me explain to you a little more about the cane crop. So, when the yield is good, the cane is healthier. So, when the cane, each stick is healthy, recovery, the sucrose inside it is higher. So, we are hoping for a better recovery based on the hand mill analysis and based on the weight of the mother shoot. So, that trend is higher definitely. In our area, we have done the mapping and once we start the crushing, we will get more and more data as we proceed.

Dikshit Mittal: Okay. So, can we expect at least 1% higher recovery or it is too much?

Vivek Saraogi: No. So, somebody commented that can we expect what we got two years back? So that was probably 0.3 or 0.4 higher than this. 0.3 higher than in the current year? My answer was yes. We can definitely expect that.

Moderator: The next question is a follow up from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: Sir, just a small little clarification. When we guided for INR23 crore alcohol sale, that is for FY23. Is that right?

Pramod Patwari: Yes.

Shailesh Kanani: So, that would imply a implied growth of around 65% to 70% in the second half of the year, which I think we are already, I think that is basically balance for four and a half months, right? So, is that achievable? 65% to 70% jump on volume terms?

Pramod Patwari: Yes. This will take full four months of working.

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Shailesh Kanani: Okay. Because the first half volumes around 9.3 crore litres alcohol sales. So, if you're guiding for '23, so basically, we'll be doing something in the range of 25 crore litres .

Pramod Patwari: Let's say 23 is the number we are working on.

Vivek Saraogi: Yes. So, when you make juice, you make a hell of a lot more quantity and the tender should be accepted and the dispatch should be much faster. I mean, probably, you know, this is the target if it's here or there by one month, that's the maximum error you can expect.

Shailesh Kanani: See, because the reason I asked is, because the operational months are only four, four and a half months. So, if we are off by one month that will be nearly 25%, right. So, it will be something in the range of ~11-12 crore litre in that case.

Vivek Saraogi: So, basically our production we know. We are hoping for that dispatch as per the tender filled in. Now if the Government body lifting by 10, 15 days, you are talking balance sheet impact and sensitivity thereof. I cannot guarantee that because I'm not the Government. I'm not the OMC. But seeing the past practice, it looks definitely possible.

Shailesh Kanani: Yes. That's what I wanted to know, possibility. 22 -23 crore litre is the possibility. So, that is basically a range. I just wanted to clarify on that.

Moderator: The next question

is a follow up from the line of Achal Lohade from JM Financial.

Achal Lohade: Sir, my question was pertaining to the cane development program, what you had mentioned is that, for the current season 10.5 million tonnes, for the next season 11.5 million tonnes to 12 million tonnes. So, the question is a, how much more scope

do we have given our catchment area? B, would that also require additional crushing capacity to be set up?

Avantika Saraogi: I will take your questions. So, in the east where eight of our factories are located, there is lot of scope for acreage increase. There's no shortage, really. And we don't need to set up more crushing capacity to handle up to 11.5 million tonnes.

Achal Lohade: Beyond that, madam? Is there any plan to set up? Is there a plan to increase the acreage further ahead?

Avantika Saraogi: We will revisit the topic.

Achal Lohade: Understood. The second question I had with respect to the exports for the industry. In the last season, of the total export 11.2 million tonnes, how much would be white sugar? And how much of it is raw sugar? Would there be any idea on that? And because why I'm asking because refined sugar, the current realization appears to be extremely lucrative. So just wondering, if most of the sugar exports will be of refined grade?

Pramod Patwari: Achal, I don't have the figures right now available in front of me, but what I recall out of 11.2 million tonnes, 4 lakh tonnes or 5 lakh tonnes was refined sugar. And we don't have the breakup of raw and white as of now.

Vivek Saraogi: So, our refined export which we have tied up, is little above INR 38 per kg and for raw above INR 34 per kg.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

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Pramod Patwari: Thank you very much. I hope we have been able to answer all your questions satisfactorily. Should you need any further clarification or would you like to know more about the Company, please feel free to contact us. I again, thank you for taking the time to join us on this call. Thank you.

Vivek Saraogi: Thank you, everybody.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

Call: Feb 2023

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BALRAMPUR CHINI MILLS LIMITED sn

16 February, 2023

National Stock Exchange of India Limited | BSE Limited
Listing Department, Exchange Plaza, 5th
Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E)
Mumbai- 400051 The Corporate Relationship Department
1st Floor, New Trading Wing,
Rotunda Building, Phiroze Jeejeebhoy
Towers Dalal Street, Fort,
Mumbai- 400001
Scrip Code: BALRAMCHIN Scrip Code: 500038

Dear Sir/ Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Sub: Transcript of earnings Conference Call

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements),
Regulations, 2015, please find attached the transcript of the Q3 & 9M FY23 Earnings
Conference Call held on 13th February, 2023.

The same is also uploaded on Company's website: www.chini.com

This is for your information and records.

Thanking you,

Yours faithfully,

For Balrampur Chini Mills Limited

.Manoj Agarwal

Company Secretary and Compliance Officer

FACTORIES : BALRAMPUR | BABHNAN | TULSIPUR | HAIDERGARH | AKBARPUR | MANKAPUR | RAUZAGAON |
KUMBHI | GULARIA | MAIZAPUR

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Balrampur Chini Mills Limited

Q3 & 9M FY23 Earnings Conference Call Transcript

February 13 , 2023

Moderator Ladies and gentlemen, good day, and welcome to Balrampur Chini Mills Limited
Earnings Conference Call. As a reminder, all participant lines will be in the listen -only
mode, and there will be an opportunity for you to ask questions after the presentation
concludes. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you,
and over to you, sir.

Anoop Poojari : Good afternoon, everyone, and thank you for joining us on Balrampur Chini Mills Q3
and 9M FY23 Results Conference Call.

We have with us, Mr. Vivek Saraogi – Chairman and Managing Director; Ms. Avantika
Saraogi – Business Lead; and Mr. Pramod Patwari – Chief Financial Officer of the
Company .

We will initiate the call with opening remarks from the management, following which
we have the forum open for a question -and-answer session.

Before we begin, I would like to point out that some statements made in today's call
may be forward -looking in nature, and a disclaimer to this effect has been included in
the results presentation shared with you earlier. I would now like to invite Mr. Sar aogi
to make his opening remarks.

Vivek Saraogi : Thank you, Anoop. Good morning to everyone. And thank you for joining us on
Balrampur's Q3 & 9 M FY23 earnings conference c all. I trust all of you had the

opportunity to go through our 'Results Presentation' providing details of our 'Operation and Financial Performance'. I will initiate the call with an update on the current developments in the sugar sector followed by our Company Highlights.

According to the latest estimates from ISMA, Indian production is not expected to be at around 34 million tons, which was earlier forecasted at 36 tons -36.5 million tons. This is primarily owing to a lower yield in Maharashtra, Karnataka and a little higher diversion owing to sugarcane juice and B-heavy being diverted towards ethanol production. Sugar production in Maharashtra is expected to decrease to 12 million from 13.7 million, UP is predicted to remain at 10.2, Karnataka is expected to decrease to 5.6 and others outside the top 3 major states is expected ~ 6 million tons to 6.2 million tons making for a total sugar production of 34 million tons. The government has already allowed an export of 6 million tons. And just to sort of set the balance sheet in order, opening stock was ~5.5 million tons, 34 million tons is our

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estimated sugar production, export 6 million tons, consumption between 27.5 million tons to 28 million tons. So, inventory at best could go up to 5.5 million tons to 6.0 million tons. So, we will probably end this season with an inventory, which is similar to the preceding season.

Moving on to the update on ethanol sector :

Most of you are aware, India has made remarkable progress in increasing the blend with the petrol ratio to 10%. Government has set a goal of 20% in 2025-2026. E20 fuel at 84 retail outlets have been launched and this is sure and certain move towards 20% blending. And you are aware of how much interest and attention the Hon'ble Prime Minister is giving to this program.

On the business front :

The Company's results for the quarter were impacted by lower sugar sales volume owing to lower quota. Untimely rains in east UP and some delays for our new projects based on late supply of machinery have caused a late start, but in our area, we do not have any diversion of cane. So, our initial crushing estimate is our current estimate also, maybe we are seeing yield which is marginally better than what we expected. So, we should be able to crush this season ~1,030 lakh quintals to 1,040 lakh and we are hoping for a better recovery and the trend is already showing on C-basis because that is the only barometer because we have B-heavy and juice diversion. So, our C-heavy expectation on recovery this year is hopefully better than last year.

Coming to our Distillery business :

I am pleased to announce that Maizapur and Balrampur units have successfully installed the state-of-the-art distillery facility. Maizapur is working on a full-fledged 100% syrup diversion. So, not even a single bag of sugar is going to be produced in Maizapur this year. Balrampur is working on a 2/3 sugar and 1/3 juice formula and everything has been done as per our expectation sugar capacity, modernization of Balrampur Bhabnan, Balrampur distillery. Maizapur distillery, Gularia expansion was done last year.

So, the sum total of this is Balrampur would have a 1,050 KLPD installed capacity, which will allow us to produce ~35 crore liters on an annual basis. This ethanol year we are targeting a production for the sugar season, including E NA ~30 crore liters. Next year with some enhancement of cane which we are very certain of, we would be able to produce ~35 crore liters. So, this would make Balrampur a major contributor and probably the largest supplier in terms of volume delivered to the OMC in the country.

In conclusion :

We remain committed towards maximum return from each stick of cane crushed which has helped us generate sustainable value for the shareholders.

As part of this commitment, I am happy to inform Board of Directors have declared an interim dividend of Rs. 2.5 per share of Rs. 1 each.

Further, we have initiated our 6th consecutive buyback which had commenced on 16th November. As of 10th February, the Company has bought back 4,55,723 equity shares.

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So, with this, I handover the mic to Pramod.

Pramod Patwari : Thank you, and good afternoon, everyone. I hope all of you had the opportunity to go through our detailed 'Results Presentation' that has been shared with you wherein all 'Financial Performance' including quantitative data have been given.

To ensure that we have a larger portion of time for Q&A, I would like to request the moderator to opening the forum. Thank you.

Moderator : Thank you very much, Sir. Ladies and gentlemen, we will now begin the question-and-answer session.

We take the first question from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani : Sir, till December, the recovery numbers are very good. Can you give some latest updates about the same, how has been the month of Jan and Feb till now on the recovery front?

Vivek Saraogi : At this point of time, we have cro

ssed last year's recovery. The trend is obviously positive, but impossible to give you figures beyond that.

Shailesh Kanani : Sir, second question was with respect to our crushing capacity. Given the availability of cane, if it's not a constraint, what is the upper limit of cane which can be practically crushed in a quarter? Can we crush say more than 600 lakh quintals because I think the last best what we had done is around 590 lakh quintals in 4Q FY20. So, given the debottlenecking we have done, so what is the current maximum we can do in a quarter?

Vivek Saraogi : So, while Pramod is calculating this, I am going to reply to you on season basis. Our ideal cane crush should be closer to 12 crore quintals, between 11.5 crore quintal to 12 crore quintals of cane. We are targeting about 10.3-10.4 crore quintals this year, another 1.5 crore quintals we can crush with this capacity.

Pramod Patwari : So, Shailesh, for the sugar season, 10.30 crore quintals is what we have stated. And for the FY23, looks like between 9.25 crore quintals to 9.5 crore quintal of cane.

Shailesh Kanani : Sir, just some data keeping questions. Out of the total ethanol contract we have entered into 26.75 crore, can you give the breakup of pending volumes under different routes?

Pramod Patwari : I think that is given in the presentation.

Shailesh Kanani : But that is pending volumes or there are the total volumes under the FY23. Assuming that we have done some shipment in the month of December.

Pramod Patwari : So, we had given the breakup of 26.7 crore litres in the presentation, 8.79 crore litres on account of juice, 5.37 crore litres is grain based, 0.25 crore litres is C-heavy, and rest is B-heavy.

Shailesh Kanani : So, that is henceforth 26.75 crore litres from Jan, mean from December nothing has gone.

Vivek Saraogi : This is from 1st December.

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Pramod Patwari : 1st December.

Shailesh Kanani : 1st December. So, that is the reason I wanted the breakup of that pending volumes if it's possible to share.

Vivek Saraogi : It does not make any sense.

Shailesh Kanani : I can take it offline, no problem. Sir, can you also give a split between domestic and export quantity and realizations for the quarter?

Pramod Patwari : Realizations we have stated in the presentation, export was around INR 37 per quintals plus at 6.5 lakh quintal was around export.

Shailesh Kanani : Sir, last question from my side. We are operating one of the biggest ethanol production operational facility in India, if I am not wrong. So, can you share if there is any headroom for further expansion on that front? Is there any scope for that?

Vivek Saraogi : So, good question. Depending on the availability of cane as I said, if we look to crop, we will align ourselves to this based on next year's availability and then take a decision. There is scope to expand greenfield juice project. There is scope for everything.

Moderator : The next question is from the line of Sanjay Manyal from ICICI Direct.

Sanjay Manyal : Just 1 question on the varietal front. Is it now clear to say that Co 0238 is a waning variety? And as we are changing our sugarcane variety in our catchment area, what could be the proportion of newer variety and what it would be next season? And is it safe to say that the recovery and the yield would be similar to Co 0238?

Vivek Saraogi : Avantika Could you take it forward

Avantika Saraogi : Good afternoon, everyone. Thank you for the question. About varietal balance, definitely, it's safe to say Co 0238 is a waning variety. And as we stand today, we are already in a very good varietal balance in ratoon as well as plant. We have 4-5 good varieties in the pipeline and any dependence on any single variety is completely reduced. So, anytime we see anything happening, we are free to switch within a year itself. Having said that, if it is going to be 4-5 varieties, we would not ideal

ly like to

take any one variety more than 30%, between 20% and 30% depending on the conditions of any particular factories. That's what I can say and even now this is under play.

Vivek Saraogi : So, Avantika, his question was twofold. I think he is looking for the recovery impact on the newer variety.

Avantika Saraogi : Definitely, 0238 has become a benchmark for us and we don't want to go below it in anyway. So, all the varieties that we are now constituting are good in terms of yield and recovery as compared to 0238.

Vivek Saraogi : So, if may just take this ahead, the newer varieties which are in play, my personal view the recovery is slightly better. And yield might be slightly lower. So, to get our cane, we are looking to do better at ratoon management and higher area under cane.

Avantika Saraogi : Sir, should I complete the thought on cane now?

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Vivek Saraogi : Yes, go ahead.

Avantika Saraogi : So, I just want to say that this crushing season, we have a 15% increase in cane availability. Next year, also, as my dad was mentioning, we will increase cane further by another 5% to 15% depending on weather condition. Last year, we did very, very good ratoon management practices, which is usually where east UP lags behind, and therefore, our yield and acreage of ratoon have increased this season. And the figures are absolutely coinciding with our plans and predictions. We have kept all insect pest diseases under control and we are always vigilant so that nothing gets a chance to increase in our area and give us any serious hit. Also, our tissue culture lab is running on full capacity and our healthy and pure seed distribution program has already begun from it. This will further help us maintain a good varietal balance and disease and insect free crops in the future.

Sanjay Manyal : Just a follow-up. You mentioned the recoveries are better than Co 0238 as of now. So, are you talking about the current status of recovery or the peak recovery we got in Co 0238?

Vivek Saraogi : I gave you a view on the current season that as of today we have crossed last year's recovery, as on 12th February let us say.

Avantika Saraogi : I think his question is Co 0238 at its peak versus other varieties at its peak, correct?

Sanjay Manyal : Correct, right.

Avantika Saraogi : So, we, like I said, whenever we do any testing, we are benchmarking with 0238's performance, which we've enjoyed for such a long period of time. So, it's like 0238 at its peak definitely.

Sanjay Manyal : And just I think last quarter, we mentioned that our distillery volume for the FY23 should be somewhere around 22 crore liters. Do we stand with that guidance or is there any change given the fact that late start of crushing?

Pramod Patwari : Your question is extremely right because of the late start, we are revising it. Now our expectation is between 20.5 crore litres to 21 crore litres for FY23.

Vivek Saraogi : Just let me put some more facts on the table, because this will lead to reasonable doubt on certain other inputs and certain other questions. So, we began let us say Balrampur distillery because of the late supply after 15th of December, sugar began after the 7th of December. Now, we were 20 days late at least. Maizapur began in about 4th December, 5th December, I mean, my dates might be off by 2, 3 days. So, these volumes had got shifted to next year, both the cane volume and the distillation volume. So, as we spoke, our crushing for the season remains unchanged, maybe 0.5%, 1% higher only. Our distillation volumes have been mentioned by Pramod, 30 crore litres plus slightly, between 30 -31 crore litres probably. So, these 2 figures remain sacrosanct. Balance what doesn't happen in March will happen in April.

Sanjay Manyal : Just one last on the sales of bagasse, if it is possible for you to mention what would be the bagasse sale in 9 months FY23 compared to last year and in

come tax rate for

FY23, FY24, and FY25? That's it from my side.

Pramod Patwari : We'll have to work out and we'll revert.

Vivek Saraogi : We'll revert. However, this year, bagasse are sold at a much higher price than last year.

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Sanjay Manyal : Right. I'll take that offline.

Moderator : The next question is from the line of Nikhil Gada Abakkus AMC.

Nikhil Gada : Sir, my first question on the crushing part itself and specifically for FY23, if we are doing 77,000 odd TCD per day, then this 9.25 to 9.5 crore quintal number that you've given, isn't it a bit lower from FY23 perspective?

Vivek Saraogi : As I told you, if we began our season late, your FY23 reduces. Now, if I had begun on 20th November and I had begun on let's say, 10th of January, that is the reason it is going to be lower this year. We have lesser number of crushing days in the current balance sheet in the period beginning November whatever to March end.

Nikhil Gada : And from that perspective, if we are saying that the yield or the crop yield will increase by another 3% to 5% in next sugar season, so that basically sort of helps us go back to the 11 crore sort of a number. Is that possible in the coming year or so?

Vivek Saraogi : Yes. I think we've already explained, 1030 plus would be our crushing expectation

this season . Avantika is going to get it 5% to 15% enhancement next year. So, let's say there is a 10% plus enhancement next year, next year we'll crush 11.5 crore quintals.

Nikhil Gada : Sir, secondly just on the ethanol front, for 3Q, I think in the presentation you've given the realization for C-heavy , B-heavy . Could you highlight the realization for sugar syrup, as in sugarcane juice and grain based for the quarter?

Pramod Patwari : Grain based is 55.5 and that one is 65.6.

Vivek Saraogi : So, let's just be very clear, there is no need to ask any Company in the country on these realizations, anything which goes from juice is 65.61, anything that goes from B-heavy , 60.73. There are 2 types of rice. One is the full rice, one is the broken rice. FCI, the full rice is 58.5 and the broken rice is 55.54 . So, this is the realization of these products, whatever you've tendered, whatever you supply, each products price has been told to you.

Nikhil Gada : And generally, as of now, for grain based, we're going to do it to FCI route, right?

Vivek Saraogi : Yes, largely

Nikhil Gada : And sir, just my last question specifically again, from the overall inventory perspective, and if I see the quarter numbers where the change in inventory is, I think, close to around 230 odd crore in this particular quarter, sir, if you can just break this up for us in terms of how much has been due to sugar and how much has been due to ethanol?

Pramod Patwari : This is already given in great detail in the presentation. We are holding around to 15.85 lakh quintals of sugar and around 49 lakh liters of alcohol.

Nikhil Gada : Sir, was there any major change from a quarter -on-quarter perspective in ethanol for this particular because I think we are going through juice route, so we might be storing more B-heavy molasses as of now and maybe using it.

Pramod Patwari : Whatever inventory we are holding, be it C-heavy , B-heavy , alcohol, sugar, all stated in the presentation.

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Pramod Patwari : Slide 27, you will find all the details.

Nikhil Gada : I will take this offline maybe.

Moderator : The next question is from the line of Anupam Goswami from BOB Capital Markets .

Anupam Goswami: Sir, my first question is on the cost of production that we have seen. As my understanding goes because we had a late start and a low volume, so that's why fixed costs absorption did not take place. So, this will I delay till April, and do we see a further extension of crushing days in April?

Vivek Saraogi : Yes, absolutely. So, we see a spillage and therefore a much larger crushing in the

FY24 balance sheet than we saw in FY23 the balance sheet in April and May.

Anupam Goswami: And if you look at season wise, so now what the cost of production is at 41 or so, that will go down when this whole volume also picks up, right? Am I correct on that?

Vivek Saraogi : 100%

Pramod Patwari : You may refer Slide 22. Last year also the cost of production was 4,100 at the end of 9-month period, which went down to 3,400.

Vivek Saraogi : Very good. So, Pramod and his team has taken great pain in making the presentation.

Anupam Goswami: Absolutely, sir. My next question on the strategy side, where do we see the mix of ethanol from all the sources and given that what sort of margin we'll be looking at in the distillation front?

Pramod Patwari : Margin will be a function of realization is being fixed by the government of India on an annual basis. And if you are comparing the distillery margin which we achieved few years back, that is not going to be the case because in those year, molasses was practically carried at zero value.

Vivek Saraogi : If I may add, Pramod, the entire business is to stay inside the Company . It is a sectoral allocation, correct?

Anupam Goswami: Right, sir. I'm talking about it excluding the transfer prices. If we exclude the transfer prices, given my understanding, a, sugar juice has a lower margin whereas grain is also slightly lower than the C-heavy also, so where do we see in the mix? Now that we are doing sugar juice as well as grain base, where do we see those margins compared to the last years or earlier years excluding the transfer prices?

Pramod Patwari : Anupam, we have said again and again that this business needs to be seen from the totality perspective, the kind of realization which we are getting in sugar or we might get in future will be a function of how much of sugar is getting diverted into ethanol .

Vivek Saraogi : But even at the same time, see, it's early days. It's a first in the country kind of a distillery when no sugar is made. So, though we are tracking the data very closely, I'm pretty certain that at the end of the season, the distilleries will throw up a pleasant surprise to what we thought. I'm not going to say that juice is going to be definitely lower than the B-heavy or grain is going to be lower. So, it's all work in progress and we will see how things go.

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Anupam Goswami: So, down the line, let's say, in 2 years, when we have industry diversion also much higher, so the vision is to have a higher sugar realization at like say 38, 39 sort of and that balance for the whole.

Vivek Saraogi : Yes. And if juice price Government actually is seriously interested in getting 20%, they will have to incentivize from next year onwards. Yes, so if that happens, more juice, more juice at a lucrative price means lesser sugar, means a better sugar balance, etc. So, we remain structurally and fundamentally positive as we proceed into the future, both on the macro perspective and our Balrampur micro perspective.

So, again, I'll just take the audience through the philosophy of our Company . Avantika had laid threadbare in front of you the kind of attention tissue culture lab, the kind of attention and the focus we are paying to cane, we have a centralized team which is out there and looking at all the 10 factories on a microscope basis. Our challenge is getting answered partly this year, and hopefully as we proceed, it should be very beneficial. So, if we are able to go up 15% this year, I don't think any Company and this is my guess till now, any Company will increase that much. As we proceed, if we keep getting our cane which we are more certain we will, you will see how the business will flourish, both in terms of volume in distillation as well as sugar, and we'll also be able to achieve economies of scale, fixed cost will get reduced. So, we feel very positive that whatever ethanol one makes will get

picked up at good

prices. As we proceed, prices keep getting lucrative, that also is a tailwind towards sugar and sugar price with this bone, I would call this inventory bone thin inventory, with this bone thin inventory of 5.5, I feel that our price realization from now up to October should also gradually trend upwards.

Anupam Goswami: Sir, my last question is what is the price realization right now in Feb -Jan quarter?

Vivek Saraogi : 35.5 ballpark currently.

Moderator : The next question is from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar : I just have two questions. One is the Gularia expansion. Sir, when will it be ready for us in term of the sugar season?

Vivek Saraogi : Gularia expansion got commissioned last year.

Rajesh Majumdar : Sorry, Kumbhi, the one you recently announced.

Vivek Saraogi : Yes, obviously. This will be ready and up next season, November 23, next season.

Rajesh Majumdar : Sir, 2023, 2024, it will be fully operational. Is that correct?

Vivek Saraogi : Yes

Rajesh Majumdar : And sir, my second question is more of a strategic kind of question, how long do you see the fixed pricing on ethanol to continue? Because beyond 20% blending, there's still not much visibility in terms of flex fuel vehicles and so on. So, will this fixed pricing scenario for ethanol continue till eternity or there is something which can happen in between and what is the kind of game plan as a Company we have in order to counter that?

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Vivek Saraogi : So, I would just begin by saying even life cannot continue in eternity. So, having said that, basically, let's understand the dynamics. Today, in this year, I think we'll struggle to go to 12% blending for the year . As we proceed to take this blend upwards, you need juice diversion for which you need not only fixed pricing, but enhanced level of the current fixed pricing, I would call it incentivized pricing. So, to take you to 20 is going to be a task. To get to 20 is very tough, it's not easy, trust me, you'll need a lot more capacity in place. That's first. So, to answer your first question, when government achieves 20, will it dump you? So, first of all, achieving 20 is for 3, 4 years away to my mind. Then when you achieve 20 and you have to be at 20 is not easy again. There's one year suppose there's a doubt something again a challenge.

Thirdly, I am very clear that the government is on this move for improving flex fuel vehicles, there is incentive, there is a PLI scheme, there's a lot of work going on with auto manufacturers, there will be hybrid vehicles, there will be flex fuel vehicles. Cooking gas. There is going to be multiple usage government is thinking off. So, I would feel that this formula is here to live. See, it's also important for this to lay because Government of India earlier used to give export subsidy. Now, if your production comes under control, that money does not leave the government hands. So, this pricing is to ensure even cane price payment. So, that also being the mandate of any represented government cannot go off the table. So, farmer is a very important part of not only our real economy, but of the political capital of the country. So, that again, won't go off the table. Three, this is paid for by the consumer and today seeing crude and exchange prices, it is not a negative item for the OMCs. Four, it is improving the carbon footprint, our Hon'ble Prime Minister has given the details of the number of carbon credits or carbon footprint savings we have achieved owing to this. So, it is foreign exchange positive. So, with all these 5 factors in play, I don't believe that, your

anxiety is my anxiety.

Rajesh Majumdar : Right, sir. If I am permitted just one more question. If at all, you take a decision to expand ethanol capacity further, would it be concomitant upon increasing the juice pricing or we will do it nevertheless?

Vivek Saraogi

: Economics is the reason why you would do business. So, we'll wait and watch.

Moderator : The next question is from the line of Nishant Sharma from the Nuvama Wealth Research.

Nishant Sharma : So, just wanted to have a breakup of sugar sales for this quarter out of 20.26 lakh quintal to exports and domestic breakup?

Pramod Patwari : We have given that, 6.5 is the export, balance is domestic.

Nishant Sharma : And out of our total export quota, what is left which is yet to be delivered.

Pramod Patwari : So, out of 1.98 lakh tons of export quota, we have contracted for physical export of 1.4 lakh tons. Out of that, 65,000 tons already delivered within December and the balance maybe within March. And for the balance 58,000 tons of quota, we have exchanged with domestic release.

Nishant Sharma : What's your view on the UP state advised price? Is there likely increase in that? And when is this likely to be announced?

Vivek Saraogi : Your guess is as good as mine. Having said that, it should have been announced, it's not yet announced. Our view is it should not increase, but that's a very personal view.

The decision should come within February I hope.

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Moderator : The next question is from the line of Achal Lohade from JM financial.

Achal Lohade : Sorry if I am repeating the question. You talked about exports. Is it 65 or 55, 65,000, right?

Pramod Patwari : 65.

Achal Lohade : 65. And if you could help us with the realization as well, sir?

Pramod Patwari : Achal, we had said that export is 37 plus.

Achal Lohade : 37 plus. Got it. This is very helpful. And second, can you help us understand the cane mix in terms of the varietal mix. Is it possible to get some more color as to how it is currently for sugar season 23? And in couple of years' time, how do you look at the mix in terms of different varieties as we speak whatever best case we can have?

Vivek Saraogi : So, Avantiak did give a broad heads up. It's not possible to give you this data right now. We'll have to wait for another year. But trust the hard work going on and believe in it.

Achal Lohade : Absolutely, sir. And sir, in a passing remark you mentioned about cooking gas. Is it anything to do with the ethanol or it's basically the biogas you're talking about.

Pramod Patwari : Ethanol can be used for the cooking purpose also.

Vivek Saraogi : I was telling the government mandate, the level of the government's desire to sort of keep taking ethanol and keep building this if I may say fuel as a very serious player in the total fuel mix. There's experiment for mixing with diesel also going on. So, there is a lot of sort of consumption weight in as we see the future.

Avantika Saraogi : To add to that, there is also a DG set being powered by ethanol, big research happening. Kirloskar, I think, is already making DG sets for ethanol driven and as much as possibly as carbon can be replaced by biocarbon, I think that is the way that the government is thinking.

Vivek Saraogi : Absolutely correct.

Achal Lohade : Any ballpark number with respect to this cooking gas, because it's something new I presume.

Vivek Saraogi : So, if I may, first you have to get to 20% there. So, we are talking of possible consumption points for consumption, new consumption areas. So, one must be fulfilled to go to the other I guess, but government is seriously contemplating.

Achal Lohade : And just a last comment with respect to the E20, I know the government is pursuing very hard, but what about the existing fleet? Can they really fill up to E20 or as you said, 12% vehicles is a challenge this year?

Vivek Saraogi : Are you talking about existing vehicles?

Achal Lohade : Yes.

Vivek Saraogi : I think, 1st April 2023, all vehicles should be compatible to 20%.

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Achal Lohade : So, what I wanted to check about this E20, in terms of the existing vehicles, you're saying that the mandate is to have all

the existing vehicles ready for E20. Have I heard it right, sir?

Vivek Saraogi : From 1st April '23. Not 2-wheelers. Only 4-wheelers. Yes, 2-wheelers might be slightly lower, but for 4-wheelers, 20%.

Achal Lohade : And that preparation is on according to you in full scale, right?

Vivek Saraogi : Yes.

Achal Lohade : Because we haven't heard as much about it, okay. And with respect to the cane price, if you can give us some sense, have you seen this kind of a delay in the past? Or this is the first time you've seen cane price being announced in the month of February for UP?

Vivek Saraogi : It is rather late. I don't remember having seen cane price this delayed. Yes, 1 year it was delayed.

Pramod Patwari : Yes, there was 1 year when cane price was declared in February.

Vivek Saraogi : But how is that of relevance? You want to see that cane price, not the date?

Achal Lohade : I'm just trying to get some sense. Just last question, if I may, with respect to as we speak, what is the increase in the cane crushing volume? I know you've already given the guidance, but just wanted to understand the number till yesterday, how's the cane crushing volume in terms YoY and the recovery date on a YoY basis? If any number you could share.

Pramod Patwari : No, we would not like to share the number till yesterday. For the quarter ended, we have already shared. We have already shared our vision, our expectation for FY23 as well as for the complete season.

Vivek Saraogi : And we've given you recovery trend. We've told we started late. There is no point getting into daily figures.

Moderator : The next question is from the line of Chandramouli, an individual investor.

Chandramouli : What are the ethanol sales till now, I mean in the last 9 months? You talked about financial expectations of about 21 crore, you have reduced it from previous '23. But what is that you've done till in the last 9 months?

Pramod Patwari : 9 months, we have supplied around 12 crore liters.

Moderator : The next question is a follow up from line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani : Sir, just wanted to know your thoughts on the budget announcement on CPG side. There were some incentives which the government has announced. Now I understand we have entered into a contract for our press mud. But are there any plans anything on the drawing board with respect to the changing opportunities on that front?

Vivek Saraogi : To be very honest, we've not seen very great opportunity. We are not looking at that side so much.

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Moderator : The next question is from the line of Sandip Sabharwal , an individual investor.

Sandip Sabharwal : My question is that companies like Praj have also talked of possible blending of ethanol with diesel using some agents, etc. So, have you heard of that and anything going on , on that front?

Vivek Saraogi : So, it's called a binder. So, Praj and other, they are on I would say, maybe it's very close to completion.

Sandip Sabharwal : Sir, it will become a much bigger market, sir, that could open up much more opportunity.

Vivek Saraogi : Diesel is huge. So, I'm saying even if there is 2% in diesel, you don't have the capacity. So, I therefore don't worry on the consumption point. I'm not worried on the quantum one produces and there's no doubt that whatever we produce will be lifted at attractive prices.

Moderator : Ladies and gentleman, that was the last question. I now hand the floor back to the management for closing comments. Over to you, sir.

Vivek Saraogi : Thank you, everyone.

Pramod Patwari : Thank you very much. We hope that we have been able to answer all your questions satisfactorily. Should you need any further clarifications or would like to know more about our Company , please feel free to contact us. I once again thank you for taking the time to join us on this call. Thank you.

This is a transcription and may contain tra

nscription errors. The transcript has been edited for clarity. The

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Call: May 2023

17th May , 2023

National Stock Exchange of India Limited
Listing Department , Exchange Plaza, 5th
Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E)
Mumbai- 400051 BSE Limited

The Corporate Relationship Department 1st Floor, New Trading Wing,
Rotunda Building, Phiroze Jeejeebhoy Towers Dalal Street, Fort,
Mumbai - 400001

Symbol : BALRAMCHIN Scrip Code: 500038

Dear Sir/ Madam, Ref : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Sub: Transcript of Earnings Conference call

In terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations , 2015, please find attached the transcript of the Q4 & FY23 Earnings Conference Call held on 12

th of May , 2023 .

The same is also uploaded on Company's website: www.chini.com

This is for your information and records.

Thanking you,

Yours faithfully, For Balrampur Chini Mills Limited

Manoj Agarwal

Company Secretary and Compliance Officer

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Balrampur Chini Mills Limited

Q4 & FY23 Earnings Conference Call Transcript

May 12, 2023

Moderator Ladies and gentlemen, good day, and welcome to Balrampur Chini Mills Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.

I now hand the conference over to M s. Jenny Rose from CDR India.

Jenny Rose : Good afternoon, everyone, and thank you for joining us on Balrampur Chini Mills Q 4 & FY23 Results Conference Call.

We have with us, Mr. Vivek Saraogi – Chairman and Managing Director; Ms. Avantika Saraogi – Business Lead; and Mr. Pramod Patwari – Chief Financial Officer of the Company .

We will initiate the call with opening remarks from the Management , following which we have the forum open for a question -and-answer session.

Before we begin, I would like to point out that some statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included in the Results Presentation shared with you earlier.

I would now like to invite Mr. Saraogi to make his opening remarks.

Vivek Saraogi : Good morning to everyone and thank you for joining us on the Q4 & FY23 Call of our Earnings.

I trust all of you had the opportunity to go through our results presentation providing details of our operation and financial performance . I will initiate the call with an update on the current developments in the sugar sector followed by our Company 's key highlights for the period under review.

ISMA has lowered its projections for overall production for the 2022-23 season from 34 million tonnes to 32.8 million tonnes . This factors in about a 4 million tonnes diversion from sugar to ethanol . The crushing season in Maharashtra concluded with a production of about 10.5 million tonnes . This was against 12.1 million tonnes , which was projected earlier, primarily due to lower yields. In contrast, UP production was about 10.5 million tonnes to 10.6 million tonnes , Karnataka is estimated at 5.7 million tonnes as compared to 6.2 million tonnes . So in a nutshell, UP has gone up about 3% to 4% and the rest have come down.

Furthermore, sugar mills have almost completed the export quota of 6 million and I believe it's being shipped out from not only from the mills, but also majorly out of the ports, so it's basically evacuated and given the drop in production, the Government is focused on ensuring adequate domestic supply, obviously based on the production, consumption, and export numbers, we will have a closing stock about 6

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million tonnes and hence there is no probability of any further export. This also means that there is a very fine balance of demand and supply, which is positive for domestic pricing. It should keep domestic pricing firm.

On the ethanol front, India is making progress in blending ethanol with petrol towards the target of achieving 20% blending. Ethanol supply to OMC has risen to 434 crore BL in 2021-22. To meet the 20% target, the Government is promoting production of ethanol from maize crops as well, but that seems to be a little far off. The target is to reach 12% blending in 2020-23, which is the current season, 15% in 2023-24 and going up to 20% thereafter. 20% would require a capacity of 1700 crore liters. The auto industry is adapting fuel flexible vehicles and E20 ethanol pumps have been launched in more than 100 outlets also. Also, the auto companies have started reengineering or enable the engines to adopt E20 from 1st April. Ethanol production has also benefited the sugar industry and the farmers.

On the business front, the Company concluded the year on a positive note on account of the steady contribution from the sugar and distillery segment. Despite a moderate performance in the 9 preceding months due to lower crushing volume in the previous season, the Company witnessed an improvement in Q4-FY23, primarily owing to enhanced ethanol capacity utilization.

During the quarter, cane crushing was higher due to increased cane area and improved yield at the farm level. So, if I can brief, we have crushed 10.3 crore quintals of cane this season against 8.88 crore quintals in previous season and that is an increase of about 15% over last year. Our recovery was approximately 11.48% on a blended level of C-Heavy in previous season, and this year we would be about 11.62%. So that is an improvement of about 15 bps with an increase in percentage of 15%, so both have gone up. As you have heard the last 2 years were ruined because of excess rain in very short periods of crushing.

Coming to distillery business, capacities are now being optimally used. We are confident in our ability to reach the target of 34-35 crore liters of alcohol production. Additionally, the Company has embarked on a project to increase cane crushing at its Kumbhi unit from 8000 to 10,000 TCD which will be financed through internal accruals and which would be commissioned prior to cane crushing in the next season. The Company has allocated more than Rs. 1100 crore towards CAPEX in FY23, out of which Rs. 466 crore has been raised through debt financing while remaining funds have been sourced through internal accruals. These strategic investments will enable us to drive growth in future.

In conclusion, the Company is dedicated to generating value for all the stakeholders through prudent investment and capital allocation strategies. Keeping this in mind, an interim dividend of Rs. 2.5 per share was paid during the year. Additionally, we commenced our 6th consecutive buyback of equity shares on 16th November and we have bought back a total of 22.9 lakh shares. The buyback is open till 15th May, but it's beyond the permitted price.

This brings me to the end of our discussion. I would request Avantika to provide you with an update on the progress on the cane front.

Avantika Saraogi: Good afternoon and thank you everyone for joining the call.

I would like to give you a short overview of the cane activities. Our cane plantation is almost complete for the year. The total area under cane has again increased by an additional 7-9% for the upcoming season. This shows a further hike in cane availability in the season to come. Area of disease ridden and degenerating Co 0238 is reducing drastically every year. We stood at around 75% crushed just 2 years ago

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and the year gone by, we have already come down to 46% crush

and by the next

year we will drop to only a 27% crush of cane variety Co 0238. This will not only improve the recovery to the tune of its reduction, but also the incidence of disease will reduce due to the sparseness of it, and it will also make it easier to identify and salvage the disease brought thereafter. The area of 0238, which has been reduced has been taken over by higher recovery varieties like Co 0118, which we had only around 4% to 5% of 2 years ago, and this year we have crushed approximately 20% of it and it will increase by a further 13% for the upcoming season, putting us at a

total of 33%. This variety has proven its superior recovery and good yield in the factories, which have crushed a higher percentage of it this year.

Other than this new and higher recovery varieties which we crushed a negligible amount of this year have also increased to the tune of 8% crushed for next season. Therefore, in a nutshell, we are again set up for an even higher crush and even higher recovery in the upcoming season.

Further, we have seen a climatic disruption and we have worked very, very hard or mitigating any sort of climate risk be at high temperatures, drought, flood, heavy winds, etc. We have worked and will continue to work on climate smart agriculture to shield ourselves from any drastic changes, which can occur for cane quantity and quality year-on-year.

Another sphere which has really picked up is ratoon management, credit to our cane staff, but now our farmers have really adopted this idea of working on ratoon crops, which was never a practice in East UP. This will also help total crushing and recovery. We have also made cane payments on a consistent 8-10 days post-supply basis even before it becomes statutorily due at 14 days according to the Government norms. This has created immense goodwill at the farmer level and it helps us motivate them to plant good varieties and do all necessary agri practices in order to keep the crop flush and healthy.

Lastly, programs like 'Tissue Culture' and 'Seed Nursery' are on and going well. This will ensure long term healthy cane supply.

That's it on the cane front. Thanks a lot.

Vivek Saraogi: So basically, that was a rundown on the cane front and now request Pramod for some remarks and then we can go ahead.

Pramod Patwari: Thank you and good afternoon everyone. I hope all of you had the opportunity to go through the presentation that has been shared wherein all the financial and quantitative data have been given.

To ensure that we have a larger portion of time for the Q&A session, I would request the moderator to open the call. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin the question-and-answer session. We take the first question from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: Congratulations on a good set of numbers. I had a question on the ethanol supply program of the government. If we look at it, are talking about 600 crore liters this ethanol year 2022-23 of which you said about 518 crore tenders have already been finalized. Now, why is the offtake so poor till 23rd April only 220 crore liters have been delivered I wanted the answer to that. And secondly, even if you look at our own ethanol sales for the quarter, they are about 2 crore short of the of the production, Page 4 of 10

which has never happened before. So, is there any worry on that that our ethanol sales though we are targeting 34 crore to 35 crore may actually be far shorter because of the lower crop this year.

Pramod Patwari: All marketing companies came out with 600 crore litre of ethanol requirement for the 2022-23 ethanol year. Subsequently, there was a revision in the cycle. They reduced the period from 12 months to 11 months. So, on that basis, on 12% blending the consumption requirement would be around 500 crore

liter for 11 months and they

are trying to build up a storage for around 50-60 crore liter so against 550-560 crore litre, I believe 518 has already been contracted this is the position as of now. As far as Balrampur Chini Mills is concerned, there was some delay in the start as well as stabilization of distilleries as a result of which production was on the lower side. But if you see the inventory number of alcohol as of 31st March, we are holding 2.27 crore liters against last year's number of around 60 lakh liters. So, some dispatches happened in the last week of March and as you must be knowing that revenues are accounted for only on delivered cost basis, so ethanol was in transit, of around 50 lakh liters.

Vivek Saraogi: So you're saying effective stock is 1.5 crore litre.

Pramod Patwari: In addition to that there was slow movement also.

Vivek Saraogi: So just to add to what Pramod said, oil marketing companies need a steady stream of supply for the year. So, some stocking will happen at our end, marginally higher than last year. So that in the weak months of July, August, September when most people don't produce, we will produce, there will be adequate availability of ethanol then in the last quarter where people usually fail.

Rajesh Majumdar: And out of this 513 crore litre, it's possible to know our market share in the tender. Our tender quantity from 513 crore litre?

Pramod Patwari: Our tender quantity is 26.74 crore liter.

Rajesh Majumdar: And this we hope to complete by ethanol year 2022-23?

Vivek Saraogi: Before November.

Moderator: The next question is from the line of Pratik Tholiya from Systemati x.

Pratik Tholiya Just a quick clarification. In the 4th Quarter , we sold 4.3 crore liters of ethanol from syrup and grain route . Can you split this between how much is the syrup and how much is grain or it was 100% syrup ?

Pramod Patwari: 100% syrup .

Pratik Tholiya Have we exported any sugar in the 4th Quarter or we have sold our entire sugar export quota to Maharashtra ?

Pramod Patwari: Yes, out of 1.98 lakh tonnes of quota allocated to us, 1.4 lakh tonnes was met through physical exports and the balance was swapped against the domestic release.

Pratik Tholiya Right, so there's no physical export sale in 4th Quarter for us.

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Pramod Patwari: There is physical sale of export in the 4th Quarter . So, by the 31st of March, we have completed the entire 1.4 lakh tonnes.

Pratik Tholiya And the and the quantity that you got against the swapping of quota that has not yet been allocated to us that will come from May onwards.

Pramod Patwari: No, that has already been allocated , that started from November. So , it will run from November to maybe I don't recall the exact month maybe May, June, July.

Pratik Tholiya If I see your YoY sales , your domestic quota has been largely flat.

Pramod Patwari: Yes, you are right. Particularly in the month of March, the demand as well as the prices were subdued.

Pratik Tholiya And just lastly a broader question because we are expanding our crushing capacity also from 8 ,000 TCD to 10 ,000 TCD in one of the plants and there are other industry players also who seem to be expanding capacity. But just maybe 3 -year horizon, how do you see the availability of raw material, of course , Madam just pointed out that you are doing a lot of work in terms of increasing the yields and all. But with overall industry also expanding and then there are also this weather -related challenges we've always been facing, whether it is weak monsoon or excess monsoon or drought , etc. Do you think the raw material availability with this expanded capacity, not just for us for the industry as a whole , will it be steady state supply or there could be challenges going forward in terms of availability of cane may be 3 years to 4 years down the line.

Avantika Saraogi

i: We don't see a challenge in cane availability . To the tune of the capacity that we are creating, we will always in my mind receive cane without an issue.

Vivek Saraogi: Let me bifurcate your concerns into two-three parts : You're talking of others expanding, so cane availability in our geographic area is privy to the expansion done in our area. So , nobody in our area is expanding . You spoke of El Nino so in East Up especially and I'm just sticking my neck a bit on this one, but don't hold me to it , a little lower rainfall is beneficial for us. And if the latter part of the year doesn't have rainfall we will be delighted if September onwards we don't get rain. So , El Nino doesn't concern us so much. Expansion I've answered . Our crushing capacity increase which you just pointed out and as Avantika has said, we'll have enough cane. If to hazard our guess for the next year, we hope to be 10% higher in terms of cane crushing. Recovery can't be predicted, but we are looking to be definitely higher on recovery also based on Avantika's presentation of varietal change and disease management.

Moderator: The next question is from the line of Sanjay Manyal from ICICI Direct.

Sanjay Manyal : I have a few questions. One is , what I understand , your domestic quota was somewhere around 8.26 lakh tonnes for the full year, whereas your total sales is 9.03, which includes 1.4 lakh tonnes of exports. So , have you foregone some domestic quota in the financial year or maybe in this quarter?

Pramod Patwari: Yes, as I mentioned earlier, the domestic prices were subdued in the March Quarter , so there was lower sales.

Sanjay Manyal: So this would be to the tune of 50 ,000 tonnes to 60,000 tonnes?

Vivek Saraogi: The exact data we don't have but Pramod is giving you the answer that absolutely depressed prices , we decided to forego a bit of sale which will come back later.

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Sanjay Manyal: And if you can just repeat what is the Co 0238 percentage in the crushing this year and expected next year I missed that bit.

Avantika Saraogi: It's 46% was crushed in the season gone by and we expect only 27% in the next season .

Vivek Saraogi: And the 27% which we are looking to crush will be much better and healthier .

Avantika Saraogi: Because the disease will spread less due to the sparseness of the field.

Sanjay Manyal : Next season 27% would be Co 0238 and 33% would be Co 118. So , which would be the other varieties which you using ?

Vivek Saraogi: So, we are looking at some very high yeilding varieties like 15023 and there are some varieties which are sort of only meant for low land so it's a combina tion of that.

Avantika Saraogi: Around 8% of higher recovery variety in totality you can take super higher recovery variety. I don't want to bifurcate among those .

Moderator: The next question is from the line of Kaustubh Pawaskar from Sh arekhan by BNP Paribas.

Kaustubh Pawaskar: Sir my question is regarding the sugar production for the next year, considering the higher yield varieties and good recovery rate, what kind of expectations are in terms of production for upcoming season and season after that?

Vivek Saraogi: Are you talking for Balrampur or for the country?

Kaustubh Pawaskar: For Balrampur.

Vivek Saraogi: As we indicated to you next season , we are definitely looking at 10 % higher, w eather not playing super truant and maybe another 7 % to 8% higher thereafter . Just to give everyone a flavor of our business protocol , division between B-Heavy juice, sugar crush ing, our assets on the ground today are sufficient and would need about 12 crore quintals of cane for 100% sweating and we hope to get let's say you've done 10.30 this year , you're looking at 10 % more, so 11 .30-11.40 crore quintals next year and thereafter easily 12 crore quintals .

Kaustubh Pawaskar: And s ir my second question is on th e worki

ng capital so this year obviously because

of the higher inventory, the working capital requirement on a higher but in one of your slides in the presentation as the distillery contribution goes up, the working capital requirement will also moderate. So , in that context should we expect the working capital days to come down over the next 2 to 3 years?

Pramod Patwari: You are absolutely right, the reason behind working capital utilization went up this time because of the deployment of internal accruals into the CAPEX . Had there been no CAPEX , you could have seen the working capital utilization lower by Rs. 500 crore at least . As we move up, t here will be lower working capital utilization.

Kaustubh Pawaskar: Last one on the international front, in April the Brazil production has gone back on 32%-odd this is what I've read in the print media . So, should we expect the international supply to go up considering the fact that the diversion towards ethanol is a little bit on the lo wer side because of the drop in the crude prices. So , in that context should we expect supply to be a little bit higher on the international front and do we have any impact on sugar prices or on the sugar realization front?

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Pramod Patwari: So, my request would be don't go by this every fortnight release of data. Brazil's production is already expected to be around 37 million ton nes to 38 million ton nes for the upcoming sugar season that has already been factored in the prevailing international prices as well as the overall demand -supply or sugar availability at the global level.

Vivek Saraogi: Basically, to see Indian prices , the more relevant data is India 's Inventory, India 's upcoming production with an understanding that export as and when permitted should sell at a healthy price. All three of these boxes are ticking and ringing very loudly today. So as Pramod said, we don' t need to look at any other data in case you're looking to track Indian sugar prices.

Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani : My question was with respect to margins from juice route vis-à-vis B-Heavy molasses . We have been guiding that the margins would be on similar trend between juice route and B-Heavy and some how this quarter the margins have taken a fall because of juice route s ales basically. So , can we share some views on that and also guidance going ahead for the distillery division?

Pramod Patwari: We would not like to share the segment wise guidance as far as the profitability is concerned, but the profitability or the margin out of juice is d efinately lower than the B-heavy t his is what we have seen in whatever period we have distilled .

Vivek Saraogi: But as we go ahead, this margin will improve a bit because your first year with Syrup/Juice , we stride various chemicals combinations towards the end we got the result and we hope the margins they should definitely improve.

Shailesh Kanani : But the fall in margin seems to be very steep that is the reason I was wondering that if in juice margins are very less ?

Pramod Patwari: See, these capacities are yet to be fully utilized so that is also one of the reasons . Some fixed overheads, there was some issue with respect to the plant stabilization also.

Vivek Saraogi: It takes some time for the brand -new things . So don't worry, don't think much. Margin will not be that bad. You will see next year that they will be improving .

Shailesh Kanani : My related question because of that correct me if I'm wrong, so we are not in a catch 22 situation wherein we are facing margin in pressure under juice route vis-à-vis B-Heavy and if we don't take juice route, our volumes would not give a healthy jump as we are expecting so that is not the situation, right?

Vivek Saraogi: No, that that's not the situation.

Pramod Patwari: Shailesh having

said that at the current juice -based ethanol prices, margin is lower than B-Heavy .

Vivek Saraogi: But you've got to understand that all three things need to be done in order for the country to holistically move forward. We definitely will improve from this year but as Pramod says you cannot expect the same margin maybe. So , I'm just giving you another scenario in four years from now, let's say sugar production becomes excess and the global markets take a downfall , you will find that these two divisions are giving you the best return, so you are hedging yourself into all three based on the Government program which needs the industry participation in order to fructify. Yes, Page 8 of 10

as Pramod said it will be lower but it will definitely make up from here. The gap will narrow as we have seen in the last one month of working.

Shailesh Kanani : Sorry to stress on this but can we give a guidance on consolidated basis in that case if we are not comfortable with giving the guidance on a segmental basis.

Pramod Patwari: We don't give guidance on the margin or for the EBITDA .

Shailesh Kanani : I missed one part of the call; can you share the sugar volume and realization break up in between domestic and export for the quarter?

Pramod Patwari: I think that is that has already been shared in the presentation.

Shailesh Kanani : Okay, I'll just go through it then. Sir one more question , we have seen a timing difference in ethanol offtake for the 4th Quarter . So, in light of that, do we revise our 34 crore to 35 crore litre of guidance for ethanol volume for the next year ?

Pramod Patwari: As of now we look to supply 34 -35 crore litre for FY24, but as the season progresses we will update you.

Vivek Saraogi: But there is no big sort of gap when you look at it.

Shailesh Kanani : If I can squeeze one last question, Sir, I'm seeing some stock of syrup as well mentioned in the presentation and I was under the impression that syrup per se can't be stored so if you can just shed some light on us.

Pramod Patwari: It's a work -in-progress .

Vivek Saraogi: It is rotation so distillery when you begin you get feed in 5 days so it's that which is rotating within the machines. One more thing, this year we began a little late because some of our expansions sort of got completed 15 days late owing to supply and there was a lot of water in 2 -3 factories . So, hopefully next year with this El Nino , we should be able to begin an average of 10 days earlier for the whole Company so that itself will increase your ethanol supply.

Moderator: The next question is from the line of Nishant Sharma from Nuvama Wealth Research.

Nishant Sharma: Sir my question is again related to margin. Just wanted to understand while distillery segment is the highest grossing margin , this time around we are seeing one-off kind of events which impacted the margins, but in terms of sugar sales in domestic and international markets, where we would generally get better margins or maybe if you can help us understand where the international prices needs to be certain percentage higher to be getting margin equal or same in domestic as well as international markets.

Pramod Patwari: You need to evaluate the performance of the company of a sugar company on a company level basis number one and on an annual basis, March quarter will always be the best quarter because of the fact that we get complete 90 days of production and fixed overheads get allocated or spread over a larger volume of production. This segment -wise profitability is a function of transfer pricing. If I want to assign a lower value to bagasse and molasses, my profitability will jump up in the distillery division.

Nishant Sharma: For distillery and Sugar segment I got it. I was asking for a spread between international profitability if we sell sugar in international market and if we sell sugar in domestic market,

so what is the price differential that would be needed for having a similar margin so that is why I just wanted to understand the sense.

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Pramod Patwari: So, this is irrelevant at this point in time. We are selling sugar at around Rs. 36.5 per kg in the domestic market as against the international prices of say around Rs. 51 per kg. But nobody in the country has any quota to export sugar and that is the reason that these prices are ruling so high in the international market.

Nishant Sharma: My next question is that we have mentioned some maybe duty in the distillery

segment on molasses. What is that levy of about close to Rs. 7 crore, is it one-off or is it regular one?

Pramod Patwari: It's the regular one.

Vivek Saraogi: The Government of UP keeps imposing new fees, which one has no control over. We also went to court against this, but with no success yet.

Nishant Sharma: But such things happen every year or this is more like changes in the rates that happen every year.

Vivek Saraogi: No, not every year.

Pramod Patwari: That was introduced last year.

Nishant Sharma: This is the percentage of something going forward we can build in because possibly this might have also impacted our margins?

Vivek Saraogi: I know it has impacted, but we agitated very hard. We hope that such nonsense should not repeat itself but withdrawal of this looks difficult.

Nishant Sharma: So basically, in terms of manufacturing or producing ethanol, we use different raw material on the input side. So, we use B-Heavy molasses, we use sugar syrup and now we have a capacity for grain-based as well. So, we will be seeing any cyclicity when using this input or this can be done any given point of time and it could be interchangeable for any crop.

Vivek Saraogi: There is only one distillery which is compatible for producing from grain, that is the Maizapur one. In season it will run on syrup full, off season it will run on grain. The rest are all B-Heavy ones. One is C-Heavy for country liquor. But yes, they are interchangeable in terms of B can run on C. Juice can run on B, but no other unit can run on grain outside of Maizapur.

Moderator: The next question is a follow up from the line of Rajesh Majumdar from B &K Securities.

Rajesh Majumdar: I had a question on the capex and the sugar mills. What is the kind of output increase we envisage or do we envisage at all from the modernization that we have done at the sugar mills level. I'm just talking about the sugar capex, not the distillery capex.

Vivek Saraogi: So, what we are going to get is higher cane availability and lesser losses and old plants, safety breakdowns, etc. So just to explain to you East and West are two different zones. West UP farmers have no problem if you run up to middle of May they don't reduce cane. If you do that in East UP, they will reduce cane so we've got into higher capacity. Now this will enable us to crush what we need to go to 12 crore by April end, so that will keep the recovery good, losses less, durability of supply on a longer basis.

Rajesh Majumdar: So, it would have an impact on the recovery whatever little bit it has?

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Vivek Saraogi: Definitely, positive recovery in fact by not getting into the May month and lower losses.

Rajesh Majumdar: I was just wondering basically because the capex is pretty significant, so what kind of a kind of return we always see on that kind of investment we made in this Company on the sugar side?

Vivek Saraogi: Let me explain to you the rationale behind these big investments. So, these were old plants and milling tandems, etc., needed to be changed for durability and for higher efficiency and safety. With that, we added juice into Balrampur so it's a well thought out measure. Obviously, such investments don't yield a return in one year but I am very certain o

ver the next 3 years from now we should have our investment in the bag. Beyond now, so total for four years.

Rajesh Majumdar: One question we have seen an impact on the sugar crop this year due to Maharashtra. If we see a continued impact this year El Nino if it happens is there a chance of the ethanol program getting derailed a little bit in terms of the Government procurement reducing, in which case we will not be able to meet our targets?

Vivek Saraogi: Let's get the sequence very clear. If you produce below 280 lac tonnes, you have a problem. When your ethanol diversion and your production is net of the diversion. So this year, even a bad year, you produced almost 330 lakh quintals, your gross was 370 lac tonnes. So, if next year your gross is even 300 lac tonnes, they are encouraging it. Now the exports will not be allowed to that extent. Domestic production net of ethanol should be equal to what is required for consumption, the program never gets derailed and I don't think that's even in the horizon anywhere.

Rajesh Majumdar: So, the Government will use export tool more as kind of balancing factors is that what you saying?

Vivek Saraogi: I can explain to you if you hear me properly please. Production is net of ethanol, what this figure you've seen 330 lakh tonnes is net of ethanol. So obviously the production is recorded net ethanol so net of ethanol production has to be above 280 lakh tonnes. So that is your sugar availability to feed the country. If that is over and above 280

and your closing stock is 6 million tonnes , export will be allowed.

Moderator: Thank you, ladies and gentlemen. That was the last question for today. I now hand the conference over to Management for closing comments. Over to you Sir.

Pramod Patwari: Thank you very much. I hope we have been able to answer all your questions satisfactorily . Should you need any further clarification or would like to know more about us, please feel free to contact us. I once again thank you for taking the time to join us on this call. Thanks.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Aug 2023

11th August, 2023

National Stock Exchange of India Limited
Listing Department , Exchange Plaza, 5th
Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E)

Mumbai- 400051 BSE Limited

The Corporate Relationship Department 1st Floor, New Trading Wing,
Rotunda Building, Phiroze Jeejeebhoy Towers Dalal Street, Fort,
Mumbai - 400001

Symbol : BALRAMCHIN Scrip Code: 500038

D

Dear Sir/ Madam,

Re

f : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015

Sub: Transcript of Earnings Conference call

In

terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations , 2015, please find attached the transcript of the Q1 FY24 Earnings Conference Call
held on 7th August, 2023.

T

The same is also uploaded on Company's website: www.chini.com

T

Thanking you,

Y

Yours faithfully,

For Balrampur Chini Mills Limited

M

Anoj Agarwal

Company Secretary and Compliance Officer

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Balrampur Chini Mills Limited

Q1 FY24 Results Conference Call Transcript

August 07, 2023

Moderator Ladies and gentlemen, good day and welcome to the Balrampur Chini Mills Limited 's
Earnings Conference Call. As a reminder, all participants will be in the listen -
only mode and there will be an opportunity for you to ask questions after the
presentation concludes . Please note that this conference is being recorded.
I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you
and over to you, Sir.

Anoop Poojari Thank you. Good afternoon, everyone and thank you for joining us on Balrampur
Chini Mills Q1 FY24 Results Conference Call .

We have with us Mr. Vivek Saraogi - Chairman and Managing Director , Ms. Avantika
Saraogi – Business Lead, and Mr. Pramod Patwari – Chief Financial Officer of the
Company .

We'll initiate the call with opening remarks from the management , following which
we'll have the Forum open for a question-and-answer session.

Before we begin, I would like to point out that some statements made in today's call
may be forward -looking in nature and a disclaimer to this effect has been included in
the results presentation shared with you earlier. I would now like to invite Mr. Saraogi
to make his opening remarks.

Vivek Saraogi Thank you, Anoop. Good afternoon everyone and thank you for joining us on
Balrampur's Q 1 FY24 Earnings Conference Call . I trust all of you had the opportunity
to go through our results presentation providing details of our operational and
financial performance . I will initiate the call with an update on the current
developments in the sector, followed by our Company 's key highlights for the period
under review.

India 's net sugar production for 2022-23 season , , is estimated at 32.8 million tonnes.
Recently, ISMA released its preliminary estimate for next season 's production to be

31.7 million tonnes. However, internally, at Balrampur, we believe that this production should be about 32.5 million tonnes. This is based on our view and our direct update with Maharashtra, Karnataka and UP. This suggests a second year of decline. Nonetheless, we anticipate that there will be sufficient sugar inventory in the system and sugar prices would remain slightly firm until the onset of next season. So, 32.5 million tonnes is our estimate net of ethanol diversion and 28 million tonnes being consumption, we believe that there is not only ample sugar available for domestic consumption, but there is an opportunity for export of sugar also. So, with global prices continuing to remain at elevated level, we expect the government to decide on exports only after assessing the estimates of this ensuing season, which maybe because of elections, the government may take a little more time until it gets sure of the production, the export announcement may be delayed in this year compared to previous years by a couple of months. So,

that's our view.

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So, last year, as Pramod reminds me, it was announced in December. Maybe being cautious and conscience of the election, maybe it goes to January, February, something like that. But yes, if there is a surplus, our belief is timing apart that quantum should be evicted based on the export allowance by the government. On the ethanol front, even though there has been a decline in sugar production, diversion of ethanol is expected to be 3.9 million tonnes this year, compared to 3.5 million tonnes in the previous year. Additionally, amidst the stoppage of subsidized rice from FCI, grain based capacities are facing challenges. We believe that this is a temporary halt and the government should allow FCI rice to grain based mills sooner than later.

On the business front, our Company commenced this fiscal on a strong note with higher volume and realizations resulting in healthy contributions from both sugar and distillery divisions. As we have discussed in the past, and Avantika will share the update on cane developments wherein we have put in immense work, collaborated closely with the farmer, which has been instrumental in enhancing the quality of cane and acreage in our various areas. This effort has led to a 16% increase during the crushing season 2022-23 as compared to 2021-22 and we are optimistic of a further 10% increase in the next season. Contingent obviously to the balance period of monsoon which Avantika would brief. Additionally, Brownfield capacity expansion at Kumbhi facility is progressing smoothly and is on schedule to operate this plant with enhanced capacity from the beginning of the next season.

Regarding our distillery business, I am pleased to share that this division has performed well during this quarter, especially with that newly expanded capacity, which is now fully operational. However, due to an unexpected halt in FCI rice, the actual supply might fall short of the quantity we contracted with OMC. This is to the extent of the rice quantity we had tendered. Moreover, the past few months have seen a sharp escalation in broken rice prices, which is bought from the open market and which has been, currently, partly taken care by this incentive, which has been declared at Rs. 4.75 per liter effective from 7th August 2023, so the quantum of ethanol supplied from open market rice will give us an additional realization of 4.75 per liter beginning 7th August 2023. And as we said, we are hopeful that the acreage of rice having increased and probably also looking at not lower yields which the government is anticipating, maybe the FCI rice would be allowed at some point. In conclusion, our integrated business model has always focused on maximizing value from each stick of cane and we are committed to generating value for all stakeholders through prudent investments and capital allocation strategy. This approach has been instrumental in creating sustainable value for all our stakeholders.

I now request Avantika to give you an update on the cane.

Avantika Saraogi Good afternoon, everyone and thank you for joining us on our Q1 FY24 Earnings Call. I just want to brief you about the cane scenario of Balrampur.

In the quarter gone by, there have been some concerns about El Nino and the rain, but I want to say that for us in particular in all our 10 mill areas, the rain pattern has been extremely conducive to everything that we are trying to do. It has been intermittent, there has been no deluge. This gives us irrigation, which is light and does not cause any kind of downturn in the cane. And it gives the farmers time to do intercultural operations, earthing up and all the other fertilizer application, insect pest disease control and everything. So, we have actually in a long time we have not been able to see this kind of conducive weather conditions, which we have seen this year. So, we are very hopeful that

a 10% increase should be easy for the coming season,

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of course, barring August, September, October, is yet to play out, but it seems very promising as of now.

As I've mentioned, insect pest disease is negligible and completely under control this year. My father also alluded to the fact that variety has been changed and it is in a much better position, so this will influence cane availability as well as recoveries, whether it is ethanol or sugar, that would probably have an effect on the profitability of both segments as well.

And one more update from the tissue culture side is that our tissue culture lab is performing at full capacity and it has really performed beyond our expectations and is yielding very good seed material which we have been able to use to multiply the new varieties that are required for our areas. And just one other highlight which I would like to give is that in the initial part of the monsoon when it was weak around the entire country, our farmers stepped up and they have done 4 to 5 irrigations in their crop, which is unheard of in UP East especially, and even central.

So, this has really given a boost to our cane crop and we are very hopeful for the coming season. Thank you.

Vivek Saraogi I would like to add that for our area if there is no rainfall post August end, we stand to benefit. As you would recall in the last few years, we were not only hit by a bitter disease, but erratic rainfall leading to flooding during the months of September and October, which impeded growth and also had a negative impact on recovery. So, we are all hopeful that maybe El Nino can benefit us, but too early to say. We have to watch September and October. Pramod, onto you.

Pramod Patwari Thank you and good afternoon everyone. A detailed presentation is already available with you. We can straight away move to the question and answer session. Thank you.

Moderator Thank you very much. We will now begin the question and answer session.

The first question is from the line of Prashant Biyani from Elara Securities.

Prashant Biyani So, what is the current scenario with regard to grain-based ethanol feed stock? How much stock do we have in house?

Vivek Saraogi We were allotted about 87,000 tonnes of FCI rice for ESY 22-23. We have managed to procure almost 71,500 tonnes, so which is in our go down and it is being processed. ~25,000 tonnes was stock as on 30th June 2023.

Prashant Biyani And this 25,000 tonnes we can use for quarter 2 and beyond.

Vivek Saraogi Yes.

Prashant Biyani How will OMC decide whether the ethanol is made from FCI rice or open market rice?

Vivek Saraogi So, it is a good question. So, just to take you through a little detail, when you put in a tender for FCI rice, the moment your tender is allotted to you, the consequent amount of FCI rice is given to you, which envisages a certain recovery. So, if you picked up 100 Kgs of rice and your recovery, let's say 50, you have to give 50 liters of ethanol. So, that's the way they monitor.

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Prashant Biyani And secondly sir, how is the crop condition in Karnataka, Maharashtra and Tamil Nadu going by ISMA's numbers, the situation looks quite difficult in South. Is it a crop specific problem or do you expect some improvement in these numbers?

Avantika Saraogi So, plant-to-ratoon ratio in the South is actually better. There is more plant than ratoon this year, but basically the concern was which I also do, they have overestimated the concern that the initial part of the year when the rain was lacking as I had also mentioned, then at the time, they are saying that, that growth which was stunted may not be able to get recovered, but then, having said that, this estimate came at a very cusp time. The reservoirs are now full and it is now looking good, but they're not able to estimate the recovery of it. But we feel that it should be

d be

more than whatever is presented by ISMA. I think they are being quite cautious in their estimates.

Prashant Biyani Right. And lastly, sir, from the industry point of view, what are the opportunities available for us to achieve sizable growth in the next 3 to 5 years and how can we get the feed stock for the same?

Vivek Saraogi So, you are talking of growth in ethanol business, right?

Prashant Biyani Sub segment agnostic be it sugar, ethanol, or whichever segment you think that Balrampur or the industry as such has headroom to grow?

Vivek Saraogi So, what we are doing, we can supply more ethanol based on our increased capacity and availability of cane. As Avantika pointed out, we are looking at 10% higher and maybe we can handle another 7%-8% after that also. So, our first objective would be to fulfill this target. Second objective is to ensure that the growth does not reverse,

which means cane gets crushed on time. Linked with this is to develop the best varietal balance so that not only can we get our required amount of cane, but we can get the best recovery. So, this is for the business. In our sugar side, we were adding capacity in Kumbhari, maybe as time progresses, we could have a couple of other minor 5% to 7% expansions in some other area. Following which, we could also expand some distilleries. So, on this canvas which we are existing would be more 5% to 7% kind of thing yearly debottlenecking, but yes, slowly the numbers would look to creep up, 5% -7% per year. So, that is how things look like for our sugar business. Outside of that, if there is any other good M&A opportunity which fits our sort of hygiene standards and our numbers, we would definitely look at that. Other opportunities the Company continues to explore as and when something is finalized, the board will sort of give its go ahead or you will hear from us.

Moderator The next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani Congratulations sir for a strong set of numbers given the challenges during the quarter. Sir, the first question was on margin front. The cane cost for the first quarter has seen a substantial dip and resultant our cost of production is also lower. So, how do we factor in this margin expansion for the full year? How do we see this?

Pramod Patwari So, Shailesh, during this quarter, the recovery from sugarcane was high at 11.82% vis-à-vis 11.24% in the corresponding quarter last year. So, that is the reason that incidence of cane cost you will see on a lower side.

Shailesh Kanani Right. So, there is a sharp dip year-on-year, right? So, what is the bump up we can expect on the margin for consolidated for the full year, if you can give some guidance on that?

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Pramod Patwari See, we hardly give profitability guidance. We are yet to see the cane price announcement for the current sugar season. So, it will be difficult to give any guidance at this point in time when we ourselves don't know the raw material cost.

Shailesh Kanani But is it fair to assume that there would be a substantially higher margin as compared to FY23, right? Wouldn't that be a fair assumption?

Pramod Patwari You can make some inference by going back 2 years when we were having good amount of cane availability.

Vivek Saraogi I will try to be a little more optimistic & clear than Pramod. Pramod is giving you the hint. The volume play which sort of starved us or strangled us in the last 2 years and the recovery, you've seen a decent bump up last year, you will see a further bump up in both numbers, hopefully the quantum crush and the recovery. So, obviously that will give you better results as you go ahead.

Shailesh Kanani That's helpful. So, the second question is with respect to inventory holding of alcohol, there is an increase in the quantum of alcohol we are holding even o

n a year-on-

year and quarter-on-quarter basis. So, can you throw some light on this and how is the situation on ground with respect to offtake from OMC side?

Pramod Patwari So, we are holding inventory of around 3.17 crore liter. There is 2 parts to it, because of the increase in the capacity, the production is on a higher side. So, naturally, there will be more inventory if we compare with the previous number. That is one part and, in the period, ended up to June, lifting from the oil marketing companies were on a lower side. Having said that, from the third week onwards, lifting has substantially improved. Going forward, you must assume around one month of inventory as closing stock.

Vivek Saraogi So, I'd just like to take this question a little further. So, yes, as Pramod said there was a bit of a period probably when the depots got jammed, but our lifting in July and till now in August has been phenomenal. So, let's just get a few markers in place.

One, whatever you tender will be lifted up, 15 days to a month here and there should not bother anybody because the entire tender will be lifted. Two, if everybody wants to dispose of his ethanol on the same day, where will the OMC store it, and how will they supply during the lean period like September, October, when hardly any goods come to them. So, there has to be some storage at the mills end, some storage at the OMC's end. Having said that, whatever you tender for will get lifted. Three, there will be questions on this grain and juice business. Let me just clarify. So, what is happening is FCI rice is subsidized rice. I believe the data by the government is around Rs. 15 subsidy is there in that rice. Now, maybe this year the balance rice may be supplied, maybe next year this might not be there or might be there in a much lesser way. People would have to rely on the open market rice. Having said that, the open market rice price therefore must be increased because there will be pressure on that rice and the price construct has gone up. This Rs. 4.75 per liter is an incentive for the balance period of this tender year which expires on 31st October 2023. The next year's tender, next year's pricing would come sometime maybe in

August or September . One should see a definitely higher price there . So, there would be periods when one can get supply of that strong people can store that and do their business. We find ourselves adequately equipped to take care of that opportunity, both in terms of cash flow and storage. Next, in order to ensure that the PM 's program of E20 goes ahead, there has to be an impetus on juice diversion towards ethanol. So, we have represented very strongly and are hopeful that the juice-based ethanol price should go up a little more than the FRP price. So, this basic revision happens as a result of the FRP increase. So, let's say 3% is the FRP increase and let's assume 3% is a normal increase on B-heavy and juice . Maybe you will see a bit of a higher increase on the juice front to incentivize people to put in more capacity,

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divert more juice and improve the juice margins. So, that again takes care of our two capacities at Balrampur and Maizapur . So, I've briefed you on juice, juice price. I've briefed you on FRP and the consequent increase in ethanol prices of B , C, and juice route and also any sort of suspense or tension anybody has on lifting of the entire quantities tendered to the OMCs.

Shailesh Kanani Thanks a lot, sir. That's useful. Just last clarification. So, our guidance of around 35 crore for FY 24 of ethanol including the ENA stands same, right? There is no revision in that ?

Pramod Patwari So, let me give you an update on this. 35 crore liter is our production ability on an annual basis. Now for the FY24 as of now, we are estimating a production of around 30-31 crore liter with reduced availability of rice from FCI

as well as the open market

and if the production is in that range , then the sales would be in the range of around 28-29 crore liter including ENA.

Vivek Saraogi So, whatever the shortfall is on account of rice.

Shailesh Kanani So, if I recall out of 35 crore liters , around 5.5 crore liter was from the grain, right? If my numbers are right around.

Vivek Saraogi 4.86 crore liter .

Shailesh Kanani For the financial year, right. So, we are downgrading the sales volume to that extent to the whole 5 crore?

Vivek Saraogi For reasons beyond our control.

Shailesh Kanani So, wouldn't that 2 -2.5 crore inventory we have as on FY23 would be useful here?

Pramod Patwari FY23 inventory was 50 lakh liters . Going forward, we will have to assume between anything between 2.5 to 3 crore liters as a closing inventory on the reporting basis .

Vivek Saraogi So, inventory word should not bother you , it only should be an accounting entry.

Pramod Patwari And this will be one time as far as FY24 is concerned. Thereafter it will become a nominal phenomenon.

Moderator The next question is from the line of Dhvaneet Savla from DN Trading.

Dhvaneet Savla First of all, sir, congratulations on especially the increase in the cane and better efficiency in the crushing. I had just one question . This is with regards to our future sugar capacity of around 2000 TCD, which we are currently under implementation, right? whether we are still on track to complete this project. Additionally, could you provide insight into the anticipated impact on our overall revenue? Furthermore, once this implementation is finished, could you please share the projected distribution between sugar and distillery revenue as we move forward from the commencement of its operation?

Vivek Saraogi As I said in my opening remarks, the capacity expansion is on track . It will begin probably as early as the first week of November. Whatever cane is crushed extra maybe 15 , 20, 25 lakh quintals will be , as I said, I can't give cane projections till we reach closer to the season. Whatever is crushed extra , would add to the top line.

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Dhvaneet Savla And going forward, what will be the split of revenue or that also you can't be sure about at this time . For example, right now it is like 70% of our top line comes from sugar and like 30% odd comes from distillery . So, going forward, will that be more of a 50:50. Can that be said or that is also too early to say so ?

Pramod Patwari No, as of now, distillery revenue is 30% and going forward it should be around 35%.

Moderator The next question is from the line of Kaustubh Pawaskar from Sharekhan.

Kaustubh Pawaskar So, my question is again on the grain-based distillery. So, OMC have increased the ethanol prices for production through maize or other food grains . So, in that context, aren't we considering that as an option to produce ethanol , I don't know whether you spoke about it or I missed that point, but are we looking at that as an option?

Vivek Saraogi So, yes, I did attempt to clarify earlier. I will attempt to do it again. The Rs. 4.75 per liter rise in price is not adequate. Broken rice, which is the open market rice, our estimate was Rs. 20 per kg on the price given by the government , at Rs. 24 per kg also availabilities at best frugal . Rs. 4 per kg increase in raw material price requires

a Rs. 8 plus per liter increase in ethanol price to compensate that increase in raw material price, so it's 1:2.2. So, currently also this is maybe a step to begin with, but it will not add to profitability, it will lower the loss. There is no sort of tailwind in this announcement until unless there is a revision for next year and you get the rice at the correct time and you are able to buy it and store it, which we will be alert for next year based on improved prices.

Kaustubh Pawaskar Right. And one more clarification

, this 10% increase what we are expecting this year

in sugar, this is excluding the risk of any extended monsoon because last 2 years we have been seeing that the monsoons have been making erratic and it is getting extended over the period of time. Octobers are not good for us if monsoon gets extended to October, so that still remains a risk right for that 10% kind of an increase, what we're expecting?

Vivek Saraogi Hardly. So, yes, Avantika did say that, but the weather conditions don't kind of indicate a late rainfall, but till now the growth is sort of enough to justify our optimism; however, just wait for a couple of months.

Moderator The next question is from Nikhil Gada from Abakus Asset Management.

Nikhil Gada Congrats on a strong set of numbers. Sir, my first question is when you mentioned this 31-32 crore liter of production, would it be possible sir to break it down into different routes for us?

Vivek Saraogi Yes, we'll answer that in a bit on this call itself.

Nikhil Gada Fair enough. Sure, Sir. And just because the route variation is changing in terms of the mix, especially for FY24, is it possible to give just a ballpark understanding in terms of what would be the EBIT margins specifically for the distillery business for us?

Pramod Patwari So, because of the intersegmental raw material transfer pricing, which changes frequently, it is difficult to give the segment wise guidance. We would always recommend assessing the performance of the Company or the sector on a yearly basis as well as at the Company level.

Vivek Saraogi So, because of the conditions of current market price etc., they changed the transfer pricing. That is, I think what Pramod said. Hence because if there is higher transfer

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pricing, let us say distillery profit might sound lower; however, the sugar profit will improve. Money stays in the Company.

Nikhil Gada So, the reason for asking this specifically is that just wanted to pick your brains on when do we switch? how much we'll do from juice or how much we'll do from B-heavy or even now with the FCI condition, how much we'll do from rice to optimize the profitability, that was the reason I was just trying to understand that a bit. Just a last bit from my end, specifically, in terms of the rice because we have already tendered, it's something which we have to do it out of obligation right in the current scenario?

Vivek Saraogi So, there is a penalty condition attached if you do not tender. So, we have already written that if the government has not given the rice, there should be no penalty applicable. I think that's what you are asking. So, coming back to your question, you leave it to the judgment of the management depending on the juice price, B-heavy price, sugar price, we will deliver our best on what to tender, how to tender, when to tender.

Nikhil Gada And sir, just one last question if I may. Is it possible in the current situation, the way the pricing is, is it possible to give the EBIT DA per liter for the different routes?

Pramod Patwari Again, that will also depend upon the transfer price. And the break up of that 31 crore liter of guidance given for production, juice route will be around 11 crore liter, B-heavy will be around 13 crore liter, FCI rice will be around 4 crore liter and the balance will be ENA.

Moderator The next question is from the line of Abhishek Leekha from Nestle Wealth.

Abhishek Leekha Congratulations on a good set of numbers. Just wanted to have your take on, do you envisage ethanol blending also to be formalized for diesel with the government or any hearing from the government that you're planning?

Avantika Saraogi No, there is research on it, but too soon to comment. But there is definitely very strong research going on in it and they do have plans of 1%-2% and these things are spoken of, but it's very soon, it is to come

cent.

Vivek Saraogi You have to first search for enough raw material to provide 20%.

Moderator The next question is a follow up question from the line of Prashant Biyani from Elara Securities.

Prashant Biyani Sir, hypothetically, if we have tendered say, for example, ethanol through juice route a certain quantity and next year, if the sugar price rise and it is lucrative to

manufacture sugar and B-heavy ethanol. Can we switch some of the source from juice to B-heavy ethanol?

Vivek Saraogi So, if you tender, which you do tender in the month of October, you've already tendered, hence you cannot switch, unless you want to pay the penalty. So, you see that judgment, as I said, would be best left to us and we would use that with our experience and deliver the best. So, technically your question can be answered, that is it possible in the distillery to switch, the answer is yes.

Moderator That was the last question. I would now like to hand the conference back to the management team for closing comments.

Pramod Patwari Thank you very much. We hope that we have been able to answer all your questions satisfactorily. Should you need any further clarifications or would you like to know

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more about the Company, please feel free to contact us. I once again thank you for taking the time to join us on this call.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Nov 2023

15th November, 2023

National Stock Exchange of India Limited
Listing Department , Exchange Plaza, 5th
Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E)
Mumbai- 400051 BSE Limited

The Corporate Relationship Department 1st Floor, New Trading Wing,
Rotunda Building, Phiroze Jeejeebhoy Towers Dalal Street, Fort,
Mumbai - 400001

Symbol : BALRAMCHIN Scrip Code: 500038

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Re

f : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015

Sub: Transcript of Earnings Conference call

In

terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed herewith the Transcript of the Q2 & H1 FY24 Earnings
Conference Call held on 8th November, 2023.

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he same is also uploaded on Company's website: www.chini.com

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ours faithfully,

For Balrampur Chini Mills Limited

M

anoj Agarwal

Company Secretary and Compliance Officer

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Balrampur Chini Mills Limited

Q2 & H1 FY24 Earnings Conference Call

November 08, 2023

Moderator: Good day, and welcome to Balrampur Chini Mills Limited Q2 & H1 FY24 Earnings
Conference Call. As a reminder, all participant lines will be in the listen -only mode
and there will be an opportunity for you to ask questions after the presentation
concludes. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Anoop Poojari from CDR India. Please go
ahead.

Anoop Poojari: Thank you. Good afternoon everyone and thank you for joining us on Balrampur
Chini Mills Q2 & H1 FY24 results conference call. We have with us today Mr. Vivek
Saraogi, Chairman & Managing Director of Balrampur Chini Mills, Ms. Avantika
Saraogi, and Mr. Pramod Patwari, Chief Financial Officer of the Company.

We would like to begin the call with brief opening remarks from the management,
following which we have the forum open for a question -and-answer session.

Before we start, I would like to point out that some statements made in today's call
may be forward -looking in nature and a disclaimer to this effect has been included in
the results presentation shared with you earlier.

I would now like to invite Mr. Saraogi to make his opening remarks.

Vivek Saraogi: Thank you, Anoop. Good afternoon, everyone, and thank you all for joining us on
Balrampur Chini's Q2 & H1 FY24 Earnings Call. I trust all of you have had the
opportunity to go through our results presentation, providing details of our operation

and financial performance.

I will initiate the call with an update on the current developments on the sector, followed by our company's key highlights for the period under review.

So, I'll begin with production. As per ISMA's latest estimates, India is set to witness a decline of 8% on the gross level, and it is expected to reduce from 36.2 million

Page 2 of 16 tonnes to 33.7 million tonnes. This is mainly due to the insufficient rainfall in Maharashtra and Karnataka, thereby leading to a lower yield.

However, our company's view on the current season net production is between 29 to 30, so we could say 29.5 million tonnes, net of diversion. This would still be ahead of the expected consumption of about 28.7 million tonnes. However, the government has adopted a cautious view because of the sugar opening stock and decided not to allow sugar exports for the time being. This has exerted an upward pressure on the global prices, which have surged to a 12-year high, surpassing 28 cents per pound.

Moving on to an update on ethanol. The Indian government remains committed on its ethanol program, which aims to achieve 20% blending by 2025-26. However, recently, OMCs have observed a decline in the ethanol blend percentage, which was owing to a halt in FCI rice allotted last year.

Looking ahead, Central Government and OMC, they are about to announce the price, which we had expected to come by now. But as per past behaviour, the prices are expected to follow the percentage hike in FRP, which is about 3%.

On the business front, our company delivered a commendable performance in a seasonally weak quarter. We reported a healthy improvement in volumes and realization across our sugar and distillery divisions, that supported our overall performance. Further, our profitability this quarter benefited from higher crushing in the previous season, which spilled over into April and recovery achieved in the previous season.

After achieving an impressive 16% growth in crushing during the previous season, our field teams have been actively collaborating with the farmers to plant improved variety, expand area under cane, which would both boost yield and recoveries.

We also worked very hard, and the disease at our end is minimal compared to last year. Avantika will take you through it. That is because of the serious reduction in CO 0238 in our area. As we go through this season, we are hoping and whatever is to be seen on the ground for a 10%-plus crushing in the current season over last year.

In conclusion, the company is dedicated in generating value for all its stakeholders, keeping this objective in mind, the Board has announced an interim dividend of INR 3.00 per share from last year's INR 2.50 per share. So, an enhancement of INR Page 3 of 16 0.50 per share. As we move ahead, we remain committed to harnessing synergies between Sugar and Distillery segment, which have been the key drivers of our sustained success.

I will now request Avantika to give you an update on the cane.

Avantika Saraogi: Thank you, everyone. Just an update on the cane front. As already highlighted by Mr. Saraogi, that we have got around 10% -11% increased area under cane. This should result in the concurrent increase in cane crush. We will reassess post-ratoon crush, but we are quite positive and hopeful. Weather has been kind to us in our part of the world, the yields are looking good.

As expressed, the disease I is almost mitigated, I would say there has been a further 20% reduction in CO 0238 as compared to last year and which has been all replaced by good high-yielding sugar varieties like CO 0118, CO 015023 and CO 014201. And we expect a higher recovery on this front as well.

Another thing which we were able to control and now we are proud to say that we have almost negligible amount of top borer, which also contributes to a loss in yield and recovery, which we have faced over the last year and the whole state has been

facing over the last year or two. This is also negligible in our part.

The ratoon management efforts have been commendable. Mobilization efforts by the team have been commendable of re-propping of fallen cane as well because there was bout of wind and gust in the month

of October, which could have impacted our yields. But the mobilization on the ground was superb, and I don't think we will see any losses on this part as well. That's it. Thank you very much.

Pramod Patwari: Good afternoon, everyone. I hope all of you had the opportunity to go through the results presentation, which has been shared with you as well as uploaded on the stock exchange and company's website. So, I would now request the moderator to open the forum for Q&A session. Thank you.

Moderator: Thank you very much. We'll now begin the question-and-answer session. The first question is from the line of Prashant Biyani from Elara Securities.

Prashant Biyani: Sir, given the current situation of cane crop in Maharashtra and Karnataka, plus the stoppage of FCI rice in grain ethanol, but government's firm stance on ethanol blending. How much could be the blending rate this year? And how much of it do you see coming from cane and how much from grain?

Page 4 of 16 Pramod Patwari: Yes, government recently came out with a tender quantity of 825 crores. We are yet to see the outcome of that tender. We don't really know how much the participants have participated in that. But whatever internal sense we are getting, we think around 3 million tons of diversion of sugar into ethanol is possible even under the current circumstances. Majority of supply this year is expected to come from grain route, sugar we have a limited availability of feedstock.

Vivek Saraogi: But however, the current tender Pramod it points towards a 31 -lakh ton diversion already.

Prashant Biyani: Right. Sir, secondly, in Maharashtra, cane growing area. Same as Eastern UP, we saw a deficit rainfall. But it has benefited the Eastern UP cane growers as well as mills, but not in the case of Maharashtra and Karnataka. Obviously, there was a timing issue on rainfall. If Avantika Ma'am can explain how it benefitted the Eastern UP growers, but not the Maharashtra one. Slightly technical, but just for understanding better?

Avantika Saraogi: Not a problem at all. Firstly, if we look at total cumulative rainfall, Eastern UP was still around 96%, 97% of usual. So, our deficit was not as much as Maharashtra to begin with. And secondly, it was very well dispersed and early rains were not there. The problem which we have faced 2 years before that, when we had crushed 875.18 lac qtls. and 888.31 lac qtls.. The issue was that the rains came very early. So, our cane did not get the time for tillering and therefore, the number of visible canes were not formed. This year and even last year, early rains were not there. So, there was profused rain, and we've got a more number of visible cane, and that's why we see it's healthy in our areas. Then rightly even the rains were a bit too delayed, and we were fearing but then the rains came, and they were very well dispersed. I would say 1 week interval, 1.5 -inch 2-inch rain, 3 -inch rain. This is very healthy for the same crop and it spread all the way until September. In Maharashtra, it was too little. They didn't have reserve, I guess?

Vivek Saraogi: No. So, the Ujjani Dam, etc, it's basically the yield in Maharashtra is bad because of a very, very stunted ratoon crop and scanty rainfall. In east UP, as Avantika said, we did get distributed rainfall. And having been in the business for over almost 4 decades now personally, one can assess the health of the cane once you are able to see the growth, which you see at this point in time.

Avantika Saraogi: Plus, one big advantage, which is there with UP, that Maharashtra is difficult, is that how much our farmers have irrigation resources.

Page 5 of 16 Vivek Saraogi: And we have ground water at a very lower table.

Avantika Saraogi: Yes. So, it's much easier to even revive in the event of less rain.

Prashant Biyani: Right. And just la

stly, what would be the most remunerative for you to produce right now between sugar and different types of ethanol?

Vivek Saraogi: So, I'll attempt to first answer on a concept and then would request Pramod to take it up. So, you see we just assume we are able to crush 12%, 13%, 14% higher than last year. But to be able to store that much sugar is going to be tough. So, we will get into a game plan, which we have, whereby we would increase our C, maybe. So that planning we will do. So, we might increase our C-heavy, improve our sugar production. However, the juice production would continue because that is decently remunerative. And when you have 3, 4, 5 assets running on the ground, you need to be able to distribute your cane. Otherwise, UP will be stranded with too much of sugar. So, we would distribute our assets based on our assessment of the cash flow and after the prices are announced, which we hope would get announced very soon.

Moderator: The next question is from the line of Sanjay Manyal from DAM Capital.

Sanjay Manyal: I have just two questions. One is what is the grain ethanol economics after the price rise, which has happened in a few months back? And what would be the proportion of Maize in your ethanol feedstock? I just want to understand that.

Vivek Saraogi: Right. It's a very good question. So, the grain price announced right now for DFG is pretty remunerative, and we hope to sort of whole hog on that. So Maizapur's asset we would hope to utilize much more. So, our emphasis will be on rice, we would hope to procure it timely, at a very decent remunerate price, to give us a very decent return on that front. Maize would come in as a filler towards the end because Maize alone is not a great crop to crush, if Maize is equated to grain. So, Maize not the best thing. So, we would put that as a filler.

Sanjay Manyal: So, will you also change the Maizapur composition from, say, maybe Juice to B-heavy or somewhat, I mean, 50-50 kind of...

Vivek Saraogi: Maizapur is going to be juice fully. It would be decently remunerative. And off season, which is when the crushing stops and the syrup stops, we will go to rice and add some fillers of Maize as the time progresses. Largely rice.

Page 6 of 16 Sanjay Manyal: Okay. And one question on the levy molasses policy, which I think newly sort of policy, which has come now of 26% on C-heavy and 19% B-heavy. What would be impact for us on that? And is it because of that, we are increasing our C-heavy also?

Vivek Saraogi: I don't think there is any favor of any feedstock C-heavy, B-heavy or Juice. All liabilities are now made equally. So, there is no change in not that it's less on C-heavy or more on B-heavy, that's not the situation.

Sanjay Manyal: So, is there any impact from last year to this year because of the increase in the levy part?

Pramod Patwari: Yes. Obviously, the last year, the C-heavy reservation was around 20%, which has gone to 26% this year. So as and when we produce ENA, it will automatically get captured in our profit and loss account. So, this we have been doing for so many quarters on a continuous basis. It doesn't change our life. It's in a particular quarter, the production of ENA is much higher, we will account for that accordingly in that quarter.

Sanjay Manyal: Okay. Understood, sir. And just last one. The proportion of 0238 in the 23-24 season and the newer varieties. Just that last one.

Avantika Saraogi: So this is a projected figure, of course. So, we expect only 25% of 238 variety.

Vivek Saraogi: In this season, current season?

Avantika Saraogi: In the coming crushing year. And the peak was 80% plus. So, you can imagine the downturn. And in the season, beyond that, we would see it in single digits.

Vivek Saraogi: 24-25 season in single digits.

Avantika Saraogi: Single digits. An

d in proportion, the other variety, so 118 has increased by more than half of that. So, it will increase by around 11%, 12%. And all the other varieties

combined have filled the rest of the 9%...

Vivek Saraogi: CO 015023.

Avantika Saraogi: Yes. We will first time be crushing a sizable quantity of 15 -023. We should see the flavour of that, but in the later part.

Vivek Saraogi: In the second half of the season.

Page 7 of 16 Sanjay Manyal: Okay. This 25%, you are saying, 0238 for overall Balrampur or specific on company?

Vivek Saraogi: Group.

Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: Congratulations for good set of numbers for the quarter. My couple of questions. One is with respect to growth front. On growth, has just been more than 1 year when we had completed our last capex plans on this very front. And I know we are doing a minor capex for 2,000 TCD on the sugar front. But any plans for future allocation of expected cash generation, if you can throw some light on that?

Vivek Saraogi: So yes, we did speak last year, and we have spoken on all calls. And by the time the capex got over last years, we get 11, 12 months, 10 months, definitely. So, the company is now in command of the capex incurred. By in command, I mean, all capacities which were envisaged have been fulfilled, the efficiencies have been fulfilled. The juice distilleries at Balrampur and Maizapur fully online. And now what can I say? We are in discussion, and you will hear very soon as when the Board clears it. But yes, one is actively looking at it in the company.

Shailesh Kanani: Okay. So, nothing as such concrete on the drawing board. Is there any scope since we are expanding our command area as well and so we are banking that ability of cane is on a rise. So, is there a scope for further expansion on the distillery front?

Vivek Saraogi: So just let me explain. Our crushing last year was 1,030 lac qtls. Let's assume, we do 1,150 or 1,160 lac qtls cane crush, What can our current distillation and our crushing capacity absorb, the answer is between 12 crores and 12.5 crores qtls. easily. So, until we go to that figure, there is no purpose of expanding. You need to sweat the assets more.

So, when you cross that 12.5 crores crushing mark, which I am very hopeful, it would happen maybe in a year, after the crushing season or so. That is when one can look at it. Also, the policies will play out till then one can see the demand - supply situation, etc. etc.

So that is one phase. We 24/7 look at it. And distillery expansion, etc., whatever is required is not such a tough job once the basic machine, permissions are in place. On the second front, you people know the act better than I do, the law better than I Page 8 of 16 do. As and when the Board says something, only then can we come to the exchanges or anybody else.

Shailesh Kanani: Fair enough, sir. That's helpful. Sir, second question is with respect to SAP price. What is our expectation means any indication because I think crushing has started and there is no indication on SAP price. So, can you guide us on that?

Vivek Saraogi: I take you through all the variables, which might be sort of creating any anxiety or hope in people's mind. So, SAP should be announced hopefully by the end of the month. So right now, there's festivals and all that. So, I don't know. It can make five, seven, 10 days more. What is the hope is impossible to answer. But yes, I only know that our honorable CM is a man of great understanding and grassroot knowledge.

I'll just remind everybody. Not that I'm expecting a zero rise, nobody is. In 2019, UP did not raise cane price, in the season which was going into the next election. So, if I rewind 5 years from now, FRP was raised, SAP was not raised. So, this is just to

give you a flavour of the human being who's at the helm of affairs. So, his understanding and his ability we trust, and we hope he will take a rationale decision.

So, I'm not worried. But yes, there will be an increase. I don't think the increase will be very, very alarming. So that is one side. The ethanol prices have yet to be announced. They would be announced in the next 10 days, 12 days from after Diwali. That's the hope. So, we will be looking at a method where they would ask more from grain. Hopefully, grain parts would surprise on the upside. The sugar part, they are very clear. They must first make at least 290 lakh tons net. Being responsible citizens, as businessmen, we also agree with that.

So therefore, the attempt should be once you get clarity on that, government keeps on giving tenders monthly basis. And any time anything happens, we've seen incentives come in, etc. etc.. So, government will take a practical view, ethanol price would increase, that is to the best of my ability. You can't hold me to it. I can only tell you what I know and what I think. Prices will increase on the ethanol front on all three feedstocks, C-heavy, B-heavy, and Juice.

How much the increase? The average minimum should be not less than 3%. The rest used to be seen. So that is one. The diversion we are talking of based on the tender filled till now is 31 lakh tons. Page 9 of 16 Now has everybody filled the tender? To my mind, maybe no. Why the price has not been announced. So, we feel that even when the prices come, they would give a revised window or an enhanced window to change your quantity. So that is when you will get to know the full sort of quantity.

Next, as we progress and after 15 days to 20 days from now, all over India, we will understand the yield of the ratoon crop in UP, Maharashtra Karnataka. That is when you will be able to get the first flavour of 50% of the season. I'm hoping half-and-half is ratoon, just approximation. So, if you will get an ability to predict the first half of this year.

Thereafter, when January end comes, you will get some ability to predict the second half. Yes, the view is bearish on production. The view for 24-25 is even, so, we are into 2023-2024 now, numbers is even bearish both for Maharashtra and Karnataka. So, our sugar economics should stay in place. But the government and the industry having put up assets need to allocate resources to all assets.

Now I am not talking like a sort of CSR human being, I'm talking as a businessman. Basically, if we produce too much sugar, we'll have problems selling it. Balrampur will produce its lifetime's highest sugar, probably. Right, a lifetime's highest crushing?

Pramod Patwari: Previous high was 1095 lac qtls.

Vivek Saraogi: So, we're looking to cross that. And therefore, resources will be allocated to the best of our ability. I think by the time the final prices come and our tender goes, I think one will get to know what we've done. So, I try to cover the entire spectrum and hopefully, I've been successful.

Shailesh Kanani: So that was quite useful. Just one last query. We had contracted certain quantity for ethanol last year. And obviously, because of the FCI embargo, we were not able to completely fulfil that. So, any update on that if you can highlight on that?

Vivek Saraogi: What are you talking? Penalty on that, what is the question?

Shailesh Kanani: Yes. So, since there was a contract, and it was a shortfall from our end?

Vivek Saraogi: All over India, this has happened. Not our mill, Balrampur, industry is in the same boat. But having said that, we represented. And my hope is there will be no penalty because there was a counter obligation on the government to give me FCI rice. Page 10 of 16 The counter obligation having not been completed, our obligation, I don't think we will call for a penalty

.

Moderator: The next question is from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: Yes. So, I have just two questions. One is on the inventory valuation of sugar. It is showing 37.60, which seems to be very high. I mean how does this increase so much this quarter? Any particular reason?

Pramod Patwari: So, this is on the basis of accounting standard provision, cost or market price, whichever is lower and if our cost for the six-month period ended was INR 41.69/kg. So, against INR 41.69/kg, we valued at INR 37.60/kg. Just to give you some perspective in the last year also H123, the cost of production in September was INR 76.35/kg, but the inventory was valued at around INR 34.82/kg. Ultimately, the INR 76.35/kg got cracked to a level of around INR 33/kg by the year-end as the production kicks in.

Rajesh Majumdar: So, there will be a sharp fall once the production peaks, and that's fine. But I have not seen this kind of an increase in the last two years, three years, four years in terms of onetime jump in the valuation. So that's why I was wondering anything in particular?

Pramod Patwari: So, the market price of sugar on the reporting date is much higher in comparison to the last few years.

Vivek Saraogi: So, it's cost or market, whichever is lower? So, if you see that the price for market is higher, you got to the cost. Let's assume the cost last year is INR 40/kg and your market was INR 36/kg or INR 35/kg, you value sugar at INR 35/kg. This year, the cost is INR 37/kg, market is INR 40/kg so it comes at INR 37/kg. Hence, if you saw last year, INR 35/kg, which is because of this fact.

Pramod Patwari: So this year, cost is in INR 41.69/kg. Average, cost of valuation is still INR 37.60/kg.

Rajesh Majumdar: That's helpful. And secondly, sir, I see a sharp jump into power realization in this quarter. Now I know you've given a qualifier that you started supplying power to open market in one of the units. So, is this likely to be a strength going forward?

Vivek Saraogi: Yes. One of our units have already exited the PPA, and you can see there is positive payback. There's another one, which is exited that would start selling power from December. So, we would have two units which have exited PPA and have gone into the open market. And the pricing is definitely on INR 1 per unit -plus Page 11 of 16 accretive. We also hoping for the tariff revision coming up in 2024. And seeing the demand supply position of power, one is looking, I'm positively inclined towards that decision, too.

Rajesh Majumdar: Right. And sir, my last question is what is the remunerative price of juice for you to consider a further expansion?

Pramod Patwari: So before considering that we need to have a visibility on availability of feedstock. This was explained in great detail a few minutes ago that this year we are expecting to crush around 11.5 crores quintal of cane and probably in a year's time, we will touch 12 crores quintal, 12.5 crores quintal. Till that time, our distillation capacities are fully utilized.

Vivek Saraogi: I think what we have given to the government is INR 72/litre.

Pramod Patwari: What we have represented to the government to make a onetime adjustment - raise the price to around INR 71 per litre. That was prior to announcement of this FRP.

Vivek Saraogi: So if you take 3% add to. So, our paper to the government, which is based on our study by professionals, is to attract fresh capital towards distillation from juice should be INR 73 per litre plus, is that your question?

Rajesh Majumdar: Yes. So if it is just a 3% high, that's about INR 2. So that's not remunerative yet. Is that the right way to look at it?

Vivek Saraogi: Not to attract fresh capital.

Moderator: The next question is from the line of Dhvaneet Savla from Savla Family Office.

Dhvaneet Savla: Congratulations on a good set of numbers. I have two questions. First, it is my thought process that what we should be looking at the numbers from a year-on-year basis rather than a quarter-on-quarter basis. So, based on that, is this your early expectation, how much incremental revenue and profitability are we looking at from each of our businesses? And if you could give us a kind of a guidance for all three

businesses separately?

And secondly, my other question with regards to the treatment of B -heavy and C - heavy molasses. Recently, the UP government has asked to treat B -heavy and C - heavy molasses in the same way and the levy on that was supposed to be parallel. Is there any comment on that?

Page 12 of 16 Vivek Saraogi: Pramod has explained it three times. Pramod, attempt fourth time.

Pramod Patwari: So as far as the guidance is concerned, we don't believe in giving future guidance.

Vivek Saraogi: We don't give guidance.

Pramod Patwari: We don't give revenue guidance and the profitability.

Vivek Saraogi: Yes. And we haven't given in the past, so it's not proper.

Pramod Patwari: It's not proper. Your next question was with respect B -heavy and C -heavy. So last year is a history now. The government has come with a fresh policy, where there is no preference between any of the feedstock. All are at par in terms of 26% of reservation.

Vivek Saraogi: And levy ENA.

Pramod Patwari Yes. And we are in the business of making ENA and supplying the country liquor in lieu of our obligation. As and when we produce ENA that automatically gets captured in our profit and loss account because ENA fetches a lower realization.

Dhvaneet Savla: So just a follow -up on that. Is there any personal preference for us to produce ENA from one particular kind of feedstock, be it, grain or B -heavy or C -heavy or that depends on season -to-season?

Vivek Saraogi: This is a good question. Our preference is always to produce from C-heavy.

Dhvaneet Savla: Any particular reason for that, sir?

Vivek Saraogi: Economic plays out better that way. And even for years in the past, we've produced 95% from C -heavy.

Moderator: The next question is a follow -up from the line of Prashant Biyani from Elara Securities.

Prashant Biyani: Yes. Sir, have you made any ethanol from open market purchase of any grain in Q2?

Vivek Saraogi: Yes, we did a bit of Maize and a bit of rice. Pramod will just tell you. I think, you are asking for the second half, isn't it?

Prashant Biyani: Yes, sir.

Page 13 of 16 Pramod Patwari: 1.53. crores liter Ethanol production out of rice, in the second quarter.

Vivek Saraogi: In the second half?

Pramod Patwari: In the second quarter.

Vivek Saraogi: In the quarter under question?

Pramod Patwari: Yes.

Prashant Biyani: And this is all open market purchase?

Pramod Patwari: All open market.

Prashant Biyani: Sir, what would be your blended grain ethanol realization for Q2?

Pramod Patwari: I think that has been given in the presentation.

Prashant Biyani: No, sir, it is not. Just blended.

Pramod Patwari: Alcohol from grain was around INR 58.50 per litre in Q2.

Moderator: The next question is from the line of Marshall, an individual investor.

Marshall: Regarding this sugarcane molasses policy of UP government, what we understood was that from 2023, this is B-heavy molasses, which is supposed to be spent like previously 70%, 20% of C also to be a part to give levy at the 10%, 20%. And companies have to take a hit because the valuation of B-heavy molasses, B-heavy molasses was for the 1,000, 1,100. But it was supposed to be sold at INR200 or whatever the levy.

So, on this account, you can say, loss booked in our P&L during this September quarter number one. And then

whether this notification of UP government or this policy has been done away and like is no more applicable for the current molasses year starting from November 1.

Pramod Patwari: So if you see our numbers in the last year also, we diverted almost 23% to 24% of our cane under C route to produce ethanol. That largely takes care of our ENA obligation. As we have said in the past also, as and when we produce ENA, the losses on account of that automatically gets captured. And if you see our numbers in the quarter gone by production of ENA was around 1.6 crores liter in the quarter. To that extent, there will be an automatic adjustment.

Page 14 of 16 Marshall: No. So, if you don't mind, can you just give a little bit expansion on this policy itself. That like if you produce more than 20% from your C molasses, then you don't have to sell it levy? Or how does it work?

Vivek Saraogi: Let me attempt to answer. This is not such an important question, but we are facing it 10 times, I'll answer it. 0.73 is the ratio which you said, right, or 73%? So, if you take 26% C and multiply that by 0.73, you get to 19%. So that is how the liability would be calculated. What the figure will come to is what we will produce and give to the government for Balrampur. Last year's policy expires on 1st in November. This is the new policy.

So, in last year, we have supplied ENA, we've accounted. This year, we'll supply ENA, we'll account. When we produce, it will be produced during the season. And it will be produced, you store the C molasses and your distillery also. Their liability has to be made in 12 months. We produce store whenever we produce or – Pramod, have we book liability on the supply?

Pramod Patwari: Yes. Produce.

Vivek Saraogi: So, the moment we produce, we book it. What you see in the accounts in the blended realization. The blended realization is lowered or truncated downwards by ENA prices. So, when you see the blended realization is accounted during the quarter. So, therefore, Balrampur's liability is determined because we don't do supply molasses. That is a losing business compared to ENA. So, we convert the levy molasses into ENA and supply equivalent quantity. Now that is booked in the manner I've explained. Am I clear now?

Marshall: Yes. So, this is clear. Maybe I'll just take it offline also. So, like this notification is still valid? Or they have withdrawn from the current amount of molasses here from November 2023?

Vivek Saraogi: From 1 November, they have announced this new policy. So, when a new policy comes, the old is finish, right?

Marshall: So, in the new policy, what is the treatment for this particular regarding B-heavy molasses?

Vivek Saraogi: Please take it offline. I have explained.

Moderator: The next question is from Nitin Awasthi from InCred Equities.

Page 15 of 16 Nitin Awasthi: I had just one question around the molasses policy, but it's been asked a few times right now and I know that you have been very annoyed by it. I have a very specific

question, don't want to go around the policy and what and why and how. If that can be answered, it'd be very nice.

In absolute terms, we had a policy last year. The government increased that to a notification, which is not available in the public domain through various routes and you specifically supply to the government via the ENA route. So was the absolute quantity increase for the ENA route also. And if so, has that already been forced? That's one.

Vivek Saraogi: So, let me explain, I'm not annoyed. I'm sorry if I sounded agitated. My apologies. We're very clear on two things. Balrampur will account for what is to be accounted. You get the cleanest balance sheet in the country, in my view. So, we take pride in our accounting. So don't worry.

Two, let me explain again. So last year, B -heavy was accounted for 20%, right? In some wa

y, that is a bit of an improvement from there. C -heavy was accounted for 20% to 26%. So probably that's an improvement. There were some ratios which were put into plac e, which were erroneous. So, to some extent, technically, this policy might be more practical than the last policy. It is a big drag, yes. So, we have accounted for all our ENA to be given. Which is not accounted or will get accounted for during production , and that will get booked in that manner, correct?

So, there should not be any feeling of that the liability is not accounted for. It gets accounted for during / via production. Have I been able to explain? Yes, have I been peacefully able to explain now?

Nitin Awasthi: Yes, sir, you have. Thank you so much, sir.

Vivek Saraogi: Yes, so there's nothing to worry. I'm feeling a sense of worry in the investor or my shareholders, my precious shareholders. There's nothing to worry, guys. And all policies will get challenged. We'll do our legal bid, what happens? That one, I can't guarantee.

Moderator: Thank you very much. Ladies and gentlemen, as there are not further questions, I will now hand the conference over to the management for closing comments.
Page 16 of 16 Pramod Patwari: Thank you very much. I hope we have been able to answer all your questions satisfactory. Should you need any further clarification or would like to know more about the company, please feel free to contact us.

Vivek Saraogi: Thank you everyone.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Feb 2024

27th February, 2024

National Stock Exchange of India Limited
Listing Department , Exchange Plaza, 5th
Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E)

Mumbai- 400051 BSE Limited

The Corporate Relationship Department 1st Floor, New Trading Wing,
Rotunda Building, Phiroze Jeejeebhoy Towers Dalal Street, Fort,
Mumbai - 400001

Symbol : BALRAMCHIN Scrip Code: 500038

D

Dear Sir/ Madam,

Re

f : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015

Sub: Transcript of Conference call

In

terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed herewith the Transcript of the Conference Call relating to
Polylactic Acid (PLA) project held on 21st February, 2024.

T

The same has been uploaded on the website of the Company at the following web page:

<https://chini.com/investors/concall-transcript/>

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Thanking you,

Y

Yours faithfully,

For Balrampur Chini Mills Limited

M

Anoj Agarwal

Company Secretary and Compliance Officer

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Balrampur Chini Mills Limited

Conference Call Transcript

February 21, 2024

Moderator: Ladies and gentlemen , good day and welcome to Balrampur Chini Mills Limited's
Conference Call .

As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes . Please note that
this conference is being recorded.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you and
over to you.

Anoop Poojari: Thank you. Good afternoon, everyone and thank you for joining us on Bal rampur Chini
Mills conference call to discuss its venture into Poly Lactic Acid Manufacturing.

We have with us Mr. Vivek Saraogi – Chairman and Managing Director of Balrampur
Chini Mills ; Ms. Avantika Saraogi – Executive Director and Mr. Pramod Patwari – Chief
Financial Officer of the Company.

We would like to begin the call with brief opening remarks from the management
following which we'll have the forum open for a question -and-answer session.

Before we start, I would like to quickly point out that some statements made in today 's
call may be forward -looking in nature and a disclaimer to this effect has been included
in the invite shared with you earlier.

I would now like to invite Mr. Saraogi to make his opening remarks .

Vivek Saraogi: Good afternoon everyone and thank you all for joining us on Balrampur 's Conference
Call to discuss our foray into Poly Lactic Acid.

We have been discussing for a long time with all our shareholders , our next step, and
our next ventures. Our team has been researching over three to four years and the
management team therefore has approved this basic investment to establish a state -
of-the-art PLA project costing around Rs.2,000 crore with globally comparative size of
75,000 tonnes per annum and this represents the single largest investment in the
history of our Company.

Besides making business sense, which we 'll talk about , this decision also reflects our

commitment to innovation, our belief in sustainable development and our ambition to leverage our capabilities in meaningful and impactful ways. The PLA project is a natural extension of our efforts, signifying our vision to lead in the industry while contributing positively to the environment and society.

As we foray into this new segment, it is important to understand the sector dynamics. Just some very basic data. The global primary plastic production is currently ~400 MTPA with a market value of over a trillion USD. This is the plastic used in main applications of life. Despite their usefulness, traditional fossil-based plastics represents the linear and are not a circular economy. The global PLA market is ~300,000 to 400,000 tonnes per annum, growing strongly, often driven by national legislation. So, now this is some

global data.

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Our government in the budget 2024 and we put out a clause which they put into the budget. I quote in the 2024 budget, a significant step towards promoting green growth is highlighted with the introduction of a new scheme for bio-manufacturing and bio-foundry. This initiative aims to boost environment-friendly alternatives like biodegradable polymers, bioplastic, bio-pharmaceutical and bio-agriculture inputs. This is a measure which has clearly been put with a premise of combating global climate change which impacts the environment owing to single use plastic consumption.

I would also like to just inform everyone that we have appointed Mr. Stefan Barot as the Head of the Project. Stefan comes with a wealth of experience of over 35 years, including thirteen years in the bio-plastic industry. He has gracefully concluded with his role as President of EU Bioplastic Association and his current assignment before he joined us, was as CEO of a bioplastic compounding company. Prior to this, he worked with Total Corbi on in various capacities and therefore he is aware of the entire technical-commercial requirement of this business. He is a chemical engineer, representing the technical part and he was head of marketing there. He would be joining us 1st of March. So, with this, I hand over the floor to Avantika to take you through some basics.

Avantika Saraogi: Good afternoon everyone and thank you for being on this call. I just want to outline the landscape of the PLA market scenario because I envisage that is probably an important part of this equation. My dad highlighted briefly about the size of the plastic market.

I just want to bring to everybody's notice that globally, places like Europe are moving towards a 30% bio-based chemical and polymer economy of which PLA can replace the sizeable amount. Clearly, it happens to be the cheapest and the most largely manufactured bioplastic in the world today, and therefore I would consider it a pretty safe space for us to venture into.

Other than this, if we zoom in a little bit and just think about India, we alluded to 19 single use plastic bans in the earlier statement. Now these things alone constitute five million tonnes of plastic in India. At least 50% of this can easily be replaced by PLA, whether it is in a compounded or neat form. So, our 75,000 tonnes would be probably a blip in that kind of a market. So, the market is there, and the bans were not always able to be enforced effectively due to the lack of an alternative material. And we know that PLA is actually a very, very good material for replacement.

Another question might be a bit on the price. So, PLA will be slightly more expensive than plastic, I would say maybe around double, but when there is a ban in place, then price of the traditional plastic versus the bioplastic no longer remains.

Other than this I want to mention that without any intervention from us or any dialogue from us, the world and India is already moving towards PLA in its compounds, for example, for years, Starbucks has been using PLA in its cup, straws, stirrer, liners and paper cups even before there was any legislation in place. Companies are becoming conscious and moving towards a greener tomorrow without any push. Of course, legislation help and companies like Amul, which is a daily household name in our country, it has moved on to PLA straws as of very recently already. When a company like Amul moves towards it, everybody would happen to follow, I think.

Other than this, a notable news, which is also shared in the release was that DRDO has launched water bottles made from PLA, including the cap, labels, everything and they are also in the process of doing juice bottles as well as food trays and everything for the armed forces, especially when they go to remote locations as disposal sometimes would become an issue.

Other than this, garment

manufacturers, Aditya Birla is the largest name, so we are taking it. But from the largest to the smallest, garment manufacturers are moving towards PLA and its compounds to cling film that we see around single garment, this is moving towards bioplastic. These are just some of the markets that have already

developed in India, which is well -known.

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Other than this, PLA is an engineering polymer for the 3D printing industry . What I mean to say by this is there is no better polymer in the world today for 3D printing other than PLA.

Also, since PLA is a bio -based non -toxic plastic and when it breaks down , it breaks down into lactic acid which is naturally occurring . It is quite a sort after material for medical devices which need to be used in our bodies, which can then just kind of fade away without leaving any kind of impact on the body.

Other than this, I would say that we aren't just thinking in a bubble of creating PLA and PLA alone, but we are talking about the entire value chain right until the end of life. So how I would say this ? As we know already that we start off with sugarcane , we convert to sugar, then it would come into this plant , it would ferment it to lactic acid and then finally it would be made into lactide and polymerized into PLA , that's the process. And then we would either compound it or we would sell it neat to the converter to make it into an actual bag or a bottle or a straw or a cup or a paste , whatever you require , and then it goes to the end consumer . Supposing , it's used for packaging, then one more person who has to fill the packaging comes in to place . We will also be hand holding the entire process and we have also invested for this particular part into a company called Konkan Special ity Private Limited. They are one of the leading compound ers and converters of bioplastics in the country , and they are able to provide solutions to any and everyone who needs and would like to use bioplastics in their products.

Apart from this, there is a concern about PLA being compostable and not biodegradable under normal conditions . Though, this is a western concept , in India, the temperatures rise so much and in summer probably PLA would disappear. But having said that, the end-of-life scenario is two -fold.

So, the first one is that it is compostable, therefore it fits very well into our bio -gas story in which India has already set foot and is kind of running hard , it can be taken to a composting facility where biogas is being generated by anaerobic digestion. So that's one end of life scenario for it . But the better end of life scenario would be , that if we were able to recollect and chemically recycle it . It does not behave like fossil -based plastic where it degrades. PLA degrades back into its original monomer from which it is then re -polymerized , and it has the strength and the ability of the virgin PLA that we would have made. So , this is also a very , very big possibility and a big idea in our minds . How it plays out ? It has a lot more people in the value chain to talk to.

Other than this, this project will take around 2 to 2 .5-years to be executed. So , in that case we have this entire time to create the market and develop the business so that as and when our production comes in, it gets evacuated as soon as it possibly can.

Now, there are other biopolymers which are either bio -based or bio -degradable or both.

So, the main ones I would say are PBAT and PHA which have gained traction in the recent time s. So PHA is a bio-based and a bio -degradable polymer like PLA, and it's softer in a way that it degrades faster than PLA. So , I would say that this is actually a very, very good thing for us. PBAT similarly is stretch y and a less rigid version of a plastic which is made from a fossil -based source at the moment.

So, now these things are not in competition with each other. In fact, all these t

hree

plastics would feed off each other's demand because you make recipes , and you make compounds with as and what you need in order to create the properties that you so need. For example, if I wanted to create a marine degradable plastic which is prone to the ocean and it goes away . It would probably use PLA and you could probably compound it with some small percentage of PHA which would then lend this characteristic to the en tire product. Similarly, if I want to create a softer bag, then I would probably blend it with PBAT which would cut a bit of the rigidity of PLA and also give some strength to it, and both would feed off each other to create this perfect product which would then go in the hand of the people. So , these bioplastics as much as they grow together would actually give us a lot of tailwind s and it's not in competition, but it's essential to the growth of each other.

I think that's it from me. And we are open to questions.

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Moderator: We will now begin the question -and-answer session.

The first question is from the line of Sanjay M anyal from DAM Capital.

Sanjay M anyal: Sir, just want to understand a bit of economics of this project means what could be the asset turnover , what could be the margins in this business? So, won't there be a concern about the sugar production, because raw material would be sugar. So , in a current scenario like there could be a restriction on this product as well in the future whenever there is a decline in sugar production, so that's one . And if you are going to a B2C

business also, as you have been mentioning, so will you create a distribution network also for this product?

Vivek Saraogi: Noted. Avantika, you take up the last, I'll take the first.

Avantika Saraogi: So, if we just go backwards, this will still largely remain more B2B than B2C in many ways, because we have to first sell to a compounder. But if you consider that as a B2C model, definitely, we would be creating distribution networks not only in India, but all over the world as well. And these are fairly established simple plastic distribution models which we would just kind of partake in. It's not at all anything complicated and it's not even very capital-intensive in anyway, that's one thing.

Vivek Saraogi: If ever there is a shortage in sugar production, the plant will be able to run on starch which means other forms of starch.

Avantika Saraogi: Any other bio-based material which can be used to make ethanol can also be used to make PLA.

Vivek Saraogi: And the quantum of sugar we're looking to use to make this much PLA is insignificant in the country's perspective. For the ROI part, I'll give you a dialogue at the end.

Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: So, I have two, three questions. One is that who is the technology partner we have selected for this project and whether that provider would be giving the technology in pieces or as a whole? Second is that you alluded to the budgetary announcement. So, what kind of budgetary support are we looking at, any immediate we are looking for this project from the government side? And my third question would be, there are some international companies who are into this bioplastics business. So, they are in to losses, how does our unit economics stand against them on profitability front?

Avantika Saraogi: So, I leave the budget question to my dad. I'll address at first the other bioplastic manufacturers, and I don't know where you got this data of loss, because as far as I know there are only around three or four large PLA ventures, none of which are presently listed, and secondly, I know for a fact that they are not in losses at all as far as I know. Secondly, I want to talk about a strategic advantage that we have, which no other player in the world has. We would be located right next to sugar

units with one of our

sugar units and it gives us a lot of basic landscape which is already there. We would have bagasse of our own for power. We would not need to use fossil-based or gas or any other sources of energy. So, these are the strategic advantages that nobody else in the world has. So, in terms of cost of production, I should hope that our cost of production shall remain up there.

Vivek Saraogi: The NatureWorks and these people, the ROIs has increased.

Avantika Saraogi: So yes, I mean NatureWorks who is the pioneer of this technology started 20 years ago, but since the last five years it has been doing quite well, I would say, and you can see that with the growth of the PLA market from just simply between 2019 & now.

NatureWorks also announced their second plant and people are announcing second plants left side or center. So anyway, other than this, about the technology portions, we are not yet at liberty to say, but like soon enough we will also disclose all those aspects.

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Shailesh Kanani: So, if I can just revert, as you rightly said, there are not many listed players, so I was looking at one of the listed players, Danimer Scientific, which is in US, but it is into both the products, that is PLA and PHA. So, they are into losses so I was referring to those numbers. You are right.

Avantika Saraogi: The information is not correct about Danimer being a producer of PLA. They are in to PHA.

Shailesh Kanani: PHA and PLA, both they are into.

Avantika Saraogi: They are combining most probably they are not producing PLA.

Vivek Saraogi: If I can share maybe the NatureWorks result in all which is in public domain.

Avantika Saraogi: The Total Corbion results could possibly be.

Vivek Saraogi: Let me just take you through the entire landscape of the government support as I see it. When we build our project, we only sort of look at what the existing schemes are already. So even in our P&L, we try and not build that. So, there is an existing set of schemes already in the UP industrial scheme as well as the central scheme. That is part one. Part two, it very clearly highlights what I've said in the beginning, that if the budget is set, a new scheme is on the anvil. The new scheme probably will come out with the full budget, we will await for it and work very closely with the government. So, if we see how this government has sort of taken industries ahead and the way it's worked, so the government is very sensitive on a few sectors. If you see the API scheme, the micro-chip scheme, the defense in cane, the climate change, the passion of our Hon'ble Prime Minister towards a bio-based economy, etc., We are very clear that there is a scheme which is going to be lucrative. We are also very clear that the "Swachh Bharat" and "Atmanirbhar Bharat" for production will both come into play here.

The climate change, the amount of money the world is putting in and what probably would, sort of not see us through, but put us a long way ahead, could also be there in terms of the scheme. So, the climate change you do see some pennies here, you get pounds in the climate change. "Atmanirbhar" we have seen. So, what I'm saying is we see a lot of tailwinds coming in into this phase from the government. We don't do government-based numbers, we do our own numbers and at best we will take some existing basic schemes in goodwill. So here we are seeing a lot of benefit from the government in each sphere of this business. But our numbers don't sort of replicate that. I'll just take you through our research and how we have done our numbers. So, as Avantika just said, our raw material is going to be at our doorstep with zero transport cost. So, if you see some of the global players they transport starch to their facility. Our energy needs are again at our doorstep. We've seen how the gas pricing can be erratic,

how crude or any energy pricing globally and our energy cost and this is an energy-intensive business. So there lies our advantage, one, there lies our advantage, two. Our costing, our labor, our machinery, and our ability to stitch the technology together, we have no doubt, we have spent a long time before announcing our project, probably years of dialogue and research. Very soon, we should be able to put up a far more detailed scheme in front of the board with all the details of the technology partner also. We don't believe in going with the second best, we believe in going with the best. So, our local advantage, our locational advantage, our looking at the government scheme. Our two years, two and a half years we have for research and development, product development and teams will be hired for that. Stefan being an expert on both the technical side and the marketing side and developing the market. That's what he did in his last venture and the Modi government's mindset over the years. This makes us believe that not only are we in the right space, but we also have the right capability and advantage to execute this and take this ahead. We see scalability also in our minds. So that's how we see the basic landscape of this business, why we got into it and our thinking as to how we will remain globally competitive in this line. This is to give you a basic idea of why we went into this.

Moderator: The next question is from the line of Vikram Suryavanshi from Philip Capital.

Vikram Suryavanshi: Sir, you said that the raw material will be starch. So, will it be also flexible to use sugar raw material also or it will be only starch?

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Vivek Saraogi: So, our basic raw material is only going to be sugar. At times, you might put something more.

Avantika Saraogi: I want to take it one step further. We can use sugar, we can use starch, in the future we plan to use agricultural residue, forest waste and even bad land crop which I mean this is all we have already.

Vivek Saraogi: It will all evolve, but our basic material is at our doorstep. Research will decide what is the best material to be used, etc., which is cost effective.

Vikram Suryavanshi: And when you say sugar, it is a sugar juice, not like process sugar.

Vivek Saraogi: It is raw sugar which is exported that sugar.

Vikram Suryavanshi: But we can ferment juice directly and save the cost or that will not be viable option?

Vivek Saraogi: No, no. Only Sugar.

Moderator: The next question is from the line of Vinod Malviya from Union Mutual Fund.

Vinod Malviya: So, I have some few questions. Can you provide some data like how much sugar need to be diverted for the 75,000 tonnes of capacity assuming 100% utilization?

Vivek Saraogi: Around 1,10,000 tonnes.

Vinod Malviya: And the second question, is there any Plan-B, let's say if the product doesn't get fructified for the use of bioplastic, can there be any other application which you can also target in case if bioplastic doesn't really pick up?

Avantika Saraogi: I don't understand the question.

Vinod Malviya: The PLA which you're talking about will be used to manufacture bioplastics, right?

Avantika Saraogi: No. PLA is a bioplastic.

Vinod Malviya: Is there any other application apart from this which you can use this plant if the bioplastic doesn't really pick up?

Avantika Saraogi: I'll make it simple. There is an interim product called Lactic Acid. We don't envisage that lactic acid would be the product, but there is an intermediary which is lactic acid in a situation that is horrible, that will always remain as an interim product. Also, lactide is an interim product. These things will remain, but PLA is definitely the play here.

Vinod Malviya: You said that sugar would be a primary raw material, but in case if the sugar is not available, the starch would be used. Can you also then broadly talk

about what kind of

IRR you would be making on the project both with sugar as well as using other starch

in case if you don't get sugar?

Vivek Saraogi: Just to be clear, this is the first time in the last 15 , 20 years I've seen this equation for one year . Two, the amount of sugar needed is not even 10% of Balram pur's production , which means it's not even 0.3% of India's production . Three, in my view, there is going to be no ban of a product like this because government is going to be very keen to make this. So , if there is a ban on export or ethanol, it does not mean a consumer like Coke cannot use sugar. I never see a problem of a consumer not being able to buy sugar in India. So , to my mind , that is not a risk at all. But people feel it , so people have put it on the table. Having said that, there is lot of options available.

Avantika Saraogi: And the IR R don't change.

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Vivek Saraogi: IRR don't change substantially. So just to be clear, right, when ethanol diversion was sort of restricted , there was no consumer in India who is told don't buy sugar. Because you don't have sugar to mix in your tea on the table at home, it does not mean a candy manufacturer or a halwai or coke was told not to buy sugar because that is consumption. This is again a need which is very different. So , if we read what the new scheme for bioplastic , etc., and the sort of thrust the government has because of banning the products will be a very different mindset as we proceed in our field.

Vinod Malviya: Sir, can you provide the technology partner?

Avantika Saraogi: Actually, we're not yet at liberty to say . When we are, we will come out with an announce .

Vivek Saraogi: As you know, with these people, there's a lot of NDAs and all.

Vinod Malviya: Before this groundwork starts for setting up this project, do you plan to get any anchor customer by giving him some equity or any such arrangement which you're looking at , or it could be a pure commercial arrangement by sell arrange which you're looking at?

Vivek Saraogi: No, no, we don't look at diluting any equity in people in initial stages at all.

Vinod Malviya: So, you're not looking at any anchor customer or anything as of now?

Vivek Saraogi: So, just to be clear, the customer, if he's a buyer, it's going to be dime a dozen as we decided. So , there's no anchor customers so to say?

Moderator: The next question is from the line of Achal Loha de from JM Financial.

Achal Lohade: Sir, you talked about the global market. Can you talk about the India market, how big is that, how is it showing , how do you see o ver next four , five years, 10 years what is the kind of opportunity ? Where I'm coming from is that is this the only one plant or could there be hundreds of such plan ts industry would look at , basis the size ?

Avantika Saraogi: I did just touch upon it, but the single use plastic market alone in India is 5 million ton as of 2021 , it's only grown from there. Most of this or at least at a conservative level, half of this can be replaced by PLA. So, if we see the headroom, that much headroom is there, so 75,000 ton nes in a market of 5 million ton is simply a blip. Of course, if the market in India grows, I think there is space for more manufacturers, and I think that would benefit the world and India quite greatly.

Vivek Saraogi: So also, I'd like to just put the concept of the fear of pricing , if one may. So currently, even if we want to tell the government that, please go ahead and let us say enforce this regulation on these 19 SUPs . The kind of supply we can commit will result in just enforcing it on caps and straws and things like that. And that cap on a bottle, the pricing will have no impact, hardly some paise, it will get digested with the tagline of being bio-compostable . So, we do not even see a price resistance initially.

Avantika Saraogi: Or at all.

Vivek Saraogi: Or

at all. Because of not using the entire bottle , because that many goods you can't give.

Avantika Saraogi: And, it's becoming more expensive to be more polluting as the days pass by.

Vivek Saraogi: There are EP R regulations in place.

Achal Lohade: Second question is in terms of the approvals, what kind of approvals are needed to go ahead with this facility in terms of environmental or other ?

Vivek Saraogi: Nothing , regular, no tension there .

Achal Lohade: No issue with respect to approval ?

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Vivek Saraogi: No, no. We will be putting up all the machinery. That is not a problem.

Achal Lohade: If I may ask this question, it obviously appears to be an extremely good move from a sugar company perspective , but what is one of the key risk s in your opinion which could worry you given the capital commitment you're looking at ?

Vivek Saraogi: So, in our minds, we've debated the risk for over a year , and we come out having a solution for the risk, but how can I say , technology , quality and all, but we've all seen that quality.

Avantika Saraogi: There were 70-point s risk mitigation plans . If we could think of a risk, we've mitigated it. If there's something we can't think of, then we are not capable enough to think of at the moment.

Vivek Saraogi: So what we are trying to say, we've debated a lot with this already, I think we have maybe spoken, with technology, would you be able to make the correct product, we feel confident, but yes, definitely if you don't make the correct product, you won't be able to sell it, because the product has to be correct, whether your costing would be okay we can research enough. So, things like that I think we've sort of debated and seen. What we don't have a problem at all is with the market. We think it's going to go leaps and bounds beyond our imagination. If you see P LI scheme, it's coming in for API, "Atmanirbhar Bharat", micro-chips, anything which India needs, defense, we have imagined that this would be the sort of market for defense manufacturers, I don't think so. So, probably what the government wants from its own country is supported very well. And as we said, we have not relied on it, but that in my mind will create a huge market.

Achal Lohade: Since you touched upon the scheme part of it, you did mention that there is already existing scheme under UP and central government policies. Can you give some color what kind of benefits are there as of now? And I know you're talking about the new policy the budget has come up with.

Vivek Saraogi: Exactly, UP government scheme is above 1,000 crore.

Achal Lohade: I don't know if you could see what exactly are the schemes in place?

Vivek Saraogi: There's the UP-government scheme of above Rs.1,000 crore, the GST waiver, there is a capital subsidy or GST, etc., import duty remission, etc., But those are all available in the public domain for you.

Avantika Saraogi: And they are industry-agnostic.

Vivek Saraogi: Just investment-linked schemes.

Achal Lohade: Would you be able to quantify what is the total benefit?

Vivek Saraogi: We will attempt to. No, we've not quantified as such because we are going ahead.

Pramod Patwari: We have not factored a cleaning of incentive amount in our internal leverages.

Vivek Saraogi: Achal, It's available on the internet.

Achal Lohade: You said you will cover the financial part at the end of the call-in terms of the utilizations, how soon can you touch peak utilization, how do you look at additional capacities, could the additional capacities come at a lower cost, any of those things?

Vivek Saraogi: So right now, being at the beginning of the execution of the project, yes, your questions are absolutely in place. So, what we have seen is we have some idea of the project cost now which we put up. Some clue on the turnover, some clue on the global pricing and our cost

comparative costing to global pricing, replicability of the project at a lower cost.

The kind of people we'll be working with will ensure that quality and the cost of

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production we hope to achieve would be probably lower than the global cost of production. So, these are some numbers at our command and doorstep. Having said that, I would not want to venture out into giving an IRR with and without government scheme. That would come a little later when the DPR, etc., gets frozen and all the costing parameters get frozen. So, suppose you need 200 tonnes of bagasse, or you need 500 tonnes of bagasse. So, things will differ, or you need 1,10,000 or 1,20,000 tonnes of sugar. In the next 6-8 months, all that will get concluded. Having taken everything on the higher side also, having done sensitivity analysis, seen the numbers, and worked with the technology partners and consultants very closely before we've announced this project, we feel confident of a few things, being able to achieve capacity very soon, in a project like this maybe 3-6 months, we feel very confident of delivering globally, best quality US FDA level approved. All these checks and balances will be built into the warranties of the supplier on time and in full kind of concept. We also have understood the basic need for the raw material and energy cost and energy needs. We find it at our doorstep based on the identification of location of this project being closest to one of our largest plants. So having done things like that, we feel very confident on the financial side as well as the technology side. We've not yet factored in any benefit on funding which we hope to get at a much lower cost tomorrow or government schemes which exist or will come out. Plus, we feel extremely confident of building the market, this partner investment to KONSPEC, DRDO calling them, just shows us what kind of potential exists. We feel confident on all the spheres.

Achal Lohade: This will be largely domestic focus, right?

Vivek Saraogi: Yes.

Avantika Saraogi: Largely domestic focus definitely because it is better for the country. But in the event for any reason, if it's domestically not consumed, we would definitely export if the prices are good.

Vivek Saraogi: That's why I said our quality will be export standard. If what comes out from this factory, it probably would not be anything less which comes out from a Nature Works.

Moderator: The next question is from the line of K austubh Pawaskar from Shreekhan.

Kaustubh Pawaskar : Just one question from the government scheme perspective. Like in ethanol what we have seen, government has a clear strategy that ethanol blending should be around 20% over the next five years. So , do you expect some kind of initiative coming in from government point of view that as ma'am said, that single use plastic is around 5 million tons. Even not five years , over the next 10 years, at least 15 % to 20% of the single use plastics should be converted or should be replaced by PLA, such kind of initiative you expect from the government end, which will give a clear picture for you and the other companies or industries to come up with such kind of projects ?

Vivek Saraogi: So, as I said in the beginning, if you just read what the budget has said, the new scheme is on the way. So, I hope all parts of it will get covered. They will encourage you to manufacture domestically and ensure that your domestic market is there , plus, nobody can dump. So , what happened in ethanol? You will not understand what can happen here. But if we replicate that, what did government say? Government said , I want 10% to begin with and then 20% from ethanol. And they said , I don't care about what the crude price is. So , when crude price went to zero or 10 or 20 , our price was 60 for B-heavy, which was much higher than what they could have got from the market . When you go into

mandates which are globally also in the same space of being supported through legislation to create demand, the concept is , I want so much of mixture as you said, because I want the climate change in place. Hence , what you said with the correct sort of demand and pricing will both come into play with support schemes . So, we feel very, very buoyant as we go into this. But that's how we see it . And you will see in the next three to six months a lot of schemes come out. I hope this scheme comes out with the new budget itself.

Kaustubh Pawaskar: And you don't expect pricing to be an issue because as ma'am said that it is two times the prices are higher compared to what the current traditional plastics being used in the market , so it should not be an issue for us , we expect the demand to be better for this product ?

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Avantika Saraogi: I think the demand is already there and growing without anything being done in terms of pricing firstly. This is because when there are bans in place and when there are EPRS in place, then plastic usage and comparison to fossil -based plastic is out the window. We are talking from a comparison with cloth with cardboard and those other things . And I think in terms of usability and pricing everything we should be good.

Vivek Saraogi: And another point which I said to begin with, for India to feed its people and replacing the fossil fuel plastic , you would initially only be able to provide for the caps and the covers and the straws which do not form a very reasonable sort of price shift if you have to buy a bottle. But having said that, yes, what Avantika said is valid and globally valid . So, people are with the same kind of fear with ethanol .

Avantika Saraogi: For example, even we would be competing with a glass bottle right , when it comes to water , for a single use plastic bottle. See , obviously we would be better than glass . So that's what I'm trying to say that do not compare because it does not exist the comparison anymore with traditional plastic.

Moderator: The next question is from the line of Gauri Anand from Old Bridge Asset Management.

Gauri Anand : I have two questions. One was , you happened to indicate that you will use sugar crystals or in place of crystals the alternate would be any form of starch. But when you look at the crystals, the form is of course one is liquid, one is solid, and the sucrose content also varies. So , if you can just help us how should we think about the fermentation perhaps from sugar crystals and perhaps from any form of starch , that's one? Second is I heard that you really can't share a lot of financial details , but in terms of funding this project, is there a debt -equity target in mind ?

Avantika Saraogi: For the first question, the sugar crystal, obviously you will not put crystals into a fermenter, it has to be liquified and diluted in order to ferment it and similarly for starch. This is a non-issue. The capacity of starch is backward linked to what is required in terms of lactic acid and then PLA? So, this is a non-issue .

Vivek Saraogi: And we did explain that. And our thinking is 40% internal accruals and 60% debt.

Moderator: The next question is from the line of Tejas Sonawane from Asian Market Securities.

Tejas Sonawane: I have a couple of questions. Firstly, we have also done a minority investment and to Konkani Speciality aspect with that. So , I just wanted to understand what would be the role of you know Konkani Speciality in the entire PLA investment and our plan going forward ? And secondly, you also indicated that there are a couple of other biodegradable plastics in the market as well. So , in terms of overall profitability comparing PLA to the other two products , where the PLA stand in terms of profitability and going forward, do we also have an option to produce the other two or three biodegradable options which you indicated in

thead of PLA?

Avantika Saraogi: So, I'll start with the role of Konkani Speciality. So just to put really like in short is that Konkani Speciality will have the ability to handle most of our PLA produced and they will also be creating the demand for the same if the need so arises. So now PLA is used in two ways. I'll try to explain this kind of difficulty on the call. So, PLA is used neat and then PLA is used as a compound or a master batch. A master batch is as much as salt would be in food. So, it just lends some characteristics which are required, which are mixed with the neat PLA to create like let's say a cosmetic tub. Then it could be a bottle which is mostly made of neat PLA completely. Then there are compounds which are used for plastic bags which would let's say be in like a 60:40 ratio of PBAT and PLA. So, there are 'n' number of things like this depending on the use. The role of Konkani Speciality would be to make these recipes and solutions to all big or small companies who would like to utilize or who we touch to utilize our product. So, they along with others, it's not just them, we just happen to have invested in them because we find them to be the leading players in India, but even globally, there are many who would then become the enablers of PLA usage, make it something viable and easy for the end customer to use. I want to add in one very important point which I think we missed, is that the existing conversion and compounding landscape for traditional plastics can be easily utilized to make the same products with bioplastic. Now, other than this, your second question was, can we produce later on, the other bioplastics? So, at the moment, to be specific,

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PBAT is produced from fossil-based sources, but it is biodegradable, therefore, it's called a bioplastic. So PBAT, I don't think is something that we would look at. PHA is made from glucose, it's a far more complex process and it is more expensive, and the hit rate is lesser, like the success rate it's harder to make. Probably like it is lesser. So, in terms of profitability, I would think that PLA should be the best because it is the largest manufactured bioplastic in the world today.

Moderator: The next question is from the line of Amit Kumar from Determine Investments.

Amit Kumar: Just one point. You mentioned the global PLA market is about 300,000 to 400,000 tonnes per annum right now. What is the kind of growth that we are seeing in this market right now?

Avantika Saraogi: So, there are figures ranging from 12% to 20% CAGR depending on which research report you see. So that we expect to keep it going. There are so many announcements of more PLA projects already announced, for example, LG Chemicals has announced in the US, Nature Works has announced in Thailand, Total Corbion has announced in France, I think there might be one or two in China, I'm not sure because China news is a bit difficult. So, I see growth coming into that same effect.

Amit Kumar: And in India, I would presume the market is going to be small, but it would have some market as you mentioned that Starbucks and Amul, few sort of players which are using this product. So, any sort of sense of what would be size of the market right now? Two and a half years means the project would be up and running fiscal 2027 and maybe full scale up in 2028, so we have some time. Where do you think the market size would be, I mean, organically I mean without sort of taking into account government actions in terms of dumping and all that? But organically, where do you think and where is the market now and where do you think it is going to be in three, four years in India?

Avantika Saraogi: To give you an accurate data for what the market is, today it's very difficult because PLA is not produced in India as we know, so we have to rely on import data. So, neat PLA import data is not accurate

urate in terms of demand because most of the PLA coming into the country and being used is coming in terms of finished product, such as already made cups, already made straws, so impossible to gauge from this how much is really the demand, but we envisage it to be maybe already between 20,000, 30,000 tonnes without anything happening and it's growing. But don't bind me to that statement because it's not possible.

Vivek Saraogi: It's going to be very big in terms of our thinking. ESG compliance needs or wants and the mandate. All three combined in our view which will propel the size and the demand.

Moderator: The next question is from the line of Arshiya Shah from ET Now.

Arshiya Shah: This is not related to the project, but I have a question with respect to supply options looking for ethanol production. There were some reports which suggest cabinet secretary is going to hold a review meeting today. Anything that the management to look at, not related to the project, but it's important?

Vivek Saraogi: No, ma'am. This is a project call.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.

Vivek Saraogi: Thank you, everyone for being with us today and I hope we answered your questions to the best of our ability. We do remain sort of buoyant and very excited as we move into this space. And we shall continuously as and when the next update happens with

the board, we shall concurrently have an investor call to keep you updated. Thank you.

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This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Feb 2024

15th February, 2024

National Stock Exchange of India Limited
Listing Department , Exchange Plaza, 5th
Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E)

Mumbai- 400051 BSE Limited

The Corporate Relationship Department 1st Floor, New Trading Wing,
Rotunda Building, Phiroze Jeejeebhoy Towers Dalal Street, Fort,
Mumbai - 400001

Symbol : BALRAMCHIN Scrip Code: 500038

D

Dear Sir/ Madam,

Re

f : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015

Sub: Transcript of Earnings Conference call

In

terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed herewith the Transcript of the Q3 & 9M FY24 Earnings
Conference Call held on 9th February , 2024.

T

The same is also uploaded on Company's website: www.chini.com

T

Thanking you,

Y

Yours faithfully,

For Balrampur Chini Mills Limited

M

Anoj Agarwal

Company Secretary and Compliance Officer

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Balrampur Chini Mills Limited

Q3 & 9M FY24 Earnings Conference Call

February 09 , 2024

Moderator: Ladies and gentlemen, good day and welcome to the Balrampur Chini Mills Limited
Earnings Conference Call.

As a reminder, all participants will be in the listen -only mode and there will be
an opportunity for you to ask questions after the presentation concludes. Please
note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you
and over to you Sir.

Anoop Poojari: Thank you. Good afternoon everyone and thank you for joining us on Balrampur
Chini Mills Q3 & 9M FY24 results conference call. We have with us Mr. Vivek
Saraogi – Chairman & Managing Director and Mr. Pramod Patwari – Chief Financial
Officer of the Company.

We would like to begin the call with brief opening remarks from the management ,
following which we have the forum open for a question -and-answer session.

Before we start, I would like to point out that some statements made in today's call
may be forward -looking in nature and a disclaimer to this effect has been included in
the results presentation shared with you earlier.

I would now like to invite Mr. Saraogi to make his opening remarks.

Vivek Saraogi: Good afternoon everyone. And thank you for joining us on our results con-call. I
trust you had the opportunity to go through the results presentation providing details
of our operation and financial performance .

I will initiate the call, with an update on current developments in the sector, followed
by our Company 's key highlights for the period under review.

As per the latest data from ISMA and the production estimates done by us, the
gross sugar production looks like ~33.2-33.3 million tonnes. Government has

allowed and approved diversion of sugar in form of sugarcane syrup and B-heavy molasses the combination of which is a total of 1.7 million tonnes. Therefore, leaving a net production of about ~31.5-31.7 million tonnes.

Factoring in an opening stock of ~5.6 million tonnes, domestic consumption of ~28.5 million tonnes, net production on ~31.5-31.7 million tonnes, it is projected, the closing inventory for the current year, that is 1st October 2024, would be around ~8.7-8.8 million tonnes.

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To address the anticipated increase in inventory, we believe it is necessary to divert more sugar towards ethanol production. We are hopeful and we are liaising with the Government to review its policy, which is limiting the diversion to 1.7 million tonnes for ethanol blending. This could help in alleviating the surplus. However, the temporary alteration made by the Central Government in ethanol production has compelled companies to adjust their mid-season strategies resulting in production of more sugar that was initially anticipated at the start of the season.

Consequently, this shift in focus towards sugar production will reduce the availability of syrup and B-heavy molasses for ethanol production. As a result, sugar will be held for a longer period of time instead of being promptly converted into cash flow through the sale of ethanol. This would add an additional cost as more working capital would be required and therefore a higher interest burden.

Amidst these challenges, the UP Government has raised SAP from Rs. 350 to 370 that's an increase of Rs.20 per quintal. The increase in cane price this year adds to the pressure already felt by the lower diversion as done by the Central Government. Shifting our focus to our business performance, we are pleased to announce healthy operational and financial performance supported by improved volumes, higher realizations across all segments. Enhancements in operational efficiency are driven by higher sugar production and further improved our overall results.

Our dedicated engagement with the farming community has yielded significant benefits by working closely with the farmers over the past two seasons. We have strengthened our decade-old partnership resulting in improvement in both the quantity and we are hoping for a higher recovery also.

Our efforts to enhance both the quality and quantity are proving successful, and we are hoping for a 10% increase in crushing and a higher recovery. A little too early to tabulate or give the figure but yes, we are hoping for a higher recovery definitely and already to date we are higher than last year.

To conclude, over the years, our integrated operations have enabled us to maintain a robust balance sheet and generating healthy cash flows, reflecting the strength of our business model. We remain committed to harnessing the synergies between sugar and distillery segments, which has been a key driver of our success. And, we therefore have the strength and the ability to navigate these transitory challenges. We plan to capitalize on future opportunities to create long-term value for our shareholders through a prudent balance between capital allocation, borrowing and reward to shareholders.

So, this brings me to an end of my discussion. Now, I would like to hand over the floor to Pramod.

Pramod Patwari: Thank you, Sir. Thank you, and good afternoon everyone. And as the presentation has already been shared with everyone, I would not like to repeat the financial highlights here once again, and we would straight away go to the question-and-answer session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Shailesh L Kanani from Centrum Broking.

Shailesh L Kanani: Sir, Congratulations for an impressive performance both in terms of operational and crushing for the initial part of the season. I would also like to take this opportunity to congratulate Avantika Mam as well for her new role and wish her all the best. First

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and foremost, I would like to get some guidance on ethanol volume numbers and which route would be used for the fourth quarter and FY 25 if you can shed some guidance on that?

Pramod Patwari: Thank you, Shailesh. For the FY24 nine months, we have already achieved ~20 crore liter sales including

the ENA and for the full FY24, the range is between 25-26 crore liter including ENA. FY 25 will be difficult at this point in time to make any guess because we are not sure what kind of policy the Government will have. So, even if I have to put any number, even if this program is repeated then definitely ~26-27 crore liter is minimum for next year also. Otherwise, we have the ability to go

up to ~33 - 34 crore liter of ethanol and ENA volume in FY25.

Vivek Saraogi: So, I would like to just add a little more and put things in perspective as I see them.

So, what we face this year is, I would say a reaction towards the election from both the Government s, center, and state . So, initial estimates were lower of sugar production at the net level and at the gross level, there were people who were talking of 29 million tonnes sugar production at the net level. So , that I believe sort of stoked a little too much of fear in the Government 's mind. And therefore, this kind of limit of sugar diversion was put in . Having said that, now I do not think anybody wants a price rise or any sort of eventualities we are going to deal with. So, therefore the stock is piling up. Now this pile d up stock would definitely be available for higher diversion next year. So, in my personal view, again it's a personal view. Even next year production even if it decr eases let's say 3 million ton ne you would move from a gross level of ~33.5 which is the gross level this year to ~30.5 let us say, which is still going t o be one to one and a half mi llion over consumption. So, in your current stock at ~8.5 million tonne you would have ~3 million and next year you would have a surplus of ~1.5 million. So , I believe personally that the ethanol program will be in full 100% flow on more juice , B-heavy , everything next year. And I have given you the rationale behind it. There is sugar available to be diverted . Again, if not diverted it will create a complete negative effect in the Government 's mind, the whole progr am began with th e rationale for diverting surplus sugar . Hence , ensuring market price and payment to farm ers with no excess stock, but a cash flow to the mills. It is an aberration of a year because of election to my mind, this stock which will come in hand will ensure that from next year onwards in our view, there will be no more aberration . I hope I have been able to give you the data correct; you have understood the data.

Shailesh L Kanani: Yes, it's quite helpful . Just to reiterate . So, in FY25 in the worst -case situation or I would say the situation what w e are currently in, we are expecting at least 25 to 26 crore litre of volumes, at least a flattish volume though we have a capacity of higher volumes, but we will do at least that in current situation ?

Shailesh L Kanani: So, we would be using other feedstock's like grain , maize, damaged grains, that would give us this comfort of 25 -26 crore litre?

Vivek Saraogi: Yes. We have only one multi -feed distillery , that is in Maizapur .

Shailesh L Kanani: Right.

Vivek Saraogi: That will be used throughout with these products hopefully . But the others are not multi -feed. They are planned for B-heavy and juice .

Shailesh L Kanani: Fair enough. And guidance based on th at estimate , on th at assumption that Government will relax the policy in for next season basically , fair enough it sounds logical and reasonable. Sir, can I get some data ke eping questions like , how would be our diversion of sugarcane for the current q uarter?

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Pramod Patwari: Quarter wise it is very difficult.

Vivek Saraogi: Very difficult quarter wise . You should see the season. Nine months has been disclosed . In the next quarter , you will get the next three month.

Pramod Patwari: But still, I would like to give an attempt . So, this year we got an allocation of around ~3 crore liter for juice base d

Ethanol . So, maybe around 37 to 38 lakh quintals of sugar will get diverted to wards that route. And around 11 .5 to 12 crore liter is B-heavy . So, rest we go for C -heavy only.

Shailesh L Kanani: Fair enough, that's helpful. Sir how are we looking at this season in terms of gross recovery , last season if I recall, it was around 11.6 % . So, we are e xpecting at least 11.6% right on the gross level?

Vivek Saraogi: Higher. On the gross level 11.6 2% was the figure last year, we are expecting higher recovery this year, higher than 11.6%. So, Avantika has just joined us . She will take us through the cane efforts made by us, and variety next year , this year, just a quick rundown on cane.

Avantika Saraogi: So, good afternoon everyone. I just want to update on the season already gone by and whate ver is left in th is season. So, up until now mostly we have crushed ratoon cane, which has already resulted in a better recovery than last year at this moment in time. Also, going forward our plant cane varietal mix is even better than the ratoon ca ne. So, this should result in a higher jump, even then what we are at now. So, the recovery is being higher and the cane crush being higher . Both of that will gross up , just the way it did last year. So, again in both ways we will have better results other than this, we have been able to tackle top borer, red rot and any other small or big phenomena whether it's E I Nino, whether it's La Nina, whatever it is, we are ready for everythin g. And we have been able to tackle it and we are coming out on top. So , I would say our varietal mix is probably one of the best in the count ry at

this moment.

Vivek Saraogi: It's a talk ask, but yes things are better .

Avantika Saraogi: Yes, things are good. So, I would say we are very positive for the season that left and for the coming season.

Vivek Saraogi: So, basically what has been achieved is through effort, we are now deep diving into even managing the soil deficiency , etc. So, we are taking this now to the next level, where we can build our reinforcement to the best of our ability against any climatic fluctuation.

Avantika Saraogi : And, I want to add one thing , multiple reports of El Nino phenomena dampening, and La Nina emerging will help industry at large as well.

Vivek Saraogi: Let's not make that claim right now. So, our variety , if you see our variety , it would be probably definitely the best in UP with minimum infestation of 0238 which is in some areas played havoc with red rot. So , we will emerge post season you would be able to see the comparison yourself. For all the companies are last year crushing, last year recovery versus current year crushing , current year recovery. We feel the delta for Balrampur should be the best.

Moderator: The next question is from the line of Achal Lohade from JM Financial .

Achal Lohade: Just to extend the earlier comment , Avantika you may with respect to cane development . Given the efforts gone into and the results what you are seeing, A. is
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there a substantial scope to increase the cane crushing in terms of availability of cane, or let's say over next three to five years, could this go up by 30 % , 40%, in terms of the existing acreage, as well as possibility of increasing the acreage ?

Avantika Saraogi: It's a little bit difficult for me to answer in the exact terms which you have asked but, I will attempt. So , we do have scope to increase cane to maybe ~10% more level at this crushing capacity that we have. If we need to increase crushing more, we will need to increase our capacity which can happen , which would be a management decision which would happen as and when it goes.

Vivek Saraogi : By the Board.

Avantika Saraogi: If you are asking me scope in East UP, yes there's definitely scope in East UP .

Vivek Saraogi: So, as she put it assume our internal estimates are ~10%-11%

higher than last

year, and we can crush ~11.4 crore quintals against ~10.30 crore quintal . So, another ~7%- 8% would take us to , just to put it our current capacity as a combination of sugar crushing capacity, juice B-heavy , we can handle up to ~12.5 crore quintals of cane with our current capacity. And we hope to get that next year.

Achal Lohade: And sir this assumes that we end the season by what May or that assuming to June ?

Vivek Saraogi: No, April end, early May. So, we will be able to begin early that is the best variety is 15023, we have a very good combination now, which can help us begin early next year. So, if you are able to crush that variety, when you begin the season, your recovery is not hampered. So , it allows you to start early , the same asset is used for 15 days more and that is a 10% jump on the production . So, no enhancement of season is required largely . You crush during the peak period by beginning early. So, farmer does not face disincentive and recovery is not hampered .

Achal Lohade: Perfect. Sir, the second question I had with respect to the diversion, the 1.7 million tonne cap the Government exports. You said that the Government , the industry is representing to increase this. Now given where we are currently standing on 9th of February. How much scope like , if the Government decides let's say tomorrow, in a positive way how much more can be diverted according to your estimate?

Vivek Saraogi: So, you want a very, very frank answer?

Achal Lohade: Yes sir.

Vivek Saraogi: I do not think the Government is allowing it. So , let's understand and let me be very frank as to what will happen and why and why I said what I said in the earlier call .

Over 10 years, our Hon'ble Prime Minister has personally been monitoring the ethanol program, even in recent biofuel conference he has again spoken about ethanol . So, this is a blip. A blip is going through a reason in their minds , I am not saying right or wrong. This is a pain point inflicted on us based on inflation, scare in Government's mind owing to elections. I do not see that coming off in two months. Hence, I do not think we are going to be allowed any diversion currently. Having said that, why I said what I said in the beginning is that the entire surplus will either be allowed to go into B-heavy Ethanol or exported if needed. So, the Government began with a rationale in 2015 -16. It has helped this and enhanced this program by giving correct prices for Ethanol from B-heavy , C-heavy , Juice/Syrup , etc. Even this year they compensated by giving a higher C-heavy price of Ethanol . So, that proves the program is a prima donna in their mind . The program is here to last, they love

the program, all the benefits of the program including the environment , farmer are

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all in place . This is a one-year blip. So, that blip lasts it gives you feedstock build up so th at you will continue permanently and lot of incentivization as we go ahead.

Achal Lohade: Got it. Another question I had is , how is the current realization how do you see it given the context of increased sugar inventory building up at the country level . How do you see the sugar prices playing out over the nex t few month s or even we are getting into offseason?

Vivek Saraogi: Yes, I would say on e's enthusiasm for a higher price as was felt before this limit of 1.7 million tonne sugar diversion. So, that enthusiasm is definitely tampered . Very difficult t o project, assume election happens and assume whoever comes in , the Government comes in and says okay, there cane price is outstanding, there is surplus export one mi llion. So, the whole trajectory changes. So, one ca n't predict the price , having said that, the current levels look close to bottom .

Achal Lohade: What is the current realization ?

Vivek Saraogi: I would say, let's say for UP ~Rs. 37.5-38 per kg looks

like bottom to me. East UP

basis , Rs. 38 per kg kind of looks like it is holding.

Achal Lohade: Understood Sir. One more question I had with respect to , you mentioned in your opening remarks future opportunities, would it be possible to get some more sense on this where , what we can possibly look at , where are we in terms of that decision making?

Vivek Saraogi: So, as we said earlier, the Board is deliberating, and you will hear when the Board decides.

Achal Lohade: Understood . Is it possible to get some more id ea in terms of the size, etc. or you w ill not commit as of now?

Vivek Saraogi: Size of what?

Achal Lohade : In terms of the CAPEX, in terms of the opportunity , or any could that be very large or could that be just .

Vivek Saraogi: If you understand, SEBI , Company law, is it possible for me to comment my friend, it's Board driven , can I say anything right now . As per law , I can't say anything.

Achal Lohade: Understood. Sir is it possible to get some sense given the cane cost we know, the broader sense we have in terms of crushing and the recovery . What could be the closing inventory valuation , I do not want a prec ise, precise last paisa per kg but a ballpark , could it be similar to last year or could be higher given the cane cost is higher , given the realizations are higher ?

Pramod Patwari: Though the cane cost has gone up, we are going to get the benefit of better recove ries and higher volumes. So, I think it should be valued around Rs. 34 per kg by end of March.

Vivek Saraogi: Against last year.

Pramod Patwari: Last year was Rs. 33.70 per kg .

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Achal Lohade: Understood. Sir, similarly, if you could help us understand given the increase in the working capital requirement, because of higher sugar production . What kind of interest cost one should pencil in , could there be a big delta to that actually ?

Pramod Patwari: For the nine months it is around Rs. 59 -60 crore so looks like ~Rs. 85 crore for the full year .

Vivek Saraogi: Against , he is asking for increas e.

Pramod Patwari: Against ~Rs. 48 crore last year .

Vivek Saraogi: Almost double , you mean from Rs. 48 crore ?

Pramod Patwari: Going to ~Rs. 85 crore .

Vivek Saraogi: Okay, ~Rs. 50 crore going to ~Rs. 80-85 crore.

Achal Lohade: Got it. Just one more last question. I am going again back to the macro question sir. If the monsoon was to be normal this year, I presume what y ou said would be possible but if the monsoon gets impacted because of the El Nin o factor , is there a substantial downside risk to the numbers what you gave for sugar season 2025?

Vivek Saraogi: So, Achal , if you remember I have already taken a 3 million tonne down tick next year. If you recall , I had set the gross production this year ~33.5 million tonne . I am saying ~30.5 million tonne for next year. UP is not going down a penny , UP might only go up . So, I am penciling in a ~3 million tonne drop only in Kar nataka , Maharashtra , which is probably the highest drop . Things would only improve from here. So, this is the thinking that there is going to b e no great monsoon. I am factoring in probably the worst -case scenario .

Achal Lohade: Got it. And just one last clarification, sir. In terms of you mentioned that we have only one multi -feed distillery in Maizapur . Obviously given the volatility in the sugar production and the cycle , etc. How difficult is to convert the existing distilleries into

multi-feed and B, what time and cost does it require to convert the distillery into multi-feed?

Vivek Saraogi: So, one distillery would require about Rs. 50 odd crore to convert, but we are not in favor of doing that.

Achal Lohade: How much time does it take to add the balancing equipments?

Vivek Saraogi: Six to nine months, I do not think more than that. Yes, minimum because the milling system requires time. But we see the program going forward.

ull pelt ahead, full pelt. So, if I

may just remind everybody and take you back to COVID days. There were 100 queries, and the scare that crude going to zero if I recall correctly. And people were thinking that the ethanol program where our price was fixed at whatever Pramod I do not recall that. With crude going to zero, what would be Government's reaction would it pick up the ethanol, would price get reduced. So, all we said was, the contract is signed on the beginning of the year for the full year, there is going to be zero sort of truncation either in the price or in the quantity. There was scare floating again, if you recall there was everything got picked up at the then price with 100% volume pick up. So, I get back from that memory and take you down to today, the program is etched in stone, to the best of my ability is all I can say. The program is absolutely on the top of the minds of our Hon'ble Prime Minister, this one can say from his dialogue which one sees, and you see he lives up to his word. So, I do not see any, any debate in that area. In my mind, cane has to be available.

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Moderator: The next question is from the line of Sanjay Manyal from D AM Capital.

Sanjay Manyal: Just have few questions. One is on the domestic quota which we have received in January and February. I believe it is still in the lower side, given the fact that Maharashtra, Karnataka will be lower in production is it expected that it would be higher from March to November or when you think this UP millers should get a higher quota?

Vivek Saraogi: From March onwards you get a much better quota, your point is correct. For East UP what happens, East UP starts a little late, typically than Maharashtra, Karnataka even West UP. So, your assumption is absolutely correct that's all I can say.

Sanjay Manyal: Okay. And just sir one more thing, a lot of millers in UP and probably in Maharashtra also would like to sort of diversify into the maize ethanol is what I understand, you think that economics are proper right now or is there any decent availability of maize in the surrounding area or any work which has been happening with the farmer in the surrounding areas?

Vivek Saraogi: So, right now it's not very, very lucrative. So, obviously if you have maize distillery, one should look at working with their farmers in around their area to get procurement both in terms of a correct price and the correct time, correct starch, etc.

Sanjay Manyal: Fine. And you mentioned that you are still expecting further crushing numbers in the next season. And so, any CAPEX which probably can come I know this is not a probably a right time for a lot of millers will not be thinking about the ethanol CAPEX, but given the fact that it is a downtime, you would sort of venture into, you would like to venture into the ethanol in next one year or two years?

Vivek Saraogi: So, as we said, we already have scope to crush 10% more. So, let us get that cane, our ethanol capacity already can use more cane than we are crushing.

Moderator: The next question is from the line of Vikram Suryavanshi from Phillip Capital.

Vikram Suryavanshi: Most questions are answered. But just to get a bit clarity on a grain side Maizapur, we have 320 KLPD declared and are we producing any ethanol from grain currently or any outlook from grain output from the distillery this year?

Pramod Patwari: For us?

Vikram Suryavanshi: Yes sir.

Pramod Patwari: So, maybe around four crore liter of grain-based ethanol we will be doing this year.

Vikram Suryavanshi: Okay. And is it from the broken rice or maize?

Vivek Saraogi: Combination.

Pramod Patwari: It will be a combination.

Moderator: The next question is from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: So, sir most of my questions are answered but I had a couple of ques

tions on the

power side number one, you have mentioned about three units now selling a lot much in power, are any other units also there when the PPA is concluding or more merchant power can be available, that was my first question.

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Pramod Patwari: Only two units are out.

Vivek Saraogi: Today two units are selling. But there is a sequence we will get back. So, let me tell

you, currently as per our policy you can only sell , move out of a PPA once the PPA term expires . So, it's been good exercise , we did it for the first time . Probably , we were the first in UP to do it. This merchant power its proving to be a cash positive exercise.

Rajesh Majumdar: Okay. And my second question was sir, in this kind of a flip flop situation with the Government as a business manager, how do you decide what to do with the cane , do you make it into sugar and put in the inventory , or you store molasses in the hope that April policy will be reversed . How do you really go about this thing because you have to crush the cane, a lot of cane is coming with increased recoveries , etc. So, either you have to make sugar out of it or store it as molasses what is the kind of decision you take in these turbulent times?

Vivek Saraogi: There is no such suspense as you put it, Government has allowed you certain diversion so that much you can make B-heavy or juice, the rest you crush, make sugar as per C-heavy .

Rajesh Majumdar: So, you will make sugar.

Vivek Saraogi: We have to make, that is no management decision, there is no option.

Rajesh Majumdar: But if in the sugar here the policy again changes somewhere in the middle then what do you do?

Vivek Saraogi: I did not understand .

Rajesh Majumdar: I am saying, during this course the sugar here maybe in April or so, if the policy again changes, then what do you do?

Vivek Saraogi: If your factory shuts down , what can you do . So, that's too late, once your factory shuts you have no option. So , I am just telling you there is no management decision , nothing , it is as per Government directed.

Moderator: The next question is from the line of Nitin Awasthi from InCred Research .

Nitin Awasthi: All my questions were regarding the ethanol supply that we have done, and we are proposing that we will do , based on Slide 22 of your presentation. So, if I am reading that correctly, we had a plan of supplying 19 crore liters roughly under the first tender, so we are forgoing 10 crore liters , is that correct ?

Pramod Patwari: So, for this year we have given the data in the presentation , for 19 crore liter contract is already in hand and we are going to bid for further quantity in the time to come in the next cycle.

Nitin Awasthi: Correct. But this 19 crore liter includes the syrup and B-heavy that is no more allowed right ?

Pramod Patwari: 19 crore liter includes juice-based ethanol , B-heavy as well as grain -based ethanol .

Nitin Awasthi: So, hence we got the figures which you have provided, and then we come down from 19 crore liter to roughly 9 crore liter , so would that be the correct figure ?

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Pramod Patwari: 19 crore liter to 9 crore liter I am not getting .

Vivek Saraogi: Even I am not understanding.

Nitin Awasthi: So, you have said you have already supplied 4.29 crore liters out of the 19 crore liters that you have got the initial tender for . Now, out of that, you only have the C-route and damaged food grains that you can further supply , am I correct or am I getting something wrong?

Pramod Patwari: You are correct.

Nitin Awasthi: So, if I add the balance 1.4 crore liter of C-heavy and 3.23 crore liter of damaged food grain so, that will come too close to nine crore liters hence I arrived at the figure of 9 crore liters.

Pramod Patwari: So, out of 11.5 crore liter of B-heavy we supplied only 2.5 crore liter. Out of 3 crore liter of juice

we supplied only 1.85 crore liter . C-heavy we have not supplied anything, grain based we have not supplied.

Vivek Saraogi: So, that we will keep bidding and giving when these two finishes.

Nitin Awasthi: Understood. Sir, the next thing I just want to understand the second tender, which was out , that is only till the second quarter of the current ethanol season correct?

Pramod Patwari: Yes.

Nitin Awasthi: Okay. So , the 3rd Quarter , this ethanol season the tender will be out soon probably.

Pramod Patwari: Right.

Vivek Saraogi: So, just to fill you up or sort of handle any ambiguity at anyone's end . The Government is open and keen and anxious to buy as much C-heavy or grain Ethanol which you give them .

Nitin Awasthi: Noted, sir.

Vivek Saraogi: Yes, so tenders for these were open and today also without a tender if you want to go and give them C-heavy Ethanol . So, suppose you had 100 liters of B-heavy and juice Ethanol which you had bid for earlier and your government is restricted to 50 liters , they are saying that balance 50 liters you can convert to C-heavy today you

will not need a tender for it also.

Nitin A wasthi: Got it.

Vivek Saraogi: So, just to let you know how keen and anxious they are to get ethanol without sacrificing sugar .

Moderator: The next question is from the line of Arkoprati m Pal from Sanjay Agarwal Broking .

Arkoprati m Pal: My question is , given that evolving ethanol base economic program how do you foresee it impacting the distillery division sales and profitability in the upcoming year?

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Pramod Patwari: We have given all the numbers in the call earlier, what kind of volume we are looking at for FY24 and we have also given our detailed rationale what kind of assumption we can take for next year.

Arkoprati m Pal: Okay. My second question is based on market analysis, the Company is aiming to triple the distillery division revenue share. According to your last year the revenue share in distillery division is around 11 % to increase in 35%. So, do you anticipate the existing program to have any significant impact on the upcoming distillery capacity increase ?

Pramod Patwari: So, that was last year when there was no restriction by the Government of India on the limited diversion of ethanol. So, at that point in time, we expected that our overall revenue from distillery would be around 1/3 of our total revenue. So, we have never given any guidance that we would be increasing our distillery capacity further by 1/3rd.

Arkoprati m Pal: Okay. So, this new EBP program policy would be impacting on this particular fiscal?

Vivek Saraogi: Is it not obvious .

Arkoprati m Pal: Okay. So, how do you expect the demand scenario of the current and upcoming year for the distillery division ?

Pramod Patwari: Demand is unlimited as far as ethanol is concerned. It is only a temporary rationalization which the Government has done this year. I hope you understand that.

Moderator: The next question is from the line of Dhvanee t Savla from Savla Family Office.

Dhvanee t Savla: Congratulation on a good set of numbers. I had two questions, firstly can you give us a breakup out of the current nine-month ethanol production which has been done, how much has been done through the various routes . And second is more of a strategic question , seeing that the Government is still very keen on achieving a 20% ethanol blending target probably in the next few years. Is there any kind of internal projection of how much a upside Q2 are revenues and profitability kind of a study which is being done at Balrampur in light of that ?

Pramod Patwari: So, for the first question you may please refer page number 20 and 21 of our presentation.

Dhvanee t Savla: Okay.

Vivek Saraogi: And we have said, what we have to say on our thinking of how the Government can think of as far as ethanol is

concerned in the coming year .

Dhvanee t Savla: I understand that I just wanted to know that is there any kind of projection which you are working with or is there no current projection which you are working with?

Pramod Patwari: So, our ability to produce is around 33 crore liters to 35 crore liters annually which includes ENA . And if there is no restriction , we will be in a position to achieve that.

Moderator: The next question is from the line of Krutika Vispute from Tata PMS.

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Krutika Vispute: Just putting together what you have mentioned just a few minutes back saying that there have been restrictions on B-heavy and juice route . But one can anyway sells higher than the tendered amount in terms of C-heavy ethanol, right?

Vivek Saraogi: Right.

Krutika Vispute: So, going by that now also seeing that is right off us expecting a higher crush this year and better recoveries as well. So, why would we instead of going for more sugar go for higher of seed because even if you look at the profitability after the increase that we got recently on the C-heavy side, would it still not make sense to go higher than the 19-crore liter or 25 crore liter that you are expecting , year up to say 34 crore something that you can do from the existing capacity . Why are we not choosing to do that instead from C-heavy ?

Avantika Saraogi: I will attempt to just clarify the concept. So , in sugarcane once you are making sugar at the max that you can, that is the only time you are left with C-heavy . So, we do not have the option of increasing the C-heavy out of the blue.

Vivek Saraogi: It's either B -heavy, C-heavy or juice. B-heavy , and juice you have been restricted by the Government , the balance is C -heavy . So, there is no interplay available if that's what you are asking .

Krutika Vispute: Maybe a different way , if I can ask how much of the maximum of C-heavy that we can get from our capacity if we divert every thing in C-heavy . What is the maximum volume ethanol that you can make?

Pramod Patwari: So, we are producing maximum of C-heavy what we can do under the circumstances.

Krutika Vispute: Okay . And for the full year on the 30-crore close to 12 crore quintal of cane , how much can we go on C-heavy in absolute terms for the whole season?

Vivek Saraogi: We cannot want to, and we do not want to do any more C-heavy . Than we are allowed. It's already a burden to keep that sugar.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Vivek Saraogi: Thank you very much for joining us. And I hope we have been able to give you both the macro and the micro picture , for any further queries Pramod is available , we are all available. Thank you.

Pramod Patwari: Thank you everyone .

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

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28th May, 2024

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Dalal Street, Fort, Mumbai- 400001.
Symbol: BALRAMCHIN Scrip Code: 500038

Dear Sir/ Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Subject: Transcript of Earnings Conference call

In terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the Transcript of the Q4 & FY24 Earnings
Conference Call held on 21st May 2024.

The same is also uploaded on Company's website: www.chini.com

Thanking You.
Yours faithfully
For Balrampur Chini Mills Limited

Manoj Agarwal
Company Secretary & Compliance Officer

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Balrampur Chini Mills Limited
Q4 & FY24 Result Conference Call
May 21, 2024

Moderator: Ladies and gentlemen, good day and welcome to Bal rampur Chini Mills Limited's Earnings
Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be
an opportunity for you to ask questions after the presentation concludes. Please note that thi s
conference is being recorded.

I now hand the conference over to Ms. Jenny Rose Kunnappally from CDR India. Thank you, and
over to you, ma'am.

Jenny Rose Kunnappally : Good afternoon everyone, and thank you for joining us on Balrampur Chini Mills Q4 and FY24
Result Conference Call . We have with us today Mr. Vivek Sar aogi, Chairman and Managing Director
of Balrampur Chini Mills ; Ms. Avantika Sar aogi, Executive Director ; and Mr. Pramod Pat wari, Chief
Financial Officer of the Company. We would now like to begin the call with brief opening remarks
from the management, following which we will have the forum open for the question -and-answer
session.

Before we start, I would like to point out that some statements made in today's call may be forward -
looking in nature and disclaimer to this effect has been included in the results presentations shared
with you earlier.

I would now like to invite Mr. Sar aogi to make his opening remarks . Over to you sir.

Vivek Saraogi: Hello and good afternoon , everyone and thank you for joining us on our Q4 & FY24 result s call. I
trust all of you ha ve got the opportunity to go through the results presentation, providing details of our
operational and financial performance. I will initiate the call with a brief update on the sugar sector.
As per the latest industry data, India's sugar production is expected to reach 32 million ton nes, this is
net of diversion in the season 2023 -24, which is just slightly lower than 32.8 million ton nes produced

in the preceding season 2022 -23. Maharashtra sugar production unexpectedly increased to 11 million tonnes, where UP had a bit of a decline, which was not expected, but it came down to 10.35 million tonnes. Karnataka produced 5.25 million tonnes.

Considering an opening stock of 5.6 million tonnes and a projected consumption of 28.7 million tonnes, we anticipate the closing stock for the year to be about 8.9 million tonnes. In the coming season, that is 2024 -25, production is expected to moderate to 31 million tonnes pre-diversion. So, let me put out a sort of disclaimer here that, this is very early days to be able to comment on 2024 -25 production, but this is the best guess available as on-date. Given the opening stock of 8.9 million

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tonnes, we expect the government's intervention to facilitate the diversion towards ethanol to manage the excess inventory and that would also support sugar prices.

So, basically, the knee-jerk reaction, which happened owing to a perceived lower production not only in 2023 -24, but 2024 -25, we hope there will be corrections. We've already got 2023 -24 production, 8.9 million tonnes stock and we're definite that the next year production will be higher than the consumption. Hence, there will be about more than 3.5 million tonnes available for diversion to ethanol, that's our best belief as of today.

Moving on to our business performance, we have delivered robust operational and financial performance during the year, supported by strong volumes and realizations, both in sugar and distillery segment.

On the PLA project, we have contracted with renowned global technology providers, setting the stage for the development of India's first integrated sugar-to-bioplastic facility, projecting a new avenue for growth and market leadership.

Thank you. Now I hand over the floor to Pramod. Pramod, over to you.

Pramod Patwari: Thank you, sir, and good afternoon, everyone. As the presentation has already been shared, I will not repeat the financial highlights. I would now request the moderator to open the forum for question-and-answer session. Thank you.

Moderator: Thank you very much, Sir. We will now begin the question-and-answer session. The first question is from the line of Prashant Biyani from Elera Securities.

Prashant Biyani: Sir, we had done very good crushing volume on a FY to FY basis, but for the season also we had guided for around 10% increase in crushing. Unfortunately, that has not happened, can you explain the reason for it?

Avantika Saraogi: Good afternoon. Thank you for the question. So, there were about two, three factors at play. I think the first and something which has not happened ever in my father's career of 37 years and this has been widely discussed is that, we had never seen the impact before of zero winter rain. So, the yield which was projected for planned cane was quite reduced due to this which we could not predict because the cane was standing in the field, but it had lower weight. This is one of the major reasons that we were not able to predict it even until the very end. A couple of things which happened due to the reaction of the government also and then the election year being at play is that, a diversion to unorganized MSME sector of Khandasari and Gur increased because they were able to pay higher prices due to the election and the unorganized liquor demand and as well as very good gur prices. Both, consequently made farmers divert more than what we had anticipated as well. And the third factor is that, this time due to the lack of winter rain again there were a lot of extra animal attacks and rodent attacks which had never occurred before. So, these are the major reasons that we had a lower crush. Also the reduced crush which happened in some of the mills due to the ethanol policy being changed that also impacted us because we had to reduce crush in few of our units.

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Vivek Saraogi: So, what I would like to add to this is, as Balrampur we crushed 2% lower than our last year's crushing. And in UP apple-to-apple basis crushed about 12% lower cane?

Pramod Patwari: Around 8%. UP was down by around 8%.

Vivek Saraogi: We crushed 1009 lac quintals this season as compared to 1030 in previous season.

Vivek Saraogi: So, UP if you see other groups they've come down by 10%, 12% and we've come down by 2%. So, basically there has been an error of average 10% calculation of cane by everybody in their projection which did not fructify. This is a very weird agroclimatic condition.

Prashant Biyani: Ma'am, the first point you mentioned was that zero winter rains impacted yield. A

am I correct?

Avantika Saraogi: Yes. It impacted the yield of planted cane.

Prashant Biyani: Secondly our domestic quota for sugar I believe was somewhere around 1,59,000 tonnes and we have sold 2,25,000 tonnes. I believe, we cannot sell above quota and there is no carry-forward of previously unsold quota also? So, am I missing something here?

Pramod Patwari: So, there is no separate penalty as such. Yes, you are right, we sold slightly higher in March quarter and you may be aware of the fact that in the April month's quota government has deducted around 25% out of our eligible quota, beyond this nothing is carried forward.

Sir, just to reconfirm the UP crushing number, this year it is 980 lac tons versus last year 1,082 lac tons. So, it's around 9% down in UP.

Prashant Biyani: Vivek sir, where do you expect the sugar price to move in one or two quarters?

Vivek Saraogi: Just to tell you the sugar price has been pretty stable, despite this ethanol sort of curtailment of diversion. So, we are selling around Rs. 3,950 per quintal odd or average around Rs. 3,925 -3,950 per quintal because we have various mills making sulfitation and refined sugar. So, I don't think this price would come down from here. It should gradually inch up, very gradually.

Prashant Biyani: Right. And sir, post this price increase in maize ethanol, is the profitability better than what industry was able to earn from FCI rice-based ethanol?

Vivek Saraogi: Pramod, can you answer that.

Pramod Patwari: Okay. So, Prashant, this will vary company to company, what kind of overhead we have in that particular unit but having said that even at the maize price of, say, Rs. 72 per litre, it is not as profitable. FCI rice works very well.

Moderator: The next question is from the line of Sanjay Manyal from DAM Capital.

Sanjay Manyal: I have just two questions. One is on the reduction in the crushing number, which is 2%. So, is there any impact of the lower sugarcane yield of newer variety? Is there any difference between CO-0238 and the newer variety, which we have sort of applied in the last few seasons?

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Avantika Saraogi: So, definitely CO238, the yield was a bit more. But the point is that the deteriorated CO238 yield versus other new varieties are much better. So, CO238, yes, if you're talking about historical, about four years ago versus the new varieties of today, I would say that there is a slightly lower yield, but nothing to write home about in the sense that the draw I which we have, that means the supply yield that we have is still quite low. So, the varietal impact is not that much, I would say.

Vivek Saraogi: So, yes, CO238 yield is not available in any other variety. Having said that CO238 was already dying and, you cannot have that.

Avantika Saraogi: The deteriorated CO238 yield, recovery, everything was not working out.

Vivek Saraogi: So, agroclimatic conditions, how much ever we predict, when the cutting yield comes in and there are variations, some things are out of your hands. And this has happened all across UP, each group.

Comparatively, this is not a defense we have done the best, in terms of reduction of 2%.

Sanjay Manyal: Right. So, what we can understand from the next season perspective, given that now I believe 90% of our variety are the newer ones, and if there are normal weather conditions, because last time I think you mentioned that you planted almost 7% to 8% higher.

Avantika Saraogi: I'll give you the visibility. So, basically, our CO238 is down to 8% for next season. And there is other good varietal balance apart from that. Now, if we have to talk about yield, variety is not the only influencing factor. In fact, the agroclimatic conditions will affect us much more than the variety because all the varieties which we have planted are only released by the scientists and agricultural research unit after they can prove a 1,000

quintal per hectare yield. Before that, a variety is not allowed by law to be released. Our supply yield is around 300 only. So, this varietal influence on yield is actually the lowest in our group. Other groups, I don't know. But for our group, the varietal impact on yield is a bit low. Other than this, the agroclimatic conditions, if they are to be distributed rain, we will enjoy a very, very good benefit of that no matter which variety we have because all our varieties are still very, very, very good. And you've seen the increase in recovery. You've seen this 11.72 % is the FY 24 recovery, Pramodji?

Vivek Saraogi: Pramod, what's the recovery for the FY 24 and for the season?

Pramod Patwari: Season is 11.72 %, FY24 is 11.73 %.

Avantika Saraogi: So, FY24 11.73 %, this is one of our highest recoveries ever that we have achieved.

Vivek Saraogi: So, on the September results call which would be in October at that point of time, we will be able to give much better visibility.

Sanjay Manyal: Sir, just one more question on the ethanol front, given the fact that at the country level, we have a sufficient inventory now and the government most probably will allow higher diversion from the next season. So what could be our distilled capacity utilization for the next season, 2024-2025?

Vivek Saraogi: Again, we have to wait it out. So these figures indicate that we will be much better off without a doubt. Having said that, it is very difficult to give this expectation data, let it come out. But there is

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enough sugar, as we told you on the call to be able to get distillation orders much more than the previous year.

Moderator: The next question is from the line of Achal Lohade from JM Financial.

Achal Lohade: Sir the first question on the cane crushing again. So, if we understand correctly, basically, it is to do with the agroclimatic condition coupled with the election-related event, which has resulted into lower cane crushing for us, as well as the state as a whole. Have I understood it right?

Avantika Saraogi: Yes.

Achal Lohade: Okay. Now, specifically for us, if you could talk about Avantika with respect to, you said 8% of sugar season 2025 will be the CO238. What was it for sugar season 2023-24 and 2022-2023, would you be able to give that number?

Avantika Saraogi: For sugar season 2023-24, it was upwards of 20%.

Achal Lohade: And prior year, would you know that?

Avantika Saraogi: It would have been, I mean, I don't know the exact figure, but it would have been upwards of between 35%-40%.

Vivek Saraogi: I would say , closer to 40 %.

Achal Lohade: Okay, understood. So since we have done so much work on the sugar cane part for several years now, our mix is substantially different from the other groups or in the state according to you or everybody is kind of working towards that and hence, I mean, we would be better, but still, is that materially different?

Avantika Saraogi: I think our CO-0118 percentage should be higher than the rest of UP and maybe one or two other new varieties should be higher than the rest of UP.

Vivek Saraogi: It's very difficult to be able to give the variety configuration of others.

Avantika Saraogi: So, see west we know, has more CO-238.

Vivek Saraogi: West is having a lot of CO-238.

Avantika Saraogi: And they will take one more year to come out.

Achal Lohade: Okay , understood. And if you could give, I mean, you have kind of covered in the answer with respect to the yield is lower than the original CO238, but it's better than the deteriorated CO238. But in terms of recovery rate how do they stack up?

Avantika Saraogi: Recovery you've seen the performance already with the upwards of 20% of CO238 versus what it was last year and then next year, let's hope for a rise again.

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Vivek Saraogi: But we will wait till October. So, your question, if I've understood, is how much better

are we ? You're

comparing us to the competition, right?

Achal Lohade: No. Let me rephrase . For the CO-0118 variety, what is the recovery rate, a thumb rule, compared to CO238?

Vivek Saraogi: CO-0118 is very decent recovery. CO-0118 is the best recovery in the current variety test.

Achal Lohade: Okay. Would you be able to share any percentage now?

Avantika Saraogi: We can't do it this way, actually, because it will not be accurate data.

Vivek Saraogi: All this data we will get in October. But we are on the right line.

Avantika Saraogi: It's better than old CO238 .

Vivek Saraogi: Right. Old CO238 at its peak was very good.

Achal Lohade: Now, let me ask in terms of, given where we are standing, I know it's hard to call out, but still if we were to build a number for coming year, FY25, how do we look at the cane crushing volume? Do we assume an increase? Do we view flat?

Avantika Saraogi: We were not able to predict it this time , now we will not predict it.

Vivek Saraogi: I don't care if others were down more than me etc , we'd be very careful and cautious when we predict next year . We are going in far-far deeper calculation .

Achal Lohade : Understood . Okay . Now with respect to you know the PLA , if you could give some heads up you know is there any further update post the last call what we had on PLA apart from the tie -up what we have with the vendors and the tech partners , any particular timeline , etc?

Avantika Saraogi: Everything is on -track as per what it was the last time , when we do have an update we have a separate call for tha t.

Vivek Saraogi: Orders are out . We are working hard on developing the market . Its building towards the commissioning , whatever has to be done before that . As Avantika said, anything more meaningful except saying that we are in the right direction , we will have a call later on.

Achal Lohade : Understood , okay . Since you are not able to give the cane guidance, I presume you won't be able to give any crushing in terms of the distillery volume guidance as well right ?

Vivek Saraogi: They are linked to each other .

Achal Lohade : Exactly . Okay , understood . Just on the transfer pricing , if you could mention what is the transfer pricing ? Is there a change in this season for B-heavy and syrup ?

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Pramod Patwari: No change . Achal, no change from last year ; B is still at Rs. 1,090 per quintal and Juice obviously will be at cost.

Moderator: The next question is from the line of Shailesh L. Kanani from Centrum Broking.

Shailesh L. Kanani: Sir, couple of questions from my side . So I wanted to get some sense on realizations . You have answered in part , but if FY24 was good in terms where we have seen 6% increase , especially considering that last year was 15% export as well . So in our model building how do you think we should factor in this considering the current environment and next season , if you can give some color on that ?

Vivek Saraogi: Pramod ?

Pramod Patwari: For the financial year gone by , it was Rs.38 per kg . Currently we are selling sugar at around Rs. 39 plus per kg . So, we have given our thought that it is going to remain stable at this point in time and with a bias towards inching up , but on a gradual basis . So that's the range in which you can assume in your model .

Shailesh L. Kanani: Fair enough. Sir also on a PLA project , just an extension of the earlier question , can you give some guidance with respect to how the capex is going to flow in the next two years in terms of our project , if that is possible ?

Avantika Saraogi: We don't have the visibility exactly .

Vivek Saraogi: Let's get more visibility and we will definitely keep you updated .

Avantika Saraogi: In fact the moment we do have something to report we will definitely organize a separate call just for that and we'll have enough substantial information to give you .

Shailesh L. Kanani: O

kay. Fair enough. So in that case just the last question , tax rate going ahead we had little bit higher tax rate for last year , so 2025 & 2026 what is the tax rate we are going to have ?

Pramod Patwari: So we will continue to be under MAT . But there will be some provision account of deferred taxation in the year gone by it was around 29% put together for the time being we can assume to be at the same level .

Shailesh L. Kanani: Okay . So just one last question , I'm just trying to get some clarity on the ethanol volume . In the last call we had guided that we will try to achieve the same volume numbers for next year . Do you think that is a possibility for FY25 to achieve the same volume numbers ?

Pramod Patwari: So Shailesh though , it's very difficult to give any visibility on cane crush for the sugar season . But as far as March is concerned , I think for the purpose of model building , we can assume around 9.8 to 10 crores quintal of sugar cane crushing . This will obviously include whatever cane we have crushed in the month of April this year .

Vivek Saraogi: And Pramod is talking of the financial year , not the season .

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Pramod Patwari: Yes. I'm talking only of financial year .

Shailesh L Kanani : Fair enough . And how would that translate into ethanol volumes because there would be some component of cane?

Pramod Patwari: We have to assume certain thing that we will get full diversion in place with respect to juice, with respect to B -heavy and if that is played out then we can definitely estimate the numbers as well.

Vivek Saraogi: But Pramod to everybody that is not yet clear.

Pramod Patwari: It is not clear as of now . We will have to wait till September end to get a sense.

Shailesh L Kanani : So the current Maizapur facility are we using any of the feedstocks available from the market broken rice, corn or maize? What is the approach till the time the season starts any colour on that, if you can provide?

Vivek Saraogi: We did run for a few days on broken rice and on maize also. So Pramod you have the figures in hand?

Pramod Patwari: For the full year FY25 ?

Vivek Saraogi: Till September , I think we have done 40 days of rice and about 30 odd days on Maize if my memory is correct.

Pramod Patwari: Whatever feedstock we are having as of 31st of March and whatever additional crush we did in the month of April on that basis , I think we should be in a position to be distil around 10 crores liter of ethanol before beginning of the new season.

Shailesh L Kanani : That's quite helpful sir.

Moderator: The next question is from the line of Vikram Suryavanshi from PhilipCapital India .

Vikram Suryavanshi: You gave transfer pricing for B and juice, but what was the transfer price for C molasses?

Pramod Patwari: C molasses is Rs. 600 per quintal.

Vikram Suryavanshi: And was there any bagasse sale for full year or fourth quarter , if you can give the quantity of bagasse sale?

Pramod Patwari: Bagasse sale for the year ? We will come back to you on this.

Vikram Suryavanshi: What I was trying to understand that now some of the power plant , PPA has been expired so that prices are quite remunerative, so how is the process for other plants to renew our PPAs how is that schedule and will that make sense to convert that bagasse because I think 5.25 is quite good price to convert from bagasse to power?

Vivek Saraogi: So Pramod you can give the data ?

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Pramod Patwari: Bagasse we sold around 5 lakh tons in the full year FY 24 and two of our plants are already outside the ambit of PPA. So we are exporting power through these plants in open access market and I think the next plant will come out of PPA only in the year 2026.

Vivek Saraogi: In 2025-2026 something like that , I don't have numbers. We are getting very good rates. In one unit we got Rs.8 per unit .

Vikram Suryavanshi: And currentl

y how much is the prevailing bagasse prices for us , if you want to know sale outside?

Pramod Patwari: Bagasse transfer price is Rs. 1800 per ton.

Vikram Suryavanshi: I think that is same what we are continuing till now. And last question sir if you look at today's prices for maize will we use the multi-feed grain distillery for maize to ethanol or will keep it as option for when if government allows from B or juice I think that would be more profitable ? At prevailing prices can we go for this maize to ethanol capacity utilization?

Pramod Patwari: We are already running on maize.

Vivek Suryavanshi: So around 4 crores to 5 crores liter capacity we will use it for this year also?

Vivek Saraogi: Yes. Our ability is to run on all feedstock. Depending on the price and the profitability one takes a decision at the beginning of the year based on government policy. Don't worry , we will do our best , take the best decision, but not everything is in our hands.

Vikram Suryavanshi: Understood sir.

Moderator: Thank you. Ladies and gentlemen we will take that as the last question for today , I would now have the conference over to the management for closing comments. Over to you .

Vivek Saraogi: Thank you everybody and I think Pramod is there , we are all there for any questions and we hope to clear out all of the ambiguity in the September quarter results.

Pramod Patwari: Thank you everyone.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Aug 2024

20th August, 2024

National Stock Exchange of India Limited
Listing Department,
'Exchange Plaza', C/1, G Block, Bandra
Kurla Complex, Bandra (E),
Mumbai 400051. BSE Limited
The Corporate Relationship Department
1st Floor, New Trading Wing, Rotunda
Building, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai- 400001.
Symbol: BALRAMCHIN Scrip Code: 500038

Dear Sir/Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Subject: Transcript of Earnings Conference call

In terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the Transcript of the Q1 FY25 Earnings
Conference Call held on 13th August 2024.

The same is also uploaded on Company's website at the following web page:

<https://chini.com/investors/concall-transcript/>

Thanking You.

Yours faithfully

For Balrampur Chini Mills Limited

Manoj Agarwal
Company Secretary & Compliance Officer

Encl: A/a

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Balrampur Chini Mills Limited
Q1 FY25 Earnings Conference Call
August 13 , 2024

Moderator: Ladies and gentlemen, good day and welcome to the Balrampur Chini Mills Limited 's
Earnings Conference Call. As a reminder, all participants will be in the listen-only
mode and there will be an opportunity for you to ask questions after the presentation
concludes. Please note that this conference is being recorded.

I now hand the conference over to Ms. Jenny Rose from CDR India. Thank you and
over to you.

Jenny Rose : Good afternoon , everyone and thank you for joining us on Balrampur Chini Mills Q 1
FY25 Results Conference Call.

We have with us today Mr. Vivek Saraogi – Chairman and Managing Director of
Balrampur Chini Mills, Ms. Avantika Saraogi – Executive Director and Mr. Pramod
Patwari – Chief Financial Officer of the Company.

We would like to begin the call with brief opening remarks from the Management ,
following which we have the forum open for a question and answer session.

Before we start, I would like to point out that some statements made in today's call
may be forward-looking in nature and a disclaimer to this effect has been included in
the results presentation shared with you earlier.

I would now like to invite Mr. Saraogi to make his opening remarks .

Vivek Saraogi: Good afternoon and thank you everyone for joining us on Balrampur's Q1 FY25
earnings conference call. I trust all of you have had the opportunity to go through the
results presentation , providing details of our operational and financial performance .

I will initiate the call with an update on the current developments in the sugar sector, followed by the Company's key highlights for the period under review.

As per the latest estimates, India sugar production for the ensuing season that is 2024-25 is projected at 32 million tonnes pre-diversion. ISMA has given a projection of 33.3 million tonnes. We are just being a little cautious in our mind and giving an outlook of 32 million tonnes. UP is expected to produce a little higher over last year due to lower than anticipated diversion of sugarcane to Gur and Khandari which we feel is a factor of elections. In contrast, sugar production in Maharashtra and Karnataka is expected to decline slightly because of reduced sugarcane acreage and inadequate rainfall last year, but current year's rainfall has been very encouraging.

India's inventory on 30th September 2024 is expected to be around 8.5 million tonnes or 85 lakh metric tonnes with the domestic consumption of 29 million tonnes.

Historically, Government is comfortable to work with the closing stock of 5.5 million

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metric tonnes. This ample inventory, together with the gross outlook which we have projected would allow the Government to continue the ethanol blending program unhindered on the juice and B-heavy front, therefore, not putting any cap like it was done last year. If all the above projections pan out, in the middle of the season, we are also hopeful that there could be export announcements as well. This is purely based on data and how Government has reacted to these data in the past.

Moving to our business performance, we have commenced this fiscal on a steady note despite encountering challenges in our distillery operations due to the temporary ban imposed by the central Government last year on 7th December. The sugar segment, however, continues to perform well in a seasonally soft quarter, benefiting from higher volumes and higher realizations.

During the quarter, our sugarcane crushing ended early, leading to a decline in sugar production, which also affected our distillery segment. The reduction in crushing days further contributed to under-absorption of fixed overhead. To address these challenges related to lower cane availability, we continue to actively engage with the farmers in cane development activities and varietal rebalancing. Additionally, a normal monsoon is expected to improve yields.

We are making healthy progress in our Polylactic Acid (PLA) project, which aligns seamlessly with our integrated sugar model. As pioneers in this field in India, we view this initiative as a natural extension of our long-term vision. As of 30th June 2024, we have approximately spent Rs. 300 crore from internal accruals on the project. In closing, our commitment to sustainable value creation extends to optimizing every aspect of our operations, ensuring maximum value extraction from each stick of cane. The introduction of the PLA project diversifies our product range and aligns with our global environmental goals and our Hon'ble Prime Minister's goal by offering an environment-friendly alternative to traditional plastics. Leveraging our integrated operations and strong financial health, we remain dedicated to deepening our relationship with the environment and enhancing operational efficiencies. We shall continue to invest judiciously and create value for our stakeholders.

I would now request Avantika to give you a brief update on the cane business.

Avantika Saraogi: Good afternoon, everyone. To provide you all an update on the cane development front, I will start with talking about the headwinds and the tailwinds that I see coming this crushing season. So, it's already been highlighted a little bit, but we expect lesser diversion this year as compared to last year towards the unorganized Khandari, Kolhu Krusher sector. Other than this, the rainfall pattern is expected to be much better, contributing to overall productivity of the crop.

The other tailwinds are infectious disease is quite under control. We worked very hard on it, whether it's top borer or Red Rot or any other small things which have cropped up. So, we can say that we are completely in a negligible scenario at the moment. The other tailwind is that ratoon management has picked up. The closure of factories slightly earlier gives farmers the time to as well work on their ratoon crop, which is not usually the case when the factories go on until May.

Other than this, the Government of UP has made electricity for irrigation free in the month of March this year, the benefit of which we will see during the coming crushing season. So, last year the rainfall during the grand growth period was depressed, and this year it has been good.

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Other than this, because the Government has made the electricity free, and we are

helping farmers even get electricity connections for irrigation. Any lack of rain will be easily sort of supplemented by irrigation by f

armers, because they will not feel the

pinch of it, which is what has always caused issues to us. Even the lack of winter rain last year took away a very large part of our plant cane yield, which this year should not be a problem even with rain and if not rain, then we definitely have our irrigation connection set up much better.

Our Tissue Culture Program is going very well. We are on the three-trial multiplication track. We are doing very good varietal balances with it, and it is all kind of on track.

Now about the headwinds, there are majorly two things. One is that the planting acreage was slightly lower due to the weather phenomenon that occurred last year.

So, the lack of winter rains and the delayed harvesting of the mustard and wheat crops led to slightly lower sugarcane planting because it got very, very delayed and after a certain point, farmers do not want to plant, which is actually a good thing.

Other than this, some of the planting was also slightly delayed. So, I would say that about 2-3 weeks of growth for maybe 10% 15% of our plant cane could have been affected. But I believe that the tailwinds should outweigh the headwinds, but this is my best guess at the moment.

Vivek Saraogi: So, another just a small supplement is that our recovery last year because of the varietal, our recovery was in fine fettle, it was in top shape. So, going ahead, we feel confident because of Co0238 not being there, the recovery should be in fine shape and this time we do not want to hazard a guess. And just to brief you about last time, UP's cane crushing was expected to be 1,100 and that was a summary of all the mills crushing and UP landed up crushing about 980. So, there was about a 12% drop in the general expectation versus the actual crushing and everybody participated in that downfall. Having said that, our projection failed definitely, but we were the only company probably which was just 2% lower crushing than the previous year. But that's not true sort of tom-tom what failure we have done, but that has been a failure in prediction.

Pramod, on to you.

Pramod Patwari: Thank you and good afternoon, everyone. I hope all of you had the opportunity to go through the results presentation that has been shared with you. So, I would request the moderator to open the forum for Q&A. Thank you.

Moderator: We will now begin the question-and-answer session.

The first question is from the line of Sanjay Manyal from DAM Capital.

Sanjay Manyal: I have a few questions. You have mentioned about the cane development which we have done in the current season, what is the expected sugarcane crushing increase in the 2024-25 season?

Avantika Saraogi: We will refrain from making a guess this time because last time when we did try to give a guidance, it did not work out, but I have outlined the headwinds and tailwinds, and I believe the tailwinds should outplay the headwinds is all I can tell you today.

Vivek Saraogi: So, you see, it is a very tough call. Let us attempt a better guess when we give you the September quarter results.

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Sanjay Manyal: Secondly, if I see expected country level production and whatever the inventory we are holding now as a country level, approximately 5 to 6 million tonnes excess we would be having which can be diverted either towards ethanol or exports. So, what could be the maximum ethanol diversion possible and what quantity at a country level ethanol production is possible with that kind of diversion?

Vivek Saraogi: I will attempt to answer that because I think it will be playing on everybody's minds.

So, as you correctly pointed out, there is a 3 million tonnes excess stock in the inventory sitting as of 30th September and pre-diversion because of 29 million tonnes consumption and 32 million tonnes production, there is a 3 million tonnes on the way. So, you have a total surplus beyond 5.5 million tonnes

, which is the closing stock of

6.5 million tonnes. We expect that the Government should allow unhindered diversion of ethanol and that would consume 4 million tonnes out of this, leaving headroom/space of 2 million tonnes for exports. From this 4 million tonnes diversion, we will be able to produce 400 crore litres. So, 400 crore litres of ethanol is what the sugar industry should be able to tender for the year in various tenders. So, if you see a total, we should be able to tender as sugar of 400 crore litres.

Sanjay Manyal: At Balrampur, we will be able to run our facility to full capacity?

Vivek Saraogi: 100%. All juice, B-heavy, everything unhindered as per past.

Sanjay Manyal: If it is possible to give a timeline of this PLA investment over the next 2 -3 years means as of now, we have invested Rs. 300 crore, what could be the investments as per the sort of annualized number if you can share that?

Vivek Saraogi: So, I can only tell you that because we are looking at commissioning in October, November 2026, so it will be a gradual spend of money as capex gets spent in any project. So, it's spanning over two years and three, four months from now. So, it will get spent over that time. Probably one cannot say very evenly or not, but yes, the way the project goes, and we are tying up debt, it's all being done judiciously.

Moderator: The next question is from the line of Prashant Biyani from Elara Securities.

Prashant Biyani: Fortunately, sugar prices have been quite resilient despite an overhang of high inventory. What is driving this resiliency in sugar price and what would be your outlook on the domestic price?

Vivek Saraogi: So, outlook on the sugar price remains positive because you very correctly pointed out, if there is buoyancy with this inventory we are seeing with the current Government policy if we are talking one year from now, there will be a much lower inventory on 30th September 2025. Ethanol, we are very confident exports should happen. If both are allowed, then we will be sitting at a much lower inventory, which therefore by its basic fundamental construct tells you that sugar price should remain buoyant and firm.

Prashant Biyani: And sir, what is the reason for this buoyancy, is it that the actual consumption is higher than reported or there is no inventory with the trade or what is the reason for that?

Vivek Saraogi: So, I would say probably expectation of the correct policy next year.

Prashant Biyani: And sir, what is your outlook on the international raw sugar price?

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Vivek Saraogi: So, international prices if one can say with India not being in the market over the last one year and I do not think Central, South Brazil is going to give a real surprise upwards.

Pramod Patwari: It looks like it has hit a low of around 18 c/lb which should act as a floor. We do not expect the raw sugar prices to come down from here on. Going forward it will depend upon the value of Brazilian currency as well as the dry weather in Brazil. It is expected that Brazil production in the 2024-25 as well as 2025-26 can be lower because of the declining yield. I think if that plays out then we are expecting an upward tick in the raw sugar prices.

Vivek Saraogi: So, 18 c/lb should act as a floor and very honestly, there is no great upside beyond 21-22 c/lb, but this is because you're asking us to reply it is just a guess.

Prashant Biyani: While the bureaucrats and all can have their own time to this, but is it worthwhile for industry to work with Government to time the export with better realization internationally or you would want it to be immediate?

Vivek Saraogi: So, let's be very clear. We are continuously working with the Government on all the fronts that is unhindered ethanol diversion, getting back to proper price and juice and B-heavy which was skipped last year and (MSP) Minimum Selling Price of sugar.

So,

we are engaging very deeply with the Government with all data points. We are hopeful on all the fronts. Timing, etc., it's the Government's prerogative, obviously ethanol price and ethanol quantity and MSP should happen before the cane begins crushing for the next season, which is October, November. Export, our view is they would vet out the production and then allow exports. So, probably Jan, Feb is the best guess estimate it would be allowed. But yes, that is our guess.

Prashant Biyani: With respect to this PM Jeevan Mission for 2G ethanol projects, is there anything in it for private players which makes it worth looking at maybe the benefit on capex support or ethanol pricing support for 2G ethanol, anything for the private players in it?

Vivek Saraogi: We are not in 2G. We are not looking at that space.

Moderator: The next question is from the line of Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: Just wanted to check, in the presentation you have talked about the price correction in the ethanol. Can you help us understand, can there be a possibility of retrospective change in the ethanol price, aren't those contracts water tight with respect to pricing and the volumes?

Vivek Saraogi: No. Just let me put it this way. If last year had not happened, there was no question of restricting any quantity diversion and there was a particular formula playing out,

which was defining a relationship between FRP and ethanol juice price and FRP and B-heavy price. So, we hope to get back to 2022-23 pricing regime, relationship regime, pricing regime, whatever is that. Last year wiped out as a bad dream.

Achal Lohade: So, you are saying basically for the upcoming contract, logically, we should fall back to 2022-23 pricing regime and see the last year as an exceptional one?

Vivek Saraogi: Yes. And that was because of the election and people were perceiving a much lower production and the Government, while unhappy, I do not blame them completely.

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Achal Lohade: The second question I had with respect to the ethanol blending in diesel. Any comments you would like to make where we are in terms of that development at the industry level? Is it commercially viable already, technically viable and how do you see the demand if it was to be viable?

Vivek Saraogi: That demand would be super huge, but they're still working, that diesel, that binder that ethanol is still under WIP. We have not yet cracked the code there.

Avantika Saraogi: Not that complicated. The code is cracked, I would say, but the large-scale implementation is probably what they're trying to crack.

Achal Lohade: I'm not very clear. You're saying they have been able to crack this and now they are trying for the commercial rollout.

Avantika Saraogi: I'm trying to say that as a lab scale or a pilot scale, it is possible, but for large rollout for the whole country with such diverse conditions, it's not as easy as you're making it sound, but it is possible. And if they have announced it, then definitely they must have made some way forward in it.

Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: Sir, I just wanted to understand your expectations in terms of revision in MSP prices of sugar, because we have been reading in media reports that it is expected. So, any timeline or quantum if you can kind of highlight?

Vivek Saraogi: As I said in the beginning, there are three things we are working on. Ethanol unrestricted quantity, correct ethanol price as somebody put it, 2022-23 formula and MSP. So, the logic is everything should happen before October because everything is applicable something from 1st November, something from 1st October, types. So, prior to that, we hope, and we are working very hard and engaging with the Government so that it should happen. Sitting in the middle of August and 1st

October,

timing is impossible, but we are very hopeful.

Shailesh Kanani: And any expectations on what number it can be, because I think it has not been revised for the last five years now?

Vivek Saraogi: Yes, you're correct there. So, we have again dealt with the formula there and it's not appropriate for me to give any numbers here. So, let's understand what MSP will do.

So, I will give you the logic of what MSP will do. So, whatever is the MSP, let us take a figure of let's say, Rs.36.5/kg. Assuming that's the figure, UP makes a bottom at Rs.39/kg because that is the lowest price for all over in India. So, if Maharashtra sells at that price UP sells typically Rs.2-2.5/kg higher. So, even when you get into season and you see a crack in prices, which you always do, this should give you that much, much needed bottom protection during season, December, January, February, March. So, that's a very positive step to give you protection during those four months.

Vivek Saraogi: It could be Rs. 35-36-37/kg, whatever it is. UP gets a Rs.2.5 /kg bottoming above that. One should look at this for bottom protection, not for top creation and which is very important. It plays out four months in a year, that's one-third of your year.

Shailesh Kanani: I know you refrain from giving guidance on cane availability, but can you kind of help us because last year I believe we got a negative surprise in terms of our guidance, but still if you can give some kind of indication vis-à-vis last year, that would be helpful?

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Vivek Saraogi: So, I would only request you to let us maintain our credibility, which is very important in my eyes and all our eyes. So, let things play out a little better. You see cane is a product, in last year, last 5% has vanished all over UP. So, if 5% vanished, it was 55 lakhs quintals for Balrampur. So, that 5% people are saying it's standing; it did not happen because the weight of the standing crop of the last 20% just vanished very very significantly — and there was no winter rain. So, it is impossible to guess. But we will give a better guidance in the months of September, October, November

results. So, please, please just respect our credibility in our eyes.

Moderator: The next question from is the line of Rishabh Gang from Sancheti Family Office.

Rishabh Gang: What is your views on alternative or prospective application of ethanol, such as sustainable aviation fuel? When do you think blending of ethanol in this space is possible and how much blending targets do you think is achievable in the next three to five years in India and how much ethanol demand can it lead to?

Vivek Saraogi: So, again, this SAF requires some special investment. It is not this ethanol which we make for cars which goes into the aircraft. Having deployed our capital into this PLA project, as Balrampur, we are not looking at any more capex. With just capex within our company for balancing, etc., which is essential, rest we are not looking at any capex. So, we do not do sort of burden ourselves with any capex beyond this at all. Neither do we at the mind space nor we want to deploy capital. Having said that, SAF will take some time. We will get an update later.

Avantika Saraogi: There's supposed to be a 1% mandate applicable for SAF from 2026-27. Other than that, it's a diesel blend, 5% is realized that's huge because that would just be the regular ethanol. If you're talking about how much can be produced from crops in India, then that we have to study and come back. But there is definitely an upward potential which can happen.

Vivek Saraogi: But this requires capex to put that ethanol into the aircraft.

Avantika Saraogi: No, I'm talking about diesel blend and petroleum blend and increase further.

Vivek Saraogi: Yes. So, that can increase.

Avantika Saraogi: That would be the easier thing. The SAF 2026-27 mandate if the Government is serious

s then we will provide some incentives or some more guidance in that space for people to invest.

Rishabh Gang: Also wanted to know your views on the opportunity in biodiesel, compressed bio gas market and biofuel dispensing station like what do you think about it and does Balrampur Chini think of capitalizing on it?

Avantika Saraogi: So, we are not looking at biodiesel at all. Biodiesel is more from waste oils, etc., at the moment as far as I understand and not really from direct crop to biodiesel for that matter. So, more oil-based seeds, maybe, etc., That space is something we're not looking at. CBG, as you probably already know, we have a contract with a company called Ever Enviro for the production of CBG of our press mud of all our 10 units and then some of it is also going to the farmers to replace SYM. So, this is definitely something that is being looked at and it will probably keep on going.

Vivek Saraogi: So, just to clarify your question, we are not going to invest any capex into either of these directions. We had earlier studied the opportunity. We do not find either large

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scale investable capital. We were not comfortable. We decided to give it to someone else at a good price.

Rishabh Gang: How much of our ethanol capacity is dual feed capacity, which can also take the grains and all?

Pramod Patwari: So, we have dual feed capacity at one of our distilleries which has a daily distillation capacity of 330 KLPD. So, on an annual basis in the off season it can produce around 5 to 6 crore liters of ethanol out of alternative feeds.

Vivek Saraogi: 5.5 crore litre is what you have from alternative feedstock in off-season.

Rishabh Gang: So, the capacity, which is only sugarcane based, do we plan to upgrade it to dual feed capacity?

Vivek Saraogi: No, no. We will do our sugarcane business, and this is already invested and hence we have 5.5 crore litre from alternative feed-stock.

Moderator: The next question is from the line of Amit Kumar from Determined Investment.

Amit Kumar: What is the domestic and international sugar price presently?

Pramod Patwari: So, domestic prices are around Rs.38-39/kg in UP ex-factory, and international prices, we as a country are not exporting as of now, it is under restricted list, but maybe white sugar export will fetch around Rs.40/kg and the raw price is between 18.5-19 c/lb.

Amit Kumar: This is where I'm not clear on the calculation. So, 18 cents a pound translates to about Rs.33, 34.

Pramod Patwari: That is for raw sugar and Rs.40/kg is for the refined sugar.

Vivek Saraogi: Refined sugar quotes separately.

Amit Kumar: No, no. So, that's where my confusion was. Because at Rs.33-34/kg, I mean what is the point of exporting.

Vivek Saraogi: You can understand offline the detail calculation. There is a specific calculation

based on London whites.

Moderator: The next question is from the line of Priyanka Dhingra from SBI Funds Management.

Priyanka Dhingra: Since we were talking about diesel opportunity, and we understand that the diesel opportunity could be 2.5 x the size of the petrol blending opportunity. I just wanted to understand if you have seen any regulatory movement towards increasing the refinery capacity in the ethanol space or any incremental bans on export to facilitate this entire process of diesel blending of ethanol?

Vivek Saraogi: So, let's take it in sequence. If there is an opportunity, the Government must have capacity creation because at this capacity creation 500 -odd crore litre is what sugar can supply, maybe 500 crore litre grain can supply. So, both will coexist to give 1,000 crore litres, which is the need of 20%. Now if you want to take this 20% higher, you got to have more cane and more distillation, for which juice gives the highest amount of ethanol per tonne of cane. If you want to encourage that, you have to put up more

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juice distilleries for which Government has to come up with a plan which motivates/gives enough return for people to invest. If all that happens, we will definitely participate if there is a lucrative opportunity. Diesel, right now we will just wait a little more before we can give you some more confidence. But to handle diesel, you do not have ethanol right now. But yes, everything has an answer. If you see 2014 prior to this Government and today, ten years into this Government thinking how ethanol has gone to this kind of figure. I again say forget last year as a bad dream. This continuity in policy, which was not only giving you sustainability, but visibility together. So, when things again play out that way for future investment. So, you have to get back to the old formula on the existing investment and give a new incentive for further distillation capacity. First part, we are hopeful by October, second part that's a future-looking concept. But for that, no export will be banned.

Moderator: The next question is a follow up from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: So, just wanted to understand your views on embargo on FCI rice from the Government side. Any discussions or any outlook has changed? Also, on availability and price of maize, if you can give some color on these things?

Vivek Saraogi: I will attempt to answer this, Pramod can give the numbers. So, as I began in the beginning, if you heard the food secretary and all Government officials, a couple of things that got clarified. One, there was a bit of a misnomer on cane being a water guzzler. So, cane per liter of water delivers the highest amount of ethanol. Two, there is a concept with the food secretary put forward of 50:50. So, just assume 18% is the blending target for next year, which is the final step towards 2025-26. So, 18% next year, 20% thereafter, 18% would be equal to 900 crore litres. I said industry sugar does not look like being able to tender more than 400 crore litres. So, grain can come in with 500 crore litres which looks not easy, let's say if FCI rice is allowed. It may come in. Some more quantity of ethanol would get tendered, but couple of clarifications and no amount of grain tendering would crowd out sugar tendering, grain tendering can happen if FCI rice is given and prior to year before last, there was a very clear relationship, you would get the opportunity to bid for tender, it would be called FCI rice tender for ethanol, you'd get back to back rice from FCI. That was the best method. Should they adopt it again, it could happen. Currently, maize is at Rs. 72/litre. So, we do not know how the Government will react to maize pricing. We do not get into that. We run our business.

Shailesh Kanani: I was trying to understand the market rates of maize as a feedstock. And is the feedstock available for our near-term needs, that is our off-season in the 2nd Quarter?

Vivek Saraogi: Maize feedstock price is high. If you personally take our view, it is not very viable at current prices. It's in a tough spot because maize is not coming down. And if the Government is to raise the maize price, you can be very sure your juice price is going to be absolutely perfect. FCI rice could be a big help in this scene. We believe the Government is looking at it to answer your question.

Shailesh Kanani: Sorry to harp on this, but just because last I think two or three quarters back the Government had come out with SOPs to procure maize and supply to ethanol producers. So, any development on that front, has it happened?

Vivek Saraogi: No, nothing.

Moderator: Ladies and gentlemen, we will take that as a last question for today. I now hand the conference over to management for closing comments. Over to you sir.

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Vivek Saraogi: Thank you, everyone. And we are all there to answer your questions, Pramod, me
an

d Avantika should you have any.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Nov 2024

18th November, 2024

National Stock Exchange of India Limited
Listing Department,
'Exchange Plaza', C/1, G Block, Bandra
Kurla Complex, Bandra (E),
Mumbai 400051. BSE Limited
The Corporate Relationship Department
1st Floor, New Trading Wing, Rotunda
Building, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai- 400001.
Symbol: BALRAMCHIN Scrip Code: 500038

Dear Sir/Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Subject: Transcript of Earnings Conference call

In terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the Transcript of the Q2 & H1 FY25 Earnings
Conference Call held on 12th November, 2024. The same is also uploaded on Company's
website at the following web page:

<https://chini.com/investors/concall-transcript/>

Thanking You.
Yours faithfully
For Balrampur Chini Mills Limited

Manoj Agarwal
Company Secretary & Compliance Officer

Encl: A/a

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Balrampur Chini Mills Limited
Q2 & H1 FY25 Earnings Conference Call Transcript
November 12, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Balrampur Chini Mills Limited
Earnings Conference Call. As a reminder, all participant lines will be in the listen-only
mode and there will be an opportunity for you to ask questions after the presentation
concludes. Please note that this conference is being recorded.

I now hand the conference over to Ms. Jenny Rose from CDR India. Thank you and
over to you.

Jenny Rose: Good afternoon everyone and thank you for joining us on Balrampur Chini Mills Q2 &
H1 FY25 Results Conference Call.

We have with us today Mr. Vivek Saraogi – Chairman and Managing Director of
Balrampur Chini Mills, Ms. Avantika Saraogi – Executive Director and Mr. Pramod
Patwari – Chief Financial Officer of the Company.

We would like to begin the call with brief opening remarks from the management,
following which we will have the forum open for a question & answer session.

Before we start, I would like to point out that some statements made in today's call
may be forward-looking in nature and a disclaimer to this effect has been included in
the results presentation shared with you earlier.

I would now like to invite Mr. Saraogi to make his opening remarks.

Vivek Saraogi: Good afternoon and thank you for joining us for our quarterly earnings conference call. I trust all of you have had the opportunity to go through the results presentation, providing details of our operational and financial performance. I will initiate the call with an update on the current developments in the sugar sector, followed by our Company's highlights for the period under review.

Gross production forecasted for the upcoming season is in the range of 32 million tonnes in our mind, ISMA's view is 33 million tonnes. After accounting for diversion of 3.7 million tonnes, the net sugar production is expected to be 28.3 million tonnes as compared to 32 million tonnes last year.

Regionally, UP is expected to remain stable at a production of about 10.8 million tonnes, similar to last year's level. Maharashtra and Karnataka, however, may see a bit of a dip.

As on 30th September 2024 India's sugar inventory stands at around 8.5 million tonnes. Combined with the production of 28.3 million tonnes, that is the net post diversion production, this supply is expected to adequately meet the domestic needs of 29 million tonnes, that is the forecasted consumption for next year. There's ample

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stock, however, the opening stock, which is at the recent record high, which led to a pressure in sugar prices prompting the industry to request for an increase in MSP which is long overdue to help ensure fair returns for producers and farmers. Also, we have asked for exports based on the above balance sheet of sugar, that is the inventory position given to you.

Turning to the ethanol sector, Ethanol production from cane has played a pivotal role in supporting the Government's blending target. This diversion remains essential as India has reached ~15% in 2024 and is on track to meet 20% by 2025. Right now, the bid is for 18%. Following a brief policy shift in the previous year, that is the election year, the Government has lifted all restrictions on sugar diversion for ethanol production. The industry is also awaiting the announcement of revision of ethanol prices which is expected in the coming days.

Just to give you a brief overview, if we produce 28.3 million tonnes net sugar this year and consumption is 29 million tonnes that's (-7) lakhs tonnes for this year if I deduct 7 lakh from 85 lakh tonnes, we get an inventory of 78 lakh tonnes. So, even if the Government is looking at a 60 lakhs tonnes inventory, there is scope of almost 2 million tonnes exports, which can be announced. We believe that once the Government gets a little more certain about the production, there could be some movement on that front.

On the business front, the Company faced a challenging quarter, with profitability impacted despite higher sugar volumes and slightly improved realizations. Lower crushing volumes last year, which was almost similar to the year before which was 2% down, prevented us from absorbing the full fixed costs and the Distillery division was impacted by, (a) lower availability and (b) the Government's order of December 2023 restricting diversion of sugarcane juice and B-Heavy molasses for ethanol production. Both these factors have affected our performance since all the expenses have been accounted for in this quarter without commensurate production.

Looking ahead, we are confident that our intensified on-ground cane development initiatives, particularly our shift from disease affected varieties will help mitigate the challenges going ahead. These efforts are aimed at maintaining healthy cane availability with good recovery and also optimizing capacity utilization.

The Company's integrated operations have been a cornerstone of our ability to adapt to industry dynamics and we have remained resilient in the wake of challenges. We believe the PLA project, which I will be asking Avantika to brief on after I finish, is a transformative step for Balrampur, perfectly aligning with our philosophy of maximizing value from every stick of cane. This initiative not only strengthens our relationship with the farmer community, since it uses sugar as base raw material, it advances our sustainability goals and marks a significant evolution of our business model. We are confident to create long-term value while contributing to a greener and more sustainable future.

In conclusion, the Company remains committed to delivering shareholder value and we are pleased to announce that the Board of Directors has announced an interim dividend of Rs. 3 per share.

I would now request Avantika to give you an update on the PLA project.

Avantika Saraogi: Good afternoon, everyone. Thank you for having me.

First a brief update on the PLA project, everything is going as per schedule. We are on timeline. We are in the detailed engineering phase, which is almost to conclude soon and then we would have some IRR figures for the market. But apart from that,

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in the quarter gone by, there have been two major developments which has happened:

#1. The UP Government has announced a policy for bioplastics for this project, which is a 50% capex subsidy over seven years, a 5% interest subvention, a

and then SGST

net reimbursement. Along with this there are other smaller benefits as well, such as stamp duty reimbursement, electrical duty waivers, etc., which are also part of the scheme. So, this is a commendable step by the UP Government, and we applaud them for this measure. It makes us come to the project with double the vigor and really kind of make it happen well.

#2. In August of 2024 the Central Government Cabinet approved a policy called the Bio E3 policy. The policy is meant to give impetus to biomanufacturing, including biopolymers, in which our project also falls. We are yet to see the exact particulars and schemes which would be eligible to us from this policy, but the fact that it is about moving over from a fossil based to a bio-based economy is the real push that we did want for the country as well as for the state. So, we are very grateful, and we are very happy for both the announcements.

As I mentioned in the beginning, we will have some more financials, but we need a little bit more time to announce that.

Other than this, sugarcane production this year, at the moment I would like to say that we will be similar to last year, it seems flat for UP and we are in the same boat. But there are some factors that could affect some headwinds, some tailwinds. First, I will address the headwind. Due to some late planting in 2-3 factories, we might have slightly lower cane availability due to yields having a month less to grow. But having said that, there is a tailwind on the fact that the diversion should be much lower than last year. Other than this there are obviously things which hang in the balance, such as winter rain and if we get a winter rain then yield can jump. So, again this is hard to predict, but we have given it our best shot.

That's it from me. Thank you very much.

Pramod Patwari: Thank you and good afternoon everyone. I hope all of you had the opportunity to go through the results presentation that has been shared with you. So, I would request the moderator to open the forum for questions. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session.

The first question is from the line of Sanjay Maniyal from DAM Capital.

Sanjay Maniyal: Just few questions on the sugarcane crushing part. I think last season you mentioned that there is almost 8% increase in the sugarcane catchment area, but production was more or less flat. How is the situation now if you can just define in terms of what is the increase in the area under sugarcane and what could be the availability? Just leaving apart the weather factor if everything remains normal, what could be the crushing number.

Vivek Saraogi: Basically, I think the area is similar to last year, there is not much change. And on the weather front, as we said, outside of the fact that India was hit by El Nino last year and we are entering the La Nina phase, we have seen winter rains happening every year. So, if you see the entire UP estimate last year, it just eroded by 5% without anybody's understanding. All units across UP. Triveni, Dhampur, Birla, Bajaj Balrampur, everybody. So, we hope that the winter rain would come in, we should improve over last. And as Avantika mentioned, lower diversion.

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Sanjay Maniyal: Also, I just wanted to understand from the sugarcane yield per hectare perspective. Is it safe to say that despite the increase in the area last year, probably the production was a bit lower. So, is it safe to say that non-Co 023 variety you have a lower yield per hectare compared to the newer ones.

Avantika Saraogi: So, definitely 238 had a yield which was loved by farmers and millers alike. But having said that, even when 238 had come in the beginning, it takes two or three years for a cane variety to really acclimatize itself to its new surroundings, where it can really then come and give you yield. So, last year, if you realize that, I think the marke

t is well aware, but we had a huge shift in variety and the varieties were mostly new. So, it could not give the vigor that it should give as what we had estimated as well, or maybe it was due to diversion. Maybe it was due to the non-winter rain but still net net it did not give us the result that we thought it would. Now this year is one more year which means it's had a longer time to acclimatize. I would say that till now we cannot give you an exact figure if the yields are lower. According to me personally, if you ask me, the yields of the new varieties are not at all lower. I think the acclimatization process, once it is done, is more or less getting there then this

question should kind of go out, but we might need another few months to really give you a yes or no on that.

Vivek Saraogi: So, there are 2 types of yield assessment if one has to be brutally honest, one is called the ratoon yield and one is called the plant yield. For the ratoon yield, since we have begun four of our factories right now, the first indication comes after 15 to 20 days. And just to give you a sense, our other six factories begin between about 16th, 17th December to 22nd, 23rd, with one exception going into the 1st of December. So, the entire proper yield assessment for a ratoon can be done by about 10th December to 15th December. That's the first stage and the plant yield assessment is done around the third week of February. So, these are two milestones and as Avantika said I am just adding a point. The availability of 238 for crushing last year was very low and it will be a little lower this year. So, from last year to this year there is no shift which is meaningful from 238 to a downward variety. Third, these varieties are disease free almost. And you have seen they have given us a much better recovery. So, these varieties going ahead will perform and the recoveries have already been higher.

Sanjay Maniyal: So, I believe we will get the sense on recovery as well after some time only.

Vivek Saraogi: Yes, it's begun well, but let's just wait a bit.

Sanjay Maniyal: Right. My last question on the ethanol part, given the fact that restrictions are being lifted, what is your sense on the kind of volumes that we will be able to handle this season, and could you provide a broad assessment in terms of what could be B-Heavy, what could be juice, and what could be grain?

Pramod Patwari: For the ethanol year, which has begun from 1st of November and will run up to 31st October, we are expecting on the basis of current cane availability estimate around 25-odd crore liter, including the maize, we would be in a position to do. In addition to this, it is around 3 crore liter on account of ENA. So, within this 25 crore liter, maybe around 9 crore liter on account of juice and around 10-11 crore liter on B-Heavy, may be 1 -1.5 crore liter C-Heavy and the rest is maize.

Sanjay Maniyal: In the current allocation, what is the allocation we have received?

Pramod Patwari: For the 1st Quarter?

Sanjay Maniyal: Yes.

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Pramod Patwari: Entire juice we have received .

Vivek Saraogi: B-Heavy we have received almost 6-odd crore liter.

Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: On the sugar prices front, since last year sugar prices have been holding up well in spite of market knowledge that the diversion towards ethanol would be lower since last year. Now obviously the cap has been removed. So, to your mind what factors are helping sugar prices to remain upwards of Rs.38-38.5 per kg? And how sustainable is this price?

Vivek Saraogi: So, first of all, Rs. 38.50 per kg is not a price after Rs. 20 per quintal increase in cane price. The pricing should be a little higher to our mind. So, yes, we see this situation of last year and if you're talking about inventory of 80-odd lakhs tonnes plus and the price being at Rs. 38.5 per kg, that is a good sign. H

however, our hope and thinking

is that the prices should improve from here. It needs a little bit of help from the Government. Let's put it in short. There are three demands of the industry that need to be met, which are very rational. 2 are coming out of a declared policy some years back, which unfortunately has not been followed up. 1) declaration of MSP. It was done for the first two years after the policy came in Minimum Selling Price (MSP). It hasn't been followed up there after, so that is one thing which can help. 2) the ethanol prices which is over due to our mind, but we hope should come in. I probably would guess maybe Maharashtra Election has something to do with it for the timing portion. And 3) The export. So, even though there was a declared statement by the Government that keeping the closing stock of about maybe 5.5-6 million tonnes, the rest will be automatically allowed for exports. So, again our demand is about 2 million tonnes. If the 2 million tonnes and MSP is done by the Government, we feel the price should be headed upwards from here, which is needed by the industry.

Shailesh Kanani: Is it fair to assume that there is better discipline in terms of pricing from the players in the industry?

Vivek Saraogi: It's a quota system that's why the discipline, I guess.

Shailesh Kanani: My second question is with respect to certain media reports where the Government is contemplating of increasing the blending say 12% to 24% towards E-25. To your mind, how practical is that? Is it possible, do we have the feedstocks and is Balrampur planning to capitalize on this opportunity, anything on that front?

Pramod Patwari: The target for this year is around 18% of the blending and for the next year it is 20%.

Government is also in the process of studying beyond 20%. What is needed to be done to achieve a blending beyond 20%. Of course, feedstock availability will be a very key factor, apart from that infrastructural bottlenecks like creation of storage facilities, outlets dispensation, the Government is considering all this factor. There will be some lesser efficiency if we go for higher blending that needs to be adequately addressed through lowering of GST on flex fuel vehicles as well as the hybrid models. So, the Government is in the process of evaluating everything.

Vivek Saraogi: And on how Balrampur looks to capitalize on this, we have adequate distillation capacity. So, we are working very hard to increase cane production, which will subsequently lead to enhanced ethanol production.

Moderator: The next question is from the line of Nitin Awasthi from Incred Equities.

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Nitin Awasthi: So, I had a question regarding the Sugar Control Act. There's a draft given by the Government, and I believe it's under discussion with the industry and the participants within the whole industry. How will that affect us, one. and your thoughts, whether the policy is getting more stringent, and it will also now canvas to get the PLA under its own control in some way or the other, which previously was not there under the older order, in this front if you could throw some light.

Vivek Saraogi: So, first of all, the Government always has all powers under the act regarding essential commodities. So, there was just zero impact of that in my mind on anything at all. Why this came up? Probably because when the Government put a sudden halt to the ethanol production last year, some people went to court so based on that, they have taken the power to moderate ethanol production. They did it last year as well. In our view there is zero impact of that absolutely.

Moderator: The next question is from the line of Omkar Chitnis from Trade Brains.

Omkar Chitnis: I have a question on ethanol production capacity. One of our listed competitor in ethanol market, they have a 40,000 of crushing capacity, but they are one of the largest ethanol producer of 1,250 KLPD of ethanol production as being Ba

lrampur

having 80,000 crushing capacity, why we are not the largest ethanol producer. What are the challenges you are facing in that?

Pramod Patwari: So, you are right that our crushing capacity is 80,000 tonnes. We are shifting from variety 238 to new varieties. Our existing distillation capacity can handle cane of around 11.5 crore to 12 crore quintal of cane. Currently we are in the region of around 10 crore quintal of cane. So, we are waiting for the cane to be there before we take any further action.

Vivek Saraogi: And I will attempt to answer your question. I think I have understood it. We build our capacity on 320 days capacity utilization. Hence that is the ratio for 320. So, if you want to sweat your assets less that is your options. So, one can very safely say for our level of crushing, which I think would be better than the person you are maybe saying I don't know the name. So, Bajaj is the only one who has a higher crushing capacity or higher cane because 16 units otherwise based on the numbers, we have given you and based on the fact that you want to sweat your assets, this is the proper capacity to be installed for the crushing given.

Omkar Chitnis: And my second question is as of Q2 revenue break up, how much revenue is from raw sugar and white sugar and who are the customers of raw sugar?

Pramod Patwari: We have not produced any raw sugar.

Vivek Saraogi: And by the way, raw sugar cannot be sold to the customer.

Omkar Chitnis: For B2B?

Vivek Saraogi: No, not allowed.

Omkar Chitnis: So, as of now we have a co-generation capacity of 175 MW. Is there any expansion plan in that and what is the per unit you are getting from electricity grid?

Pramod Patwari: So, we have no further capex expansion program in this segment. Power which we are exporting to grid, the Uttar Pradesh grid, we are getting realization of around Rs. 3.46 per unit. Plus, open access, so average realization should be on an annual basis Rs. 5.82 per unit. For the quarter, it was around Rs. 6.80 per unit.

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Vivek Saraogi: That is because of the extra sale to open access. It should be closer to Rs. 5 per unit net.

Omkar Chitnis: My last question is the Government of UP has made electricity for irrigation free in the month of March this year. How much benefit are you getting from this season and how much are you expecting in crushing of sugarcane this season?

Avantika Saraogi: The benefits it was very heartening to see that the farmers were able to irrigate without having to think of cost, especially our East UP farmers, where we have eight of our factories. They are very, very sensitive to cost and this really helped the people who actually had the connections, and it is still a work-in-progress. We are still trying

to get everybody connected, but this is a big thing and it's a very, very commendable effort by the Government.

Omkar Chitnis: Ma'am, how much sugarcane crushing are you expecting for this season?

Avantika Saraogi: Very difficult to tell on account of these things, how much the crushing will increase, and we need a little bit more time to do the cutting yields to have better visibility, maybe, in the next investor call we will have a better figure for you.

Vivek Saraogi: Definitely, the next investor call for sure.

Moderator: The next question is from the line of Udit Gupta, an individual investor.

Udit Gupta: Is there any change in the levy policy for the UP Government?

Vivek Saraogi: No, it is kind of the same, I think. You mean the country liquor, right?

Udit Gupta: Yes, Sir.

Vivek Saraogi: No, nothing to acknowledge yet. It should be in the same vicinity, repeat.

Udit Gupta: Also, are the Gur and Khandsari units required to give levy molasses now?

Vivek Saraogi: No. Just to brief you, since you have gone into a good, detailed question. The Government of UP has sort of indirectly, directly come up with internal notifications asking for crushers, etc., that is the Kha

ndsari to maintain some pollution laws, etc.

The effect I am telling you and they are encouraging more diversion towards the sugar sector. So, the Government of UP is interested that sugar industry crushes more cane. And they are working indirectly towards it. On Gur and Khandsari molasses, there is no restriction till now.

Avantika Saraogi: But there's a lot of discussion.

Vivek Saraogi: Yes, but it hasn't happened.

Udit Gupta: So, our drawal rate should go up this year?

Vivek Saraogi: Hopefully, give us a chance till next time because we were found incorrect like all the others in estimating cane last year. So, we want to be cautious. We just want you to wait for one quarter whereby we will also be able to give you an indication on the plant yield also.

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Udit Gupta: Regarding the PLA plant, where there's a 50% capital subsidy. So, does that mean that it's an interest subsidy or the Rs. 2000 crore that we invest that will come back to us.

Vivek Saraogi: Two separate things. Whatever the capex you put in, 50% of that capex will be payable over seven-year. So, let us say 50% of capex, Rs. 1000 crore so Rs. 143 crore multiplied by 7 is equal to Rs. 1000 crore, so the Government of UP pays Rs. 143 crore a year as capital subsidy, interest subsidy is - suppose we borrow 'X' percentage, let us say 8% or whatever. 5% out of that, which means the net impact to the Company on its borrowing cost will be 3% (8%-5%). SGST reimbursement as and when goods are sold, whether they are sold in UP or not. If it's sold in UP the net SGST, that is after the ITC credit will be re-imbursed to us.

Udit Gupta: Right. And this plant is on track for commissioning in October 2026.

Vivek Saraogi: Yes, October 2026.

Moderator: We will take the last question, from the line of Deepak Gopinath from Sundaram, Mutual Fund.

Deepak Gopinath: My question revolves around PLA. I just want to understand when we talk about manufacturing of PLA, you are talking about producing pellets, right, which will be sold to the perform converters.

Avantika Saraogi: Yes.

Deepak Gopinath: And regarding this capital subsidy of 50%, so how do we define what are the assets which are eligible for this capital subsidy meaning will it include land, building, R&D cost, or technology transfer cost or is it only be applicable to PPE, which we will be buying?

Avantika Saraogi: So, the fine print hasn't been totally laid out, but usually what happens is that other than what is already on the ground, you are usually able to claim everything. But I think we should wait for the order to come in and read the fine print before we really make a proper comment on that.

Deepak Gopinath: And let's say if this subsidy does come in, then it's on reimbursement model, right? It is not pari-passu, meaning that when you invest 'X' amount, the Government will also invest 'X' amount.

Avantika Saraogi: I just want to clarify, there's no if, the subsidy has been announced. So, the "if" question is out. The other thing is that we will come up with the fine print as well when we come up with the other financials for the project soon.

Vivek Saraogi: But your question is valid, let me answer that. So, you are saying, and I am clarifying that to the best of our understanding anything which is payable will be payable after commercial production except the land portion of the subsidy. It will accrue. So, let's say you borrowed Rs. 100 crore, I am just giving an example and till the project

comes up there is a subsidy of Rs. 3 crore to be claimed on it. So, all that will accrue but payable after commencement of production. Everything will be accrued and payable because they need to see commercial production and rightly so.

Deepak Gopinath: If you look at the PLA prices per kg means roughly around market data says Rs. 250 per Kg. And if you look at single use plastic which is PPE or polyethylene based, they are half the cost of PLA, so I was

just thinking how will the volume offtake

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happen? Without any regulation coming into the picture wouldn't it be difficult for us to scale up this plant's utilization?

Avantika Saraogi: We must be cognizant of the fact that we announced this project before we knew also that we would get any policy or any hope of any policy even. So, your question is absolutely right, 19 items for single use plastic are already banned. You cannot make it from PPE or PE. So, therein the price discussion goes out of the window because then I am not comparing myself to a PPE or a PE, right. I am competing with the alternative. For example, in straw people are now using cardboard or paper so I am competing with that. In carry bags, people are even making very, very thick plastic carry bags, which I can really be much better in terms of cost, or they are making cloth bags, again I can compete with that, for bottles I can go on. For earbuds they are using paper, or they are using wood. Again, I can compete with that. So, there are many, many things for which already I will be able to compete at the existing price level, which you mentioned, wherein it's a drop in the ocean our quantity. 75,000 tonnes in a market of single use plastic in India per year 5 million tonnes, 75,000 tonnes will just go completely unnoticed is what we think. But having said that we should not be so-so bullish. I think we should still focus on more tightening of regulations. I think the only lacuna here is that the single use plastic ban needs to be enforced properly because though the regulation exists, the enforcement is sometimes grey this is what we want from the Government. We don't want more regulation. We want enforcement of existing regulations and which they are happy to do and in fact basically the whole discussion was that there was no raw material, so they were not able to force the regulation as per their liking. So, we are in discussions, and they are happy about this opportunity that they will also get to enforce their ban.

Vivek Saraogi: Right. So, I hope you have understood Avantika's answered.

Deepak Gopinath: Yes, I have understood it, Sir. So, given this scenario, do you feel that once the plan gets commercialized within three years, we can achieve a peak utilization and what could be the peak utilization?

Avantika Saraogi: Yes, I think that is the plan.

Vivek Saraogi: Why three years? There is a full team working on marketing already. So, we would not go into more detail. One would hope to sell the day you produce and stabilize also very quickly.

Avantika Saraogi: Do you mean production, or do you mean sale?

Deepak Gopinath: Once the plant becomes commercial within how many years can we achieve a peak utilization level and what could the number be?

Vivek Saraogi: It is a new plant. It's a high-end plant. So, let's assume it takes three to four to five months at best to stabilize the quality. We feel that the goods will be sold the day you start your commercial production. So, capacity utilization sales, our best guess today is 6 months.

Avantika Saraogi: And he's asking what that number is. So, 75,000 tonnes per annum is the rated capacity now peak will be only seen once the plant is installed.

Vivek Saraogi: It should be full utilization and just to clarify the competition, once it is banned, gets enforceable as Avantika said, the Government is continuously saying you want us to enforce the ban shows the alternate we will enforce the ban.

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Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments, over to you, Sir.

Vivek Saraogi: Thank you, everyone. And we will continuously keep updating you on all the business aspects as time goes and we are always there to answer your queries.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes

no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Feb 2025

13th February, 2025

National Stock Exchange of India Limited
Listing Department,
'Exchange Plaza', C/1, G Block, Bandra
Kurla Complex, Bandra (E),
Mumbai 400051. BSE Limited
The Corporate Relationship Department
1st Floor, New Trading Wing, Rotunda
Building, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai- 400001.
Symbol: BALRAMCHIN Scrip Code: 500038

Dear Sir/Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Subject: Transcript of Earnings Conference call

In terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the Transcript of the Q3 & 9M FY25 Earnings
Conference Call held on 10th February, 2025. The same is also uploaded on Company's website
at the following web page:

<https://chini.com/investors/concall-transcript/>

Thanking You.
Yours faithfully
For Balrampur Chini Mills Limited

Manoj Agarwal
Company Secretary & Compliance Officer

Encl: A/a

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Balrampur Chini Mills Limited
Q3 & 9M FY25 Earnings Conference Call Transcript
February 10 , 2025

Moderator: Ladies and gentlemen, good day and welcome to Balrampur Chini Mills Limited's
Earnings Conference Call. As a reminder, all participant s' lines will be in the listen -
only mode. And there will be an opportunity for you to ask questions after the
presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to M s. Jenny Rose from CDR India. Thank you and
over to you, Ma'am .

Jenny Rose: Good afternoon, everyone. And thank you for joining us on Balrampur Chini Mills' Q3
and 9M FY25 Results Conference Call .

We have with us today Mr. Vivek Saraogi – Chairman and Managing Director of
Balrampur Chini Mills , Ms. Avantika Saraogi – Executive Director , and Mr. Pramod
Patwari – Chief Financial Officer of the Company.

We would now like to begin the call with brief opening remarks from the management,
following which we will have the forum open for the question -and-answer session.
Before we start, I would like to point out that some statements made in today's call
may be forward -looking in nature, and a disclaimer to this effect has been included in
the results presentation shared with you earlier.

I would now like to invite Mr. Saraogi to make his opening remarks. Over to you, Sir.

Vivek Saraogi: Thank you and good afternoon everyone. Thank you for joining us on Balrampur
Chini's Q3 and 9M FY25 earnings call.

I trust all of you have had the opportunity to go through our results presentation, providing details of our operational and financial performance. I will initiate the call with an update on current developments on the sector, followed by our company's key highlights for the period under review.

According to latest ISMA estimates, Indian sugar production net of diversion to ethanol is in the region of 272 lakh tonnes. This is down from 320 lakh tonnes, reflecting a 15% decline. Sugar diversion is expected to be at 37.5 lakh tonnes as against 20 lakh tonnes last season. The drop in sugar production is primarily due to lower cane yields across all the three largest producing states – UP, Maharashtra and Karnataka.

UP's production is expected to fall from 104 lakh tonnes to 93 lakh tonnes, primarily due to red-rot infestation and ongoing varietal replacement. Maharashtra is likely to produce 85 lakh tonnes, a sharp decline from 110 lakh tonnes. While Karnataka is expected to see a drop in production from 52 lakh tonnes to 45 lakh tonnes.

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Despite this decline in production, overall sugar availability seems to be sufficient. We began with an opening stock of 80 lakh tonnes. Total supply for the current season is expected to be 352 lakh tonnes, that is 272 lakh tonnes production plus 80 lakh tonnes opening stock. With domestic consumption estimated at 280 lakh tonnes and export of 10 lakh tonnes, we deduct 290 lakh tonnes from 352 lakh tonnes, the closing stock is expected to be around 62 lakh tonnes by the end of the season. The government's approval of 10 lakh tonnes of exports has provided some relief to the millers. Also, by helping strengthen the domestic price, which are now expected to remain robust going ahead. The current expected price in UP and in our mills are prevailing upwards of Rs. 41 /kg.

On the ethanol front, there has been a disappointment. The tender was floated as usual, in November. However, the recent decision to keep the price unchanged or without any hike has been very disappointing. This is a deviation from the past practice of linking ethanol prices to the hike in FRP. We have raised this issue strongly with the government. This will make the diversion unattractive, and we will continue to address it vigorously through the industry association. We believe this could put the government's program in jeopardy. Our honorable Prime Minister, even in the Budget Session, has taken credit and sort of praised the ethanol program for saving significant foreign exchange, which we also believe is true. However, moving forward, we will be discussing this matter with the government.

Coming to our business performance, sugar segment delivered strong results, supported by improved margin. Distillery segment, however, faced challenges due to lower recovery induced impacted by reduced Pol%. The said recovery is now showing an uptrend. Cane crushing during the quarter was up by 10.4%. However, recovery was down by 48 bps for our company owing to adverse weather conditions.

So, I will now put this performance into perspective —our performance and our expectations. Let me put a disclaimer by saying that this is an expectation, but a far more intelligent guess today than it would have been guessing a month ago.

Our recovery is now picking up, which means that our decline of 48 basis points will reduce as the season ends. In fact, in two of our factories, we have already surpassed last year's recovery on date, which is a very encouraging sign. We hope that our drop in crushing will not be, too early, and should not exceed 3%, based on our current figures. As you are aware, we've shown an increase in crushing in all our units.

Therefore, even if we expect a drop of 0.4% or 0.35%, except for Dalmia, whose recovery is slightly lower than last year, the others are much lower than us.

We would also like to put this in the context of our juice production. Initially, recovery was low, but it has since picked up. Therefore, juice production in the coming quarters will show marked improvement, as will recovery.

Our PLA project remains on schedule, with the UP government's bioplastic policy further enhancing its viability. The board has approved a capex of Rs. 2,000 crore, which was previously estimated. These figures were calculated before detailed engineering, which did take time. Now, based on a complete capex and opex review, our project cost stands at Rs. 2,850 crore gross or Rs. 1,750 crore net, with an expected capital subsidy of around Rs. 1,100 crore. This higher investment will lead to an enhancement of capacity from 75,000 to 80,000 tons and a much lower conversion cost than envisaged.

We have advantage, having mapped everything globally. Our opex will be highly competitive, and I would even hazard to say it will be the lowest, based on the reconfiguration of our plant and the fact that our bagasse etc., is all our own. We have reduced power consumption and added eq

upments to lower the opex. We are

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very confident about this. When we benchmark globally, our capex per ton will be the lowest by far.

The project cost is expected to be funded through long-term debt of Rs. 1,650 crore and Rs. 1,200 crore from internal accruals. At full capacity, the project is expected to generate ~Rs. 2,000 crore in revenue, with EBITDA margins, though it's still early, we are targeting 35% plus. The commissioning schedule remains on track for October 2026.

As we move forward, our focus remains on driving operational efficiency, strengthening farmer relationships, and navigating the new sectors we have undertaken. We believe our integrated business model, commitment to sustainability, and strategic expansion into bioplastics will strengthen our position and long-term value creation.

I would now like to hand over the floor to Pramod.

Pramod Patwari: Good afternoon everyone. I hope all you had the opportunity to go through the detailed presentation that has been shared. So, I would request the moderator to open the forum for the questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sanjay Maniyal from DAM Capital.

Sanjay Maniyal: One thing about the PLA project, so you mentioned that the capex cost is now Rs. 2,850 crore, which is almost 40% higher, and the capacity increase is from 75,000 tonnes to 80,000 tonnes. Could you please elaborate on why the increase in capex is so significant, around 35% to 40%?

Avantika Saraogi: Hi. Thank you so much for the question. I just wanted to sort of bring it a bit into perspective. The capex initially envisaged was for the go-ahead of the project, based on the feasibility study, and was considered a Level 5 capex estimate, which can have a variation of +/-50%. Now, we are at a Class -2 estimate, where the variation should not exceed 10%. Hopefully, there will be no upward variation at all. So, I just want to bring into perspective once engineering happens, once certain local factors are considered into the situation which you cannot consider before, then things do tend to change. We have been able to optimize also more than we ever imagined we could. So, a lot of things have gone very well. Yes, that has increased the cost, but believe me, it's well worth every penny.

Vivek Saraogi: And just to tell you, we have put in very stringent penalties on the suppliers and that has also added to the cost a bit, but it gives us a lot of safety, in our mind. So, it's on quality and achieving the targeted production so that gives us a lot more safety in our mind undertaking a new venture.

Sanjay Maniyal: Right. And from the subsidy point of view, other than the capital subsidy, do we have anything on the operational side?

Vivek Saraogi: Yes. So, I thought we have seen the subsidy, but I will clarify. So, 50% of ECI is the capital subsidy, that is called Eligible Capital Investment, which might exclude some things like infrastructure cost, water, etc. There is a 5% interest subvention, which means, assume we borrowed at 8%, we net pay 3%, we get 5% from the government. And there is an SGST refund. Avantika, clarify.

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Avantika Saraogi: A net SGST reimbursement for a period of 10 years. So, for the amount products sold within UP, the net of GST that we would accrue there, we would get it reimbursed up to 200% of capex, that is the rule. The GST stands at 18% total, so 9% is on state.

Vivek Saraogi: But it's a net refund.

Avantika Saraogi: Of course.

Sanjay Maniyal: So, this 35% EBITDA margin is considering these subsidies, all these subsidies or this is without subsidies?

Vivek Saraogi: Let Pramod clarify. Pramod?

Pramod Patwari: So, as far as 35% margin is concerned, surely, we have taken into consideration the capital subsidy and the interest submission, but SG

ST net reimbursement as of now has not been factored into it.

Sanjay Maniyal: Sure, one thing on the recovery part, 48 basis points lower recovery. So, as you I think mentioned that you are now better with the plant cane. Can we assume that overall, with for the crushing season it will be a 40-basis points kind of a loss? And if I am not wrong, you have mentioned 3% decline in the crushing number or the production number?

Vivek Saraogi: So, crushing number would be 3% lower – is our estimate. And yes, 0.4 0% loss in recovery .

Sanjay Maniyal: Right.

Vivek Saraogi: Taking the backdrop of others it is very good.

Sanjay Maniyal: Right, sir. Just last one on the distillery part. With an almost 7% to 8% increase in SAP last year, we have seen two consecutive years of higher sugarcane costs and lower recovery. Meanwhile, ethanol prices have not increased. What would be the impact on the margin from an ethanol perspective? Earlier, we were making a pretty good margin of Rs. 7 to Rs. 8 in the juice part. Now, what would the economics look like in this scenario ?

Pramod Patwari: Yes. So, as far as the ethanol is concerned, as sir was also mentioning, there is a lower recovery from the cane which is now showing an improving trend. In spite of that, we do not see a good margin coming out of the juice -based ethanol, even if we take into consideration the full years of operation. Distillery margin will surely be muted in comparison to last year for previous years because of the continuous increase in the raw material cost and no increase in the realization. In addition to the raw material cost, there is an inflationary pressure also on the conversion cost.

Vivek Saraogi: Okay. But having said that, it will look a lot better than what you are seeing now.

Pramod Patwari: Yes. The reason for the loss in this quarter is due to the fact that we had very little feedstock available as of 30th September 2024. This can be validated once you see the presentation, which compares the corresponding numbers from 30th September 2023. There was hardly any stock available to produce ethanol, and very few finished goods of ethanol to sell in the December quarter. Last year, due to production restrictions, we migrated from juice and B to C, and we had some opening stock of B-heavy ethanol, which resulted in profit. This year, however, there was hardly any stock of B -heavy ethanol, so there was no significant sell of B -heavy ethanol in the current quarter.

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Moderator: The next question is from the line of Vikram Suryavanshi from Phillip Capital India.

Vikram Suryavanshi: What is export quota allocation we have got? And if you can share what are the export prices of some of the deals that are negotiated in the industry?

Pramod Patwari: So, our export quota was around 31,000 tonnes. We have traded our export quota, and we retain our domestic release, so we will be getting the domestic release of this 31,000 tonnes over a period of five months beginning from March, so there is an upside in the domestic .

Vikram Suryavanshi: Okay. So, we have traded for the quantity, but the price is not locked, is that right?

Pramod Patwari: No, we have traded our license for quantity. So, we have sold our license at ~Rs. 9 crore or something.

Vikram Suryavanshi: Okay. Understood. And basically, for the outlook on ethanol blending, sir has also given some idea, but what would be our production estimate given I think B-Heavy, and juice route may not be that attractive considering the sugar price increase in the domestic market. So, will it significantly impact the full year volume for distillery? And how is the utilization for even grain to ethanol for us?

Vivek Saraogi: So, there are three parts to this conversation. One, as you know what has happened that we have said it. So, how we have reacted, we have converted two of our units from B -heavy to C -heavy, immediat

ely, after the zero increase. And post the export, sugar production will become attractive. Two, in our mixture we have five refineries out of our 10 factories. So, refinery is seeing good demand. So, we feel with this conversion we will make more sugar and therefore our blended realization should be very good, having five refineries. Juice, however, we would continue as we have tendered the juice quantity. B -heavy will convert to C. And in our factories, we have spent the capex , so just assuming next year we are sort of feeling that the economics is for producing more C -heavy, all our 10 plant can produce C -heavy throughout, technically. C or B we can produce everywhere. So, we have fungible capacity going ahead.

Vikram Suryavanshi: So, in case B -heavy we were not able to fulfill quantity, can we convert that into C -heavy, or is there any penalty?

Vivek Saraogi: No, we had converted. I told you that in two factories we could, we had converted into C-heavy.

Vikram Suryavanshi: Okay. I was talking about from OMC side that whatever quantity we have committed.

Vivek Saraogi: No, that will get handled, that's not a problem.

Vikram Suryavanshi: Okay, I was like actually looking from that side. And just one point, because we have seen the recovery drop and some of the mills have seen the cost of production have

gone up significantly. While Q3 realization were not that high, so was there any inventory loss we accounted from the inventory or for us it was not the case?

Pramod Patwari: Yes. So, your question is with respect to sugar inventory?

Vikram Suryavanshi: Yes. Was there any inventory loss we have accounted or write-off we have taken for this quarter?

Pramod Patwari: Yes. Pawan, do you have the figures?

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Pawan Patwari : Yes, for the quarter our sugar costing is Rs. 41.21/kg and we have valued the sugar inventory at Rs. 38.26/kg. So, this is the phenomena every year because in Q3 we get ~40-45 days of crushing, so this cost will, on a full year basis, will come down because next quarter we will have 90 days of crushing.

Vivek Saraogi: So, just to summarize, Pawan, what is the inventory we are carrying forward at what cost?

Pawan Patwari : We are carrying forward 31.6 lakh quintal of sugar inventory at a valuation of Rs. 38.26kg.

Vivek Saraogi: Right. So, we are carrying for 31 lakh plus lakh quintals at Rs. 38.26/kg. We are currently selling above Rs. 41.25/kg.

Vikram Suryavanshi: Right sir, yes. And the last question is that this non -238 variety in terms of varietal replacement, how is that share right now? And does recovery decline also have some impact of this migration to new variety, or it is like purely on weather and other parameters?

Avantika Saraogi: We have already reduced our 238 percentage over the last three years considerably. So, our percentage this year for 238 should be something between 10% to 15% in crush. And the recovery drop is not with respect to the varieties exactly, it's more the weather phenomena. I also want to see that last year our recovery was actually much higher than we had envisaged that it would be, so it is very strong. So, if you look at absolute terms, our recovery in comparison to the rest of the state, we are actually very strong.

Vivek Saraogi: So, last year C basis was 11.75%, which in itself was very good. And there has been a drop because of the weather conditions. So, we would still be, let's say, we are assuming 0.4 0% drop, we would still be at 11.35 %, which, from Balrampur's perspective, is looking 0.4 0% lower, and it is a fact. But from the state's perspective, it might still look very good, except Dalmia.

Vikram Suryavanshi: Definitely, sir. We really acknowledge your cane development efforts, and we clearly see your recoveries are much better. Additionally, the whole cane availability is much better than the state we are seeing, as the numbers are coming in.

g in . So, thank you very much.

Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: My first question was regarding something mentioned in the PPT about PLA, wherein it was stated that the imports for analysis and product development by compounders and converters have already begun. Additionally, we have also mentioned that we will be exploring alternative feedstocks such as rice and corn stock for future expansion. Could we elaborate and provide more details on this?

Avantika Saraogi: So, basically, we have started feeding the market activities. So, we have started importing PLA, the kind exactly that we will be making in order to work with the downstream industry, which is the compounders and converters. And also, brand owners and the whole value chain who would then be using those products to start developing that value chain from our end. That is what it basically means. So, if you want a more detailed thing, we are getting PLA, we are going to give it to different people who are going to make different products from it, prototyping, and actually seeing whether it is working in their application, so we do not lose that time after we are producing. All that would be taken care of much before, that's the first thing. The second thing is feedstock flexibility, which we will explore for the future. It's really

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actually a very rudimentary thing, like you can produce ethanol from rice or sugar. It's very much similar to that. At the fermentation level everything becomes the same in any case, so it's just a preparation of the raw material which changes, which is not rocket science, it's fairly simple.

Shailesh Kanani: Okay. So, the way I understand is that, so our PLA facility would be fungible and only the pretreatment of the feedstock would be something which would be needed, and the rest part of converting fermentation and lactic acid to PLA is something which can

be done for the current facility only. Is that understanding right?

Avantika Saraogi : Absolutely.

Vivek Saraogi: The fact that we are importing PLA compounding, and that we have budgeted for marketing and development expenses in our project cost, is because our target is to have our facility sold out before we begin . So, there's a lot of work going on all the fronts, technology, marketing, government engagement, etc.

Shailesh Kanani: That's quite useful. Thanks a lot for that explanation. Sir just I wanted to understand, in your opening remarks you also mentioned about that our facility would be starting somewhere in the period of October 2026, that is second half FY27. So, I just wanted to understand one thing, in terms of certifications or approval for the product, and from regulatory authorities from both domestic and international, would there be time lag or that is factored in the timeline what we are giving for the project?

Avantika Saraogi: It's all factored in.

Shailesh Kanani: Okay, great. Sir, one thing on number, we have also mentioned about Rs. 2,000 crore revenue coming from the plant at optimal capacity, can you specify what is that number of organic capacity that we are factoring in?

Vivek Saraogi: 80,000 tonnes.

Shailesh Kanani: So, it's 100 % capacity?

Vivek Saraogi: Yes. And why not?

Shailesh Kanani: Yes, absolutely.

Avantika Saraogi: We pride ourselves on being able to run over the capacity, which is rated, so we are thinking that rated is optimal.

Vivek Saraogi: So, by the way, a lot of this business is linked to fermentation, a lot of it. And that we have run the best fermentation business by making ethanol from juice. The single plant in the country which makes not even one bag of sugar. So, just we feel a little more confident, I guess.

Avantika Saraogi: And in fact, actually that is the place that determines your recovery, your conversion cost.

Vivek Saraogi: Yes, energy cost

and lots of other things.

Shailesh Kanani: Yes. Sir, just the last question from my side, in terms of capex can you give some indicative numbers about FY26 and FY27, and also the current consol debt in divisions?

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Pramod Patwari: Yes. So, long term, we borrowed around Rs. 325 crore for the purpose of PLA within December, and our existing long-term debt is Rs. 200 crore . Out of this Rs. 200 crore , Rs. 22 -odd crore will be repaid within March 2025. Thereafter, Rs. 89 crore is payable on an annual basis in next two years. Short term loan is fully backed by inventory. The figure as of now is net of cash and cash equivalents it should be around Rs. 1,200 crore to Rs. 1,300 crore .

Shailesh Kanani: And sir, in terms of capex figure for FY26 and FY27, how can we factor that in our models? I do not want the whole project cost, but just for cash flow perspective from FY26 to FY27.

Pramod Patwari: I think we have already spent Rs. 700 crore . So, the Rs. 2,850 crore we will retain, around 10% to 15% that will be paid after the commencement of the project. The rest will be just proportionate expenditure, it's difficult to give you a month -wise breakup or a quarter -wise breakup.

Vivek Saraogi: Yes. So, it all depends , but we need coming orders, that probably next quarter we will have a better visibility.

Avantika Saraogi: And it is on milestone achievement also.

Vivek Saraogi: Milestone achievements. As we said, we put in very stringent penalties and payment conditions on the suppliers, internationally.

Moderator: The next question is from the line of Deepak Dharmavaram from Sundaram Mutual Fund.

Deepak D.: Yes. So, first, this cost escalation of Rs. 850 crore , I just want to understand what exactly is it, meaning, is it more to do with plant and machineries or is it something else? Because in your PPT you have mentioned that this higher investment will lead to a lower conversion cost, so is there some kind of backward integration we are doing? Where exactly this cost escalation is coming from?

Vivek Saraogi: Let's assume capacity is going up by 10%, so factor in something there. The rest is to put up machines which can lower your energy cost and lower your chemical cost and your input cost, input material consumption. So, these are complex engineering which we hired the best brains globally and we saw that we could have quite good saving in the all the conversion costs, as I mentioned, chemical cost, energy cost and

raw material cost. Based on that, certain reconfigurations were done, and therefore this is the result.

Deepak D.: Okay, sir. And is there any possibility that this cost may further go up as we do more of engineering studies?

Vivek Saraogi: Ordering has all been done largely, all the big bought outs have been ordered.

Avantika Saraogi: There's no space for it to go up. If anything, it might come down.

Vivek Saraogi: No, let's not say that. So, it's an intelligently done exercise with all 90% orders in place.

Deepak D.: So, it would not be that material, even if some little bit of capex inflation happens.

Vivek Saraogi: Yes, that's all you can say right now.

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Deepak D.: Okay. And from end use application point of view, means are we still in the R&D process? Or have we thought about what could be the end use application, means, what kind of product that end consumer will be making of these PLA pellets? Whom we will be supplying to? Is it still in R&D stage or there is some understanding of that?

Avantika Saraogi: So, basically, the SUP ban is one of the main kickers for us, because now those products are very easily made with PLA. We are looking at all the applications. And it's not an R&D in the sense that everything is possible, we are just sort of working with multiple people. If you ask me who exactly are we selling to, I do not know, but I am working with 10 people

on 10 applications to see which one gives us the highest revenue actually.

Deepak D.: Okay. And literally, if I have to compare, so if I am an end consumer, I would have to look at the cost also, what could be my cost through a PLA pellet versus normal plastic pellets. Are we cost competitive? What I mean to say is, by the time we commercialize this, how will the end consumer view it? Because, ultimately, they would be concerned about the cost, right?

Avantika Saraogi: So, firstly, let's talk about the end consumer first, and let's pick up like a product like let's say water bottles, just because everybody knows what a water bottle is.

Vivek Saraogi: The cap of the water bottle you mean.

Avantika Saraogi: Yes. So, hypothetically, if only the cap of the water bottle is being made from PLA and there's some Rs. 0.50 difference, I do not think that matters to the end consumer. We are very, very conscious of the Indian consumer being price sensitive and we are only targeting those applications wherein the cost is easily borne or absorbed either through the value chain or at the end it is not going to a person who cannot afford it, Rs. 0.50, Rs. 1 here and there. We are looking at those kinds of applications itself. So, not the ones which will hurt the common man. So, that is one thing.

Deepak D.: Just to clarify, I was not asking from the point of view of the end consumer like you and me, but the people who are making it, like the people who are manufacturing the bottles or people who are making the plastic bags.

Avantika Saraogi: Yes. So, similarly, look, everybody puts in a margin when they are doing some work, right. So, we are looking at those where Rs. 0.50, Rs. 1 does not matter, even to the middle person in the value chain, because at the end of the day it's the brand or the end consumer who determines the procurement price, that's number one. Number two, if you are asking me for a straight answer pellet to pellet cost, then PLA cost almost double of normal plastic. Now because of our optimizations and everything, let us see where we get to. But in my opinion, I am not really looking at it being a challenge to be sold at the price that I would like.

Vivek Saraogi: Okay, I just want to provide a few more clarifications. One, if there is an SUP ban, we will be able to compete very well with alternative products, such as paper or glass. We do not need any help there.

Avantika Saraogi: Yes, or metal

Vivek Saraogi: Yes, or metal. Additionally, there are many applications for coatings. Coating is not just changing the game. So, selling out 75,000 tonnes does not seem to be a challenge at all.

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Avantika Saraogi: So, we envisage also the usage of plastic in India to be around 14 million to 15 million tonnes, out of which nearly I would say 45 -odd-percent of that is the SUP. Look, 75,000 tonnes is not even a drop in that ocean.

Deepak D.: No, that's fine. The addressable market is fairly large, that I understand, and opportunity is also big, and we have a good execution track record. I was just wondering about the volume offtake, but fair, you have answered whatever could be

answered at this point of time.

Vivek Saraogi: The coating demand could be huge. Coating means let us say, bagasse tray, so just coating that you cannot imagine how much offtake there is, and that does not change the game.

Deepak D.: Okay. Few questions I had on the financials to Pramod sir. Sir, you mentioned that this 35% EBITDA margin includes the subsidy and interest rate subvention also. But I was just wondering how is that possible from accounting perspective, because all the grant incomes usually fall in other income, which is below EBITDA, so is the interest expense.

Pramod Patwari: Yes. So, you are right, PBT and EBITDA will be more or less similar in this case. Why I mentioned this because, up to the date of commencement we will be capitali

zing the

interest. Similarly, the depreciation as and when we capitalize will be computed on the basis of net figure only. So, when we talk of the cost of production which includes depreciation also, so from that perspective I mentioned that it is including subsidies.

But you are right, at EBITDA level it won't make any difference.

Deepak D.: So, just to clarify, so excluding subsidy and interest rate means what is our actual EBITDA margin which we can do at optimal level?

Pramod Patwari: So, this is our actual EBITDA margin which we are targeting, because depreciation and interest post capitalization will be below EBITDA.

Deepak D.: Okay. So, the core EBITDA margin remains at 35%.

Pramod Patwari: That would be right.

Deepak D.: At gross level how much can we make, EBITDA is around 35 %, at gross margin level what could be the range?

Pramod Patwari: It will be revenue minus raw material only.

Vivek Saraogi: So, let us do some more work. We have done a lot of work before releasing these figures, which is why it has taken us so much time. So, maybe give us six more months to provide you with better accuracy. Let us get more and more precise. So, we are feeling and understanding that as we are proceeding, we are getting more and more confident on each aspect of the business, be it marketing, be it technology, be it energy consumption, be it chemical consumption. So, we are feeling more and more confident as we are proceeding. See, at the end of the day, it is something new. It is going to be the first integrated plant worldwide. The advantage is your sugar, and bagasse is going through a conveyor. World over they are getting sugar from somewhere, something from somewhere, gas, etc., which is going to cost far, far more. So, we are hoping to be very, very competitive.

Deepak D.: Okay. Got it, sir. And one question on this interest rate subvention. So, you have clarified in your opening remark also that if we have an 8% interest and 5% subvention, the net interest cost for us is 3%. So, from our modeling perspective, what

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shall one assume that on an ongoing basis in FY26-27, howsoever, the future, what could be our net interest cost?

Pramod Patwari: So, by the time the project comes, our existing long-term loans will be paid off.

Deepak D.: No, sir, I am asking about the cost of it.

Pramod Patwari: That's what I am saying. Let us assume we draw completely before the commencement of the project, so the net interest charge on the PLA account will be 3%. Our existing loans are variable, so with the drop in the repo rate, the cost has come down by 25 basis points on some portion of the loan. Is that clear?

Deepak D.: Yes, it's clear. And on the tax front, is there any advantage we have or is it the general corporate tax rate ex of grants?

Pramod Patwari: It is usual income tax rates.

Moderator: The next question is from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: I had a couple of questions on the sugar ethanol equation. So, my first question on the sugar quota, you have been selling more than the quota allocated to you, it has actually two parts. The second part is that if we go by this trend and the loss of manufacturing of various other mills in the state, will we be able to go back to 1 million tonnes plus kind of sales this year?

Pramod Patwari: As far as the sugar production is concerned, for this year the sugar season looks like we will be doing around 9.4 lakh tonnes to 9.5 lakh tonnes.

Rajesh Majumdar: Okay. And what about the sales?

Pramod Patwari: 74.2 lakh tonnes is what we have done in nine months.

Rajesh Majumdar: Yes, that's correct.

Pramod Patwari: Rest will depend upon releases.

Rajesh Majumdar: So, my question was, do you hope to get additional sales better than your quota and reach 1 million tonnes this year, that's what the question is actually, sir.

P

ramod Patwari: That is difficult to tell at this point in time. But as far as export release is concerned, we will start getting this 31,000 tonnes quota allocated over a period of five months beginning from March 2025 . So, 6,000 tonnes every month will be an additional impetus.

Rajesh Majumdar: Okay. And also, since you are going to be making more C -heavy ethanol, will we see a reduction in the overall ethanol volumes compared to last year?

Pramod Patwari: Yes. For FY25 it looks like alcohol volume will be in the region of around 21.5 crore to 22.5 crore , including ENA and everything.

Rajesh Majumdar: Okay. So, that's down from 28 crore , right?

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Pramod Patwari: No, earlier also we gave guidance of around 22 crore to 23 crore liter.

Rajesh Majumdar: Yes. And what would be the impact of FCI rights on all these? So, what was the grain mix till date and what would be FCI new tender kind of contribute to our overall ethanol mix?

Pramod Patwari: So, I do not think rice at this price it's a viable option. So, we will be using maize as well the open market rice.

Vivek Saraogi: So, mostly, Pramod, it seems we will be using maize.

Pramod Patwari: And our target is around 4 crore liter during this ethanol year .

Vivek Saraogi: That's what we bid for from grain.

Rajesh Majumdar: And for the ethanol year 2024-25, could you guide any number on that on the grain?

Pramod Patwari: Yes, the target is for Rs. 4 crore .

Rajesh Majumdar: Ethanol Year FY25, okay.

Vivek Saraogi: No, he is in total ethanol, I think.

Pramod Patwari: No. March 2025 volume target around 21.5 crore to 22 crore litres , for the ethanol production out of maize route will be around 4 crore liters.

Rajesh Majumdar: And for the overall ethanol for EY25?

Pawan Patwari : Yes, so total is around 28 crore liter, considering Rs. 3 crore towards ENA, so around 25 crore liter will be ethanol for EY 25.

Rajesh Majumdar: Plus 3 crore liters for ENA, is it?

Pramod Patwari: Yes. So, Rs. 25 crore will include maize based production also.

Rajesh Majumdar: Right. And sir, if I could ask one question on the recovery, so we have seen the recoveries again falling this year to 11 .35 or whatever you are targeting at. So, if you look at the changeover in the varietal that we have been doing, when do we see that actually coming into our recovery and benefiting us from which year, is it going to be next year or that also is not very clear right now?

Avantika Saraogi: Rajesh ji, firstly, last year our recovery was quite up as compared to the year before that. So, the varieties are definitely performing, its agro climatic conditions which happen and some other changeovers which farmers do at a local level, but largely these are agro climatic factors. I would not be surprised if next year the recovery would again be up. It just depends on things which are beyond control sometimes. It's not the variety, which is the problem for us, it might be for other su gar companies.

Moderator: The next question is from the line of Krutika Vispute from Tata Asset Management .

Krutika Vispute: Yes. Just one clarification , you mentioned that you would shift most of the crushing towards C -heavy route, so just confirming on that B -heavy would now be very negligible number going forward, right?

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Vivek Saraogi: No. Two things. Already till date we have done maybe whatever 60%, 65% season over. Just post the announcement of zero increase we have shifted. So, already it's not that we will be negligible, and we shifted in two units. So, it's not going to be a big, big difference. But yes, there will be a difference.

Krutika Vispute: Any guidance you can give in terms of how much would be the proportion going forward in terms of how much goes towards C -heavy, B -heavy and juice, between these three?

Vivek Saraogi: We will get back. Since its very unit specific, we w

ill get back on the overall number.

Moderator: Thank you very much. We will take that as the last. I would now like to hand the conference back to the management team for closing comments.

Vivek Saraogi: Thank you, everyone. And we are always there to answer any more queries.

Pramod Patwari: Thank you so much.
Avantika Saraogi: Thank you for attending

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy

Call: May 2025

21st May, 2025

National Stock Exchange of India Limited
Listing Department,
'Exchange Plaza', C/1, G Block, Bandra
Kurla Complex, Bandra (E),
Mumbai 400051. BSE Limited
The Corporate Relationship Department
1st Floor, New Trading Wing, Rotunda
Building, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai- 400001.
Symbol: BALRAMCHIN Scrip Code: 500038

Dear Sir/Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Subject: Transcript of Earnings Conference call

In terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the Transcript of the Q4 & FY25 Earnings
Conference Call held on 16th May, 2025. The same is also uploaded on Company's website at
the following web page:

<https://chini.com/investors/concall-transcript/>

Thanking You.
Yours faithfully
For Balrampur Chini Mills Limited

Manoj Agarwal
Company Secretary & Compliance Officer

Encl: A/a

Page 1 of 10

Balrampur Chini Mills Limited
Q4 & FY25 Earnings Conference Call Transcript
May 16 , 2025

Moderator: Ladies and gentlemen, good day and welcome to Balrampur Chini Mills Limited's
Earnings Conference Call.

As a reminder, all participant s' lines will be in the listen -only mode. And there will be
an opportunity for you to ask questions after the presentation concludes. Please note
that this conference is being recorded.

I now hand the conference over to M r. Anoop Poo jari from CDR India. Thank you and
over to you.

Anoop Poo jari: Thank you. Good afternoon everyone and thank you for joining us on Balrampur Chini
Mills' Q 4 and FY25 Results Conference Call .

We have with us today Mr. Vivek Saraogi – Chairman and Managing Director , Mrs.
Avantika Saraogi – Executive Director , and Mr. Pramod Patwari – Chief Financial
Officer of the Company.

We would like to begin the call with brief opening remarks from the management,
following which we will have the forum open for the question -and-answer session.
Before we start, I would like to point out that some statements made in today's call
may be forward -looking in nature, and a disclaimer to this effect has been included in
the results presentation shared with you earlier.

I would now like to invite Mr. Saraogi to ma ke his opening remarks.

Vivek Saraogi: Thank you, Anoop . Good afternoon and thank you for joining us on our Q4 and FY25 earnings conference call.

I will initiate the call with an update on the current developments in the sugar sector, followed by our company's key highlights for the period under review.

According to the latest estimates, India's production for season 2024-25 is projected at 26 million tonnes on a net basis after diversion, accounting for a diversion of 3.5 million tonnes . (which means gross 29.5 million tonnes , 3.5 million tonnes diversion, 26 million tonnes net production). This marks a decline from 32 million tonnes net in the previous year, primarily due to reduced cane availability impacted by unfavorable weather conditions across key producing states.

In UP , production is estimated at 9.28 million tonnes , down from 10.35 million tonnes in the previous season , on a net basis. The state faced several headwinds in the first half of the season – Red-Rot disease in the ratoon crop, increased diversion to Gur and Khansari , and lower sucrose content due to erratic climatic patterns.

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Encouragingly , the second half saw an improvement in cane availability supported by better yields. Meanwhile, Maharashtra and Karnataka produced around 8.1 million tonnes and 4.2 million tonnes (again on a net basis), respectively.

On the demand side, India's domestic consumption is estimated at approximately 28 million tonnes . Despite the reduced net availability post diversion, domestic requirements are expected to be comfortably met, aided by an opening stock of 8 million tonnes . Consequently, the closing stock of the current year, that is stock as on 1st October 2025, is expected to be around 5.2 million tonnes .

The tight inventory position is anticipated to support firm sugar prices , critical for enabling timely payment to the farmers ensuring liquidity , particularly this firmer sugar price has been helpful amidst no price revision for juice and B-heavy ethanol.

Government's 1 million tonne export quota has also contributed to firming of sugar price for our company around Rs. 41/kg because of the current prevailing price.

However , for 2024-25 ethanol year , while diversion of sugarcane juice and B-heavy molasses is permitted , so the restriction on quantum was lifted but there was no price increase given. This marks a shift from the government's prior practice of aligning ethanol prices with changes in FRP making sugar diversion for ethanol unattractive. If this persists, it could undermine the government's E30 blending program by 2030.

On the business front, Balrampur concluded the fiscal year 2025 on a stable note. The sugar segment delivered a strong performance this quarter, driven by healthy margins. However, the distillery segment, as you know, was impacted by government's decision not to revise the ethanol price for juice and B-heavy routes , despite revision in FRP. Our proactive approach to varietal rebalancing and farm engagement helped increase cane throughput and achieve a comparatively better recovery to peers. In fact, our crushing was down only 1.73% season -on-season and gross recovery dropped by 0.44% , which is the lowest decline among factories in East UP.

In line with our commitment to sustainable and value -added diversification, we are making strong progress on our PLA project, which forms an integral part of our broader strategy to build a future ready and fully integrated business model. The 80,000 tonne capacity of our PLA plant is on track for commissioning by Q3 FY27 with a capex of Rs. 2850 crores (gross) or net figure is Rs. 1750 crores accounting for government subsidy of 50%. Supported by state 's pioneering bioplastic policy, the project benefits from a robust incentive framework, further strengthening its long -term viability. The facility will produce 100% bio -based PLA using sugar as feed stock and is expected to generate around Rs. 2000 crore annual revenue , and hopefully , since it's the first time we are entering into this business, that's why the word hopefully, EBITDA margin of ~35%.

Powered entirely by renewable energy, the plant will not only drive sustainability but also create significant employment opportunities in manufacturing and research. By leveraging our agri -based value chain, the project positions us to meet India's rising demand for green alternatives and reinforces our role in advancing nation 's circular economy and climate goals.

Over the years, our integrated operations have consistently adapted to evolving industry dynamics. The upcoming PLA project is a natural evolution of our strategy to extract maximum value from each stick of cane by advancing our green transition.

With growing regulatory support and consumer demand for bio -based alternatives, we are confident in our ability to sell the product and deliver long -term sustainable growth.

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Looking forward, our focus remains on value maximization, sustainability, and

discipline capital alloca

tion. Our diversified and future -ready business model positions us to deliver long -term growth and deliver value to our shareholders. This brings me to the end of our discussion.

Avantika, now I request you to give an update on the cane .

Avantika Saraogi: Good afternoon everybody and thank you for joining the call. Thank you for having me here. So , an update on the cane is that I just want to look back a little bit on the performance and then talk about the future. So, while UP cane has declined to the tune of maybe around 2.5% on average, Balrampur's cane availability has only reduced by 1.74%. This is testament to all our actions that we have done and we continue to do in terms of disease, insect , pest containment, varietal balance, the right variety in the right place, the right thing for the right farmer, including soil type, including upland, lowland, including waterlogging, everything. So , this is something that is now part of Balrampur's DNA and of course, ratoon management as well. So, I think we should be outperforming industry benchmarks. That's all I can say.

Also on the recovery front, I want to highlight that while UP has had a n odd 0.62% drop, Balrampur has only had 0.44% . This is on a gross sugar available in the sugar cane. It's called Pol % cane, which is only what we can measure today because of the ethanol diversion. So, while our drop difference is only 0. 16% as compared to UP, but if we see it in absolute terms, our recovery is 0.7% better than UP average , again testament to our cane quality and our cane quantity as well.

Looking forward, our varietal balance is of course changing. Now we only have as also forecasted previously, now we have only 6% of 0238 which is affected by red rot. All the other varieties are very healthy and all the new varieties which are also put into the stream are acclimatizing well and now hopefully we should see some yield enhancement if weather is on our side definitely and even if weather is not on our side, we should see the lowest drop. This is sort of what we work with.

So we are open to questions and thank you very much.

Moderator: Thank you. We will now begin the question and answer session. We will take our first question from the line of Shailesh Kanani from Centrum Broking Limited .

Shailesh Kanani: Congrats sir, on good set of numbers, given the challenges we have faced during the season. So , my first question is with respect to sugar volumes. How do we see that shaping up for the year FY26, given that inventory levels are higher in spite of a 20% increase in the sugar sacrifice for the year?

Pramod Patwari: Shailesh, as of 31st of March, we are holding around 7.1 lakh tonnes of sugar and in the month of April, we also produced something. If you take that into account, it will be around 7.5 million tonnes. This entire inventory will be liquidated within November.

Thereafter , depending upon the quota allocation, we will have to assume something. But if you see our last 2 years data, we have been in the region of selling around 9.4 lakh tonnes of sugar on an annual basis .

Shailesh Kanani: Just to add the reason I was asking that the 9.4 lakh tonnes average what we had , we had little bit of a lower side when the inventory was little bit lower side. This time around we have little higher inventory. So , I was just wondering if we can see an uptick on the volume , that way ?

Pramod Patwari: So maybe 10 lakh tonnes is what we can , but this is a guess as of now.

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Shailesh Kanani: Yes. So that is what I was thinking.

Vivek Saraogi: We are hoping for a little higher volume for sure.

Shailesh Kanani: Yes, absolutely. So my second question was with respect to sugar prices. We have seen a marginal uptake for FY25 broadly in line with our increasing cost of production.

And FY26 looks to have started on a promising note with already sugar prices above FY27 average

by around Rs. 2 per kg. How do we foresee this average playing out for FY26?

Vivek Saraogi: So right now, as we have informed you, our price is around Rs.41/kg. I think this is what has been prevailing in this quarter, approximately around this range. So, I would say that this price level should definitely maintain. And the rest would depend on the government's policy for next year. So , if at all, we'll see a marginal uptick in the coming months.

Shailesh Kanani: That's helpful. Sir, one data point from the PPT, there was a slight year -on-year dip in the transfer pricing of syrup, whereas sugar prices in general have gone up. So what are the rationale behind that sir?

Pramod Patwari : Last year, the production was restricted on account of that the conversion cost was on a higher side. The loaded conversion cost on the syrup quantity was on a higher side.

Shailesh Kanani: So, this question is for Avantika ma'am. Ma'am, we have kind of earlier indicated about increasing our catchment area as well, And, in our earlier commentary, we have also said that Eastern UP has better scope in terms of improving the catchment area, vis-à-vis other parts like Western UP. How are we placed over there? If you can throw some light on that aspect of increasing the crushing?

Vivek Saraogi: So, I will try and take this question, then Avantika can come in. So if you've seen the honorable Chief Minister's statement of late, he has said that he would reallocate area from defaulters to good paymasters. So, one definitely remains hopeful on that front. And those areas itself have a lot of scope to develop because they have been belonging to not so good paymasters and therefore the farmer does not develop cane there. On our cane area, we are working hard and Avantika rest on to you.

Avantika Saraogi: So our ultimate goal is cane availability right, how much can I crush. So that is not always dependent on areas. We have actually seen that it depends more on yield than on area in the past 3 years at least I can say that pretty confidently. So even when our area was increasing, the cane was not increasing. But as the area stays a bit stagnant, the yields start to also improve a little bit. So, it's a sort of balancing act. And at the end of the day, our cane availability should remain strong.

Vivek Saraogi: If I am to hazard a guess and please mark my language, it says hazard a guess. Next season probably we will see some uptick and thereafter a very decent uptick.

Shailesh Kanani: Yes, that is what actually I wanted to understand.

Moderator: The next question is from the line of Sanjay Manyal from DAM Capital Advisors Limited.

Sanjay Manyal: I have a few questions on ethanol part. Given the fact that there is no increase in the ethanol prices, is it safe to say that now the industry-wise capacities are enough to sort of meet 20% blending? And the government was not very keen, it seems, that they will take this 20% to further up, because there was one statement by the Oil and

Gas Minister that there is no such plan as of now. So, you think that now government is comfortable about the fact that there is enough capacity to meet 20% and they will not give any price hike or they're not sort of keeping the formula of FRP linkage with ethanol price.

Vivek Saraogi: Okay, I will answer this in two parts. I don't think that messages in that manner, which you said I think there's a statement of saying E30 by 2030, I mentioned that in my opening remarks. So, let's understand what happened this year. To the best of our knowledge, the OM Cs and the Petroleum Ministry got a bit stingy and they wanted to maximize profits. The impact of that will be very severely felt in future if they do not repair the mistake. So even now, if I go back to mathematics for the oil company, the maize-based ethanol is being bought at Rs.71.86 per liter and the juice ethanol

is at

Rs. 65.61 per liter. So there is no basis of paying Rs. 6 per liter higher for maize ethanol. There was a misnomer that the sugarcane is a bigger water guzzler than maize. Now that has ended, that debate has conclusively ended in parliament and with the inter-ministerial committee study. So, we are back on even keel or we are in an advantage against maize on the concept of cultivation. Secondly, this hurt and this pain point has now to the best of our knowledge been understood by the government. So one cannot repair the past, but I think the future remains linkage back to FRP, but too early. But one is definitely over. Avantika, you want to add?

Avantika Saraogi: If we just compare agri-based feedstocks for anything, whether it is for ethanol or for SAF or for PLA for that matter, sugarcane remains to be the most environmentally efficient crop, whether it is land use, whether it is water use, whether it is carbon footprint or whether it is even remuneration on a long-term basis to the farmer itself from one same piece of land year-on-year. So there is no denying that. Maybe people might sort of try to move away but ultimately they have to come back because this logic is infallible.

Vivek Saraogi: I think government has understood this concept. The display of the understanding should be evident by next year or when the ethanol price is fixed.

Sanjay Manyal: In a similar context, you mentioned about the maize ethanol price at Rs. 71.86 per liter. So how is the economics given the fact that maize prices have also come down and probably enough availability of rice? How are the margins in grain ethanol and what are our plans? Because I think we still have fungible capacity to the tune of Rs. 10 crore. Maybe we'll do only Rs. 5 or 6 crore liter. But what is our plan and what are the margins in the grain ethanol?

Vivek Saraogi: Pramod will take that.

Pramod Patwari: Sanjay, our intention was always to utilize this maize capacity or the rice capacity in the off season and the capacity is not more than Rs. 6 crore liter. If we have full availability of molasses or B-heavy molasses or juices available.

Vivek Saraogi: I would say , because you need some shutdown time, more Rs. 5-5.5 crore liter. So, maize is equal to balancing factor post juice in Maizapur . We have one single capacity. Two, maize price has not reduced, it remains stagnant. What I did is give a comparative between what the OMC buys maize ethanol at and juice ethanol at. That is what I did. Just to sort of drill down the logic that if one is looking at profitability for OMC, even on that front, now we stand out very conclusively, water we stand out conclusively. Any projection to meet any demand E30 by 2030, not possible without this. Rs. 40,000 crore invested, we have highlighted that. Surplus sugar diversion, one could not do this when there is no excess, but when there is excess, I think again that will work in our favor. So all the factors are pointing towards back to FRP linkage from next year.

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Sanjay Manyal: And sir if you can just quantify , is it possible to quantify grain ethanol margin either from the maize or the broken rice?

Vivek Saraogi: So we don't do broken rice because maize is better . Pramod?

Pramod Patwari: Sanjay, it will vary on a company to company basis . Our intent is to utilize our capacity.

Vivek Saraogi: Pramod , this year maize as raw material has been better available and lower price.

We will definitely make money.

Pramod Patwari: But it cannot be compared with a person who is in full year maize capacity, who is utilizing this capacity on a full year basis on maize.

Vivek Saraogi: But Pramod, I would differ a bit, but we have our own energy source which they don't. So we are far more efficient there.

Sanjay Manyal: Perfect. So just one more question on the recovery part. I think, so is it that entire industry, specific

ally in UP is witnessing this lower recovery because they are now shifting from Co-0238 to newer varieties? So safe to assume that we are nowhere near Co-0238 neither in terms of sugarcane yield or recovery?

Avantika Saraogi: No, no, no. I think this is not the right way to look at it. In my opinion, it's a sort of a temporary phase when there is a shift happening as you know or maybe you don't know , but acclimatization of any new variety in any new place takes a little bit of longer time. There is no single variety released by the sugarcane institute until and unless it is not performing in terms of yield and recovery as much as 238. That is the new benchmark. So , in terms of potential, they all can have that thing but if I remind you even for Balrampur, it took us about 5 to 6 years to get everything from 238 which we started to get. I think it was back in 2019 or something like that. So the thing is that it takes some time. The sad part about sugarcane is that it's a one-year crop. So, everything takes longer to come to fruition. But this is not the right thought process at all. The future looks very good because the research and the varieties which are coming out , actually have very good potential and that too for more varied circumstances as well.

Vivek Saraogi: So if I may just add to that, if you see two of our plants in Kheri district, they almost had last year's recovery. So we suffered not because of variety, we suffered because of severe rains in October.

Avantika Saraogi: And also agro -climatic conditions, sometimes it rains too much. Like I think we mentioned this in the past, is that how it rains and when it rains. So last 2 years in fact, which I would like to give the good news right now is that from October until June , we did not see a drop of rain last time . This year already in May , it has rained. April, May combined it has rained three times .

Vivek Saraogi: It looks better than last year crop condition . If it does not flood in September, October , we should see much better recovery .

Avantika Saraogi: So it's more agro -climatic , otherwise a full state cannot just go down like this .

Sanjay Manyal: Okay, okay, understood. That was pretty clear.

Moderator: The next question is from the line of Nitin Awasthi from Incred Capital Financial Services Limited .

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Nitin Awasthi: I would like to know a few things on the PLA front . We have given of course an estimation on the EBITDA that we're looking at , we've also given an estimated timeline and an estimated topline. Could you give us how much is the estimated cane which will be required to for this capacity to run which is an optimal capacity of 80,000 tons per annum?

Avantika Saraogi: So actually it's not sugarcane which is the main feedstock, it's sugar. It will get linked to that only. It will get linked to , but it depends on recovery , how can I say sugarcane, right? So , sugar is basically we have said around 1.7 x of 80,000 tonnes which is around 1.25 lakh tonnes.

Pramod Patwari: This year we diverted 2 lakh tonnes of sugar towards Ethanol .

Vivek Saraogi: Okay. So you can, I think I like what Pramod has said. If this year we diverted 2 lakh

tonnes of sugar and assume we were doing this PLA business this year , we have diverted 3.25 lakh tonnes. Extra diversion of 1.25 lakh tonnes of sugar towards PLA .
Avantika Saraogi: Yes, so you can look at it as how much less sugar in circulation rather than sugar cane.
That's the easier way to look at it.

Nitin Awasthi: Understood because of course then you will also have the molasses which can be used for the ethanol plant. Okay, got that. The next thing I wanted to ask is I think this time around before the season starts , we are seeing the lowest spreads between FRP and SAP. Has that caused any agitation in the state or is it under new normal that the spreads are going to reduce in the future?

V

Vivek Saraogi: So from where is the word agitation coming? I have not heard of it.

Nitin Awasthi: No, so basically the gap between FRP and SAP used to be quite substantial compared to the new FRP announcement which has happened?

Vivek Saraogi: No, so you can't plot trends like this. But our honorable Chief Minister is an extremely practical person. But one does not believe SAP to remain constant. So you cannot derive a mathematical relationship if that's what you're looking at. But yes, sugarcane price in UP is declared with a far more practical mindset of our Honorable CM.

Nitin Awasthi: Understood sir.

Moderator: The next question is from the line of Dhvanet Savla from Savla Family Office.

Dhvanet Savla: So, I have two questions. First is, since the FRP revision and as sir had explained wonderfully on the difference between the ethanol coming from maize and from sugar. So is it my assumption fair that the upward revision should be somewhere in the range of what the current prices on maize based ethanol is or are we looking at something higher? And my second question is with regards to what are the precautions which we are taking since red rot has affected entire Eastern UP, as far as I know, so what kind of precautions are we taking that this kind of thing should have lesser impact going ahead?

Vivek Saraogi: So 2 questions. One is FRP linkage will have nothing to do with maize price. That is just the ability to raise ethanol price looking at 2 sources of ethanol was my communication. And East UP has a minimum red rot in the state, minimum. And for us, Avantika, how much do we have left?

Avantika Saraogi: We have only 6%.

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Vivek Saraogi: Yes, only 6%. So that's the peak of red rot.

Avantika Saraogi: Which we can easily monitor and almost baby. Red rot is a thing of the past for us, for Balrampur.

Dhvanet Savla: Okay. My question on the FRP was not based on the FRP but based on the price revision which if we are looking at anything, it should be above what the maize -based ethanol is, right ?

Vivek Saraogi: So that is what logic demands. You are totally correct that is what logic demands. That is what past precedent demands. I am not sure it is going to go up that fast, that soon, but yes, at least to the extent of FRP raise this year, one is definitely hopeful.

Dhvanet Savla: So, somewhere in the range of 10%?

Vivek Saraogi: I'm not fixing them, too early but yes positively inclined towards the FRP percentage increase levels.

Moderator: The next question is from the line of Disha from Sanco Capital Funds.

Disha: Sir, my question is what is the reason for lower sales volume in ethanol for current season during FY25 ?

Pramod Patwari: I am sure you are aware of the fact that last year there was a restriction on production of ethanol out of juice and B-heavy . As a result of which , our capacities were underutilized in FY 25. Ethanol year runs from November to October. Initial part of the year, we were able to run our distillery on juice and B. There after it was restricted.

Disha: Okay. What are the economies to decide to run ethanol on C -heavy basis and if you can just advise on margin percentage on maize or how do we decide?

Pramod Patwari: These are clearly stated in our presentation in a very detailed manner and every year's planning depends on the availability of sugarcane, what is the potential export price, what is the potential ethanol price .

Disha: What is the quantum of cane crush we are planning for FY26 , next year, next season?

Vivek Saraogi: So, we don't plan for cane crushes on availability of cane. Too early, I did indicate that there might be a marginal uptake beyond which there is no guess I can make today.

Moderator: The next question is from the line of Krishan Parwani from JM Financial Limited .

Krishan Parwani: Just on the PLA front, because I think that's where our inten

tion is to go in the future.

So, you have given an estimated topline of Rs. 2000 odd crore, I believe the

realization comes out to about \$2.5 to \$3 a kg. So, just wanted to understand if you expect the PLA prices to sustain at this current levels?

Avantika Saraogi: So that's a good question actually. It's hard to sort of predict one and a half years out what the prices will be, but it comes to a \$2.5 only on capacity. But this is of course going to depend on the market forces and where we land. And historically it's even gone to \$4. So, what is to say it can't go to \$4? So, the point is that \$2.5 is not a bad assumption in my opinion, but that is what the 80,000 into 250 is 2000. So that is what we try to predict. But having said that, it's not completely in my control.

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Vivek Saraogi: But yes, Krishan, one is working towards various ideas. The government of UP has given a brilliant bioplastic policy. With the center, our agenda is to get the correct mandate in place. That would drive demand and therefore the price at these levels is not unreasonable to estimate.

Krishan Parwani: Yes, fair point. I think prices in China until about December 2023 was in the range of \$3 to \$4. So at \$2.5 seems like a more realistic assumption, which is fair. Secondly, just continuing on that bit because I think you mentioned there is also government support. We know that already. So just wanted to understand the kind of geographical volume split that you expect of your overall volume. Let's say of 80,000 tonnes, how much do you expect domestically and the exports?

Avantika Saraogi: So the goal is of course all domestic because if you're trying to go green, it hardly makes sense to sort of export it directly. Having said that, the export market does have a demand, but we would not probably like to export directly without one step of at least value addition of a compounding or a converting done within the country. So while it might ultimately land up in a different country, we would like to probably sell domestically because anyway, there's a lot of compounding and converting for the world, it does happen in India. In fact, I think India is one of the largest film producers in the world with plastic PP and PET and things like that.

Krishan Parwani: Okay, so yes, think probably NatureWorks tried with the BOPET and BOPP in the beginning of 2000s. And then it requires lower modification, so probably you are hinting towards that. Okay, got it.

Avantika Saraogi: I mean that's one of the applications that we are definitely working on. We're working on at least 10. So this is just one of those.

Krishan Parwani: Yes, got it. I mean, yes, it could be disposable tableware or extruded blister

Vivek Saraogi: Yes, even bottles, even bottle caps.

Avantika Saraogi: Even textiles, even fibers, even, you know, I mean, there's no end, honestly.

Vivek Saraogi: Syringe.

Krishan Parwani: Yes, I am aware. Just a continuation of follow up if I may. Would our PLA require USDA certification for food grade products or how are we looking at it?

Avantika Saraogi: No. It's not required for food grade. Food grade certification is required for food grade like FSSAI and things like that in our country. Post that US FDA might be required for the compound or the converter who is then finally making the product. For us, the food grade, in fact, the compostability and FSSAI approvals are already well underway. So, it doesn't affect us directly those things. I also wanted to put in an interesting metric since you're talking about PLA and its applications. So India's consumption of straws alone is 100,000 tonnes of resin and PLA straws have been approved by BIS and this is a very big win, I would say as of last month or so, and it should be gazetted soon and this is sort of a, I just want to show that our volume is only 80,000 tons. India's one single application also if

we capitalize on, the market is

100,000 tonnes large. So, I am not too stressed on where the PLA will go per say.

Krishan Parwani: Fair point.

Vivek Saraogi: And one more thing, Krishan, is we are targeting applications where the impact on the final price of the product will not hurt. So, let's say a cap for a bottle that's going to go into sort of negligible territory. It's not going to hurt. So we are targeting those

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applications where the consumer will not feel anything plus there would be that compostable bioplastic in play. So, we also remind everyone that first policy of Gujarat allowed solar to be sold at Rs. 15 per unit because then capital cost was Rs. 12 crore, PLF 18%-20%. We set it up. So I know it. Thereafter, technology involved cost of production, the scale came down and things came back to even keel. And today we know the price of solar. So we are not looking to remain, just dependent on support all the time. The initial support for evolving the technology, size etc., we hope to run on our own with no crutches.

Krishan Parwani: Thank you Vivekji, thank you Avantika for patiently answering my questions.

Vivek Saraogi: We appreciate your insight into the whole PLA business.

Krishan Parwani: Thank you sir. Means a lot.

Moderator: The next question is a follow-up from the line of Shailesh Kanani from Centrum Broking Limited .

Shailesh Kanani: Just a couple of data-keeping questions . In general, what are we seeing in terms of ethanol volumes for the FY26? And second, Avantika ma'am said that our dependence on 0238 is 6%. I believe that was somewhere in the range of 25% odd.

So it is substantially down, so I've heard it right.

Avantika Saraogi: Last year, we crushed about 12%. This year we crushed half of that. The recovery is on the 238. So , we do mid-season analysis on a sort of weekly basis on variety performance. So 238 recovery was not great is the point that even the healthy 238 recovery was not as good as it used to be. It was okay. But other varieties were also performing that well. So I think the 238 question for Balrampur as a company should not be asked.

Vivek Saraogi: So we are rather insulated on 238 and we look forward to a good cane crushing era in years to come whether or not playing truant .

Pramod Patwari : And on the ethanol volume front it will depend upon what kind of price increase we see for juice. Then only we can say.

Vivek Saraogi: Yes, we will see our mathematics , right. So, assume you have good sugar price, and you have good export price. We have as a company enabled all flexibility in all our units by making investment. So Maizapur can also run at maybe B-heavy , no problem.

C-heavy , no problem. So , we have that fungibility created. A decision to the best economic sort of advantage we will come to which gives us maximum benefit.

Shailesh Kanani: Fair enough, sir. Thanks a lot. That was helpful.

Moderator: Thank you. As there are no further questions, I now hand the conference over to management for closing comments. Over to you, sir.

Vivek Saraogi: Thank you very much and we hope we have answered your questions, always ready to answer more. Thank you.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy

Call: Aug 2025

19th August , 2025

National Stock Exchange of India Limited
Listing Department,
'Exchange Plaza', C/1, G Block, Bandra
Kurla Complex, Bandra (E),
Mumbai 400051. BSE Limited
The Corporate Relationship Department
1st Floor, New Trading Wing, Rotunda
Building, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai- 400001.
Symbol: BALRAMCHIN Scrip Code: 500038

Dear Sir/Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Subject: Transcript of Earnings Conference call

In terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the Transcript of the Q1 FY26 Earnings
Conference Call held on 13th August, 2025.

The same is also uploaded on Company's website at the following web page:

<https://chini.com/investors/concall-transcript/>

Thanking You.
Yours faithfully
For Balrampur Chini Mills Limited

Manoj Agarwal
Company Secretary & Compliance Officer

Encl: A/a

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Balrampur Chini Mills Limited
Q1 FY26 Earnings Conference Call Transcript
August 13, 2025

Moderator : Ladies and gentlemen, good day and welcome to Balrampur Chini Mills Limited 's
Earnings Conference Call.

As a reminder, all participant s' lines will be in the listen -only mode and there will be
an opportunity for you to ask questions after the presentation concludes. Please note
that this conference is being recorded.

I now hand the conference over to M r. Jenny Rose from CDR India. Thank you and
over to you.

Jenny Rose : Good afternoon , everyone and thank you for joining us on Balrampur Chini Mills ' Q1
FY26 Results Conference Call .

We have with us today Mr. Vivek Saraogi , Chairman and Managing Director of
Balrampur Chini Mills ; Ms. Avantika Saraogi , Executive Director ; and Mr. Pramod
Patwari , Chief Financial Officer of the Company.

We would like to begin the call with brief opening remarks from the management,
following which we will have the forum open for the question -and-answer session.
Before we start, I would like to point out that some statements made in today 's call
may be forward -looking in nature, and a disclaimer to this effect has been included in
the results presentation shared earlier.

I would now like to invite Mr. Saraogi to make his opening remarks. Over to you, Sir.
Vivek Saraogi : Thank you . Good afternoon and thank you once again for joining us on our Balrampur Chini Mills Q1 FY26 earnings conference call.

I trust, all of you had the opportunity to go through our results presentation. I will initiate the call , giving a brief update on the current developments in the sector. According to ISMA , India's sugar production for the upcoming season, that is, 2025-26, is expected to be around ~35 million tonnes, pre-diversion, up about 18% from 29.6 million tonnes in the previous year. These are early estimates based on satellite imagery, rainfall data , and field reports across three key cane growing states. While the overall sugarcane area has increased only marginally, favorable monsoon conditions and improved crop health are expected to drive higher productivity. State -wise, Maharashtra is expected to see a 42% increase in sugar production, and these are all pre-diversion figures, expected to touch about 13.2 million tonnes . Karnataka, in early estimates, may register a jump of 23%, touching 6.6 million tonnes , while UP, may be remaining stable at 10.2 million tonnes . In UP, there is a

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decline in cane area, but we are hoping for a much better yield based on improved crop resilience and better disease management.

This anticipated surplus presents both opportunities and challenges for the sector . To maintain market stability and avoid pricing pressure on sugar, a diversion of 4.5 million tonnes into ethanol and around 2 million tonnes of exports will be the key decisions. This will help balance inventory while supporting India 's clean energy objectives. However, with the ethanol prices under juice and B -heavy routes unchanged for two years, the industry continues to eagerly await timely policy support, including revisions in ethanol price and minimum sale price of sugar, MSP, as popularly called. Such measures will be critical to sustaining sector profitability and ensuring timely payments to farmers in a surplus year .

Coming to our Balrampur 's business performance , the Company began the fiscal on a steady note, with revenues rising in both Sugar and Distillery segment on the back of higher volume and better realizations. Sugarcane crushing operation during the quarter declined by approximately 66%, resulting in a 65% drop in sugar production and leading to an under -absorption of fixed overheads due to the short season. Our focus remains on strengthening cane availability through development initiatives and variet al rebalancing in future seasons, and I would request Avantika to elaborate more on this when she speaks. At the same time, we are closely tracking policy developments as supportive measures, particularly in ethanol pricing and the MSP, would be instrumental, as previously stated.

Our Polylactic Acid (PLA) initiative remains a key pillar for our future growth strategy. In recent years, we have progressed from concept to detailed engineering, secured strategic technological partnerships, and aligned with the project with evolving regulatory and market trends that favor green alternatives to petrochemical plastics. With construction activities now underway, we are building a domestic market by trading imported PLA to see demand, increase awareness amongst manufacturers and converters, and encourage local production of PLA -based end products. This phased market development approach is helping us establish strong early customer relationships and ensure market readiness for a smooth transition to in -house production , targeted for commissioning in Q3 FY27, which is October 2026. Till July end, we have spent about Rs. 927 crore, comprising Rs. 460 crore through debt and the balance from internal accruals towards the total gross capex , which is around Rs. 2,850 crore.

Our long-term strategy is centered on sustainable growth, innovation, and disciplined capital allocation. The Sugar and Distillery businesses have evolved into stable contributors to our performance over the past few years , this year , we await the Government Policy , delivering steady cash flows in challenging operating environments.

Looking ahead, we see the pioneering PLA project as a structural pivot that will diversify our portfolio into bioplastics and position Balrampur at the forefront of India's transformation. By maximizing value from every stick of cane and leveraging our integrated model, we aim to contribute meaningfully towards transition to a circular economy and a more self-reliant sustainable future.

I would now request Avantika to give you an update on cane and maybe a little bit on PLA, and thereafter , Pramod .

Avantika Saraogi : Good afternoon , every one. So, just to begin with cane , as already stated, UP has seen a slight decline. Ours is also flattish to, maybe a slight decline. We will be able to give better figures in the next quarter because the display and corrections are still on. But we do not see a very big challenge there.

But having said that, the yields are definitely looking better. This is

owing to the

distribution of the rain. So, I just want to compare it to last year. Last year we had good rain as well if you quantify it in inch terms, but the distribution was a bit, leaving us to ask for. In fact, in a few of our factories, we had very big floods during the maturity period, and this resulted in a lower crushing and recovery than expected. More effective on recovery than crushing, I would say even over there. And this year the distribution up till now has been actually very, very favorable. This also indicates that there might be a couple of winter showers, which as we have been stating for the past one year, increases the yield and recovery in plant cane. So, we are quite hopeful for the weather conditions this year.

And I just want to also highlight that last year, even though we had about 10% lower cane area, our crushing only dropped by ~1.75%. And this just shows the on-ground activities and work for yield and disease management, which have resulted in our positive even in a bad year. So, where everybody is declining, we are able to sort of get something better out of it. And in favorable weather conditions, I think we should keep the outperformance up. Our pest and disease control is very, very tight. We have negligible, I would say, pest and disease encroachment of any kind. Our ratoon management has actually been a big kicker which we saw a bit of last year and we should see even better in the upcoming season. So, now, even in Eastern UP, we have managed to do a paradigm shift where now the farmers have started to come out and do ratoon management without us having to tell them. So, this actually accounts for 50% of our crushing and this is where we have got the bump up in yields, of course. And this will help keep our crushing stable. Also, I want to mention that the crushing will start early this year since the festivals are also earlier, and the weather conditions are up till now, touchwood, looking good. So, we see a positive year for cane upcoming.

Then if we move on to PLA, I just want to talk a little bit about the market in India about PLA because I think that is a point which comes up in every conversation. So, just to begin with, we will begin our commissioning in October. And in our first year we will probably have about 50% capacity utilization with quality in the first year. So, we are already on our way to importing and selling under our brand name. It is also there in the presentation so this does not need to be written down. We have touched more than 175 customers directly already. We are catering for 50 plus. We have 30 plus trials going on with different companies of good caliber and we are creating a lot of awareness with our 'Bioyug on Wheels'. This is giving us a lot of tailwind when it comes to showing people the possibilities whether it is at the Government places, whether it is at big brands and things like that. The other thing is that we expect that by the time our plant is at full capacity, our plant should be sold out within the country. Having said that, we will, of course, sort of take the best price that we can get whether it is inside of the country or outside and we do not see at all a challenge there. I just want to also mention that Karnataka and Kerala State Governments are giving a lot of push for circularity, composability and even in the North Rajasthan, Gujarat Government, all the CPCBs are taking it very positively. And even at the Central Government level, we are getting a lot of positive responses from all the departments. So, we are very confident, and we are very excited to move forward with this.

Thank you.

Pramod Patwari : Thank you and good afternoon everyone. I hope all of you had the opportunity to go through the Results Presentation that has been shared.

So, for the benefit of time at our disposal, I will request the moderator to open the forum for Q&A session.

Thank you.

Moderator : Thank you, sir. We will now begin the question-and-answer session. First question is from the line of Sanjay Manyal from DAM Capital.

Sanjay Manyal : Hi Sir, I have one question on the ethanol. Since now we have reached almost average 19% kind of ethanol blending, what is your view from the demand conditions, say, in the next few years? What are the discussions with the Government about increasing the blending from 20% to 25%? And how the demand probably will pan out over the next few years? And what probably will be the contribution of sugarcane-based feedstock and grain-based feedstock? So, what exactly is your discussions with the Government on this?

Vivek Saraogi : So, I will answer what Sanjay has asked in a little more. So, if you saw, there was some article recently published by Society of Indian Automobile Manufacturers

(SIAM) , which was talking about the issues in engines beyond 20% blending. Government of India has come out with a very clear clarification yesterday where they have not only spoken about this misnomer being a misnomer , but they have also very clearly given and detailed the benefits in terms of forex , etc., and they have gone on to say how they back the ethanol program per se. So, even BIS standards are being fixed. Probably they would move from 2026 onwards. They have detailed roadmap, or they are in the process of putting up a roadmap from 20% to 22 % , then 25 % to 27%. So, demand conditions do not worry me. Government 's commitment to the program does not worry me, especially after what we have read. Yesterday 's very detailed paper , it is in public domain.

Lastly, what we are dealing with right now is the ethanol pricing. I am very hopeful, especially since Government has said it is such a beneficial program why not do what they have not done for two years? We are in active persuasion with all Government sources for juice, B, both prices and this year being a surplus year. So, let me put my thinking on the table a bit. Last two years, the environment was not that of surplus. Next year, the first year we are entering surplus production. So, the Government 's attitude when there is a surplus and when there is not a surplus, very different. So, if you saw the yesteryears, they have given about Rs. 10 /kg. I am talking a real time back, maybe 10 years, 12 years, 15 years back , I do not remember. Rs. 10 /kg, which is one -third of the export prices subsidy just to handle the surplus and the arrears . So, I think next year we are very positive. And I personally feel that the ethanol price would increase because this is the only thing which will kickstart the diversion and maybe take it to even beyond 4.5 million tonnes . It is the need of the hour, beneficial for the country, and owing to the surplus, I guess there is not much of an option. And I have also tackled the MSP question, minimum sugar price. We are again actively lobbying for both MSP and exports. But I guess exports will happen when the production figures get much clearer. If you do recall, last year in January, even with a wafer -thin surplus of 1 million, the Government did allow 1 million to go out. So, given the prospect of the surplus being larger, I personally feel that should also happen around the same time. I mean, one cannot commit.

Pramod Patwari : Maybe earlier.

Vivek Saraogi : Maybe as soon as Government gains confidence that the production is as envisaged. So, these are the comments on ethanol demand, ethanol pricing, MSP, and export. I thought it best to brief the House once and for all .

Sanjay Manyal : And sir, what is your view on the proportion because in the last few years, maize ethanol diversion has been a lot higher than the molasses. So, do you think that the Government this year will balance this out?

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Vivek Saraogi : Yes. So, two parts to this. The demand could not h

ave been fulfilled by the sugar industry owing to lack of raw material fully. And the year previous to that, they just put a grinding halt suddenly on diversion . So, the demand needed to be fulfilled, maize came and did the gap filling . Now i n the current year, if you see, there have been some unintended consequences of maize area increasing. So, Sanjay, get your question correctly, what if there is an oversupply? We will get our share is the answer. Maybe maize gets curtailed for all we know. We get our share because again, we go back to the basics. Basics is there is surplus. Surplus needs to be diverted. If not diverted, sugar price will suffer. That is the reason why this will happen, that is diversion. If your ability is 4 .5 million tonnes , the Government will take that. And exports too should happen, provided the production figures reach what we are anticipating .

Sanjay Manyal : Right Sir, one question I have on the sugar recovery side. Last year, across UP, we have seen a significant decline in the recovery, even though, as you mentioned, the rainfall was well spread. So, is it possible for us to go back again from 11.3% to 11.7%, or are the new varieties have been hampering that ?

Vivek Saraogi : Avantika ?

Avantika Saraogi : So, I think definitely there is a chance and up to now a good chance for that to happen. Our varietal balance is on a really good front , I would say. The Red-Rot laden 238 is only about 7% , which is super healthy. That will also allow us to get the maximum output it can give. And the rest of our varieties are, I would say, among the best in the state, even the best in the country . But we are very, very hopeful .

Vivek Saraogi : But if I were to hazard a guess, I think we dropped by about 0.4 0% last year approximately ?

Pramod Patwari : 0.45%

Vivek Saraogi : So if we went to 11.3 %?

Pramod Patwari : 11.28%.

Vivek Saraogi : 11.28% from 11.72 % something like that. So, I would definitely feel very positively inclined towards the recovery, but maybe not 11.72 % in one year, maybe two years. But yes, it has a definite uptick from 11.28 %. Halfway maybe. It is too tough to say.

Avantika Saraogi : No one can say.

Vivek Saraogi : Yes. But positively inclined towards increase in crushing from last year 's figure and positively inclined towards recovery.

Pramod Patwari : So, as we speak today, the weather is conducive for it .

Vivek Saraogi : 100%. But let two months pass.

Pramod Patwari : Yes.

Sanjay Manyal : Right, sir. And my last question is on the PLA. So, as you mentioned that you have been importing PLA to sort of develop the market. So, at what price or what would be the landed cost of PLA? And will in future that imported price will define your realization for the product?

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Avantika Saraogi : So, actually, we are not at liberty to disclose the figures like this due to NDAs and things that we have. But obviously, since we are importing ourselves and we are doing everything, we are very cognizant of everything as we go. Sorry, I cannot give you too much of details.

Vivek Saraogi : I will just try and put the basics on the table again. So, the demand generation and the price would go hand in hand. We are hoping for a lot of mandates from the Government which is in their own sort of thinking and within their own mindset. Maybe it is from some departments which will eat up more than we can make . And therefore, it should be positively inclined towards the price. So, we are hopeful on both sides , our ability to produce and our ability to sell. And you know the price fluctuates , let us say, yesterday the price was lower than what we thought. Tomorrow it might not be. Maybe Government puts in some restrictions to sort of beef up the Indian industry. So, there are lots of things we are working on.

Moderator : Next question is from the line of Prashant Biyani from Elara Capital.

Prashant Biyani : Mr. Saraog

i, what would be your view on any changes in SAP that may happen this year?

Vivek Saraogi : Yes, so SAP is in all likelihood would go up. I will be brutally honest, SAP might go up for two years and that may not be all that bad if supported by the measures which we have spoken about, which I briefed on Sanjay Manyal 's questions. Because (a) it will help our crushing to go up; (b) that may be the need of the hour for the upcoming UP Election. And it will also give us a lot of raw material for our ethanol. And we are hoping, see, in a period of 10 years, you do go through a couple of years of glitches. So, I am hoping it is a glitch. My evidence would be this year 's ethanol pricing. If it happens, I would be delighted. And we hope that our recovery in two years will make up for cost increases.

Prashant Biyani : Right. And sir, a slightly related question, the lower acreage of cane that we are seeing in UP, is it result of the varietal changes happened from 0238 to others, farmers have seen lower yields on newer varieties and hence , it is resulting in decline in their income. Is the lower acreage relating to that and any SAP increase can compensate for that?

Vivek Saraogi : Yes. Avantika?

Avantika Saraogi : So, see, it is never just one factor, right, for a whole state. So, definitely , this has a part to play. Secondly, people are trying to experiment with a different blend of crops a little bit to see how they can get a better realization. And definitely the SAP going up will increase the acreage back. I think the acreage has bottomed out for UP, to be very honest. There does need to be a healthy balance of crops to see price of each and every crop. Otherwise, oversupply of any crop is not good.

Vivek Saraogi : So, I will just complete my thought on this. The idea is a variety also finds its home. It finds its yield. It finds the correct soil, the correct time to be planted. So, how much ever we say, until the farmer faces the brunt of negativity and some see the fruits of positivity, that I think is now, let us say 14201 , it is a beautiful variety. It must be planted at the correct time. So, those who planted it at the correct time last year saw fantastic yields. So, I think all these small experim ents with SAP will definitely take our area up and our payment . I will leave it there.

Prashant Biyani : Sure. And sir, one unrelated question, mainly relating on the Government side. Sir, any Government -to-Government exports which happened, time and again, we hear you are exporting to South Asian countries and few other geographies. How does the

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sale happen actually? And at what price does it happen? Is it through companies, through Government 's buffer stock, or through trader 's stock?

Vivek Saraogi : It would not impact any sugar companies. So, you can let this question go.

Moderator : Next question is from the line of Nikhil Agrawal from Kotak Non -Discretionary PMS.

Nikhil Agrawal : Just a quick question on the PLA. We have seen earlier that many companies have used bagasse to make biodegradable paper products. While the products do look quite impressive, but the price point is where the demand gets impacted. My point being, do you actually see customers paying a premium for the product that you are making because in the case of biodegradable products, I do not see that working out. You have given examples of Starbucks, but that is fine. What about other users?

Avantika Saraogi : So, I just want to remind you of one very simple thing that our production capacity will be 80,000 tons and India 's consumption of plastic is 15 million tons. So, first, let us put that into great perspective. Secondly, the short answer to your question is yes. People will pay a premium where they see functionality and opportunity to create a better atmosphere and if they don't do it willingly the Government will step in . And there are many big companies who w

ant to lower their virgin plastic consumption, unrelated to any Government mandate also. So, while I understand what you are saying, it does not affect , it is not even a drop in the ocean. So, this question is n ot relevant in my mind, to be very honest.

Nikhil Agrawal : Okay. Got it. I will maybe take this up with you offline.

Vivek Saraogi : Yes.

Nikhil Agrawal : Another question on the cane production, just wanted some clarity. For FY26, you said that it was 18% up compared to last year. Is it expected to be 18% up on an overall basis ?

Vivek Saraogi : That we spoke about the country level.

Nikhil Agrawal : Right. 18%. And what about UP?

Vivek Saraogi : UP we said would be flat.

Moderator : Next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani : Congratulations on the performance, even though it was a low crushing quarter this time around. My question is, in our PPT , we have mentioned that the utilization rate of production capacity in bioplastic worldwide is 58%. So, that number seems to be a little bit on the lower side. So, can you highlight top reasons for the same and how our facility would be a little bit different? how are we going to tackle those hurdles?

Avantika Saraogi : So, definitely, 58% is on the lower side. So, it is basically coming from China, this thing. If we look country wise, I do not think this figure is like this at all. China has one single facility of 300,000 tons, which is not able to ramp -up capacity is what I understand. Not for want of a market, but for want of their own internal technology or whatever those things are. So, I do not think that this is the way to sort of look at this question. The market is definitely there globally. We are barely 1% in bioplastics and PLA would be even like half of t hat, so 0.5% of global consumption. So, that is one thing. And we do not see this as a challenge arising. In fact, we get more questions like, when will you be able to supply us full, so that we can change over full. State Government s, central Government s, everyone is looking to this. And like I was
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mentioning earlier also, states like Kerala and Karnataka are pioneering their own PLA based milk package, water bottles. This is without anything related to Balrampur 's effort. So, things are happening automatically as well. And they are in that case, much more expensive at the end of the day than what we would end up being when we have domestic production . So, the only question we get asked, when will your domestic production start, so that we may actually make a strategic shift. This is where we are comi ng from.

Shailesh Kanani : Fair enough. Just one clarification in your opening remarks. Ma 'am, you said that we said that we would be 50% utilization within the first year. So, I assume that is 12 months, not that financial year FY27, right?

Vivek Saraogi : No, we are hoping six months. In that six months stabilization, etc.

Avantika Saraogi : So, ramp up to maybe total 100% in six months is what we want. So , it is too early to say.

Vivek Saraogi : Let me attempt to answer the way I know best, that is straight. It is something new. I s it something alien to us? A lot of it is fermentation, so it is not so alien. Our excellence has been lifetime in manufacturing. So, we are hoping that with the best technology partners and our watertight contracts, we should be able to deliver the quality of PLA which is desired. We should do that. I do not doubt that. The effort being put into marketing, the liaison or the dialogues with the states and v arious departments of the center, etc., and the mandates are moving in the right direction. So, if I am an outsider, it is a leap of faith on the management. So, trust us and we should perform . It is something new for us also. But it is not a shot in the dark. It is a well -researched, well -thought out, and well-planned program.

Shailesh

Kanani : Yes, thanks. That is helpful. Absolutely, we have confidence in the management of Balrampur to deliver this. Thanks for that answer. Sir, coming to our grain ethanol volumes, this quarter around, I think we have done highest in terms of quarterly run rate, right? And also, I believe from the increase in the average realizations we have done predominantly through maize . So, can you just kind of give some unit economics in terms of how profitability, availability, and costing is for various feedstocks and how maize is looking at the current prices ?

Pramod Patwari : Shailesh, going forward also, for a period up to October, before the start of the new season, we will predominantly do maize -based only. Now, to give a profitability indication on the basis of two months of performance is not the right thing. Maybe at the end of next quarter 's earnings call, we will be in a better position to present that. The main reason why I am saying this is, it all depends upon the procurement price of maize .

Vivek Saraogi : In the next year. Right now, we procured everything.

Pramod Patwari : Yes.

Vivek Saraogi : And just to tell you this will never move the needle for Balrampur. It is good because it covers our fixed cost of the distilling and gives you some money. So, this is a good filler for our Mirzapur unit , yes, well desired. But this is not a game changer either way for the Company. Am I right, Pramod?

Pramod Patwari : Maximum is around 5 crore liter on an annual basis.

Vivek Saraogi : So if you supply 5 crore liter you make Rs. 3/liter to Rs. 15 crore. Yes, it is very welcomed with the coverage of fixed cost but that is the range basically.

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Shailesh Kanani : Just the reason I was asking is that because this is the first time we have seen those volume s and in the past our commentary always has been what you have highlighted, right? It is not a profitable route . So, I was just wondering in case there has been a sharp drop in prices , or we have got feed stock remunerative . Yes, so I thought I will just clarify that.

Vivek Saraogi : It was a very brief, short drop in prices. But as businessmen, we decide to procure when the price hits what we think may be the right price. And today, if you go to buy, it is more expensive.

Pramod Patwari : Yes. Shailesh, even if we are able to procure the entire requirement of maize, the sell price of DDGS is extremely important.

Vivek Saraogi : Yes, that is because of so many distilleries. Earlier, when we began the business of this grain, our DDGS price for rice was around Rs.26 /kg?

Pramod Patwari : Rs. 29/kg.

Vivek Saraogi : It went up to Rs. 29 /kg. So, today that is what, Rs. 19/kg - Rs. 20/kg?

Pramod Patwari : Rs. 17/kg - Rs. 18/kg.

Vivek Saraogi : Rs. 18/kg and our maize DDGS price is Rs. 15/kg - Rs.16/kg.

Pramod Patwari : Rs. 15/kg.

Avantika Saraogi : And without bagasse as the energy source, it is even worse. If coal is your energy source, then you are gone.

Shailesh Kanani : Yes, fair enough. Thanks for that clarification. And just last question from my side. I was a little curious. I just wanted to confirm my understanding is right or not. Our net recovery numbers for the quarter, I know the crushing is very small and it is miniscule, but it was 11.38% versus 11.15% last year, right? And last year, diversion was kind of a little limited, right? So, is it predominantly because our facility in our earlier calls we have had said shifted from B to C, that the net recovery post -diversion was a little bit on the high side this time?

Vivek Saraogi : No. So, any recovery figure we give you is apples -to-apples. So, it is reduced to C.

Pramod Patwari : So, for pre -diversion, this quarter we had 11.57% vis-à-vis 12.18% in the corresponding quarter of last year.

Moderator : Next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani : So, a couple from my side. First

t, on the long-term debt for PLA that you have raised

Rs. 460 crore, it is mentioned in presentation that repayments of the term loan will begin from Q3 FY29. So, till that time, there will be no interest outflow. Is that correct? And when will the 5% interest payment will start?

Pramod Patwari : So, the principal repayment will start as we mentioned in the PPT, but we are paying interest on a monthly basis. We will get the 5% interest subvention claim from the Government of UP after the commencement of our commercial production .

Krishan Parwani : Okay, after the commencement. Okay, got it. And just as a continuation on the same point, what is the projected borrowing for FY28 and the expected interest outflow once

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PLA is up and running? Because I think you had mentioned it earlier in passing, so I just wanted to understand that better .

Pramod Patwari : So, this entire Rs. 1,650 crore will be borrowed within FY27. Maybe Rs. 1,500 crore

within FY27 and Rs. 150 crore, Rs. 200 crore in 1st Quarter of FY28.

Krishan Parwani : Okay, fair enough. And I think Vivek ji, you mentioned in your opening remarks and probably to answer to one of the earlier participants as well. Did you mention that you expect the PLA plant to run in optimum utilization within 1 year to 1.5 years of commercialization starting October 2026?

Vivek Saraogi : I would be very disappointed if it took me 1.5 years or 1 year.

Krishan Parwani : Okay, I mean, we would be delighted to see this.

Vivek Saraogi : The target is max six months.

Krishan Parwani : Okay.

Vivek Saraogi : Let me explain why. We have the world 's best people who have supplied globally and who have succeeded globally, right . They are part of our process. There is watertight contract on their head. And plus, we fancy ourselves as good manufacturers with sharp eye on detail, having done fermentation business all our life long, which is the distillery part, which is a significant portion of this business. So, six months.

Krishan Parwani : Okay, that is great news, sir. And we are equally excited for that ramp up. That is fast.

So, in that context, have you kind of internally planned for a Phase -II, because six months, and then that gives you a strong visibility for the coming years as well. And also, the enough cash flows of the capex that you are already putting in.

Vivek Saraogi : Our Balrampur 's DNA and personality is, we focus on achieving one and then looking at the second. I do not want to dream so much. I want to achieve and then dream.

Having said that, there is enough scope left in the plant to expand, in this very layout and construction.

Avantika Saraogi : So, of course, when we have planned, we plan to go bigger. But things have to play out until we are able to do that, which is definitely the desire.

Vivek Saraogi : So, as I said, have faith.

Krishan Parwani : We do have that for sure.

Vivek Saraogi : We are putting our best foot forward. And let me just assure you, we are putting our best foot forward with the best possible people everywhere.

Krishan Parwani : Okay. Noted, sir. And given, with your expertise in fermentation and given for polymerization you will also get lactic acid. So, is there a possibility of exploring other chemical compounds? Is R&D already looking at it or do you intend to look at those possibilities in the future, such as like propylene glycol, etc.?

Avantika Saraogi : Definitely, the short answer is yes. R&D was a forgotten subject in Balrampur, and today it is a hot test new topic. So, I think we are all over a lot of things. At first, we are all over our existing process, which is to upcom ing. And then all of the possibilities are definitely at play.

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Vivek Saraogi : We have good R&D team internally, external consultants. We are on the job.

Moderator : As there are no further questions, I would now like to hand the conference over to the M

anagement for the closing comments.

Vivek Saraogi : Thank you, everyone. And I must appreciate the line of questions put forward this time by our investors. It delights me to hear such pertinent and to-the-point questions.

Thank you very much for your understanding.

Avantika Saraogi : Thank you very much.

Pramod Patwari : Thank you very much.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: Nov 2025

15th November, 2025

National Stock Exchange of India Limited
Listing Department,
'Exchange Plaza', C/1, G Block, Bandra
Kurla Complex, Bandra (E),
Mumbai 400051. BSE Limited
The Corporate Relationship Department
1st Floor, New Trading Wing, Rotunda
Building, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai- 400001.
Symbol: BALRAMCHIN Scrip Code: 500038

Dear Sir/Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Subject: Transcript of Earnings Conference call

In terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the Transcript of the Q2 & H1 FY26 Earnings
Conference Call held on 12th November, 2025.

The same is also uploaded on Company's website at the following web page:

<https://chini.com/investors/concall-transcript/>

Thanking You.
Yours faithfully
For Balrampur Chini Mills Limited

Manoj Agarwal
Company Secretary & Compliance Officer

Encl: A/a

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Balrampur Chini Mills Limited

Q2 and H1 FY26 Results Conference Call
November 12, 2025

Moderator: Ladies and gentlemen, good day and welcome to Balrampur Chini Mills Limited Earnings
Conference Call. As a reminder, all participant lines will be in the listen -only mode and there
will be an opportunity for you to ask questions after the presentation concludes. Please note
that this conference is being recorded.

I now hand the conference over to Ms. Jenny Rose from CDR India. Thank you and over to
you.

Jenny Rose: Good afternoon everyone and thank you for joining us on Balrampur Chini Mills Q2 and H1
FY26 Results Conference Call. We have with us today Mr. Vivek Saraogi, Chairman and
Managing Director, and Mr. Pramod Patwari, Chief Financial Officer of the Company.
We would now like to begin the call with brief opening remarks from the management,
following which we will have the forum open for the question -and-answer session.
Before we start, I would like to point out that some statements made in today's call may be
forward -looking in nature, and a disclaimer to this effect has been included in the results
presentation shared with you earlier.

I would now like to invite Mr. Saraogi to make his opening remarks.

Vivek Saraogi: Good afternoon everyone and thank you all for joining us on Balram pur Chini Mills Q2 and
H1 FY26 Earnings Conference Call. I trust all of you have had the opportunity to go through
the results presentation, providing details of the operation and financial performance. I will

initiate the call with an update on the current developments in the sugar sector, followed by a company's key highlights for the period under review.

Production is expected to rise to about 34.5 million tonnes, this is pre-diversion. After diversion of 3.5 million tonnes for ethanol, net production is expected to be about 31 million tonnes. The total sugar cane area stands at 57.35 lakh hectares, slightly higher than last year. Maharashtra is set to lead the output, rising 39% to 13 million tonnes, driven by strong monsoon rains and a 6% increase in acreage. U.P. is expected to produce 10.3 million tonnes, maintaining stability despite a 3% decline in area, and Karnataka is expected to post a rise of 16% to 6.4 million tonnes.

Domestic sugar consumption is expected to be 28.5 million tonnes. The opening stock on October 1, 2025, is estimated at about 5 million tonnes. After adding 31 million tonnes of

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production and deducting 28.5 million tonnes for domestic consumption, and accounting for exports, the closing stock is expected to be around 6 million tonnes. The Government has allowed exports of 1.5 million tonnes for the sugar season 2025-26. We welcome this move as it should provide some relief to the market and support domestic price stability.

The U.P. Government has recently announced INR 30 increase per quintal in SAP for the 2025-26 season, which will take the SAP to INR 400 per quintal for the early maturing variety. In this background, an improvement in domestic sugar realization becomes critical to offset the rise in cane costs and sustain industry profitability.

Coming to the ethanol situation, reduced diversion from sugarcane feedstock is expected to add to the sugar surplus. We were expecting probably a little higher exports allotment for the sugar industry in general. For 2025-26 Ethanol Supply Year, approvals from sugar sources for the sugar sector stand at 289 crore litres, accounting for only 28% of the total requirement, with the balance 72% expected from grain-based feedstocks such as maize and rice. This shift could leave part of industry's ethanol capacity underutilized. While the recent export permission should help, it is equally important that the ethanol prices under Juice and B-heavy routes are revised upward in a timely manner. Such a step will be essential to offset the increase in cane costs and maintain the viability of the sugar mills, especially in light of the significant rise in sugarcane FRP and SAP, for the millers to pay farmers on time.

Moving on to the company's performance, we have delivered a healthy performance in a seasonally weak quarter, marked by improvement in both volumes and realizations. The overall performance was supported by upward revision in power tariffs, which contributed positively to the profitability.

We continue to make steady progress on our PLA project, which remains a key element of our forward integration and value addition strategy. Construction activities are advancing well. We have also commenced market development through trading of imported PLA. As of 31st October 2025, investments of INR 1,093 crore have been made towards the project, out of which INR 570 crore has been funded through debt and the balance from internal accruals.

I am pleased to share that the Board of Directors has declared an interim dividend of INR 3.50 per equity share, amounting to a total payout of INR 70.7 crore, this is including taxes. As we move forward, BCML remains committed to deliver and create sustainable value. The PLA project marks a significant milestone in our growth journey, diversifying our product portfolio and offering eco-friendly alternatives to conventional plastics, in alignment with Government's sustainability objectives. With a disciplined approach to investment and a strong focus on operational excellence, we aim to strengthen our growth trajectory and continue to create long-term value for our shareholders.

Thank you. Pramod over to you.

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Pramod Patwari: Thank you and good afternoon, everyone. I hope all of you had the opportunity to go through our detailed results presentation that has been shared with you. So, I would request the moderator to open the forum for Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We will take our first question from the line of Prashant Biyani from Elara Capital.

Prashant Biyani: Mr. Saraogi, in case there is no change in ethanol price, at current price of SAP, how much would you want to divert to ethanol and for which categories of feedstock?

Vivek Saraogi: So, what we are doing is, we have taken an internal call. Pramod, you would like to answer that.

Pramod Patwari: So, maybe around 10% of our cane crush would go towards Juice route and

and maybe 25%

towards the C-heavy route and the balance towards B-heavy.

Prashant Biyani: Balance towards B-heavy?

Pramod Patwari: Yes.

Prashant Biyani: Right. And sir, has there been any communication from the Government? I mean, feeler not a formal communication that they are evaluating any increase in ethanol price?

Vivek Saraogi: Yes, what I will do is, I will just give a general overview. Do you have any other questions from you?

Prashant Biyani: Yes, just one more question. Sir, post announcement of 1.5 million tonnes of export, has there been any surge in sugar prices in the last 2-3 days?

Vivek Saraogi: So, what I will do is, I will begin with UP Government. There has been INR 30 per quintal rise in the SAP. So, if we see FRP, FRP has gone up 16% in the last 3 years and this is UP government's first rise. Last year was Nil. So, there has been INR 30 per quintal rise after a gap of 1 year and the Government is fully aware that, you know, this INR 30 per quintal rise is a little steep and probably INR 20 per quintal was what everyone was expecting. So, the informal feeling is that, you know, INR 30 per quintal was meant for 2 years and maybe next year. So, one simple comment is that nobody should extrapolate that this can lead to another gigantic rise next year. Next, we are in dialogue, and as you said, this is not a statement of knowledge but a statement of our dialogue with the Government - both increase in country liquor price of ethanol, reduction in country liquor percentage, transport out-center cane rebate and some other reliefs by the Government. So, we are hoping to get a relief package so as to say from the UP Government, we are hopeful on that front is the best I can say. So, these are the 4 agendas realizing with the U.P. Government.

Prashant Biyani: Sir, with elections coming up in around February 2027, would they want a reduction in country liquor quantum?

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Vivek Saraogi: So, the country liquor quantum reduction from our sector does not mean country liquor going down. There are other avenues from where they can fill up. There is grain, there is, probably Khandsari and plus technically what they are doing, they are taking excess and storing it. There are lot of closing stock based on the previous allotments which they picked up from us. It does not mean there is going to be a reduction in the total volume of country liquor sold. So, we are lobbying on these 3 fronts which can, overall put together give a decent relief is our meaning. And as I very clearly have mentioned that to extrapolate this kind of a rise in future, one should not think on those lines.

Now, back to the Central Government. Export has been announced and if you see the export and with the currency and maybe with some premium and maybe just a marginal rise in the global prices. I personally feel export should happen and if you followed my remarks on the opening remarks, it says the entire rise is prominently only Maharashtra and Karnataka. That is where the entire rise is. They will be saddled with stocks. And hence, it makes logical and numerical common sense for them to export. They will be saving huge amount of interest. And if you see in the last few days, farmer agitation, etc., both the CMs of Maharashtra and Karnataka have very heavily lobbied with the Central Government. Which brings me to my next point is we are very hopeful in the ethanol price rise. Quantum, etc., is not known. But yes, as I said, our dialogue with the Central Government is that with this kind of environment, exports are barely going to happen - that is what we are telling to them. We are very, very hopeful of a rise in ethanol price. At some point, even I think the MSP dialogue may give some results there. So, one is UP Government, I have told you, one is Central Government. So, together with both these sort of understanding, relief, package, whatever you want to call it, correction of what they should have done earlier, etc., the fall of, INR 30 per quintal should not be as hard as people expected.

Thirdly, on our company front, based on the weather, based on the cane allotment, based on our internal calculations, we are hoping for a 7% -8% increase in cane crushing for Balrampur. That will improve our fixed cost. Also, we are hoping for an improvement in recovery based on the weather conditions. So, all put together, UP Government, Central Government, Balrampur's own crushing quantum, Balrampur's own recovery expectation, we are feeling that the worst may be behind us with this INR 30 per quintal announcement. However, a little more evidence to everything I have mentioned may be sort of available in a month. I think in one month we will have a lot more clarity on all the three factors I have mentioned. So, I have covered the UP Government, I have covered the Central Government, I have covered the company's own expectation on crushing and recovery. So, this I thought will come up from various ends. So, I thought it was sort of my duty to clearly spell it out.

Prashant Biyani: And sir, just lastly one thing. Whatever dues the industry or any mills pay to the farmers for the cane that we crush, what is the split, how much do we pay upfront and in subsequent installments?

Pramod Patwari: In UP, everything is paid upfront. We have to pay in single installment.

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Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: Sir, just one question from my side. I think on the sugar front you have highlighted. Can you

share some volume guidance for ethanol for this season?

Pramod Patwari: For the ethanol year 2025-26, we are expecting around 28 -odd crore liters of ethanol including ENA.

Shailesh Kanani: And just a route wise breakup as well in that?

Pramod Patwari: Maybe around 9 crore liters from Juice, 12 crore liters from B -heavy , 3+ crore liters odd from maize , 3.5 crore liters country liquor and maybe about 1 crore liter C-Heavy.

Shailesh Kanani: So, just one more qualitative question. Regarding the PLA initiative, although it is still in early stage, but we have already commenced market supply, right? So, what are the initial takeaways or insights from these interactions what we are having with the clients? Do they align or differ from our original assumptions on product development? And any qualitative observations you would like to share, which can be useful to us to understand this further?

Vivek Saraogi: Okay, thank you. So, I will try and deal with that. Avantika would have dealt with it better, but she is in Delhi for PLA related meetings. So, let us understand what the roadmap of this is . So, current consumption, now maybe 30,000 tonnes-40,000 tonnes per year, based on the sort of import data of PLA compounds . So, our reaction with the customers is everybody wants to do it, but they are saying, where is your production? So, that is when we began the import. We are dialoguing, etc. So, demand is going to come from two things.

One is direct dialogue with the customers, which is happening. Two is mandate. So, there are going to be certain mandates. One is working with the Government, both State and Centre. And we are hopeful with the mandate and the dialogue with the customer.

Personally, I feel we should be very, sort of confident of selling our entire product. Obviously, nothing will happen overnight. It is not like sugar that you start a factory, you produce the sugar bag, and you dispatch it. It may take a little more time, but it is not ad infinitum into years and all that. We are working very hard on both the mandate and customer interface. Both with the person who will produce and to whom we will supply.

Shailesh Kanani: Okay, and any initial feedback or it is in line with our assumptions? I know it is very early; we

have just started it. But any initial feedback on that terms?

Vivek Saraogi: No, we feel confident. And even people are tracking PLA prices and Pramod has given me the data, etc . let's be clear, we are making it very clear that there must be some parity. So, let's say today India's cane price is higher than a Brazilian cane price by miles or by a Thailand cane price or you know, let's say China. So, there must be a level playing ground via MIP or QCO or whatever anti-dumping, etc. We are hopeful on all fronts. So, the Government is looking to come out with a comprehensive and we are dialoguing with them on a policy for this bioplastic as a sector, which will cover everything.

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Moderator: The next question is from the line of Sanjay Manyal from DAM Capital.

Sanjay Manyal: What I understand broadly that there is a n industry wide ethanol capacity of 1,900 to 2,000 crore litres and now total demand including the ENA and rectified spirit should not be more than 1,500 crore litres. So is it good to say that the industry will not go beyond 70%, 75% of the utilization level and some players might be lower than this and some might be higher than this and given the fact that we are not getting ethanol price like at least from last two years and there is no visibility even for the current year. What kind of normative EBITDA per liter margins can we achieve with the entire sugarcane sort of feedstock?

Pramod Patwari: So, Sanjay I think 1,800 crore litres is the overall capacity in my mind. And in any case, it is not possible to operate the capacities as 100%. There are some periods on which the plant needs to be shut down for normal upkeep, repairs, and maintenance. Even if you assume that 80% is the effective capacity utilization, that means around 1,400 crore litres , 1,450 odd crore litres of production capacity. So, that is currently taking care of the ethanol requirement as well as the other segment requirement. On the other part of your question regarding the profitability, we have always said that it needs to be evaluated at a corporate level because transfer pricing can change. So, it will not be possible for us to give product -wise margins in the distillery.

Vivek Saraogi: Let me explain. The problem is in the grain side. So, if mills have not got full order, like what we bid, we have got our entire capacity order ; we are full. What we did not get is our maize. So, I am just clarifying. We bid for, let us say, 5 crore maize, we got 3 crore. So, maize has been underutilized, maize has got 60%. So, maize gang has been deprived by 40%. That side of the capacity is overburdened, and that is the excess part. Where millers in sugar did not get the order, probably is they did not bid for Q3, Q4. And there may be a second tender coming, whereby I am hoping some more orders should come to the sugar sector.

Balrampur is full, two others maybe. So, that may help some further diversion down the line. And we are dialoguing, and that is the point I think you were making, that sugar sector should have some reservation. So, if Government used to take 1,050 crore a year, and the E22 mandate takes a couple of years to come, in the interim 450 crore, which is at least 45% to 50%, should be allotted to the sugar sector and should be a kind of half -half split between the two sectors. Because this sector, see, if diversion was higher, probably you

would not have needed exports. If you did not need exports, you are not sort of uneasy as to what will happen to the surplus. There would be no surplus. So, with the farmer agitation and with the reality on the ground, I think Government is slowly understanding this. Thereby, I remain hopeful of, one, some revision in ethanol price. My word is I remain hopeful. And two is we also remain hopeful of going ahead in times to come, getting a much larger portion of the pie for the sugar side. Clear. Have I explained myself well

!?

Sanjay Manyal: Yes, sir. That is quite helpful, actually. And I have a last question on the PLA front. So, I think you mentioned that you have started importing some quantities. But what is the response from the customers or clients ? I am sure it is still one year ahead, but have we been able to sort of confirm some sort of orders once our capacity is on stream or have, we

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got the visibility that this capacity will be utilized to the optimum level once we are on stream?

Vivek Saraogi: So, we are in a trial stage with a lot of customers whereby they have given, let us say, a yes.

They want to now do a trial of the product. There are some trials required at their end also for them to o, to give visibility of a large quantity or a meaningful application, let us say. So, we are doing trials with various people, including, let us say, you know, even Government bodies. So, I will wait for Avantika , and I will wait for a little more visibility. So, what I would like to say is, (A), we do not look at this on a quarter -to-quarter basis. (B), we see the mandates coming. We see the macro improving. And thereafter, we can be reasonably sure we will sell, which we are, which we are very confident. So, let us say, mandate and let us say large buyers. We are dialoguing with both the meaningful side and even small buyers.

Sanjay Manyal: Right, sir. And if I may just squeeze in one, if you can just give a regular update on what kind of, because I think crushing must have started at least with a few mills in Eastern UP as well.

So, if it is possible to give an update, what kind of recovery and crushing numbers we are expecting?

Vivek Saraogi: So, Sanjay, I did mention we are expecting a 7% to 8% increase in Balrampur's crushing, quantum -wise, which will be helpful for everything, for both power, sugar, and ethanol business. And East UP has not yet begun. Yesterday, we began our first factory in the evening. So, give it a little more time, but one definitely expects an improvement in recovery. Definitely.

Moderator: The next question is from the line of Nitin Awasthi from InCred Research.

Nitin Awasthi: Just wanted to understand something on the dynamics of the politics which is going on right now. You alluded to the fact that Indian sugarcane prices are miles ahead, and which is a fact, not only for sugarcane, but for some other crops also, that we are completely broken from the international market, and what you call sugarcane or other feedstocks have gone haywire because of Government interventions. And I do not see Government having the capability of reducing the prices going ahead. So, there has to be steps taken to increase the profitability without dropping the prices. One such step which seems possible is that the UPML route, which is the UP made liquor route, being pushed by the UP Government so that the sugar mills can hold on to their molasses. One, do you think that is something which can happen? Number two, if that happens or does not happen, apart from that, with the current rate of SAP at INR 400 per quintal , your production cost of sugar as a product would be close to INR 39 per kg ?

Vivek Saraogi: Pramod, you can take the cost question. First, I will take the thing. So, you are talking of deregulation from the country liquor sector for sugar mills.

Nitin Awasthi: Yes, because sugar mills have to be profitable.

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Vivek Saraogi: I do understand the question. So, as I said in the opening remarks of mine, there will be some reduction, hopeful again, because, you know, in the percentage and some improvement in the price. And I am very hopeful that down the line, something, a large portion of what you have been alluding to, things may move in that direction.

Nitin Awasthi: Understood, sir.

Vivek Saraogi: See, understand, our Chief Minister is a man whose ear and legs are on the ground. There is nobody who understands the

ground reality better than him. We have dialogue d with him.

We are hopeful things should play out in a much better fashion.

Nitin Awasthi: Understood.

Pramod Patwari : And on the cost front, last year, our cost of production of sugar was INR 35.5 per kg . This year, we are expecting a better cane availability, which will reduce the fixed overhead cost incidence. We are expecting a better recovery also, which will again have a positive impact on the cost of production. In spite of the cane cost going up, obviously there will be some increase in the cost of production of sugar, but it will again depend upon the transfer prices. So, we are in the process of evaluating the transfer prices as well. We will come to know

only once we take a final call on that.

Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Couple of questions. Firstly, on the PLA business. So, when is your internal estimate of EBIT level breakeven for the plant?

Pramod Patwari : So, we are expecting commercial production to commence in October . So, I really do not know. This being the new product for us, whether it will take one month or two months to get the stabilization. Let us assume , we get a full three months of our machineries running at full capacity.

Vivek Saraogi: So, it is tough for now. It will take a little more time, but not much .

Pramod Patwari: We are not expecting any loss in the first year also.

Vivek Saraogi: Okay. So, you know, we are working on the product side so that whatever is made is sold.

Krishan Parwani: So, my point was like, because of INR 2,800 crore kind of a gross block, our depreciation at a 5%, 6% depreciation rate could be in the range of INR 150 odd crore or so. So, when I meant by EBIT level breakeven as in like EBITDA of 150 -150 getting offset with the depreciation. So, EBIT level breakeven. That way I was trying to understand when is it that your EBITDA will be higher than your depreciation?

Vivek Saraogi: These three, four months from my view is we should forget. In terms of forget means we hope to reach 100% of the capacity, make an absolutely world -class quality and make our market. So, I think two, three, four months will go in that. And if we look at a product like this,

I don't think it will take much time. Even globally, it has taken less time. But having said that, let us say from March 2027 onwards, I think we should fly. These are my personal views, since you asked for them. And as we always say —or as I always say —this is something new for us, but it is not without research, not without global precedent, and not without understanding.

Krishan Parwani: Understood, sir. That is very helpful. Thank you for that. Secondly, on the traditional business, just a couple of kind of points and apologies if you have already answered since I joined the company a little bit late. So, on this quarter, we had a sharp jump in the grain -based ethanol. So, will we see this trend continuing given the grain -based pricing is higher, but I think the margins are lower? So, how will the trend be?

Vivek Saraogi: So, see, there will be much better profitability on the grain side.

Pramod Patwari: So, in the ethanol year gone by, we did around 4 crore lit res of ethanol out of maize. In the coming season, we got only 3.15 crore lit res including 40% allocation of rice. So, rice will definitely have a lower margin than the margin in maize.

Vivek Saraogi: But the margin in maize per liter will be higher than that.

Krishan Parwani: Okay.

Vivek Saraogi: But if you take your fixed cost, obviously.

Krishan Parwani: Yes, understood. And the last bit on the sugar exports. So, do you expect a meaningful jump for you in particular because I think last year the allowance was higher, but the actual exports were lower. So, do you think this sugar season that we will, as a country, first will react

h 2 million tonnes of export? If not at a country level, you would not have an idea but probably at your company level, what do you expect there?

Vivek Saraogi: So, obviously we will not be exporting. As I said in the beginning, the jump in production is Maharashtra and Karnataka. So, I am personally of the view, and we have the view that they will definitely export. So, give it some more time and I think export will happen.

Pramod Patwari : And this year we will get a longer period to export. Last year's announcement was in January , in fact third week of January .

Vivek Saraogi: So, this is before you begin production, you got the announcement. So, things will play out. And see, I always believe to improve like 280 lakh tonnes, 15 lakh tonnes is what 6%. So, to improve 94% of your life, if one has to do a little bit on the 6%, go do it. That theory plus the saving on account of interest. These two factors being the underlying emotions, I think exports would happen.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand over the call to the management team for closing comments. Over to you, sir.

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Vivek Saraogi: Thank you once again and we will always be there if somebody has more questions and next three months should give a lot of clarity on all the questions and the thoughts.

Pramod Patwari: Thank you, everyone.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: Feb 2026

13th February, 2026

National Stock Exchange of India Limited
Listing Department,
'Exchange Plaza', C/1, G Block, Bandra
Kurla Complex, Bandra (E),
Mumbai 400051. BSE Limited
The Corporate Relationship Department
1st Floor, New Trading Wing, Rotunda
Building, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai- 400001.
Symbol: BALRAMCHIN Scrip Code: 500038

Dear Sir/Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Subject: Transcript of Earnings Conference call

In terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the Transcript of the Q3 & 9M FY26 Earnings
Conference Call held on 11th February, 2026.

The same is also uploaded on Company's website at the following web page:

<https://chini.com/investors/concall-transcript/>

Thanking You.
Yours faithfully
For Balrampur Chini Mills Limited

Manoj Agarwal
Company Secretary & Compliance Officer

Encl: A/a

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Earnings Conference Call
February 11, 2026

Moderator: Ladies and gentlemen, good day, and welcome to Balrampur Chini Mills Limited's
Earnings Conference Call. As a reminder, all participant lines will be in the listen -
only mode and there will be an opportunity for you to ask questions after the
presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Ms. Jenny Rose from CDR India. Thank you, and
over to you, ma'am.

Jenny Rose: Good afternoon everyone and thank you for joining us on Balrampur Chini Mills Q3
and 9M FY26 Results Conference Call. We have with us today Mr. Vivek Saraogi,
Chairman and Managing Director of Balrampur Chini Mills; Ms. Avantika Saraogi,
Executive Director ; and Mr. Pramod Patwari, Chief Financial Officer of the Company.
We would like to begin the call with brief opening remarks from the management,
following which we will have the forum open for the question -and-answer session.
Before we start, I would like to point out that some statements made in today's call
may be forward -looking in nature, and a disclaimer to this effect has been included
in the results presentation shared with you earlier.
I would now like to invite Mr. Saraogi to make his opening remarks. Over to you, Mr.
Saraogi.

Vivek Saraogi: Thank you. Good afternoon, everyone, and thank you for joining us on our Q3 and
9-month FY26 earnings call. I trust all of you have had the opportunity to review the
detailed presentation shared by the team, which outlines our operational and

financial performance. I will begin the call with an update on the current developments in the sugar sector, followed by the company's key highlights for the period under review.

Let me present this very simply. Our internal estimate at Balrampur Chini Mills places gross sugar production at 325 lakh tonnes, with a diversion of 35 lakh tonnes, resulting in net production of 290 lakh tonnes. Of this, 4 lakh tonnes have been contracted for exports, leaving a net balance of 286 lakh tonnes.

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Consumption estimates range between 288 and 290 lakh tonnes. Therefore, without going into minor variations of 1 or 2 lakh tonnes, the broad assumption is that there will be no addition to inventory and, in fact, a marginal depletion. Opening inventory levels remain extremely tight at approximately 5 million tonnes. This situation is expected to lead to a strong demand environment with no inventory overhang. Accordingly, this is supportive of prices. In February, sugar prices for UP mills, including our factories, ranged between INR 41 and INR 41.5 per kilogram. We believe prices may gradually inch upward as the year progresses.

On the policy front, cane prices have been increased by several key sugar-producing states, adding to cost pressures for mills. In UP, cane prices have been raised by INR 30.

In this context, a revision of the MSP aligned with current cost structures becomes critical for ensuring timely payments to farmers and maintaining market stability, without imposing any fiscal burden on the government. To offer some perspective, the MSP may not be immediately relevant given current UP sugar prices. However, it serves as an important price floor signal from the government, particularly at the beginning of the season in December. This signal has been much needed and long overdue.

Even if the MSP were revised today, it would not materially alter the pricing trajectory. The more pressing concern lies with ethanol pricing, which I will address shortly. Concerns regarding potential ethanol imports from the U.S. and maize-based supplies have eased following the recent trade agreement. However, uncertainty persists around a long-term revision of domestic ethanol prices.

Despite a 16.4% increase in FRP and rising operating costs, ethanol prices under the B-heavy and juice routes have not been revised for the past three years. This is extremely disappointing and surprising, particularly since the requested revision would have had only a marginal—indeed sub-marginal—impact on OMCs. Even if passed on to consumers, the effect would have been limited to approximately INR 0.10 to INR 0.20 per litre. For a consumer paying INR 100 per litre of petrol, this impact would have been negligible.

This raises serious questions as to why no revision has occurred despite the FRP increase. Without such adjustments, millers may need to reconsider large-scale diversion strategies in the future. The E20 program, which began with strong commitment, now appears to require renewed policy attention.

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Against this backdrop, the company delivered a healthy operational and financial performance. The sugar segment performed well, supported by improved realizations. The distillery segment delivered stable performance on the back of higher volumes. However, margins remained under pressure due to the absence of an ethanol price revision.

Sugarcane crushing during the period under review increased by 8.4% to 387.6 lakh quintals, supported by the early commencement of operations and improved capacity utilization. Despite a decline in overall sugarcane acreage, the company expects higher crushing levels for the season, aided by additional area allocations from the government and better yields resulting from our close engagement with farmers.

Our PLA project continues to progress as planned. Construction activities are in full swing, with more than 3,000 workers deployed at the site. Approximately 90% of the imported equipment has arrived, while the remaining shipments are on schedule and in transit.

Market development initiatives have commenced through the trading of imported PLA. As of 31st January, cumulative project expenditures stood at INR 1,421 crore, funded through a combination of INR 790 crore in debt and the balance through internal accruals.

We remain committed to sustainable value creation by optimizing operations and

maximizing value extraction from each unit of sugarcane. Our diversified product

portfolio, including the PLA initiative, is closely aligned with emerging global sustainability trends and strengthens the long-term resilience of our business. We continue to focus on debottlenecking, enhancing efficiencies, strengthening stakeholder relationships, and deploying capital prudently. This brings me to the end of my remarks.

I now hand over the floor to Avantika for giving an update on cane and PLA. Following that, Pramod will present the financials, after which we will open the floor for questions.

Avantika Saraogi: Good afternoon, everyone. Thank you for having me. I'll provide a brief update on both segments—first sugarcane, then PLA.

As highlighted in our opening remarks, we expect a 5% to 6% increase in crushing this year compared with last year. I'm also pleased to share some encouraging news
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for the upcoming season: we anticipate a 5% to 7% expansion in cultivated area. This growth is driven not only by higher cane prices but also by the allocation of new geographies.

Beyond this, I would like to highlight one key development in our sugarcane operations. Over the past two years, within our integrated pest and disease management program, we have placed strong emphasis on mechanical control. For the last three years, we have actively shifted budget allocations from chemical inputs toward labor-intensive mechanical methods. This approach has improved soil fertility and enhanced crop resilience against insect- and disease-related challenges, including top borer and red rot. As a result, we have progressively reduced chemical usage while increasing reliance on mechanical and biological controls, thereby lowering the carbon footprint of sugarcane cultivation.

Turning now to PLA, I'd like to share an important market insight that may not be fully visible to investors. Since the announcement of our PLA project, PLA trade volumes have nearly doubled. Prior to the project announcement, annual imports of neat PLA were approximately 4,000 to 5,000 tonnes. At that time, we conservatively estimated that compounds and finished goods represented a four- to five-fold multiple of neat PLA volumes. Today, we observe total PLA imports at around 10,000 tonnes annually in 2025, along with a corresponding four- to five-fold multiple in PLA compounds.

While our current trade and sales figures may not yet fully reflect the total PLA market in India, this trend underscores the significant market expansion underway. It also highlights our continued engagement with compounders and converters. We have not only built strong goodwill but also achieved tangible technical successes—progress that is largely unprecedented in India. As mentioned previously, we have worked on more than 50 projects, of which 20 have been successfully completed and 30 remain in progress. We are confident about the outcomes of these ongoing initiatives.

In closing, I'd like to emphasize that downstream technical success remains our primary focus. Thank You. So that's it from me.

Pramod Patwari: Thank you. Good afternoon everyone. I would not like to repeat the financial numbers, which we have already shared in the detailed presentation. I would now request the moderator to open the forum. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Prashant Biyani from Elara Capital.

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Prashant Biyani: Sir, regarding this ethanol pricing, if we have to look the other way, what is the incentive for the government to increase the ethanol price right now? Blending targets have been achieved, and we have ample capacities also. So till the time there is sugar glut or even standalone ethanol companies are on the verge of bankruptcy, government may not increase the price at all from here.

What is your view on this?

Vivek Saraogi: So we are talking as if government is running a business. Government is supposed to be running a system, which is for the well-being of the country, and that is where this policy began. So just because you get capacity up to what you need, you do not stop increasing the price and the commitment, which was made, which was followed up to 2022, 2023, which was if 5% was the rise in FRP, 5% was the rise in ethanol price. If I may speak a little informally, the government is not a trader. Its role is to support policies that are climate-friendly and farmer-friendly. Because of this approach, export subsidies were not required, and farmers were paid on time. One should not suddenly backtrack midway.

Avantika Saraogi: And just on the price front, they would just increase prices based on the consequent increase of sugarcane prices. They need not increase quantity of ethanol in that.

So it actually has more relevance to sugar per se.

Prashant Biyani: I agree with all that. But I mean, because now government is acting like a trader only, so then?

Vivek Saraogi: Then you are right. So that is why they have not yet increased it. So these are not moves with any kind of long-term thinking, suddenly, something has gone up. And like government has been pragmatic for years. And I am very hopeful that they would again see pragmatism down the line.

Prashant Biyani: Sure. Sir, on PLA, while we plan to supply to converters, have we received any formal or informal assurances from potential clients regarding offtake — particularly from segments such as the railways, defense, or temples, which we are targeting as end users of the product?

Avantika Saraogi: At this stage, I'm not at liberty to share specific details. However, the inclusion of certain names in our investor presentation, along with our consistently prudent conduct, should provide sufficient indication. These represent only a few institutions, and beyond them there are numerous private-sector opportunities as well. The market outlook for PLA is very encouraging. I specifically highlighted the import figures to underscore this point.

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Vivek Saraogi: If you seek insights, I believe this may be of interest to all investors. Avantika can provide a better perspective, particularly on how the PMO initiatives and related developments are playing out.

Avantika Saraogi: Yes, let me talk about the entire program of this Gutkha pan masala packaging. So, there was an article and the press release from the Government, which included our name and our PLA, and basically for the application of Gutkha and pan masala packaging. So, this is one of the most visible lit t ers causing 22% filtering in drainage systems in urban India. So, the PMO is really taking up this in a very fast-track manner. And we have been able to get technical success, which has only, before this, happened in China in terms of being able to convert the product with quality and on the existing legacy machines that exist in the country. That was the only roadblock. We have already achieved technical success. We have done prototypes, and it has already gone for user and degradation testing and SOP and all of that is being done. So, the gov ernment is working really, really fast and really, really cohesive on that. So, if we look at sachet usage in India, you guys will probably be better at estimating the exact figures, but it is something like in hundreds of thousands of tonnes. And why I am harping on the technical efficiency is that it is extremely difficult to get the oxygen and water vapor barrier right, with bioplastics and biodegradable materials, which we have been able to do. This is a great thing, and the cost is also decent.

Vivek Saraogi: So, there is a lot of promise. There is a lot of interaction, and it is not up in the air anymore.

Prashant Biyani: Sure. And while we a

re not really impacted by it, but on the other side, is the government also trying to separately pick up the waste product or the packing material, which is made out of PLA at the garbage picking front?

Avantika Saraogi: Do you mean waste segregation?

Prashant Biyani: Right, right, waste segregation.

Avantika Saraogi: I mean the less we comment on waste segregation in India, the better. I do not know what to tell you more than this. It is not where it should be. And if it does happen like that, it is rather simple to separate PLA. There are n number of technologies and even mechanical properties, which can be taught to the rag pickers just as they do for other products, they can easily separate PLA.

Moderator: The next question is from the line of Vikram Suryavanshi from Phillip Capital.

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Vikram Suryavanshi: First of all, I want to acknowledge you for giving more realistic production estimates in presentation compared to what we have typically seen from various sources. If we compare the country's initial estimates with the significant downward revision now — which, in many ways, was expected — could you provide a broad sense of how this revision is distributed between UP and Maharashtra?

Pramod Patwari: UP production, at a gross level, is expected to be a maximum of around 10 million tonnes. For Maharashtra, along with Karnataka, we are looking at approximately 17.5 to 18 million tonnes.

Vivek Saraogi: UP, Maharashtra and Karnataka together are estimated at around 28 million tonnes, with the rest of India contributing about 4.5 to 4.7 million tonnes, leading to the overall estimate of roughly 32.5 million tonnes. That is the broad breakup.

Vikram Suryavanshi: Okay got it. And second, you highlighted about increased cane allocation by 5% to 7%. Does the additional land you have already secured have a meaningful amount

of cane, or is there further scope for improvement in cane development going forward? Apart from the increase in area, can cane availability also improve significantly ?

Vivek Saraogi: Good Point, good point.

Avantika Saraogi: Good question, actually. I just want to clarify it is not 5% to 7% increase in allotment.

It is 5% to 6% increase in crushing that we expect. This is not only through external areas, but internal development and yields and everything. Now moving to the second part of the question, yes, definitely, the new areas which we have got already have cane, but they have a large opportunity to increase cane as well. And these are farmers who have not been paid properly. So, they are very, very happy and very, very excited to actually see the color of money and work with us and increase cane area. We are very, very hopeful.

Vivek Saraogi: Increased cane area, improved variety, everything.

Vikram Suryavanshi: Got it. And in terms of yield improvement, we have seen some progress, but probably I was expecting a more significant improvement from here. Was this increase largely driven by weather -related factors or recovery ? Going forward, can we expect structural yield improvements through varietal changes — both in terms of recovery as well as yield? If you could comment .

Avantika Saraogi: I would like to highlight that we have been working very hard on varietal development since the red rot incidence. As a result, the share of the red rot –affected variety has now been reduced to low single digits. At the same time, we are seeing a steady

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increase in Co 14201, which is now an established variety. This year, we expect to crush around 16% of this variety, and we anticipate a significant increase in the coming year. In addition, we have two more varieties in the pipeline with strong potential for both higher yield and improved recovery. Beyond this, we have a four - to five -year plan supported by four other pipeline varieties that will be introduced progressively. Overall, this represents

a very strong program, backed by the tissue

culture infra structure we have established. Our constant focus is on driving structural improvements so that we are less dependent on external factors .

Vikram Suryavanshi: Got it. And last question, I think, sir also talked about on ethanol views and all that. But just for clarity, if you look at situation remain and with sugar prices currently what we have, can we go for maximize sugar and then use the distillery capacity more for grain -based ethanol as a structural change going forward or we still hope that Government will consider the revision in ethanol prices, so we can stick with the existing model?

Vivek Saraogi: So what we have done pursuant to the fact that government did not increase price, we have already diverted one of our units to C -heavy. Grain is not possible in these units because grain is a separate line of machinery, which is only available in Maizapur. So we have taken those decisions internally to maximize sugar production.

Vikram Suryavanshi: Okay. Got it. So I was just saying to can we also go for multi -feed in other places also?

Vivek Saraogi: No. That is not what we are planning.

Moderator: The next question is from the line of Sanjay Manyal from DAM Capital.

Sanjay Manyal: My questions are pretty similar to what the previous participant has mentioned. So it is about the recovery specifically. I think initially, we were talking about 50, 60 probably basis point recovery improvement in Western UP and probably 20 to 30 basis point recovery improvement in Eastern UP. But it seems to have fizzled out. Is that because of the ratoon crop, or do you expect better performance from the plant crop? Or do you think recoveries will remain broadly flattish for the season?

Vivek Saraogi: Good question, Sanjay. So you are right, in the West, the situation is mixed. Some regions are higher by about half a percent, while many others are lower compared to last year. So the West itself is divided into parts . That said, we began the season with an improvement of around 0.3%. However, for nearly one and a half months, we had virtually no sunlight. Since yesterday, we have started seeing bright sunshine

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again. As a result, we may have lost some time that we had not anticipated.

Therefore, an improvement of 0.2 % to 0.3 % may now be difficult, but an improvement of around 0.1 0% to 0.15 % could still be possible .

Sanjay Manyal: Okay. And second about the fungibility part only. It seems that Maizapur, I think initially when we did the capex for Maizapur for 320 KLPD, it was assumed that in a certain situation like today, when the maize or the grain ethanol prices are higher, probably we will utilize this Maizapur facility for a higher grain ethanol, but it seems that it will be less than 5 crore liters , it seems to be that way only. What is your view

on that and why we have not been able to scale that up to 8 crore, 10 crore liters probably?

Vivek Saraogi: So Sanjay, please understand. We have a capacity of 5 crore litres from maize for the balance period of the season after the sugar season shuts down. Let me clarify this. The government has accepted only about 60% of the tenders issued for maize-based ethanol. Naturally, one cannot tender volumes beyond installed capacity. Accordingly, we tendered for 5 crore litres and received allocations for approximately 3.15 crore litres.

Pramod Patwari: It was also divided between rice and maize in the ratio of 40:60.

Vivek Saraogi: So, we tendered under the whole-grain category and then divided the allocation accordingly. However, the government does not appear to be inherently supportive of this segment. For example, if one were to increase maize capacity by investing additional capex — say, 10 crore liters for another distillery — only about 6 crore liters worth of sales would be realizable under the current allocation framework. The

remaining capacity would effectively remain idle. I hope that clarifies the situation.

Sanjay Manyal: My question over here is that why we could not bid more than 5 crore liters? Because if I am not wrong, the entire Maizapur facility is fungible towards grain. So maybe I can do a C-Heavy, I mean, ethanol or B-Heavy?

Vivek Saraogi: Right, right. So that was possible. But at that point of time, one did not know that they are not going to increase the price. Having begun and tendered, it is not possible to roll back. And in the overall scheme, until you reduce sugar, you do not get a good price for sugar. Yes, I mean, if I knew on day 1 that they are not going to increase any price, maybe we would have done lesser juice.

Sanjay Manyal: Right, right. Understood. Understood.

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Vivek Saraogi: But Sanjay, capacity would have been idle. We see you would have done, but the grain would have gone unutilized or 60% utilized. But yes, your question is valid. If we knew this on day 1, we would have not done full juice.

Sanjay Manyal: Right, right. Understood. Understood. And sir, lastly, on PLA front, I think you have mentioned that you already started trading PLA. And so is it that to build the market as of now, we have to significantly reduce the price or sort of come up with the lower price to the clients?

Avantika Saraogi: No, no, no. This is not the case. We are wanting to do this so that we can get the technical feedback required for our own production and also start creating a name in the market, meeting the right customers and everything. So customers are largely still importing on their own and just buying a small percentage from us and giving us feedback, which is very valuable for when we start production.

Sanjay Manyal: Okay. Okay. So these are only pilot work, which is happening as of now?

Avantika Saraogi: No, we are doing commercial sale also, but to a small percentage in order to get feedback on quality.

Moderator: The next question is from the line of Tanuj Nangalia from SKP Securities.

Tanuj Nangalia: Sir, I wanted to know whether there is any change in the ethanol mix. As you said, you will be making more of C-Heavy. So the previous mix you had said it was 25% was C; 65% was B; and 10% was syrup?

Vivek Saraogi: It is a very marginal increase.

Pramod Patwari: Yes, largely it will remain in that range only.

Vivek Saraogi: Yes. So just 1 unit midway, we are shifting, because we are a 10-unit company, it may not look very visible. But yes, whatever we can salvage, we will salvage.

Tanuj Nangalia: Okay. My next question will be, are we on track to close the financial year 2026 with ethanol sale of 28 crore liter?

Pramod Patwari: Looks like between 26 crore liter to 27 crore liter.

Tanuj Nangalia: Okay. And sir, one last question, what kind of revenue are we expecting in PLA from the Pan Parag in sachets, which you were talking about right now?

Avantika Saraogi: This is too early in the day.

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Vivek Saraogi: Patience. So let us understand what we are wanting to say without over expecting or under delivering. So today, this is something new for us. We are going in. There are 2 parts to this. One, to make the quality that is the function at the plant level. Two is to sell this — that is your Pan Parag, etc. So we are separately working on these two. And with the interactions we are having around, we feel very, very confident and happy that we should see success on both the fronts. The details of how we are hoping to be successful is all what we have spoken about.

Tanuj Nangalia: Got it, sir. Just I can squeeze my last question. What is the cost of production of sugar in Q4?

Pramod Patwari: So for the full year, we are expecting in the region of around INR 37.5 per kg.

Moderator: The next question is from the line of Hitesh Sharma from Goldman Sachs.

Hitesh Sharma: I just wanted to check on th

e PLA project — what is the current capacity utilization, and at full capacity, what kind of profit contribution can we expect ?

Avantika Saraogi: So we are commissioning in October of 2026. So right now, there is, of course, no capacity utilization.

Vivek Saraogi : Plant has not come up yet.

Avantika Saraogi: And then if on full capacity utilization, the revenue potential is INR2,000 crore at peak and we have given guidance before of a 35% EBITDA profit margin.

Moderator: The next question is from the line of Dhvaneet Savla from Savla Family Office.

Dhvaneet Savla : Most of my questions have been previously answered. Just wanted to know on the

ethanol bit. Do we know what kind of pricing they are likely to set for the C -heavy route for the current sugar season? They had provided an increase last year as well.

If they announce another increase now, the price differential between the B -heavy and C -heavy routes would become very minimal. In that case, it would appear likely that they may also increase the price for the B -heavy route, at least in line with the cane juice route ? My second question is what is our current conversation with regards to the government on this particular aspect? Are they still in talks with the government for the price revision? Or have the talks stalled for now?

Vivek Saraogi: So I think what you are meaning is whether there will be a revision for C -heavy. So currently, the indications are there is no revision at their end. So we have pitched, pitched and pitched, no reply is the message we have. I mean, I cannot speak against the government, but it does give a sense that they may not be actively

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considering it. That is the indication. Hence, prices across all products — C-heavy, B-heavy, and juice — are likely to remain unchanged .

Dhvaneet Savla : So as per November 2024, October 2025 season, right?

Vivek Saraogi: Right, right.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand over the call to the management team for closing comments. Over to you, sir .

Vivek Saraogi: We are hoping to crush over 10.5 crore quintals this year which represents an increase of about 58 to 60 lakh quintals over last year, translating to nearly 6% growth. With the capex already completed, our facilities can very comfortably handle 11.5 crore quintals. Achieving this level is part of our near -term target. It is not a distant aspiration; we are actively working toward it and remain positively inclined on achieving that . I am hopeful that a portion of this vision gets next year itself. In Maharashtra and UP, closures are expected to begin by the end of February, which explains the current price environment. Additionally, the monsoon predictions which we have read till date so far are not that great . Taken together, these factors create a structural tailwind for sugar prices as we proceed . While one segment may be facing challenges, particularly ethanol, the sugar outlook appears positive — especially for Balrampur.

Moderator: Thank you very much. On behalf of Balrampur Chini Mills, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Pramod Patwari: Thank you.

Avantika Saraogi: Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: May 2026

30th April, 2026

National Stock Exchange of India Limited
Listing Department,
'Exchange Plaza', C/1, G Block, Bandra
Kurla Complex, Bandra (E),
Mumbai 400051. BSE Limited
The Corporate Relationship Department
1st Floor, New Trading Wing, Rotunda
Building, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai- 400001.
Symbol: BALRAMCHIN Scrip Code: 500038

Dear Sir/Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Subject: Transcript of Conference call

In terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the Transcript of the " Balrampur Chini Mills'
Conference Call on PLA Project Update and Capital Raising Initiatives" held on Tuesday,
April 28, 2026 at 12:00 Noon IST.

The same is also uploaded on Company's website at the following web page:

<https://chini.com/investors/concall-transcript/>

Thanking You.
Yours faithfully
For Balrampur Chini Mills Limited

Manoj Agarwal
Company Secretary & Compliance Officer

Encl: A/a

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Balrampur Chini Mills Limited
Update Conference Call
April 28, 2026

Moderator: Ladies and gentlemen, good day , and welcome to Balrampur Chini Mills Limited's
Conference Call . As a reminder, all participant lines will be in the listen -only mode
and there will be an opportunity for you to ask questions after the presentation
concludes. Please note that this conference is being recorded. I now hand the
conference over to Ms. Jenny Rose from CDR India. Thank you and over to you,
ma'am.

Jenny Rose: Good afternoon everyone , and thank you for joining us today on this call to discuss
Balrampur Chini Mills' update on the PLA project and the capital raising initiative.
We have with us today, Mr. Vivek Saraogi, Chairman and Managing Director of
Balrampur Chini Mills, Ms. Avantika Saraogi, Executive Director, and Mr. Pramod
Patwari, Chief Financial Officer of the Company.

We will begin the call with brief opening remarks from the management, following
which we will have the forum open for the question -and-answer session. Before we
proceed, I would like to remind everyone that certain statements made during this
call may be forward -looking in nature. Additionally , please note that the company is
currently in a silent period. We request that you refrain from asking questions
related to the quarterly business performance and limit your questi ons to the
current development.

With that, I would now like to invite Mr. Saraogi to deliver his opening remarks.

Thank you and over to you, sir.

Vivek Saraogi: Good afternoon everyone and thank you for joining us on this call today.

We thought, in our genre of transparency, to connect with all of you post the board meeting held on 23rd April, 2026, to share an update on the PLA project, the investments around it, and the associated financing initiatives approved at the meeting.

At a broader level, these decisions reflect the direction in which we are taking the business and the way we are positioning ourselves for the next phase. The PLA project is a key strategic initiative for us and forms an important part of our efforts

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to build a more growth-oriented business, with attractive opportunities emerging across the value chain. As the project has progressed through implementation and detailed review, we have taken stock of the updated capital requirements and the adjacent opportunities around it.

Let me first cover the PLA project itself. As disclosed, there has been a cost overrun of INR230 crore, taking the project cost to INR3,080 crore from INR2,850 crore. This revision is primarily on account of key construction materials, global supply chain disruptions, forex movements, and certain refinements in engineering and design, which is the final 90% engineering and review modelling. And together with this, people take advantage of the situation. Suppliers also, in the garb of ensuring timely delivery of material, claim there is an overrun, and a little additional cost gets built into it.

Alongside the PLA project, we have identified an attractive opportunity to create value chain around its by-product. As part of this approach, the board has approved the lactogypsum processing plant at Kumbhi. This facility will convert lactogypsum, which is a synthetic and eco-friendly by-product generated during the PLA manufacturing process, into gypsum boards, a scalable and commercially attractive production segment. The proposed plant has an investment outlay of INR160 crore and is expected to have a production capacity of ~76 lakh boards per annum, with commercial production starting in 18 months.

We see this as a highly compelling initiative with multiple benefits. It enables us to monetize our by-product, enhance overall efficiency, and create an incremental revenue stream. At the same time, it reinforces our sustainability agenda by embedding circular economy principles into our operations. And this synergizes with our initiatives of converting our kind of waste into value-added products.

To support these initiatives, the Board has approved a preferential allotment of equity shares worth approximately INR450 crore at the SEBI price of INR483, which was the SEBI price on that day. In addition, the Board has approved an enabling resolution for raising debentures of INR200 crore. This is just part of the financing because if you are going in for a big project, you need to do something through debentures. This will provide us the financial flexibility required to execute our expansion plans, while maintaining our balance sheet discipline.

We would like to highlight that continued participation from the promoters in the fundraise will keep our stake, the family stake, at 43%. So if you see, we have put in 43% of INR450 crore, which is about INR193 crore, which is exactly synergistic with our existing stake. We believe this reflects the promoters' continued

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confidence in the company's growth strategy and long-term value potential of these projects.

I would also like to add that the non-disposal of gypsum can lead to pollution issues. Our ability to dispose of gypsum through interactions with cement plants have shown limited interest, very poor pricing, and limited off-take. We want to avoid a situation similar to the 1990s, when we faced challenges with bagasse and had to give it away for free due to the lack of disposal options. We were India's first sugar factory to enter into a co-generation project, which later yielded rich dividends down the line and stopped us from getting blackmailed. This initiative carries a similar strategic intent.

I would now request the moderator to open the forum for any questions and we would be very happy to answer your questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Prashant Biyani from Elara Capital.

Prashant Biyani: Sir, what would be the rationale for this equity capital raise so closer to the

rcial timeline of the project? You would have already tied up with finances and leverage is also not that heavy on the balance sheet.

Vivek Saraogi: Yes, so I believe this question exists in the mind of many of our equity investors.

So just let me give you some perspective. A, this is a 5% dilution. B, we are participating, so it is not that there is any intent of lowering the promoter stake. C, the focus is on our ability to run the business smoothly, maintain our credit rating, and ensure financial stability, we are currently raising finance at around 6.75%, and to ensure that no financial ratios are disrupted. The idea behind raising this capital is that there is INR 390 crore outlay involved, as you can see, INR 230 crore plus INR 160 crore. Additionally, with the upcoming sugar season, we foresee the need to purchase more cane and make timely payments. Therefore, it was important to ensure adequate liquidity, maintain our rating, and avoid any concerns from bankers regarding potential ratio breaches. We believe this is a very prudent measure.

Prashant Biyani: Okay. Can you give some cost dynamics for the lactogypsum plant, How much is the output of lactogypsum when you make 1 unit of PLA? And for this plant which will make gypsum board, how much could be the revenue potential as well as tentative margins if you would have budgeted the same?

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Pramod Patwari: So Prashant, for 80,000 tonnes of PLA, we are expecting lactogypsum in the region of around 1.16 lakh tonnes to 1.2 lakh tonnes. And this has an annual revenue potential of around INR150 -odd crore.

Prashant Biyani: And sir, how many units of lactogypsum make one unit of gypsum board? Or I mean, equivalent input-output ratio?

Pramod Patwari: So, this 1.16 lakh tonnes of gypsum will result in to around 63 lakh pieces, that is the annual capacity of 63 lakh board.

Prashant Biyani: Sir, how much would be the margins for this business?

Pramod Patwari: Margins, we are expecting a payback period of around 5 years.

Prashant Biyani: 5 years?

Pramod Patwari: Yes.

Vivek Saraogi: Yes, given the current disruption, I believe that since we started evaluating this project, the board prices we had factored in have already increased by 25% due to the West Asia crisis. However, this is a recent development. As for raw materials, we have our own supply and do not need to rely on external sources.

Prashant Biyani: Right. Sir, we have investment in NBFC also. Would we be willing to offload some or full part of it which we own eventually to delever our balance sheet?

Vivek Saraogi: Definitely, eventually yes, 100%.

Prashant Biyani: Any timeline and tentative valuation would you be looking at? While we have a history of past transaction at which the stake transfer happened.

Vivek Saraogi: So there are two parts to Auxilo's dilution. One is a dilution done to run the business, that is, the capital requirement of the business itself. Two, the last dilution was done at about around INR3,000 -odd crore to INR3,200 crore market cap of Auxilo. So that was the last valuation available. Currently, as I have told you, I have answered your question, the timing, etc. is not fair to answer now. Yes, we are positively inclined towards answering your question in the affirmative.

Moderator: The next question is from the line of Shailesh Kanani from AMSEC.

Shailesh Kanani: First of all, congratulations on the equity fundraise, after a long time, to the whole Balrampur team. Sir, I had few questions. First one is on the PLA project. Now the cost has escalated by INR230 crore, and you have given the reasons that the

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engineering changes and supply chain issue. So are these modifications fundamentally altering any yield or efficiency of the plant?

Vivek Saraogi: So, minor tweaking always will lead to it. Yes, you are right, but it is impossible to be able to quantify all t

hat today. Everything has been done, some part is towards improving the engineering, a lot of it is foreign exchange also. So one could not have booked the machinery which used to come in. Euro moved from 90 to 110. So that is not in my hand. I could not have booked the machinery which used to come as per RBI laws, I am told. So that is one major part. Two, this shipping cost, this crude, this ships not coming around Hormuz and the Cape of Good Hope, local transportation. See, you know, the biggest consignment, just to give you a figure, is costing me INR9 crore to transport a column or a part of the machinery, one. There are two such consignments, it takes 4 months. So people at this point of time, I have to complete the project and there are some costs which are probably a little higher than what it should be. Some are genuine, 90% are genuine, 10% is a bit of blackmail. One has to succumb to that in order to complete the plant with precision. Shipping cost, inland transport cost, currency fluctuation, revision of prices of some

existing contracts, we have put in fixed price contracts and that bit we try to keep to a minimum. And lastly, some minor engineering and etc. for the 90% modelling which just throws up some new maybe valves, pipelines kind of things.

Combination of all.

Shailesh Kanani: Fair enough. So with project being so closer in terms of completion and operational, say 6 to 9 months. So can we expect this is the final kind of revision in project cost and there would not be further in cost irrespective of macro environment?

Vivek Saraogi: Yes, our machinery is likely coming in soon, so yes, that should be it.

Shailesh Kanani: Okay . Sir, my second question was with respect to the UP bioplastic policy where they are giving 50% capital subsidy. So even if this upward revision, that would be kind of eligible for the same, right?

Vivek Saraogi: A very good question, pertinent question. The document, the policy document, does not curtail your investment and yes, therefore what you have said is absolutely correct.

Shailesh Kanani: Fair enough. Thanks a lot. So my third question was with respect to the gypsum boards what we are planning to do. So I was reading somewhere that it requires fillers and reinforcements. So are we planning to utilize the bagasse ash or bagasse fiber for production of this? And do we have that excess?

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Avantika Saraogi: No, that is not required at all. It requires paper and gypsum, that is it.

Shailesh Kanani: Okay. So there will not be any further utilization from the by -product from the sugar mills as such?

Avantika Saraogi: No, only in terms of utilities like steam and power will go.

Vivek Saraogi: Which will be accounted for in the project expense.

Shailesh Kanani: Fair enough.

Vivek Saraogi: Just to answer your question, how we work in Balrampur, and I guess in any prudent company, is if you see our three divisions, sugar, ethanol and power, there is a transfer pricing for everything. And then you get your segmental revenue and segmental profitability. So when Pramod has spoken to you about a 5 -year payback, and which may substantially decrease with the current raise in the board prices, each utility used here, whether it is steam, anything, is accounted as an expense here and a revenue in the PLA plant.

Shailesh Kanani: Fair enough. So , just one last question from my side on this, continuing on the same point. The boards that we will be making , would we be positioning them as a commodity alternative of some kind, or do we have some leverage in terms of being bio -based or having recycled content? So that we can kind of target the premium ESG or green building segment , would that be possible ?

Avantika Saraogi: This is not envisaged at this point of time. But in the future, it is definitely replacing mine material. So in that case, it is of course a very, very much more eco -friendly

way. But to attribute value based on that, I do not know if we will get more value, but definitely the eco -friendly tag is definitely there with it.

Vivek Saraogi: Yes, because it is our own product. Yes.

Avantika Saraogi: And there is no mining involved. All other boards made have mining involved .

Vivek Saraogi: That's a good point , and a good thought. We can bring in more people from the marketing side later, since it's 18 months away.

Moderator : The next question is from the line of Nishita Shanklesha from Crown Capital.

Nishita Shanklesha : Yes, so I actually just had a follow -up question on the previous participant's question. So I just wanted to understand that our PLA capacity, so you mentioned that on the 80,000 ton nes of PLA capacity, we can expect around 1.16 lakh ton nes of lactogypsum, right?

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Vivek Saraogi: Yes.

Nishita Shanklesha : And from the 1.16 lakh tonnes of lactogypsum, we can have around 63 lakh pieces of gypsum boards?

Vivek Saraogi: Yes.

Nishita Shanklesha : So the revenue potential that you mentioned of INR150 crore, that is from the 63 lakh pieces of gypsum board per annum? Is that understanding correct?

Vivek Saraogi: Yes.

Nishita Shanklesha : Okay, got it. So I just wanted to understand what is the revenue potential from our PLA project?

Avantika Saraogi: The whole PLA project?

Nishita Shanklesha : Yes.

Vivek Saraogi: That is the same as what was mentioned earlier —nothing has changed. The PLA project remains the same. This is essentially a value addition to a by -product,

which would otherwise be waste if not utilized .

Moderator: The next question is from the line of Rhea Bhatia from CNBC TV18.

Rhea Bhatia: I just wanted to understand the breakdown of the preferential issue of INR450 crore. Where exactly will this be used? Because I believe INR160 crore will be for this lactogypsum plant and INR230 crore for the PLA plant, right?

Pramod Patwari: The balance will be on account of corporate general purposes.

Rhea Bhatia: Okay, understood. And the PLA plant commissioning, does that remain on track for quarter three?

Pramod Patwari: Yes, absolutely.

Vivek Saraogi: It is a tough job, but we are leaving no stone unturned and as things go, it looks absolutely feasible.

Rhea Bhatia: Okay, all right, sir. And just wanted to understand what led to this increase in the cost for the PLA plant, this INR230 crore. Was it largely because of the West Asia crisis?

Vivek Saraogi: Yes, I think if you had joined the call, I have threadbare laid down all the points.

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Moderator: The next question is from the line of Vikram Suryavanshi from Phillip Capital India Private Limited.

Vikram Suryavanshi: Just on this lactogypsum, How will the sales be done? Will it require a proper sales and distribution channel, or is it more like a commodity where we can focus purely on sales and sell directly to dealers? Just trying to get a sense of the distribution side for gypsum board .

Avantika Saraogi: So we are working on the sales strategy and in time to come, we will lay it out threadbare. We are evaluating a few options.

Vivek Saraogi: It's just the beginning, as the project is still about 18 months away. We are confident , we've taken a broad stroke understanding , and we will get into the details in due course. And we are already tracking prices, as you can see.

Moderator: The next question is from the line of Bharat Seth from Quest Investment Advisors Private Limited.

Bharat Seth: Sir, pardon my ignorance. If you could run us through the overall picture , with both the PLA and gypsum plants , since a large part of the PLA output will be used as raw material for the gypsum plant, how does that affect costs? And does the payback period change, or does it still stay around five years ?

Avantika Saraogi: It remains the same.

Vivek Saraogi: There is no change at all. So let me ex

plain to everyone the way bagasse comes out when you run a sugar factory. That bagasse is either fed into the boiler for co - generation which you sell power, or you can sell bagasse to paper manufacturers. So, this is the way gypsum will come out. Either you dispose, throw, give to cement at dirt cheap rates, with a huge volume staring at your head, or we have taken this call to convert.

Bharat Seth: And sir, you also mentioned that some of the sugar plant's output will be used for the PLA plant, which will effectively become a cost input for the PLA facility. So how will this benefit the existing sugar business?

Vivek Saraogi: There is no sugar plant as such. What I meant was that, from the PLA plant, the boiler capacity , let us say is 100 tonnes, out of which about 2 tonnes are required for this process . That 2 tonnes of steam used to manufacture the boards will be treated as a cost for the board factory, and correspondingly, it will be recognized as revenue for the PLA plant .

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Bharat Seth: I understand, sir. But when we are going ahead with converting ethanol into PLA, so that economics if you can explain, sir, I will be grateful?

Vivek Saraogi: There is no ethanol converted into PLA. Sugar is converted into PLA. Story over for sugar factory. Right?

Bharat Seth: Yes, so if you can give some economics on that part, broader economics.

Avantika Saraogi: So actually, we can take this question offline because for the rest of the audience, we have explained this at least five times before.

Moderator: The next question is a follow -up from the line of Prashant Biyani from Elara Capital.

Prashant Biyani: Sir, for marketing of these gypsum boards, would you rather be like an outsourced manufacturer for already existing branded company like Gyproc or anyone, or you would want to take it with your own brand?

Avantika Saraogi: Actually, this is what we also tried to answer before. We are evaluating our options . And we will go for the best one that comes to us slightly closer to the date of commissioning .

Vivek Saraogi: Give us some time, Prashant. So, once we set up the plant, like three -six months into the game plan, we will start searching and you know, we are already

contacting people. We will do what is best for the Company, Prashant. Yes, we do not want to sort of get into some big -time branding expense and all, but yes, we will do what is best for the Company.

Prashant Biyani: Yes, and actually those companies have a portfolio to offer to the dealers which we would not have.

Vivek Saraogi: I get your stance, I am aligned, but too early now, Prashant, too early.

Prashant Biyani: Right. And just one last thing on this, would the UP market be enough for this or we would have to go Pan -India?

Vivek Saraogi: I think Pan -India, Pan -India.

Pramod Patwari: More like, UP and North

Avantika Saraogi: North .

Vivek Saraogi: Yes, North should be enough for now. We'll look at the marketing side in about six to nine months, and then we can share a clearer view .

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Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments. Thank you and over to you, sir.

Vivek Saraogi: Thank you, and all the best. If there are any further questions, we'd be happy to address them offline , please feel free to reach out anytime. I hope I've been able to answer all your questions. The objective of today's call was to provide a broad cons truct and understanding, so that all investors are on the same page as far as knowledge -sharing perspective. We want to avoid any speculation or uneven access to information , no one should have a preferential understanding. That is why we took the time to engage with all of you and share this overview. Thank you once again, and thank you to all our shareholders for being with us as always .

Pramod

Patwari: Thank you , everyone.

Avantika Saraogi: Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy .

Call: Jun 2026

22nd May, 2026

National Stock Exchange of India Limited
Listing Department,
'Exchange Plaza', C/1, G Block, Bandra
Kurla Complex, Bandra (E),
Mumbai 400051. BSE Limited
The Corporate Relationship Department
1st Floor, New Trading Wing, Rotunda
Building, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai- 400001.
Symbol: BALRAMCHIN Scrip Code: 500038

Dear Sir/Madam,

Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Subject: Transcript of Earnings Conference call

In terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the Transcript of the Q4 & FY26 Earnings
Conference Call held on 18th May, 2026.

The same is also uploaded on Company's website at the following web page:

<https://chini.com/investors/concall-transcript/>

Thanking You.
Yours faithfully
For Balrampur Chini Mills Limited

Manoj Agarwal
Company Secretary & Compliance Officer

Encl: A/a

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Balrampur Chini Mills Limited
Q4 & FY26 Earnings Conference Call
May 18, 2026

Moderator: Ladies and gentlemen, good day and welcome to Balrampur Chini Mills Limited's Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Ms. Jenny Rose from CDR India. Thank you and over to you.

Jenny Rose: Thank you. Good afternoon everyone and thank you for joining us on Balrampur Chini Mills' Q4 and FY26 Results Conference Call.

We have with us today Mr. Vivek Saraogi, Chairman and Managing Director of Balrampur Chini Mills, and Mr. Pramod Patwari, Chief Financial Officer of the Company. We would now like to begin the call with brief opening remarks from the management, following which we will have the forum open for the question-and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I would now like to invite Mr. Saraogi to make his opening remarks. Over to you, sir.

Vivek Saraogi: Good afternoon everyone and thank you for joining us on Balrampur's Q4 and FY26 Earnings Call. I trust all of you have had the opportunity to go through our results

presentation providing details of operational and financial performance. I will begin the call with an update on the developments in the sugar sector, followed by our Company's key highlights for the period under review.

During sugar season 2025-26, gross sugar production is projected to be around 31 million tonnes. After accounting for 3 million tonnes of diversion, net production is expected to be around 28 million tonnes. Export was announced by the government in November 2025 based on the then prevailing production estimates. However, season progressed in certain key states, Maharashtra, UP, Karnataka, they were all impacted by lower than anticipated yields and weather-related abnormalities,

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resulting in a moderation of the overall production, which resulted in the government prohibiting exports. So just to let you know, 7 lakhs tonnes has gone out. And this is not a cause of worry at all. I will explain.

Nevertheless, the inventory remains broadly balanced with an opening inventory of around 5 million tonnes, domestic consumption is expected to match production that is at 28 million tonnes, likely export of 7 lakh tonnes or 0.7 million tonnes, would reduce the stock from 50 lakh tonnes or 5 million tonnes to 43 lakh tonnes or 4.3 million tonnes. Just to point out, probably this is the lowest stock level which I remember seeing in my recent living memory. It is one of the lowest.

On the pricing front, domestic prices have remained supportive, aided by a balanced supply position and limited inventory overhang. In UP, prices have broadly remained in the range of Rs. 41 to Rs. 42 per kg. We believe prices would remain steady and gradually probably inch up based on the data points given to you on the closing inventory. And also to let everyone know that there is no alarm at this stock level. It is possible to manage it, but however, the demand-supply remains in favor of pricing. Coming to ethanol, the blending program continues to remain a key priority. For mill, the problem is the absence of revision of ethanol prices under the juice and B-heavy route for the last 3 years, despite higher cane costs and operational expenses.

Against this backdrop, Balrampur concluded FY26 on a stable note, with the sugar segment delivering resilient performance despite an increase of INR30 in sugarcane price from INR370 to INR400 per quintal. Higher cane costs were partly offset through improved operational efficiency, higher quantity of crushing, higher sugar sales volume, and stable realization. The Company crushed 1,043 lakh quintals of cane during the season, which is up 5.2%, while the gross recovery remained broadly around the same range, marginally lower at 11.24% vis-a-vis 11.28%. And just to let everyone know, UP crushed 7% lower cane than last year and we have crushed 5.2% higher cane. The distillery business also reported stable performance supported by higher volumes, although margins remained under pressure due to absence of ethanol prices as pointed earlier.

As discussed in our recent call, we had an investor call on the PLA project post our fundraise, which was going to revise capex at INR3,080 crore. Our idea is to further strengthen the integrated value chain. The Board has also approved a lacto-gypsum processing plant at Kumbhi to manufacture gypsum board using eco-friendly by-product gypsum from PLA process. As informed to you earlier, the Board has approved raising of INR450 crore through issue of preferential shares to fund the capex as well as general corporate purposes. There is no dilution and promoters

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have participated to the extent of INR193 crore, which is proportionate to their current holding.

Over the years, Balrampur's integrated model has enabled the Company to successfully navigate cycles evolving policy dynamics. Going forward, the Company remains committed to maximizing value extraction, enhancing operational efficiencies, investing prudently, and driving long-term value for all the stakeholders. Thank you. Pramod, over to you.

Pramod Patwari: Thank you and good afternoon everyone. I would not like to go through the repetition of facts and figures what we have stated in the presentation, and therefore request the moderator to open the forum for the Q&A session. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Vishal Prasad from VP Capital.

Vishal Prasad: I have three questions. So, in the case of gutka, it is extremely important to get the packaging barrier right. And in one of the calls, Avantika

did mention that we have

got the barrier packaging right for gutka application. The other problem with gutka is that the packet remains in the supply chain for more than a year. So, given the requirement of long duration, what shelf life has been validated in the degradation

testing? The second question is, we have talked about the two-way approach where we work with the customers directly and the second is the government mandate. So, could you give a rough idea on the kind of mandate we are expecting and the expected timeline, by when can we expect the government to come back and have a detailed mandate? And the last one is, in the capex that we have done, we have talked about two-way approach where we work with the customers directly.

Vivek Saraogi: So, regarding the mandate, you are already well aware of the Central Government mandate. There is also a mandate being worked on by the UP Government. They have already formed a committee and are taking steps to move forward with the non-plastic mandate as well. So, to summarize, there are three fronts: the Central Government mandate, the UP Government mandate, and customers. It is a three-pronged approach. And touch wood, so far, so good.

Vishal Prasad: Okay. And the third question is in the first iteration of the capex, it probably took two years and nine months to complete the project. We are going to complete it in the month of October. So, if we need to expand again, the timeline would remain the same or probably we can expect the next expansion whenever we decide to be done in within 12 to 18 months?

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Vivek Saraogi: Yes. So, your last assumption is correct. 15 odd months is very possible. 15 months is very possible. And we look to commission in the third quarter of this year.

Vishal Prasad: Okay. So, coming back to the first question, if you can respond on the Gutkha one?

Vivek Saraogi: Yes, I told you that we worked out the barrier properties error-free and the duration, food safety contact, everything is through.

Moderator: The next question is from the line of Shailesh Kanani from Asian Market Securities.

Shailesh Kanani: Sir, few questions from my side. First, continuing with the PLA question. Could you provide some colour on the current global versus domestic PLA realizations and price trends? And also, if you can kind of highlight, as the environment is little bit conducive, are we in advanced talks in terms of or any announcement in terms of volume offtake because the commercial production is kind of nearby? So, anything on that front if you can share?

Vivek Saraogi: No, so I did not get your question, but what I have understood is owing to the current crude price rise, the PLA prices have moved north and that is good for us.

Shailesh Kanani: Yes. So, in that backdrop, have we received any kind of inquiries in the pipeline or entered into any offtake agreements, anything along those lines, given that it has only been about six months since the facility became operational.

Vivek Saraogi: So, just to be able to answer your question and this goes out to all our Investors. The fossil-based plastic has gone up drastically, which is very helpful. Secondly, the mandates, the agreements, the customers, etc, are all progressing well. It is not proper to announce each and every agreement, etc. It is all going very well and I think the first question was very detailed and I hope my answer has given a lot of insight. You know, each agreement, each customer, each dialogue, each mandate is being worked upon thoroughly with all testing, being the first of its kind in the country. The progress made by us till now deeply satisfies me of the potential ahead. Giving more details is not proper right now. Because everything is nearing finalization, and to give you, you know, let it get finalized. We are very near to everything.

Shailesh Kanani: Fair enough, sir. That is helpful. So, my second question was w

ith respect to the

imports, what we are doing under that. So, any kind of technical or market-facing learnings, if you would like to share? And also, I was just observing the revenue numbers. Those seems to be remarkably small, right? So, is there any underlying factor we should read into it?

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Vivek Saraogi: So, imports are happening. Whatever little learning is needed for our end product tweaking; we are doing. The imports and the seeding of the market is going on. We are happy and satisfied on all fronts. At this point, however, if you are saying the current sale of PLA in this environment and the numbers, etc, this is a tough one to answer.

Pramod Patwari: Just to add on this, earlier we thought that you would be replacing the entire requirement of the existing customers. But what we learned is that they are okay with our quality and they are waiting for the production to hit the market, then only they will replace the existing ones. They are not ready to replace their current supplier base with us, as of now.

Vivek Saraogi: Because customers are saying, "You need to come in with production, commit your volumes to us, and specify when and how much you will supply." So, this has to be left to the management. We are working on it and have seen a lot of progress. And

just to let you know, the existing converter machines are fully in sync with our product, they do not need to make any changes to use it.

Shailesh Kanani: Fair enough. Thanks a lot. Just moving on to the Sugar division. We have been working on various seed varieties to kind of replace the 0238 variety. Any pipeline or any timeline where we can again have that kind of recovery, which can match 0238 recovery level?

Vivek Saraogi: So 0238, to replicate that variety in recovery and yield looks tough. However, the varieties we are working on have shown a lot of promise. The fruits will be felt as we go ahead, but remembering 0238 that barometer as of now looks tough. But having said that, this looks like the bottom.

Shailesh Kanani: Sir can I squeeze in one more question?

Vivek Saraogi: Yes, why not? All yours.

Shailesh Kanani: Thanks a lot. Sir, this is just a follow-up question, there has been no revision in ethanol prices for more than three years. Is there any kind of feedback or input from your side to the government? And the government has kind of reciprocated positively on the revision of ethanol prices because we would have pressure on our margins henceforth, at least in the first half, given the increase in the SAP, what we have seen in the last year, so steep hike. So, any kind of positive conversation you can share some light on that?

Vivek Saraogi: So, definitely positive conversation has begun, especially crude at Rs. 111, currency at Rs. 96, we know the cost. So, definitely both on the quantum and on the price, I

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think they will be serious now. And we have feedback to that effect. But you know, once bitten, twice shy. But I mean, if you ask me today, I think it will get done.

Shailesh Kanani: Sir any colour in terms of per-liter increase in terms of our expectations?

Vivek Saraogi: Let things happen. Too many years have gone by. Fingers crossed. All I can tell you is that, in this environment, which is nasty for everyone, is not so nasty for us. So, if you see the heat, it will help consumption. If you see our area, we have enough water. So, Maharashtra, Karnataka, I do not know, which is again positive of not having too much of a surplus, therefore sugar price positive. PLA, we have told you, fossil-based plastic going up is very good for us. So, government will get duty-bound even commercially, if not morally, to increase the price, they have not done it over three years. Pure and simple numbers. So, I feel that, we are in an absolutely good area.

Moderator: The next question is from the line of Hrishikesh Bhagat from Kotak Mutual Fund.

Hrishikesh Bhagat: S

o, I understand that the Company is well-placed from the point of view of water availability. Any perspective you can give on potential cropping impact because of the fertilizer availability?

Vivek Saraogi: So, that is a good question. We continue to track it. The yield, however, will not be known even if there is a naked-eye yield to be seen, nothing before September-October. Because the crop is just germinating and beginning to you know, take shape. If you want an honest answer to this question, do not ask anybody before September. But yes, if there is a negative tenor to the crop yield, probably some rainfall quantum etc, best assessed in August, mid-August.

Moderator: The next question is from the line of Dhvaneet Savla from Savla Family Office.

Dhvaneet Savla: My question is with regards to the ethanol price which has not been revised. So, can we draw any relation between them, as we have increased our ethanol production from the B-heavy route this year. But the prices have not been revised, and we have reduced it for the C-heavy route where the price had been revised. So, any particular reason why we have done that? Because I think for the C-heavy route the price had been revised, right? So, why are we choosing to increase it to the B-heavy route even if the price has not been revised?

Vivek Saraogi: So, we have to do our optimization. We were hoping that it would get revised. It did not get revised. There was enough indication to say it would be. However, we have not lowered our C-heavy.

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Pramod Patwari: Hardly anything. And the thing is that, when the requirement is to get more and more ethanol to utilize the ethanol capacity, it can come only through juice and B-heavy.

C will not give you enough quantity. And as said, we were hoping that ethanol revised prices would come in.

Vivek Saraogi: Yes, and we had to fill our tenders in November.

Pramod Patwari: Yes, we participated in the tender.

Vivek Saraogi: So, this year will be a lot more cautious and we will take our internal call accordingly.

Dhvaneet Savla: Sir, just a small follow-up. Do you think that the decision can be frozen considering the elections might be announced by the end of the year, after November or

something, if they are not processed? It might even take this cause of further more delay in the announcement, right? Because they cannot announce these things during the elections.

Vivek Saraogi: No, no. This is all unrelated stuff. UP elections should be in January-February and, you know, ethanol pricing, UP election, I do not see any connect.

Dhvanet Savla: Okay, okay. Sir, one more question I had. We have this item on the presentation, this Auxilo Financial Services. I was not able to find much information on it in the earnings presentation that have been shared. Can you please tell us where can I actually see the actual impact of this?

Pramod Patwari: So, in case you have any specific question, we can talk offline. We have uploaded the financials of Auxilo on the presentation as well as the results that is uploaded on the website.

Moderator: The next question is from the line of Manpreet Aurora from Aurora Wealth Advisors.

Manpreet Aurora: Sir, both my questions are on the PLA side. My first question is, do we have different grades of PLA, like different grade for packaging and different grade for 3D printing, with different margin profiles? And are we targeting the different grades? Just wanted to understand.

Vivek Saraogi : Yes, there are different grades.

Pramod Patwari: Yes, we will have different grades depending upon the area of application.

Manpreet Aurora: Okay. And are we targeting the different grades with the, you know, maybe with higher margin profile or we are going to start with packaging only?

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Vivek Saraogi: Of course, as I have said, we are doing everything. Our plant is built well to handle different grades, different application

s, etc. So, yes, while the question is absolutely

in order, as I said, we have a big team which is dealing with Sulzer, which is the technology supplier. Enough grades have been imported, enough learnings have been developed to be able to understand which grade will fit in where.

Manpreet Aurora: All right. Perfect. The other question was a little more on the margin side. Now, if we look at TotalEnergies Corbion's journey in this space, they started with 35% margins and now they are down to 12% odd and now they have put their asset up for sale as well, their PLA asset. Similarly, if we look at the Chinese, the Zhejiang, they are also making around 15% EBITDA margins on this business. So, I am sure the management would have studied these case studies. So, how do we see our ability to make 35% margins?

Vivek Saraogi: Good question. Pramod, answer.

Pramod Patwari: I will answer the second part first. We have a unique advantage of availability of sugar as well as the bagasse, the key ingredient for fuel, at the doorstep, which will save us a lot of logistics cost. This is one part. To the best of our understanding, TotalEnergies Corbion is not capturing the entire value addition in the manufacture of PLA. Up to lactic acid, they are taking it in a different Company and from lactic acid to PLA, it is going in another Company.

Vivek Saraogi: I will also just add, again, our sugar transportation will not cost a penny, our bagasse transport will not cost a penny, and we bagasse-based power versus energy-based power which others are paying is massively different and it is going to get so much more different, which makes me far more bullish on our margins. And Pramod has also put in an answer which is very valid.

Manpreet Aurora: Right. So, to summarize, we will have our own feed stock with sugar and bagasse, then logistics we will save on, then energy we will save on.

Vivek Saraogi: Big time.

Manpreet Aurora: Even though we are not the lowest cost producer, India is not the lowest cost producer of sugar, as you had mentioned in one of our previous calls, but will it be fair to say that on PLA we will be one of the lowest cost producers in the world

Pramod Patwari: Yes, that is if we come with scale.

Vivek Saraogi: Yes. So, let us begin. So, where our disadvantage is only in sugar price, the rest we will be hugely positive. And I am sure with scale, our chemical cost, etc., for which

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we are also doing lots of laboratory work, this will enable us to become the lowest cost producer very soon. And I mean, with expansion definitely, even without expansion. If you are saying crude remains here, I assure you we will be lowest cost.

Manpreet Aurora: Right, right. Sir, just one last on the margin side. You had earlier mentioned that 35% margins is our target. Now, does that include the incentives, all the incentives starting from the INR1,100 crore capex plus the electricity and the SGST? All these are factored in in this calculation or that will be over and beyond it? Maybe you have answered this in a previous call, but it was not very clear to me. So, if you can talk about that?

Pramod Patwari: Yes, we had earlier stated that we are aspiring to make 35% of EBITDA margin. The incentives are largely in the form of capital subsidy and interest subvention. So, both these items are below EBITDA. One will get captured either in the form of lower depreciation and the other net of interest. So, EBITDA margin will not get impacted because of this. We have not considered the benefit of incentive while guiding 35% EBITDA margin.

Manpreet Aurora: All right, perfect. And just before I move back to the queue, so will resin be our end product or will we be involved in compounding the product? And I think you mentioned that our product will work with their machinery as is and they do not need to change anything?

Vivek Saraogi: Correct, correct. Yes.

Manpreet Aurora: So,

even if it is injection moulding or thermoforming?

Vivek Saraogi: Yes, yes. That has been a big victory, including the barrier property, establishing all technicals, everything.

Moderator: The next question is from the line of Tanmay Jhaveri from Finterest Capital.

Tanmay Jhaveri: I have a couple of questions on the ethanol side. So, the government is now talking beyond E20 through flex-fuel vehicles and higher blending like E85 and E100. But the ecosystem still appears to be at very early stage from infrastructure and vehicle readiness perspective. So, basis our discussions with the OMCs and automotive OEMs, how do we see the roadmap evolving over the next couple of years? Like, is the ground work really happening at that pace or will it take considerable time before translating into meaningful demand?

Vivek Saraogi: So, I think the vehicles technically can go up to E25 and government will gradually improve the mandate. So, I just made a quick remark in the beginning, government

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is looking at both increasing the E20 level as well as correcting the error on the pricing.

Pramod Patwari: And for E85 and E100, automobile companies are ready with the prototype. Government has also come out with the draft notification for public comments. So in the times to come, you will see announcement on this.

Tanmay Jhaveri: Right. Just my second question was more on the industry side. We have seen that in the past years, there have been lots of oversupply of ethanol, but at the same time lots of players have started adding more ethanol capacities lately. So how are we thinking about the supply-demand side for this year and maybe next year and what kind of volumes are we looking for this financial year?

Pramod Patwari: For Balrampur, in the year gone by, that is FY26, we produced around 27 crore liter of ethanol. And with our existing nameplate capacity, we can reach around 34 crore-35 crore liters of capacity. The only thing is price is going to be a deciding factor whether we will divert more sugarcane towards juice route ethanol or the conventional C-heavy route. That is one part. At the industry level, definitely there is an overcapacity. To address that, government is coming out how to increase the demand by way of going beyond E20, E85, E100.

Moderator: The next question is from the line of Vishal Prasad from VP Capital.

Vishal Prasad: In the case of PLA, it itself might not be conducive and converters will add other materials. So, in the form of laminate structure or some coating on PLA. From the perspective of biodegradability, the other materials would be biodegradable or we are going to add something which may be a derivative of crude?

Vivek Saraogi: Again, good question, very detailed. But see, if you are going to go into a mandate, let us say the pan masala, gutka, that mandate, government will probably give you all biodegradable stuff. And we have tried all that also, like the printing ink, the glue, everything has been tried. In let us say, customers end or other mandates, probably the mandate will decide if certain percentage of a Polybutylene Adipate Terephthalate (PBAT), which is biodegradable can be mixed. And for private customers, it is what they want. Let us say for fork, for cutlery, for whatever it is what each person wants. But yes, if you have to qualify for something, you have to make that.

Vishal Prasad: Yes. And I am not very sure, so I do not have the answer, so I am going to ask you. So let us say assuming a hypothetical scenario where 50% is PLA and 50% is crude

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derivative and then it goes to landfill. Will the nature be able to separate out the crude derivative and PLA and PLA will biodegrade and crude derivative will remain?

Vivek Saraogi: I will not lie, I will not be able to answer that. Yet, if it is PLA, landfill will kill it within very short time. At Indian temperatures, it will go in one season.

Pramod

Patwari: And in India to mix anything with feedstocks, the government will come out with a mandate.

Vivek Saraogi: Exactly. We have to follow the mandate. Mandate will be very detailed.

Vishal Prasad: So do we expect them to come back within this year or, I mean, when we start or it will probably be sometime in 2027?

Vivek Saraogi: We are hoping that it will be sooner than later. No, I am not looking at 6 months from now.

Vishal Prasad: Okay. And second question is, let us say there is another Company in India who wants to do this PLA thing and they do not use sugarcane. So they will really find it difficult to get the margins that we are expecting because of the advantages that you have mentioned?

Vivek Saraogi: I think you more than answered your questions. Yes.

Vishal Prasad: Okay. So, if your peer from the same industry if they decide maybe they will be able to do it.

Vivek Saraogi: Yes, they will have that same sugar available and same bagasse available. But, ours is a group, so we have more advantages than anyone. Also we are located close to each other in two plants, but yes definitely, if a sugar factory owner with a large size wants to do it, he would have the same basic advantages except whatever, this 2 years of research which has gone into this PLA business.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to management for closing comments.

Vivek Saraogi: Thank you everyone and today was a very detailed interaction on PLA which made me happy. So, rest assured, we are doing our very best, and all the points and concerns mentioned by our dear investors have our attention, and much more. Other issues are also being addressed. This is the first time such a plant is being set up, and it comes with excitement as well as challenges. We are ready for both. So, thank you everyone.

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Pramod Patwari: Thank you.

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